

Enrolled Agent Exam

Part 3 — Representation, Practices, and Procedures
Study Guide

More Reading

- Circular 230, Regulations Governing Practice Before the Internal Revenue Service
- Publication 947, Practice Before the IRS and Power of Attorney
- Publication 1, Your Rights as a Taxpayer Part 3 of the EA exam focuses on the ethical standards, legal requirements, and regulations that govern the tax profession. This includes guidelines that tax professionals must adhere to, standards that they are expected to meet, who has the authority to represent taxpayers before the IRS, procedures for assessment, collection, audit, and appeals by the IRS, and penalties that tax preparers may face if they violate the law.

Part 3 of the exam is composed of the following sections and their corresponding percentage of questions: 1) Practices and Procedures — 26 questions 2) Representation before the IRS — 25 questions 3) Specific Areas of Representation — 20 questions 4) Filing Process — 14 questions Issues of ethics, practice, and representation are dealt with in detail in Treasury Department Circular No. 230, Regulations Governing Practice before the Internal Revenue Service.¹ The rules in Circular 230 are codified as Title 31 of the Code of Federal Regulations. All practitioners who represent taxpayers before the IRS are subject to the rules and regulations outlined in Circular 230.

Note: The statutory authority to regulate the conduct of representatives before the IRS is not found in Title 26 of the U.S. Code, the Internal Revenue Code. Instead, it appears in Title 31 of the U.S. Code, Section 330. The Office of Professional Responsibility (OPR), which interprets and applies the regulations in Treasury Department Circular 230, functions separately from the Title 26 enforcement components of the IRS. The language, now codified as Section 330, was originally enacted in 1884 as part of a War Department appropriation for "horses and other property lost in the military service" and actually pre-dates the IRS and the income tax.

So, while Title 26 of the United States Code contains the tax laws enforced by the IRS, Title 31 of the Code of Federal Regulations contains the regulations that govern the practice of representatives before the IRS, ensuring that tax professionals adhere to tax practice standards and follow the law.

Tax return preparers play a crucial role in the U.S. tax system, as they are responsible for preparing around 60% of all filed tax returns. Their actions have a significant influence on the Internal Revenue Service's ability to properly administer tax laws effectively. ¹ Regulations governing practice before the IRS are also set forth in Title 31, Code of Federal Regulations, Subtitle A, Part 10, as published in pamphlet form as Treasury Department Circular No. 230 on June 12, 2014.

Study Unit 1: Legal Authority of the IRS

Federal Tax Law

The Internal Revenue Code (IRC) is the main body of tax law of the United States. The IRC is enacted by Congress and published as Title 26, the Internal Revenue Code of the United States Code. The Federal courts interpret the IRC in judicial opinions, by the Treasury Department in Treasury Regulations, and in other administrative guidance published by the IRS. Other tax laws are promulgated by individual states, cities, and municipalities.

Not all Federal tax law is located in Title 26 of the United States Code. FBARs and most international financial reporting laws are promulgated in the Bank Secrecy Act, a provision of Title 31. Although the Bank Secrecy Act was focused initially on financial institutions, the law has been expanded by Congress beyond the regulation of banks.

In 2003, the Financial Crimes and Enforcement Network (FinCEN) delegated enforcement authority regarding the FBAR to the Internal Revenue Service (IRS).

Note: The enrolled agent exam deals only with federal laws and not with the laws of any individual state or municipality. However, some state laws directly affect federal tax reporting. An example of this would be community property laws, which determine how much income each spouse is required to report on a separate return.

Tax law is determined by all three branches of our federal government, although the legislative branch (Congress) has the primary function of originating tax laws. The executive branch (the president) is responsible for income tax regulations, revenue rulings, and revenue procedures. The judicial branch is responsible for court decisions. The U.S. courts also have the responsibility for determining whether a particular tax law is constitutional.

The U.S. Treasury Department (which includes the Internal Revenue Service) is part of the executive branch of the U.S. government. The U.S. Treasury collects taxes through the Internal Revenue Service.

The president has veto powers, which means he can stop legislation from becoming law (subject to a veto override by a two-thirds vote in both the House of Representatives and the Senate).

The Internal Revenue Service (IRS) is a bureau of the Department of the Treasury, and it is responsible for enforcing the Internal Revenue Code. In other words, the IRS is the "collection arm" of the U.S. Treasury Department, which is responsible for paying various government expenses. However, the IRS does not have the power to enact tax statutes — that power belongs to Congress. Instead, the IRS's role is to interpret and implement the tax statutes enacted by Congress. If there are disputes about the interpretation of the tax laws, these disputes may be resolved by the courts.

The IRS produces several kinds of documents that provide guidance to taxpayers, including the following:

1) Treasury Regulations 2) Revenue Rulings 3) Revenue Procedures 4) Private letter rulings 5) 6) Technical advice memoranda (also called "TAMs") IRS notices Each of these can factor into "substantial authority," which means the authority to serve as the basis for interpretation of current tax law and to establish precedents for the future. Treasury Regulations define substantial authority as existing when "the weight of authorities for the tax treatment of an item is substantial in relation to the weight of authorities supporting contrary positions."

The weight placed on an authority is determined by factors such as its relevance and persuasiveness, as well as the type of document in which it appears. In general, a revenue ruling holds more weight than a private letter ruling (other than to whom the private letter ruling was issued) discussing the same matter.

Additionally, newer pronouncements hold more weight than older ones.

Example: Jesse is an enrolled agent. Recently, he made a mistake on his client's corporate tax return by claiming a significant business deduction based on a court case that was several decades old.

Unfortunately, Jesse was not aware that this case had been overturned by a higher court in recent years, making it an outdated and invalid source for his deduction. As a result, when his client's return was audited, the business deduction was disallowed, and an accuracy-related penalty was assessed against his client. Jesse could also be assessed a preparer penalty for his negligence.

The primary authority for any tax position is the Internal Revenue Code. "Primary authority" also includes decisions by the U.S. Supreme Court, which is the highest court in the land, and international tax treaties. Other sources of tax law that factor into "substantial authority" include the following:

- Temporary and final Treasury Regulations (but not proposed regulations);²
- Court cases;
- Administrative pronouncements; and
- Congressional intent, as reflected in committee reports.

This list was later expanded to include private letter rulings, technical advice memoranda, IRS information or press releases, notices, and any other similar documents published by the IRS in the Internal Revenue Bulletin. Treatises and articles in legal periodicals are not considered substantial authority under this statute. An authority no longer remains an authority if it is overruled or modified by a body with the power to overrule or modify it.

Note: The IRS announced that all future frequently asked questions (FAQs) posted on [irs.gov](https://www.irs.gov) would be issued as a Fact Sheet as part of an IRS press release. By doing this, these FAQs can constitute authority for a tax return position. Please note that general content on the IRS webpage does NOT constitute substantial authority. ² Taxpayers generally may not rely on proposed regulations for planning purposes, except if there are no applicable final or temporary regulations in force and there is an express statement in the preamble to the proposed regulations that taxpayers may rely on them currently.

Note that "substantial authority" does not include official IRS publications or IRS form instructions. Many IRS publications are not updated every year, and reliance on IRS publications does not constitute substantial authority for purposes of avoiding understatement penalties. While a good source of general information, IRS publications cannot be used to sustain a position (IRM 4.10.7.2.8).³ The possibility that a return will not be audited or, if audited, that an item will not be raised on audit, is not relevant in determining whether the substantial authority standard (or the reasonable basis standard) is satisfied.

Example: Reggie Smith, a small business owner, filed his tax return, claiming a significant deduction for business expenses based on outdated information in an old IRS publication. He did not consult a tax professional or verify current law. When he filed his return, he believed that his audit risk was low. In 2025, Reggie's return was audited. The IRS found the deduction unsupported by the current tax law, leading to an understatement of his income tax by over 15%. The IRS imposed a 20% accuracy-related penalty for substantial understatement of income tax under IRC §6662. Reggie argued he relied on an IRS publication, believing it was substantial authority, and claimed he acted in good faith without intentionally disregarding current regulations. The IRS examiner disagreed with Reggie, stating that reliance on

outdated IRS publications doesn't meet substantial authority standards.

Reduced Substantial Understatement Threshold — Clean Energy Credit

Establishing substantial authority is especially critical when claiming clean energy credits. The One, Big, Beautiful Bill Act (OBBBA) significantly tightened the substantial understatement accuracy-related penalty for certain clean energy credits beginning in 2025.

If an applicable energy credit (such as the clean electricity production credit or clean electricity investment credit) is disallowed because the taxpayer overstated material assistance received from a prohibited foreign entity, the penalty threshold is dramatically reduced.

Instead of the standard rule requiring an understatement greater than 10% of the tax required to be shown on the return, the penalty is triggered if the understatement exceeds 1% of the tax required to be shown on the return.

This lower threshold applies specifically to these energy credit misstatements.

Expanded Mathematical or Clerical Error Authority

The OBBBA also expanded the IRS's mathematical and clerical error authority beginning in 2025.

If a required Social Security number (SSN) is missing or incorrect, the IRS may automatically deny the following benefits using math error procedures:

- The \$6,000 Deduction for Seniors
- The Deduction for Qualified Tips
- The Deduction for Qualified Overtime Compensation
- The Child Tax Credit In these situations, the IRS may adjust the return and issue a bill without first issuing a 90-day Notice of Deficiency. 3 IRS Publications generally explain the law in more easy-to-understand language than the actual primary law for taxpayers and their advisors. They typically highlight changes in the law and provide examples illustrating IRS positions on matters. IRS publications are non-binding on the IRS and do not necessarily cover all positions for a given issue. While a good source of general information.

Note: Failure to provide a required SSN when claiming one of the new OBBBA benefits allows the IRS to use summary math error procedures. This means the IRS can adjust the return and send a bill immediately, bypassing the standard requirement to first issue a 90-day Notice of Deficiency.

Treasury Regulations

Treasury regulations are the U.S. Treasury Department's official interpretations of the Internal Revenue Code. The IRC authorizes the Secretary of the Treasury to "prescribe all needful rules and regulations for enforcement" of the code.⁴ All regulations are written by the IRS's Office of the Chief Counsel and approved by the U.S. Treasury Secretary.

The courts give weight to Treasury regulations and will generally uphold the regulations so long as the IRS's interpretation is reasonable and does not contradict any provisions in the IRC. Treasury regulations are first published in the Federal Register. After publication in the Federal Register, regulations are organized by subject matter and codified in a separate publication called the Code of Federal Regulations (CFR). The three types of Treasury regulations are:

- Legislative Regulations, Interpretive Regulations, and Procedural Regulations.

1) Legislative regulations are created when Congress expressly delegates the authority to the Treasury secretary or the commissioner of the IRS to provide the requirements for a specific provision of the IRC. A legislative regulation has a higher degree of authority than an interpretive regulation. In general, legislative regulations carry the same authority as the law itself.

However, a legislative regulation may be overturned if any of the following conflicts apply:

- It is outside the power delegated to the U.S. Treasury.
- It conflicts with a specific statute.
- It is deemed unreasonable or unconstitutional by the courts.

2) Interpretive regulations are issued under the IRS's general authority to interpret the IRC. An interpretive regulation only explains the meaning of a portion of the code. Unlike a legislative regulation, there is no grant of authority for the promulgation of an interpretive regulation, so these regulations may be challenged on the grounds that they do not reflect Congressional intent.

3) Procedural regulations concern the administrative provisions of the code and are issued by the Commissioner of the IRS and not the Secretary of the Treasury. They often concern minor issues, such as when notices should be sent to employees or how to file certain IRS forms. Regulations are further classified as proposed, temporary, or final:

1) Proposed regulations are open to commentary from the public. Various versions of proposed regulations may be issued and withdrawn before a final regulation is issued. Proposed regulations have minimal practical effect. A taxpayer may not rely on proposed Treasury regulations unless they contain an express statement permitting reliance. Unlike temporary regulations, proposed regulations do not expire.

2) Temporary regulations remain in effect for three years. They provide immediate guidance to the public and IRS employees before publishing final regulations. Temporary regulations are effective immediately upon publication in the Federal Register.⁵

3) Final regulations are issued when a regulation becomes an official Treasury decision. These are the official interpretations of the tax laws by the Treasury Department. They are the highest authority issued by the Treasury Department. They are issued after a period of public comment and become effective upon publication in the Federal Register. Final regulations have the effect of law.

It is important to note that while these regulations provide the IRS's official interpretations of the tax laws, they are not the tax laws themselves. The tax laws, or statutes, are enacted by Congress and are contained in the Internal Revenue Code.

Note: The IRS is legally bound by its regulations, but the courts are not.⁶ Official regulations have the force of law, unless they are overly broad in relation to the statute or are deemed unconstitutional by the courts. U.S. Treasury regulations are authorized by law, but U.S. courts are not obligated to follow any of the IRS's administrative interpretations.

Revenue Rulings and Revenue Procedures

The IRS issues revenue rulings and revenue procedures to inform and guide taxpayers. Neither has the force of Treasury Department regulations, but they may be used as authority. A revenue ruling typically states the IRS position, while a revenue procedure provides instructions concerning that position. Both revenue rulings and revenue procedures are important tools for understanding and complying with tax laws, offering clarity and guidance on various tax-related issues.

Study Note: A revenue ruling may announce that taxpayers may deduct certain automobile expenses. A revenue procedure will then explain how taxpayers must deduct, allocate, or calculate these automobile expenses.

Revenue rulings are intended to promote the uniform application of the IRC. The national office of the IRS issues revenue rulings, which are published in the Internal Revenue Bulletin. A revenue ruling is not binding in Tax Court or any other U.S. court. However, taxpayers can use revenue rulings as guidance to avoid certain accuracy-related IRS penalties. 5 Unlike proposed regulations, temporary regulations go into effect immediately upon publication in the Federal Register, but they expire within three years of enactment (except for temporary regulations issued prior to 1989). 6 Certain court cases lend more weight to a position than others. A case decided by the US Supreme Court becomes the law of the land and takes precedence over decisions of lower courts. The IRS must follow Supreme Court decisions, and for the IRS, Supreme Court decisions have the same weight as the Internal Revenue Code.

Example of Revenue Ruling: Revenue Rulings apply the law to specific factual situations. For example, Rev. Rul. 87-41 provides guidance on the classification of workers as either employees or independent contractors. It outlines 20 common law factors that the IRS uses to determine the appropriate classification.

These factors include the level of control the employer has over the worker, the financial arrangements, and the nature of the relationship between the company and the worker. For instance, if a worker is required to follow detailed instructions and is closely supervised, they are more likely to be classified as an employee than as an independent contractor.

Example of Revenue Procedure: Revenue Procedures tell taxpayers "how to" do something. For example, Rev. Proc. 2025-28 provides procedural guidance under the newly enacted One Big Beautiful Bill Act (OBBBA). It gives taxpayers the exact instructions on how to make retroactive elections, file amended returns, or change accounting methods for domestic research and experimental (R&E) expenditures under § 174 as amended by the One, Big, Beautiful Bill Act.

The numbering system for revenue rulings corresponds to the year the ruling was issued. Thus, for example, Revenue Ruling 2025-1 was the first revenue ruling issued in 2025. Revenue procedures are official IRS statements of procedure that affect the rights or duties of taxpayers under the IRC. A revenue procedure may be cited as authority, but it does not have the force of law.

IRS Written Determinations

IRS Written Determinations are determinations the IRS is required to make open to public inspection. There are many types of official IRS correspondence and determinations, including:

- Technical Advice Memoranda (TAM)
- Private Letter Rulings (PLR)
- Chief Counsel Advice (CCA)
- Information Letters — these are responses the IRS issues that explain general tax principles or existing guidance. They do not apply the law to a specific set of facts and may not be relied upon as precedent.

We discuss TAM, PLR and CCA in more detail.

1) Technical Advice Memorandum (TAM)

A Technical Advice Memorandum is written guidance furnished by the IRS Office of Chief Counsel upon the request of an IRS director. A request for a TAM generally stems from an examination of a taxpayer's return, a consideration of a taxpayer's claim for a refund or credit, or any other matter involving a specific taxpayer under the jurisdiction of the territory manager or the area director.

Technical advice memoranda are issued only on closed transactions⁷ and provide the interpretation of the proper application of tax laws, tax treaties, regulations, revenue rulings, or other precedents. TAMs are not published in the Internal Revenue Bulletin. ⁷ A "closed transaction" in IRS procedures refers to a financial event or transaction that has already been completed and is no longer ongoing. This means all actions related to the transaction have been finalized, and there are no pending activities or changes expected. Technical advice memoranda (TAMs) are issued based on these completed transactions to provide guidance on how tax laws and regulations should be applied to them.

The purpose of a Technical Advice Memorandum ("TAM") is primarily to provide direction to IRS personnel on taxpayer matters needing additional legal interpretation clarification. The advice rendered represents the position of the IRS, but it only relates to the specific case in question on an already completed taxpayer transaction. Technical advice memoranda are made public after all the private information has been removed that could identify a particular taxpayer.

Example: Valley Dairy Farm, Inc. is a farming corporation with 55 employees. The company usually gives its employees a holiday ham at the end of the year. Because of dietary restrictions, some of the employees requested gift certificates instead of a holiday ham. In 2025, the business provided a holiday gift certificate with a face value of thirty-five dollars that was redeemable at several local grocery stores. Valley Dairy Farm excluded the value of the gift certificate from the employee's wages, and deducted the full amount as a business expense, arguing that it was a de minimis fringe benefit under Code §132. The IRS disagreed and determined that the gift certificates were essentially "cash equivalents," and not excludable from the employee's gross income. The full amounts of the gift certificates were taxable as wages to the employees, and subject to payroll taxes for both the employer and the employee (example based on TAM-108577-04).

Example: Manhattan Literacy, Inc. is a 501(c)(3) tax-exempt organization that also has an affiliated 501(c)(4) organization, Manhattan Lobbyists, Inc. The 501(c)(4) organization did substantial lobbying activities for political candidates in New York. Although the organizations were separate legal entities, both organizations shared a website. Manhattan Lobbyists used pages on the website to distribute political campaign endorsements. While the Manhattan Lobbyists' website contains its own logo and address, it also contained the 501(c)(3)'s banner and related links. A website is a form of communication, and as a charitable entity, Manhattan Literacy is prohibited from disseminating any information that favors or opposes a particular candidate for public office. The IRS determined that Manhattan Literacy (the 501(c)(3) organization) had engaged in prohibited political activity by sharing its website with Manhattan Lobbyists, its affiliated 501(c)(4) organization. Manhattan Literacy was found to have impermissibly intervened in a political campaign by distributing campaign endorsements on its website (example based on TAM 200908050).

2) Private Letter Ruling (PLR)

A taxpayer who has a specific question regarding tax law may request a private letter ruling (PLR) from the IRS. A PLR is a written statement issued to a taxpayer that interprets and applies tax laws to the taxpayer's specific case. It is issued to communicate the tax consequences of a prospective transaction before the transaction is completed or before the taxpayer's return is filed.

A PLR is legally binding on the IRS, but only if the taxpayer fully and accurately described the proposed transaction in the request and carried out the transaction as described. In addition, it is only binding on the IRS for the particular taxpayer who requested the ruling. PLRs are made public after the taxpayer's private, identifiable information has been redacted (removed or blacked out).

The procedures and user fees for obtaining a letter ruling are published annually in the first revenue procedure of each calendar year. A private letter ruling is not free. The fee for many PLRs is \$10,000, and some cost even more.

Example: Robert is 31 and permanently disabled. On March 1, Robert inherits a traditional IRA valued at over \$1.5 million when his elderly father dies. Because Robert is disabled, he is eligible for public benefit programs, such as Medicaid. Robert does not want to risk losing Medicaid or his other state disability benefits, so his financial advisor suggests that he transfer the inherited IRA funds into a special needs trust, of which he will be the beneficiary. The financial advisor recommends that Robert request a Private Letter Ruling from the IRS before initiating the transfer to make sure there would be no unintended Federal tax consequences to Robert. The IRS rules favorably, holding in the PLR that if the inherited IRA is transferred to a special needs trust, the transfer would neither trigger a taxable event nor be considered a gift to the trust (based on PLR 201116005).

Example: Dina has a mentally ill brother named Paul. Paul had previously served one year in prison for a crime. During this time, Dina purchased a new primary residence and did not expect Paul to live there permanently. However, Paul was later released into Dina's care and was ordered by the court to serve the remainder of his sentence under house arrest at the new home. This caused backlash from neighbors and harassment for Dina. With the recommendation of Paul's probation officer, Dina sold the house before owning it for less than two years, and she had a profit on the sale. The IRS allowed Dina to exclude some of her gain due to "unforeseen circumstances" (based on PLR 200403049).

3) Chief Counsel Advice (CCA)

These are written advice or instructions prepared by the Office of Chief Counsel and issued to IRS field or service center employees. CCAs provide legal interpretations and guidance on tax issues to IRS field offices and personnel. CCAs provide legal interpretations and advice on specific tax issues, helping ensure consistent application of tax laws across different cases. They are intended to assist IRS employees in their decision-making processes and to clarify complex tax matters. CCAs are publicly available and can be accessed by taxpayers and tax professionals for reference. However, they cannot be cited as precedent by taxpayers in their own cases.

Example: A large employer was offering "Health and Wellness" programs as part of its Section 125 cafeteria plan. This policy provided wellness benefits, like a \$1,000 monthly payment for participating in certain wellness activities, such as stress management workshops, with the benefit payments paid directly to the employees. The policy also included general counseling and telehealth benefits. As a response, the IRS Office of Chief Counsel released CCA 202323006, clarifying the tax treatment of these wellness programs.

The IRS determined that these "wellness" payments are taxable income when there are no qualifying unreimbursed medical expenses. Thus, the \$1,000 monthly "wellness" payment is taxable as wages and subject to all taxes, including payroll tax and income tax.

IRS Notices

An official IRS notice is a public pronouncement that may contain guidance involving substantive interpretations of the IRC or other provisions of the law. Information commonly published in IRS notices includes:

1) Weighted average interest rate updates 2) Inflation adjustment factors 3) Changes to IRS regulations 4) Tax provisions related to presidentially declared disaster areas 5) 6) IRS requests for public comments on changes to regulations, rulings, or procedures Internal Revenue Bulletin items The Internal Revenue Bulletin (IRB) is the authoritative source of official IRS tax guidance. It is a weekly collection of items of substantial interest to the professional tax community. The IRB announces official IRS rulings and publishes Treasury decisions, executive orders, tax conventions, significant legislation, and certain court decisions.

Anyone may search the IRS website, www.irs.gov, for past issues of the IRB. Issues are available in both HTML and PDF file formats. The IRS often releases individual items in advance of their publication in the IRB. Tax professionals may subscribe to the IRS GuideWire service to receive automated email notifications about these items.

Example of an IRS Notice: Notices provide immediate, transitional public guidance before official regulations or forms can be finalized. For example, because the new OBBBA tax deductions for "Qualified Tips" and "Qualified Overtime" were passed mid-year, Notice 2025-69 was issued to give taxpayers official permission and a transitional method to calculate these deductions using alternative records (like pay stubs or daily tip logs) for the 2025 tax year.

Internal Revenue Manual

The Internal Revenue Manual (IRM) is the single official compilation of policies, delegated authorities, procedures, instructions, and guidelines relating to the organization, functions, administration, and operations of the IRS. It serves as a guide for IRS employees in all aspects of their work.

For example, IRM 4.10.8 provides detailed guidelines for IRS examiners on how to write examination reports. IRM 4.10.8 covers the procedures for documenting findings, preparing workpapers, and writing the final examination report. It ensures that all examiners follow a consistent format and include all necessary information in their reports.

The current version of the manual covers areas such as tax submission processing, examinations, collection, and appeals. It also includes information on criminal investigations, legal advice, and court proceedings.

The IRM is available to the public and can be accessed on the IRS website. The IRM is not considered "substantial authority" for positions taken on tax matters; however, IRS employees are required to follow it when working on taxpayer matters.

IRS Publications and Forms

The IRS disseminates information to both taxpayers and preparers through its official publications. For example, Publication 17 covers the general rules for filing a federal income tax return for individuals. Publication 17 supplements information contained in the tax form instruction booklet and explains the law in more detail, so it is an important document for taxpayers who prepare their own income tax returns.

Study Note: The Enrolled Agent exam is based mainly on IRS publications, and exam candidates will not be tested on court cases unless the law has already made its way into an IRS publication. Similarly, exam candidates will not be tested on any pending tax law or legislation. The exam is based on tax law from the prior year. However, EA candidates must understand the basics of tax law, the U.S. court system, and how it relates to taxpayers and tax professionals.

Although the information in publications is drawn from the Internal Revenue Code, Treasury Regulations, and other primary sources of authority, publications themselves are not "authority." Taxpayers and preparers may not rely on IRS publications to avoid accuracy-related penalties. In other words, if a taxpayer follows advice from an IRS publication and it turns out to be incorrect, the taxpayer could still face penalties.

Instead, taxpayers should rely on more authoritative sources like the Internal Revenue Code and Treasury Regulations, especially when taking a position on a tax return.

Example: On January 25, 2019, the IRS released Publication 54, a guide for U.S. citizens living abroad to follow when filing their taxes. However, there was an error in this publication regarding the filing requirements for married taxpayers filing separately. It stated that these individuals only needed to file a return if their gross income exceeded \$12,000, the normal standard deduction amount for single or married filing separate taxpayers for 2018. Because of changes in the Tax Cuts and Jobs Act, for an MFS return, the filing threshold was \$5, not \$12,000, as the publication incorrectly stated. Approximately 9 months later, on September 6, 2019, the IRS disclosed the error in the publication on IRS.gov. However, the IRS did not issue a public press release or issue an announcement to acknowledge the problem and clarify the filing requirement. The IRS also did not provide automatic penalty relief to affected taxpayers who may have relied on the publication for guidance. It was only after the Taxpayer Advocate Service made a public post about the error that the IRS finally revised Publication 54 to correct this mistake, but the revision did not occur until December 13, 2019, almost a year later, which was well after the filing season for most taxpayers.

St Example: Alvan Bobrow took \$65,000 out of his traditional IRA account, intending to replace that money within 60 days, in order to have the transaction treated as an indirect IRA rollover, rather than a taxable distribution. Just before the sixty-day rollover deadline elapsed, Alvan took another distribution from a second IRA (IRA-2) and placed those funds into IRA-1. Alvan's tax return was later chosen for audit, and his second purported rollover was invalidated under the once-per-year indirect rollover rule. The taxpayer had relied on information in IRS Publication 590, but the information in the publication was incorrect at the time. The court determined that the publication did not provide substantial authority for Mr. Bobrow's position. Mr. Bobrow lost his case. See *Bobrow v. Commissioner* (T.C. Memo 2014-21) Note: In *Bobrow v. Commissioner*, a U.S. Tax Court judge famously declared, "Taxpayers rely on IRS guidance at their own peril." Judge Joseph W. Nega wrote that IRS guidance was not "binding precedent" or "sufficient authority" to excuse the taxpayer from penalties. The IRS later revised the publication at issue.

Tax Forms and Schedules

IRS tax forms and schedules are used by taxpayers to report financial information to the IRS and calculate taxes to be paid or disclose other information as required by the Internal Revenue Code. There are hundreds of forms and schedules in use. Many have accompanying instructions for taxpayers. Forms, schedules, and instructions are updated whenever necessary due to changes in the tax code.

All publications, forms, and instructions are listed and available for download on the IRS website at www.irs.gov, usually in both HTML and PDF file formats. Updated versions of publications are listed with the date revisions were made, so taxpayers can know they are using the most current information. Due to the growth in electronic filing and the availability of free access to tax forms online, the IRS no longer mails paper tax publications or paper forms to taxpayers.

The IRS frequently creates entirely new forms to accommodate sweeping tax law changes. For example, the 2025 tax year introduces Schedule 1-A (Form 1040) to allow taxpayers to calculate the new One Big Beautiful Bill Act (OBBBA) deductions for qualified tips, overtime, and car loan interest. Additionally, 2025 introduces Form 1099-DA for brokers to report digital asset proceeds. Often, taxpayers and tax representatives will disagree with the IRS's interpretation of the IRC. In these cases, it is up to the courts to determine the proper application of the tax law to the facts of the case at hand. There are many instances where tax laws are disputed or even overturned. Court decisions then serve as guidance for future tax decisions.

In most instances, the IRS chooses whether or not to acquiesce to a court decision. This means that the IRS may decide to ignore the court's ruling and continue with its regular policies regarding the litigated issue.

The IRS is not bound to change its interpretation of the tax law due to a loss in court. The only exception to this rule is the U.S. Supreme Court, whose decisions the IRS is obligated to follow.

The IRS does not announce acquiescence or nonacquiescence in every case. When it does announce its position, the IRS publishes its acquiescence or nonacquiescence in the Internal Revenue Bulletin in an "action on decision." The issuance of a nonacquiescence usually reflects that the IRS does not agree with the result reached by the U.S. Tax Court, and will continue to challenge the decision. The IRS may also retroactively revoke acquiescence to any case.

Example: In the tax case *Jacobs v. Commissioner*, the U.S. Tax Court concluded that the pregame meals provided to the Boston Bruins professional hockey team were not subject to the then-50% meal limit. The Bruin's attorneys successfully argued that the meals were de minimis fringe benefits under §132(e)(2). The Tax Court held in favor of the Bruins' owners, holding that they were entitled to the deduction because the team's pre-game meals were provided at "employer-operated eating facilities," which qualified as an employee fringe benefit. The IRS later issued a partial acquiescence to the case, stating that the IRS would follow *Jacobs* only with respect to cases involving sports teams in which the material facts are substantially identical to those present in *Jacobs*.

Freedom of Information Act Requests (FOIA)

The Freedom of Information Act (FOIA) is a law designed to ensure public access to U.S. government records.⁸ Upon written request, federal agencies, including the IRS, are required to disclose requested records, unless they can be withheld under certain exceptions allowed in the FOIA. Under the terms of the act, agencies may charge reasonable fees for searching, reviewing, and copying records that have been requested.

All IRS records are subject to FOIA requests. However, FOIA does not require the IRS to release all documents that are subject to FOIA requests. The agency has the right to withhold information based on specific exemptions outlined in the FOIA statute. These exemptions aim to protect national security, individual privacy, the proprietary interests of business, the functioning of the government, and other vital recognized interests.

Certain exclusions apply to sensitive law enforcement records pertaining to criminal investigations, FBI counterintelligence efforts, and international terrorism activities. Of most pertinence to FOIA requests to the IRS, IRC Section 6103 normally precludes the IRS from releasing any tax returns or tax return information. This requirement would apply even with an FOIA request.

When a record contains some information that qualifies as exempt, the entire record is not necessarily exempt. Instead, the FOIA specifically provides that any portions of a record that can be set apart must be provided to a requester after deletion of the exempt portions.

The IRS generally has 20 business days (excluding Saturdays, Sundays, and legal public holidays) to say whether it will comply with an FOIA request. When a request is denied, the IRS must give the reason for the denial and explain the right to appeal to the head of the agency.

Note: There is a different type of FOIA request specific to tax preparers, which is covered in Unit 3, Authorizations and Disclosures.

A taxpayer may contest the fees charged in processing a records request. The IRS will copy the requested records and send the taxpayer a bill for the fees. ⁸ For more information, see The Freedom of Information Act Guide to Treasury Records at www.treasury.gov and Freedom of Information Act (FOIA) Guidelines at www.irs.gov.

Taxpayer Bill of Rights

The IRS must adhere to the Taxpayer Bill of Rights as described in the IRS Restructuring and Reform Act of 1998. However, the Tax Court has ruled these are not legally enforceable rights. This law was designed to better communicate to taxpayers their existing statutory and administrative protections. The Taxpayer Bill of Rights groups the dozens of rights in the Internal Revenue Code and the Internal Revenue Manual into ten fundamental rights to make them clear, understandable, and accessible both to taxpayers and IRS employees. These rights are detailed in Publication 1, Your Rights as a Taxpayer. These rights are as follows:⁹

1. The Right to Be Informed: Taxpayers have the right to know what they need to do to comply with the tax laws. They are entitled to clear explanations of the laws and IRS procedures in all tax forms, instructions, publications, notices, and correspondence. Taxpayers also have the right to be notified of any decisions made by the IRS regarding their tax accounts and to receive clear explanations of these decisions.

Note: Certain notices must include the amount (if any) of the tax, interest, and certain penalties the taxpayer owes and must explain why they owe these amounts (IRC §7522).

2. The Right to Quality Service: Taxpayers have the right to receive prompt, courteous, and professional assistance in their dealings with the IRS, to be spoken to in a way they can easily understand, to receive clear and easily understandable communications from the IRS, and to speak to a supervisor about inadequate service.

Note: When collecting tax, the IRS should treat a taxpayer with courtesy. Generally, the IRS should only contact a taxpayer between 8 a.m. and 9 p.m. The IRS should not contact a taxpayer at their place of

employment if the IRS knows, or has reason to know, that their employer does not allow this kind of contact (IRC §6304).

3. The Right to Pay No More than the Correct Amount of Tax: Taxpayers have the right to pay only the amount of tax legally due, including interest and penalties, and to have the IRS apply all tax payments properly.

Note: Taxpayers have the right to pay only the amount they owe. If a taxpayer believes they have overpaid their taxes, they have the right to file a claim to request a refund of their overpayment. (IRC §6402).

4. The Right to Challenge the IRS's Position and Be Heard: Taxpayers have the right to raise objections and provide additional documentation in response to formal IRS actions or proposed actions; to expect that the IRS will consider their timely objections and documentation promptly and fairly, and to receive a response if the IRS does not agree with their position.

Note: If the IRS informs a taxpayer that there is an error in their tax return, the taxpayer has 60 days to dispute the notice. If the IRS is not persuaded, it will issue a notice proposing a tax adjustment. The taxpayer then has 90 days to challenge this proposed adjustment by filing a petition in Tax Court (under IRC §6213(b)). The One Big Beautiful Bill Act expanded the definition of a "mathematical or clerical error" under IRC §6213. 9 Examples drawn from the Taxpayer Advocate Service's What the Taxpayer Bill of Rights Means for You.

5. The Right to Appeal an IRS Decision in an Independent Forum: Taxpayers are entitled to a fair and impartial administrative appeal of most IRS decisions, including many penalties, and have the right to receive a written response regarding the Independent Office of Appeals' decision. Taxpayers generally have the right to take their cases to court.

The Taxpayer First Act of 2019 (TFA) expanded a taxpayer's appeals rights even further. In cases where a request for Appeals consideration is denied, the IRS must notify taxpayers of the denial with a written statement explaining the reasons for the denial. Taxpayers also have the right to protest the IRS's decision not to send a case to Appeals.

Note: If the IRS has sent a taxpayer a notice proposing additional tax, the taxpayer may dispute the proposed adjustment in the U.S. Tax Court before they have to pay the tax (IRC §6213).

6. The Right to Finality: Taxpayers have the right to know the maximum amount of time they have to challenge the IRS's position, as well as the maximum amount of time the IRS has to audit a particular tax year or collect a tax debt. Taxpayers have the right to know when the IRS has finished an audit.

Note: The IRS generally has ten years from the assessment date to collect unpaid taxes from a taxpayer (IRC §6502).

7. The Right to Privacy: Taxpayers have the right to expect that any IRS inquiry, examination, or enforcement action will comply with the law and be no more intrusive than necessary, and will respect all due process rights, including search and seizure protections, and will provide, where applicable, a collection due process hearing.

Note: The IRS should not seek intrusive and extraneous information about a taxpayer's lifestyle during an audit if there is no reasonable indication that he has unreported income (IRC §7602(e)).

8. The Right to Confidentiality: Taxpayers have the right to expect that any information they provide to the IRS will not be disclosed unless authorized by the taxpayer or by law. Taxpayers have the right to expect

that appropriate action will be taken against employees, return preparers, and others who wrongfully use or disclose taxpayer return information.

Note: In general, the IRS may not disclose a taxpayer's tax information to third parties unless the taxpayer gives explicit permission to do so (IRC §6103). There are exceptions for law enforcement and other limited scenarios.

9. The Right to Retain Representation: Taxpayers have the right to retain an authorized representative of their choice to represent them in their dealings with the IRS. Taxpayers have the right to seek assistance from a Low-Income Taxpayer Clinic if they cannot afford representation.

IRS Operating Divisions

The Deputy Commissioner for Services and Enforcement (DCSE) oversees the four IRS operating divisions.

These are:

- 1) Large Business and International Division (LB&I): This division serves corporations, including S corporations, and partnerships with assets in excess of \$10 million. This is the division of the IRS that audits large corporate taxpayers and partnerships, including publicly traded companies like Ford, Apple, Coca-Cola, etc.
- 2) Small Business and Self-Employed Division (SB/SE): This division serves small corporations and partnerships with assets equal to or less than \$10 million; filers of gift, estate, excise, employment, and fiduciary returns; individuals filing an individual Federal income tax return with accompanying Schedule C, Schedule E or Schedule F.
- 3) Wage and Investment Division: This division serves individuals with wage and investment income only (not including international tax returns), filing an individual Federal income tax return without accompanying Schedule C, E, or F.
- 4) Tax-Exempt and Government Entities Division: This division serves three distinct taxpayer segments: employee retirement plans (including IRAs), exempt organizations, private foundations, and government entities.

Taxpayer Advocate Service

The Taxpayer Advocate Service (TAS) is an independent organization within the Internal Revenue Service (IRS) that aims to assist taxpayers in resolving issues with the IRS. Taxpayers may receive TAS assistance if they are facing economic harm or significant delays in resolving a tax matter. Services provided by TAS are free, confidential, and available for both businesses and individuals.

With offices located in every U.S. state, the District of Columbia, Puerto Rico, and a video conferencing option for remote areas, taxpayers can meet with advocates face-to-face or through toll-free telephone service. A taxpayer may also submit Form 911, Request for Taxpayer Advocate Service Assistance. The Taxpayer Advocate Service (TAS) may provide assistance to a taxpayer who is currently facing an issue with the IRS if:

- The issue is causing financial strain for the taxpayer, their family, or their business;
- The taxpayer (or their business) is at risk of immediate negative consequences; or

- The taxpayer has made multiple attempts to reach out to the IRS without receiving a response, or the promised response date has passed.

TAS cannot accept requests for assistance with refund delays if the tax return is in "suspense" status. This means the IRS is still processing the return and has not yet completed its review.

Example: Shirley filed an amended tax return for a prior year because she found an error on her return that would result in a substantial tax refund. She has an outstanding balance for that prior tax year and has been receiving IRS collection notices. Shirley's expected refund would fully pay her balance due and leave her with a small refund. The official processing time for Form 1040-X, Amended U.S. Individual Tax Return, can take up to 16 weeks. However, she has been waiting for more than six months for her refund to be processed. She has contacted the IRS numerous times but was never given a reason for the delay.

Shirley files Form 911, requesting intervention from the Taxpayer Advocate Service.

Example: Elijah is a small business owner who runs a restaurant in his local town. The restaurant is struggling due to a recent economic downturn. Despite his efforts to make partial payments to the IRS, he has been struggling to keep up with his tax payments and has been accruing penalties and interest. The IRS has now threatened to seize his business assets if he does not pay the full amount owed within 30 days.

This would force him to close his restaurant and lay off his employees, causing significant financial strain for his family and his employees. Elijah files Form 911, requesting assistance from the Taxpayer Advocate Service. The TAS may be able to help him negotiate a more manageable payment plan based on his financial hardships. This would allow him to continue operating his restaurant without significant strain on himself, his family, and his employees.

When the Taxpayer Advocate Service evaluates a taxpayer's request for assistance, it will use the following criteria to determine whether or not to intervene:

- The taxpayer is experiencing economic harm or is about to suffer economic harm.
- The taxpayer is facing an immediate threat of adverse action.
- The taxpayer will incur significant costs if relief is not granted (including fees for professional representation).
- The taxpayer will suffer irreparable injury or long-term adverse impact if relief is not granted.
- The taxpayer has experienced a delay of more than 30 days to resolve a tax account problem.
- The taxpayer did not receive a response or resolution to his problem or inquiry by the date promised.
- A system or procedure has either failed to operate as intended or failed to resolve the taxpayer's problem or dispute within the IRS.
- The manner in which the tax laws are being administered raise considerations of equity, or have impaired, or will impair, the taxpayer's rights.
- The Taxpayer Advocate Service will generally ask the IRS to stop certain collection activities while a taxpayer's request for assistance is pending (such as lien filings, levies, and seizures).

Study Unit 1: Study Questions

(Test yourself and then check the correct answers at the end of this chapter.)

1. In matters of tax law, the IRS must acquiesce in all decisions rendered by the: a) U.S. Tax Court b) U.S. District Court c) U.S. Court of Appeals d) U.S. Supreme Court 2. Which of the following types of Treasury regulations has the highest level of authority? a) Revenue regulations. b) Procedural regulations. c) Interpretive regulations. d) Legislative regulations.

3. Treasury regulations are published in _____. a) The Congressional Notes b) The Federal Register c) The Office of Appeals d) The IRS Newswire 4. The IRS generally has _____ to say whether it will comply with an FOIA request. a) 7 business days b) 14 business days c) 20 business days d) 60 business days 5. Connor is having serious financial difficulties. Of the following situations, which is most likely to warrant intervention by the Taxpayer Advocate Service? a) Connor's home is in foreclosure, and he is worried he will be unable to pay his federal income tax liability by the due date. b) Connor has experienced a few short delays in trying to contact the IRS by telephone. c) Connor has waited for months for the IRS to discharge the lien on his property, which must be removed immediately, or else the sale of the property will fall through. d) Connor has received an IRS Notice of Federal Tax Lien stating that his bank account will be subject to levy if he does not pay his federal tax liability.

6. Which of the following would have the highest authority in establishing a precedent for tax law for all taxpayers? a) Private letter ruling. b) Treasury regulation. c) IRS publication. d) Technical advice memorandum.

7. Which branch of government is the primary source of tax law in the United States? a) Legislative. b) Executive. c) Judicial. d) State and local governments.

8. An IRS revenue officer has a question about a collection procedure involving a taxpayer. The revenue officer should consult: a) The Congressional Record. b) The Internal Revenue Bulletin. c) Publication 594, the IRS Collection Process. d) The Internal Revenue Manual.

9. Circular 230 regulations are codified in: a) Internal Revenue Code b) Title 31 of the Code of Federal Regulations c) State Licensing Authorities d) Uniform Commercial Code 10. Which of the following statements regarding revenue rulings is correct? a) Revenue rulings cannot be used to avoid certain IRS penalties. b) Revenue rulings are not authority for tax return positions. c) Revenue rulings can be used to avoid certain IRS penalties. d) Revenue rulings cannot be overturned by a court.

11. Of the following sources of information, which cannot factor into "substantial authority" for federal tax law purposes? a) Final regulations. b) Legal opinion printed in a law school journal. c) Congressional intent, as reflected in committee reports. d) Technical advice memorandum.

12. A private letter ruling is legally binding on the IRS if: a) The taxpayer that received the private letter ruling, fully and accurately described the proposed transaction in their request and carried out the transaction as described. b) The IRS is notified of any discrepancies on a taxpayer's return. c) The taxpayer goes to the Tax Court and requests a formal decision. d) The taxpayer accurately described the proposed transaction after it has already occurred and been reported on the tax return.

13. Under which of the following scenarios would the Taxpayer Advocate Service (TAS) most likely provide assistance to a taxpayer? a) Damian has contacted the IRS repeatedly but is experiencing significant delays in resolving a tax matter. b) Paulino does not speak English but needs professional help filing his tax return. c) Danielle wants to be represented during an audit but has a significant conflict of interest due to a divorce. d) Hakim wants to appeal an adverse U.S. Tax Court decision but does not have the financial means to hire an attorney.

Study Unit 1: Question Answers

1. The answer is D. The Internal Revenue Service must obey all decisions rendered by the highest court of the land, the U.S. Supreme Court. Although case law helps set precedent and will influence the IRS in its regulations, policies, and procedures, the IRS is not obligated to change its regulations in matters of tax law that are decided by other U.S. courts, including the U.S. Tax Court.

2. The answer is D. A legislative regulation is authorized by Congress to provide the material requirements of a specific IRC provision. If written correctly, a legislative regulation carries the same authority as the Internal Revenue Code itself. It can only be overturned if it is outside the power delegated to the U.S.

Treasury, it conflicts with a specific statute, or it is deemed unreasonable by the courts.

3. The answer is B. Treasury regulations are published in the Federal Register and codified in Title 26 of the Code of Federal Regulations. Treasury Regulations are the highest administrative authority issued by the Treasury Department.

4. The answer is C. The IRS generally has 20 business days (excluding Saturdays, Sundays, and legal public holidays) to say whether it will comply with an FOIA request. When a request is denied, the IRS must give the reason for the denial and explain the right to appeal to the head of the agency.

5. The answer is C. The Taxpayer Advocate will likely intervene if Connor has waited for months for the IRS to discharge the lien on his property, which must be removed immediately, or else the sale of the property will fall through. The Taxpayer Advocate Service is designed to attempt to resolve issues when a taxpayer has a serious problem with the IRS or has experienced a serious delay. There are specific criteria used to determine whether taxpayer assistance is warranted, and the example in the correct answer is drawn from an actual case. On Form 911, Request for Taxpayer Advocate Service Assistance, a taxpayer must indicate one or more of the following reasons he is asking for help:

- He is experiencing economic harm or is about to suffer economic harm.
- He is facing an immediate threat of adverse action.
- He will incur significant costs if relief is not granted (including fees for professional representation).
- He will suffer irreparable injury or long-term adverse impact if relief is not granted.
- He has experienced a delay of more than 30 days to resolve a tax account problem.
- He has not received a response or resolution to his problem or inquiry by the date promised.
- A system or procedure has either failed to operate as intended or failed to resolve the taxpayer's problem or dispute with the IRS.
- The manner in which the tax laws are being administered raises concerns of equity, or has impaired or will impair the taxpayer's rights.

6. The answer is B. A Treasury regulation is the Treasury Department's official interpretation of the Internal Revenue Code. It has substantial authority in establishing a precedent for tax law.

7. The answer is A. Although both the judicial and executive branches play important roles in interpreting, implementing, and enforcing tax laws, the legislative branch (Congress) is the main source of tax law in the United States. Congress is responsible for passing tax laws, which are published as the Internal Revenue Code, issued separately as Title 26 of the United States Code.

8. The answer is D. The Internal Revenue Manual (IRM) is the single official compilation of policies, delegated authorities, procedures, instructions, and guidelines relating to the organization, functions, administration, and operations of the IRS. It is the resource primarily used by IRS employees to guide them in all facets of their jobs at the IRS.

9. The answer is B. The rules in Circular 230 are codified as Title 31 of the Code of Federal Regulations.

Section 330 of Title 31 of the United States Code authorizes the Secretary of the Treasury to regulate the practice of representatives before the IRS.

10. The answer is C. Revenue rulings can be used to avoid certain accuracy-related IRS penalties. Taxpayers may rely on revenue rulings as official IRS guidance on an issue to make a decision regarding taxable income, deductions, and how to avoid certain IRS penalties.

11. The answer is B. A legal opinion printed in a law journal does not have substantial authority. Sources of substantial authority are as follows: the Internal Revenue Code, Treasury regulations, court cases, administrative pronouncements, tax treaties, Congressional intent as reflected in committee reports, private letter rulings, technical advice memoranda, IRS information or press releases, IRS notices, and any other similar documents published by the IRS in the Internal Revenue Bulletin.

12. The answer is A. A private letter ruling (PLR) is binding on the IRS if the taxpayer fully and accurately described the proposed transaction in their request and carried out the transaction as described. A PLR should be requested before filing the tax return on which the tax effects or transaction at issue are to be reported.

13. The answer is A. The Taxpayer Advocate Service (TAS) is most likely to assist Damian, who has contacted the IRS repeatedly but is experiencing significant delays in resolving a tax matter. The TAS may assist a taxpayer if the issue is causing financial strain, the taxpayer (or their business) is at risk of immediate negative consequences, or the taxpayer has made multiple attempts to reach out to the IRS without receiving a response.

Study Unit 2: Practice Before the IRS

More Reading

- Publication 470, Limited Practice Without Enrollment
- Publication 947, Practice Before the IRS and Power of Attorney
- Publication 5709, How to Create a Written Information Security Plan for Data Safety The term "Practice before the IRS" encompasses a broad range of activities related to advocating for taxpayers before the Internal Revenue Service (IRS). "Practice before the IRS" includes, but is not limited to, the following activities:

1) Corresponding and communicating with the IRS.

- Representing a taxpayer at conferences, hearings, or meetings with the IRS.
- Preparing and filing documents with the IRS on behalf of a taxpayer (but not the preparation of tax returns).

4) Rendering written advice with respect to any entity, transaction, plan, or arrangement, or other plan or arrangement having the potential for tax avoidance or evasion.

Not everyone is allowed to practice before the IRS. Only certain professionals, such as attorneys, certified public accountants, enrolled agents, and individuals who have passed the IRS's Annual Filing Season Program, are granted these rights (covered in more detail later). These professionals must adhere to specific standards and rules outlined in IRS Circular 230.

U.S. citizenship is not required to practice before the IRS.

Example: Aaron is a Certified Public Accountant (CPA) with a new client, Daniella Smith, a small business owner. Daniella received a notice from the IRS stating that there was underreported income on her tax return from the previous year. After reviewing the tax return and the notice, Aaron determines that the issue stems from a duplicate Form 1099-NEC issued to Daniella from one of her business clients. He prepares a detailed response with supporting documentation, which he mails to the IRS, along with a copy of his power of attorney form, Form 2848, which was signed by Daniella. Aaron is corresponding with the IRS on his client's behalf, which is considered practice before the IRS. A few months later, the IRS accepted the explanation and sent Daniella a letter confirming the issue was resolved with no additional tax due for the year.

Example: Annabelle is an enrolled agent. Her client, Samuel, has a large tax debt from a prior year, and he is receiving collection notices from the IRS, which worries him. Samuel does not wish to communicate directly with the IRS, but he wants to set up an installment agreement. Annabelle has Samuel sign Form 2848, giving her power of attorney. With the power of attorney, Annabelle calls the IRS on Samuel's behalf to set up the installment agreement for him. This action is considered practice before the IRS.

Current federal law imposes no competency or licensing requirements on paid tax return preparers, although several states now impose mandatory education or licensing requirements. California, Connecticut, Illinois, New York, Oregon, and Maryland all require some form of state-level licensing or registration for tax preparers. Volunteers who prepare tax returns as part of the Volunteer Income Tax Assistance and Tax Counseling for the Elderly programs also must pass competency tests.

Note: In a major defeat for the IRS, the U.S. Court of Appeals for the District of Columbia affirmed a previous ruling stating that the IRS did not have jurisdiction to regulate tax return preparers. The debate

revolved around whether tax return preparation fell under the definition of "practice before the IRS" in Title 31 of the U.S. Code. The appeals court determined that it did not, and the IRS decided not to challenge the decision. This means that, according to current law, simply preparing tax returns is not considered "practice" before the IRS.¹⁰ Enrolled tax practitioners who prepare tax returns, including attorneys, certified public accountants (CPAs), and enrolled agents (EAs), are generally required to pass competency tests and take continuing education courses. However, the vast majority of paid preparers are non-credentialed and are not required to pass competency tests, take any courses in tax return preparation, or follow prescribed standards of conduct.¹¹ Enrolled Practitioners Practitioners Authorized to Practice Before the IRS Under Circular 230, the IRS defines "practitioners" as attorneys, Certified Public Accountants (CPAs), Enrolled Agents (EAs), Enrolled Retirement Plan Agents (ERPAs), and Enrolled Actuaries who are authorized to practice before the IRS. Only attorneys, CPAs, and EAs have unlimited rights to represent taxpayers before the IRS.

Other individuals may qualify to practice temporarily or engage in limited practice before the IRS. However, they are not referred to as "enrolled practitioners." The following individuals may represent taxpayers and practice before the IRS by virtue of their licensing unless they are currently under suspension or disbarment:

- 1) Attorneys: An attorney who is a member in good standing of the bar of any state, possession, territory, commonwealth, or of the District of Columbia.
- 2) Certified Public Accountants (CPAs): A CPA who is duly qualified to practice as a CPA in any state, possession, territory, commonwealth, or the District of Columbia.
- 3) Enrolled Agents (EAs): An enrolled agent with active status may represent clients before any office of the IRS. Like attorneys and CPAs, EAs are unrestricted as to which taxpayers they can represent and what types of tax matters they can handle.
- 4) Enrolled Actuaries: The practice of an individual enrolled as an actuary by the Joint Board for the Enrollment of Actuaries is limited to certain Internal Revenue Code sections that relate to their area of expertise, principally those sections governing employee retirement plans.
- 5) Enrolled Retirement Plan Agents (ERPAs): The practice of an enrolled retirement plan agent is limited to certain Internal Revenue Code sections that relate to their area of expertise, principally those sections governing employee retirement plans. ¹⁰ The relevant court case is *Loving v. IRS*, No. 13-5061, D.C. Circuit Court of Appeals. At the time of this book's printing, the current version of Circular 230 (issued in June 2014) has not yet been updated to reflect the changes necessitated by the *Loving v. IRS* decision, including removal of the RTRP education and competency requirements. However, Publication 947 was more recently revised, and now states that unenrolled return preparers may represent a taxpayer before the IRS, but only if they participate in the Annual Filing Season Record of Completion (AFSP) program. In addition, they may only represent a taxpayer with respect to returns prepared and signed by the unenrolled preparer. ¹¹ The National Taxpayer Advocate Purple Book states that most non-credentialed preparers do not participate in the IRS' voluntary AFSP program.

Annual Filing Season Program (AFSP)

The IRS replaced its now-defunct RTRP program with the voluntary Annual Filing Season Program (AFSP) program.¹² Non-credentialed return preparers can elect to voluntarily demonstrate completion of basic filing season tax preparation and other tax law training by participating in the program. The AFSP program encourages competence and education among unenrolled tax preparers. To receive an annual "record of completion," a preparer must normally have:

- Required CE: A minimum of 18 hours of continuing education from an IRS-approved continuing education provider, including a six-hour "Annual Federal Tax Refresher" (AFTR) course.
- AFSP Exam completion: Passed a knowledge-based comprehension test administered by the CE provider at the end of the AFTR course.
- PTIN: A current preparer tax identification number (PTIN).
- Consent to be regulated: Consented to the "duties and restrictions relating to practice before the IRS" in Circular 230. This consent gives the IRS the authority to regulate those individuals who receive the record of completion.

Circular 230 has not yet been updated to include all the AFSP program information, which was designed to replace the now-defunct RTRP program.¹³ Exempt Individuals Certain individuals may obtain the AFSP Record of Completion without taking the annual refresher tax course and exam, assuming they took at least fifteen hours of qualifying continuing education courses during the year. The following unenrolled preparers are exempt from the AFSP "annual refresher" course:

- 1) State-based return preparer program participants: Return preparers who are active registrants of state-based programs, such as the Oregon Board of Tax Practitioners, California Tax Education Council, and the Maryland State Board of Individual Tax Preparers.
- 2) SEE Part I Test-Passers: Tax practitioners who have passed the Special Enrollment Exam Part I within the past two years.
- 3) RTRP Test-Passers: Anyone who passed the Registered Tax Return Preparer exam while it was still administered by the IRS between November 2011 and January 2013.
- 4) VITA/TCE volunteers: VITA and TCE volunteers who are quality reviewers, instructors, and return preparers with active PTINs.
- 5) Other accredited tax-focused credential-holders: The Accreditation Council for Accountancy and Taxation's Accredited Business Accountant/Advisor (ABA) and Accredited Tax Preparer (ATP) programs.

AFSP participants are included in a public, searchable database of tax return preparers on the IRS website.

The Directory of Federal Tax Return Preparers with Credentials and Select Qualifications includes the name, city, state, zip code, and credentials of attorneys, CPAs, EAs, ERPAs, and enrolled actuaries with a valid PTIN, as well as AFSP Record of Completion holders. An individual may choose to opt-out of being listed in the directory. ¹² Individuals who passed the now-defunct Registered Tax Return Preparer exam are exempt from the six-hour federal tax law refresher course. They only need 15 hours of continuing education each year to obtain an Annual Filing Season Program — Record of Completion. Other Individuals will need a total of 18 hours of continuing education hours. An AFTR course does not count toward enrolled agent continuing education requirements. ¹³ The IRS has issued proposed regulations to address this issue; however, they have not become final as of the date of publication.

Currently, Annual Filing Season Program participants have limited practice rights before the IRS. AFSP participants may only represent clients whose returns they prepared and signed, and only before revenue agents, customer service representatives, and similar IRS employees, including the Taxpayer Advocate Service.

Only unenrolled preparers who participate in the IRS's Annual Filing Season Program (AFSP) will have these limited representation rights. Unenrolled preparers who do not participate in this annual program do not have the authority to represent clients before the IRS.

Note: The IRS Office of Professional Responsibility (OPR) has responsibility for matters related to practitioner conduct, discipline, disciplinary proceedings, and sanctions. The Return Preparer Office (RPO) is responsible for the issuance of PTINs, acting on applications for enrollment, and administering AFSP testing and continuing education for designated groups.

Unenrolled Tax Return Preparers

Individuals who prepare tax returns for other taxpayers but who are not EAs, CPAs, attorneys, ERPAs, or enrolled actuaries are called "unenrolled preparers." Generally, these unenrolled preparers do not have the right to represent taxpayers before the IRS. However, there is an exception for those who participate in the Annual Filing Season Program (AFSP).

Unenrolled tax return preparers who have current AFSP certificates may represent taxpayers in a limited capacity, but only during an IRS examination of the taxable year or period covered by the tax return or claim of refund they themselves prepared and signed.

This representation may occur only before revenue agents, customer service representatives, or similar officers and employees of the IRS, including the Taxpayer Advocate Service.¹⁴ Unenrolled tax return preparers cannot do any of the following:

- Represent taxpayers before appeals officers, revenue officers, counsel, or similar officers or employees of the IRS or the Department of the Treasury
 - Execute closing agreements
 - Extend the statutory period for tax assessments or the collection of tax
 - Execute waivers
 - Execute claims for refund
 - Sign any document on behalf of a taxpayer
- Unenrolled preparers who do not have an AFSP certificate are allowed to prepare tax returns for compensation, but they may not represent taxpayers before any level of the IRS, regardless of whether they prepared the return or not.¹⁵ ¹⁴ The IRS believes in a mandatory competency standard for federal tax return preparers. To this end, legislation continues to be their priority. In the interim, however, the AFSP program recognizes the efforts of unenrolled return preparers to improve their professional competency through continuing education. Except for certain states (such as California, Connecticut, Illinois, Oregon and Maryland) that require unenrolled return preparers to be specially licensed or registered by their states, anyone with a PTIN can prepare a federal tax return, but for those preparers with a PTIN who also work to ready themselves for the filing season through educational efforts, the AFSP program affords them a level of differentiation from the rest of the marketplace. ¹⁵ According to current IRS regulations, only unenrolled return preparers who hold a record of completion for BOTH the tax return year under examination and the year the examination is conducted may represent under the

following conditions: Unenrolled return preparers may represent taxpayers only before revenue agents, customer service representatives, or similar officers and employees of the Internal Revenue Service (including the Taxpayer Advocate Service) and only during an examination of the taxable year or period covered by the tax returns they prepared and signed (Publication 947).

Example: Wilfred is an unenrolled tax preparer. He only prepares tax returns part-time, and he does not hold any formal licensing or have an AFSP certificate. Wilfred's client, Hester, comes into his office with a notice stating that she is now being audited by the IRS. The IRS is examining Hester's income tax returns for the 2023, 2024, and 2025 tax years. Wilfred prepared all the tax returns under examination. However, since Wilfred is not an enrolled practitioner and does not even have an AFSP certificate, he may not represent Hester before the IRS. Wilfred must refer Hester to an enrolled practitioner if she wishes to be represented.

Example: Zelma is an unenrolled tax preparer with an AFSP certificate. She has always prepared tax returns for her client, Leonardo. On February 1, 2025, Leonardo receives an audit notice from the IRS for his prior year return, which Zelma had prepared. Leonardo brings the notice to Zelma and asks if she will respond to the notice on his behalf. Zelma can represent Leonardo before the IRS and respond to the notice, because she has a current AFSP certificate, and she prepared his tax return.

Limited Practice Due to 'Special Relationship'

Other individuals who are not enrolled practitioners may represent taxpayers before the IRS because of a special relationship with the taxpayer, without having prepared the tax return in question.

1) An individual (self-representation): Any person has the right to represent themselves before the IRS, as long as they can prove their identity with a valid form of identification like a driver's license. They are not required to submit a written declaration of their qualifications or authority.

Even if someone is disbarred, they can still represent themselves before the IRS. Disbarred professionals may also serve as fiduciaries for an estate or trust, but only if they have been appointed by a court.

2) A family member: An individual may represent members of their immediate family. For this purpose, family members include: a spouse, child, parent, brother, sister, grandparent, grandchild, step-parent, step-child, or step-sibling of the individual.

3) A company officer: A bona fide officer of a corporation (including a parent, subsidiary, or affiliated corporation), association, organized group, or governmental agency may represent its corporation, association, organized group, or governmental agency before the IRS.

4) A partner: A general partner may represent the partnership before the IRS.

5) An employee: A regular full-time employee can represent their employer. An employer can be an individual, partnership, corporation, association, trust, receivership, guardianship, estate, or organized group, or a governmental unit, agency, or authority.

6) A fiduciary: A fiduciary (trustee, executor, personal representative, administrator, receiver, or guardian) stands in the position of a taxpayer and acts as the taxpayer, not as a representative.

Therefore, no Form 2848 is required. Fiduciaries should file Form 56, Notice Concerning Fiduciary Relationship.

7) Qualifying Student or Law Graduate working in a LITC or STCP: A taxpayer may authorize a student who works in a qualified Low Income Taxpayer Clinic (LITC) or Student Tax Clinic Program (STCP) to

represent them under a special appearance authorization issued by the Taxpayer Advocate Service.

8) Authorization for Special Appearances: In rare circumstances, the Commissioner of the IRS or a delegate will authorize a person who is not otherwise eligible to practice before the IRS to represent another person for a particular matter. The request is made to the Office of Professional Responsibility (OPR). If granted, the written consent will detail the specific circumstances related to the appearance.

Example: Richard was a tax attorney who was disbarred because of felony embezzlement. A disbarred individual is not eligible to represent other taxpayers before the IRS. Richard was audited by the IRS in 2025. Despite being disbarred, Richard may still represent himself before the IRS during the examination of his own return. However, Richard may NOT represent a close family member, like his own child or his spouse. Because he is disbarred, he loses the right to use the "special relationship" exceptions.

Example: Bernadette is a 21-year-old accounting student who is studying to get her CPA license. She is not yet an enrolled practitioner. Bernadette lives with her brother, Brandon, who is 32 and self-employed.

Bernadette regularly prepares her brother's tax return, but she does it for free. Brandon is later audited by the IRS. Bernadette may represent her brother before the IRS if Brandon signs a Form 2848, granting his sister representation rights. Bernadette will have all the rights that an enrolled practitioner would have, but only with respect to her brother's tax issues.

Example: Nicolette is a full-time payroll bookkeeper for her employer, Green Lawn Landscaping. The IRS sent her employer a notice regarding some delinquent payroll tax returns. Nicolette may file Form 2848, Power of Attorney and Declaration of Representative, and speak with the IRS on her employer's behalf.

Even though Nicolette is not an enrolled preparer, she may represent Green Lawn Landscaping before the IRS because of the employee-employer relationship.

Example: Milton was named the executor of his mother's estate after she passed away. He is not an accountant or a tax professional, but Milton is allowed to represent his mother's estate before every level of the IRS because he is the fiduciary for her estate. He should file Form 56, Notice Concerning Fiduciary Relationship, which notifies the IRS that he is the executor of his mother's estate.

Example: Bartholomew's mother is being audited by the IRS. Bartholomew is an accountant who works as a controller for a manufacturing firm, but he is not a CPA or an enrolled agent. He does not have a PTIN because he does not prepare tax returns for compensation. He does prepare his mother's return, but he does not charge her for doing so. Even though Bartholomew is not enrolled to practice before the IRS, he can represent his mother because of their familial relationship. His mother must sign a Form 2848, granting Bartholomew permission to represent her before the IRS.

Persons Ineligible to Practice Before the IRS

Corporations, associations, partnerships, and other entities themselves are not eligible to practice before the IRS. Even if named in a power of attorney as a representative, an individual will not be recognized if they have lost their eligibility to practice before the IRS. Reasons for losing eligibility include suspension or disbarment by the OPR, being placed in inactive status, and not meeting the requirements for renewal of enrollment, such as continuing professional education.

Example: Geraldo, an enrolled agent, had been practicing before the IRS for over 15 years. He had built a reputation for himself and had a successful practice in his hometown. However, Geraldo started facing personal issues that began to affect his professional life. He neglected his continuing education requirements, failing to complete the necessary hours of education over multiple years. The IRS Office of

Professional Responsibility (OPR) conducted a routine check on Geraldo's credentials and discovered his lapse in CE. Despite several warnings and a grace period to complete his CE requirements, Geraldo failed to comply.

As a result, the OPR placed Geraldo in an inactive status, effectively revoking his eligibility to practice before the IRS. Despite being named in several powers of attorney as a representative, Geraldo was no longer recognized as eligible to practice before the IRS due to his failure to meet the renewal requirements of his enrollment. His clients had to seek other tax practitioners to represent them before the IRS. Geraldo's case serves as a reminder of the importance of adhering to professional standards and requirements.

Actions That Are Not "Practice" Before the IRS

"Practice before the IRS" does not include:

- 1) Representation of taxpayers before the U.S. Tax Court: The Tax Court has its own rules of practice and its own rules regarding admission to practice.
- 2) Merely appearing as a witness for the taxpayer: In general, individuals who are not practitioners may appear before the IRS as witnesses, but they may not advocate for the taxpayer.
- 3) The preparation of a tax return (preparers do not practice before the IRS when they simply assist in the preparation of tax returns).

Example: James and Lenora are neighbors and lifelong friends. James is a retired bookkeeper, and he prepares Lenora's tax return for free. Later, Lenora is audited by the IRS. James is not an enrolled practitioner, and he cannot represent Lenora before the IRS. However, he is allowed to appear as a witness and provide information on her behalf.

Example: Valentina is a bookkeeper who does not have any type of professional licensing. Valentina's cousin, Diego, is audited by the IRS. Diego does not speak English very well, so Valentina offers to assist with information exchange during the audit. Valentina is not considered to be practicing before the IRS because she is merely serving as a translator when the taxpayer does not speak English. Valentina will be allowed to translate for her cousin, but she cannot advocate for him.

Tax Return Preparers

The IRS defines "tax return preparers" as individuals who participate in the preparation of tax returns for taxpayers for compensation. This includes preparers who are in business, as well as casual part-time preparers who receive fees for preparing tax returns.

All paid tax return preparers must register with the IRS and obtain a preparer tax identification number (PTIN). The PTIN is a nine-digit number that preparers must use when they prepare and sign a tax return or a claim for refund. The use of a PTIN is mandatory on all federal tax returns and claims for refund prepared by paid tax preparers.¹⁶ The PTIN helps the IRS track the tax returns prepared by each individual and ensures that they comply with tax laws.¹⁷ Specifically, Circular 230 states that "any individual who for compensation prepares or assists with the preparation of all, or substantially all of a tax return or claim for refund" must have a PTIN. Failure to use a valid PTIN may result in penalties.

Tax preparers who register for a PTIN must undergo a limited tax compliance check to ensure they have filed their own personal and business tax returns. Felony convictions and failure to meet federal tax obligations may affect an individual's ability to obtain a PTIN.

The PTIN requirement applies to all enrolled agents and many attorneys and CPAs. Attorneys and CPAs are not required to obtain PTINs if they do not prepare federal tax returns, even if they represent clients in a federal tax matter.

Example: Trudy is a licensed attorney who specializes in employment law in California. Trudy does not prepare tax returns for compensation. In 2025, Trudy is hired by Abelard, a business owner who wants to contest a negative worker classification audit by the IRS. The IRS determined that Abelard was improperly classifying his employees as independent contractors for Federal tax purposes in order to avoid paying payroll taxes, but Abelard vehemently disagrees. Abelard has already received a Notice of Deficiency from the IRS, so Trudy files a petition in U.S. Tax Court on his behalf, and she will also represent him before the Tax Court if the case goes to trial. Although Trudy is representing her client in court in an IRS-related matter, she is not required to obtain a PTIN, because she does not prepare tax returns.

A preparer tax identification number (PTIN) is a unique identification number issued to a single individual tax return preparer. It cannot be shared, and it cannot be transferred to another person even if the preparer retires, leaves the practice, or sells the business. Each preparer must obtain and maintain their own PTIN, and applicants must be at least 18 years old.

All paid preparers are required to renew their PTIN annually. In past years, preparers challenged the IRS PTIN fee in court, but in 2019 the U.S. Court of Appeals for the District of Columbia Circuit held that the IRS has authority to charge a PTIN fee. Beginning in October 2025, the fee to obtain or renew a PTIN for use in 2026 is \$18.75, which is non-refundable. ¹⁶ As a PTIN expires every December 31, a preparer who renews their PTIN after December 31 may not prepare a tax return in the following year until the PTIN is issued. ¹⁷ The PTIN was created by the U.S. Internal Revenue Service in 1999 to protect the privacy of tax professionals who prepare tax returns. Before the introduction of PTINs, tax preparers were required to sign tax forms along with their social security numbers, leaving them vulnerable to identity theft.

Preparers who fail to list a valid PTIN on tax returns they sign are subject to penalties. Preparers may also be subject to disciplinary action by the Office of Professional Responsibility. In order to renew a PTIN in 2025, a preparer must attest that they have a written information security plan (WISP).

Supervised Preparers

Supervised preparers are also required to have PTINs. These are individuals who do not sign tax returns as paid return preparers but are:

- Employed by a law firm, EA office, or CPA practice; and
- Are directly supervised by an attorney, CPA, EA, ERPA, or enrolled actuary who signs the returns prepared by the supervised preparer as the paid tax return preparer.

3) Supervised preparers may not:

- Sign any tax return they prepare or assist in preparing.
- Represent taxpayers before the IRS in any capacity.
- Identify themselves as Circular 230 practitioners.
- When applying for or renewing a PTIN, supervised preparers must provide the PTIN of their supervisor.

Exceptions to PTIN Requirements

An individual who prepares a tax return with no agreement for compensation is not considered a tax return preparer for IRS purposes. This is true even if the individual voluntarily receives a gift or a favor in return.

The agreement for compensation is the deciding factor as to whether the IRS considers an individual a tax return preparer.

Example: Skye is a CPA who specializes in business valuation and audit services. She works for an accounting firm with a tax division, but Skye does not prepare tax returns, because she only does audit work.

Skye is not required to obtain a PTIN if she does not prepare tax returns. Lorene is an enrolled agent who works for the same accounting firm. She also does not prepare tax returns. Lorene only does some bookkeeping, and occasional tax planning. Unlike her co-worker Skye, Lorene must have a PTIN, even though she does not prepare tax returns, because she is an enrolled agent. All enrolled agents are required to have a PTIN.

Example: Melanie is a retired CPA who only prepares tax returns for her close family members. She does not charge her family to prepare their tax returns. Sometimes, a family member will give Melanie a gift in return. This year, her sister gave her home-baked cookies, and her niece gave her a sweater. However, Melanie did not ask for any presents or expect them. She is not a tax return preparer for IRS purposes, and she is not required to obtain a PTIN.

An individual is not considered an income tax return preparer and would not be required to obtain a PTIN in the following instances:

- A person who gives an opinion about events that have not happened (such as tax advice for a business that has not been created).
- A person who merely furnishes typing, copying, or mechanical assistance.
- A person who prepares the return of their employer (or of an officer or employee of the employer) by whom the person is regularly and continuously employed.
- A fiduciary who prepares a tax return for a trust or estate. This is true even if the fiduciary is paid for their fiduciary duties.
- An unpaid volunteer who provides tax assistance under Volunteer Income Tax Assistance (VITA), Low Income Taxpayer Clinic (LITC), or Tax Counseling for the Elderly (TCE) programs.
- An employee of the IRS who performs official duties by preparing a tax return for a taxpayer who requests it.

Note: Do not confuse a PTIN with an EFIN, which is an electronic filing identification number. An EFIN is a number issued by the IRS to individuals who have been approved as authorized IRS e-file providers.

Although most tax preparers must use IRS e-file, some preparers are ineligible for the e-file program.

Currently, the IRS e-file program does not accept foreign preparers without Social Security numbers who live and work abroad. These preparers must still obtain a PTIN, but they are not required to e-file their clients' returns since they are not eligible for an EFIN.

Example: Ingrid is a bookkeeper for Superb Realty Services, Inc. She is a full-time employee, and she prepares the payroll checks and payroll tax returns for all of the employees of Superb Realty Services. As a full-time employee, Ingrid is not considered a tax return preparer since her employer is ultimately

responsible for the accuracy of the company's payroll tax returns. Ingrid is not required to obtain a PTIN.

Example: Quincy is an EA. He has a valid PTIN. He employs an administrative assistant, Madeline, who performs data entry during the tax filing season. At times, clients call and provide Madeline with information, which she records in the system. Using the data Madeline has entered, Quincy meets with his clients and provides tax advice as needed. He then prepares and signs their returns. Madeline is not a tax return preparer and is not required to have a PTIN.

Example: Ernie is a retired tax accountant, and he does not have a PTIN, because he stopped preparing returns several years ago. This year, Ernie volunteers at a Tax Counseling for the Elderly (TCE) site, where he prepares individual tax returns for lower-income seniors for free. In this capacity, Ernie is not a tax return preparer and is not required to have a PTIN.

Example: Carlos is a licensed CPA who works for an accounting firm but does not prepare tax returns. His neighbor, Helena, consults with Carlos about a bakery business she is thinking about starting. Carlos gives Helena an opinion regarding the potential business and taxes. In this case, the IRS does not consider Carlos a tax return preparer. This is because Carlos is merely giving an opinion about events that have not yet happened.

The "Substantial Portion" Rule

Only the person who prepares all or a "substantial portion" of a tax return is considered the preparer of the return. Preparers of income, estate, and gift tax returns are all subject to the rule. With regards to tax preparation firms, only one person in a firm will be deemed the "signing preparer," but both the firm and the person with primary responsibility can be penalized if the return contains an unreasonable position. A person who merely gives advice or prepares a portion of a tax return is considered to have prepared only that portion.

If more than one individual is involved in the preparation of a tax return, the person with the primary responsibility for the overall accuracy of the return is considered the preparer and must sign the return. In order to identify who is responsible for a substantial portion of the return, the following guidelines may be used. A portion of a tax return is not typically considered to be "substantial" if it involves only amounts of gross income, amounts of deductions, or amounts on the basis of which credits are determined that are:

- Less than \$10,000, or
- Less than \$400,000 and less than 20% of the adjusted gross income (or gross income, if not an individual 1040 return) on the return.

Usually, a single IRS schedule would not be considered a substantial portion of a tax return unless it represents a major portion of the income. One example of this may be a business taxpayer with a Schedule C that represents a majority of the income on the return.

Example: Emilio and Kristy are equal partners in Sunbelt Tax Services, where they both work as enrolled agents. In March, Kristy finishes a few tax returns that Emilio had started before he left on vacation. Six months later, one of those tax returns comes up for audit, and it is determined that the return has a gross valuation misstatement for a large deduction. Emilio prepared Schedule C on the return, and Kristy prepared the rest of the return. Schedule C represents 95% of the income and expenses shown on the return. Therefore, for purposes of any potential preparer penalty, Emilio is considered the preparer of this return, since he completed the schedule that represents the majority of the income and expenses on the return.

Example: Loch Accountancy, Inc. is a CPA firm that offers tax services to wealthy individuals. Hugo Smith is a wealthy real estate investor who hires the firm to prepare his individual tax return. Hugo owns 25 rental properties, as well as dozens of additional investments in limited partnerships. His return is extremely complex, and two accountants in the firm, David and Nicole, work together to complete it. The most complex part of the return was the Schedule E, which was completed by David, and included the partnership flowthrough income, as well as the rental income. The Schedule E accounted for 90% of the income reported on Hugo's return. As the preparer of the Schedule E, David is considered the accountant with primary responsibility for the accuracy of the return.

Enrolled Agent Licensing

As outlined in Circular 230, there are two tracks to become an enrolled agent. An individual may receive the designation by passing a three-part exam, or by virtue of past employment with the IRS.

1. Exam Track For the first, and most common track, an EA candidate must apply for a PTIN and register to take the Special Enrollment Examination (SEE), also known as the EA exam. A candidate then must:

- Achieve passing scores on all three parts of the SEE.
- File Form 23, Application for Enrollment to Practice before the Internal Revenue Service, to apply for enrollment within one year from the date of passing the exam. Form 23 can now be submitted online, and the fee can be paid at www.pay.gov.
- Pass a background check conducted by the IRS: The tax compliance check makes sure the applicant has filed all necessary tax returns and has no outstanding tax liabilities. The suitability check determines whether an applicant has engaged in any conduct that would justify suspension or disbarment.

2. Previous Experience Track For the second track, an EA candidate must possess a minimum of five years of past service with the IRS that includes technical experience as outlined in Circular 230. The application must be made within three years from the date the employee left the IRS. Factors considered with this second track are the length and scope of employment and the recommendation of the superior officer. The applicant then must:

- Apply for enrollment on Form 23.
- Pass a background check, which includes a tax compliance check and a suitability check.

Former IRS employees who become enrolled agents without taking the EA exam may be granted limited or unlimited representation rights. The Return Preparer Office (RPO) makes the determination on applications for enrollment to practice.

The RPO provides oversight of competency testing, enrollment, renewal, and continuing education of enrolled agents. Once an individual's application is approved, the IRS will issue an enrollment card, and enrollment becomes effective on that date.

Figure 1-Sample Enrollment Card

Denial of Enrollment

Any individual who is involved in disreputable or criminal conduct is subject to disciplinary action or denial of enrollment. Disreputable acts alone may be grounds for denial of enrollment, even after the candidate has passed the EA exam. Failure to timely file tax returns or to pay one's taxes may also be grounds for the Return Preparer Office to deny any application for enrollment.

The IRS must inform the applicant of the reason they are denied enrollment. The applicant may then file a written protest to the Office of Professional Responsibility (OPR) within 30 days from the date of the notice.

The appeal must be filed along with the candidate's reasoning why the enrollment application should be accepted.

Example: Sheldon passed all three parts of the EA exam and filed Form 23, requesting enrollment. Because he had failed to file numerous tax returns in the past, his application was denied. Sheldon filed an appeal with the OPR, explaining he had failed to file on time because he had been seriously injured years ago. He attached supporting evidence, including copies of medical bills and a letter from his doctor. Sheldon also provided evidence that all his tax returns had been properly filed after his recovery. The OPR accepted Sheldon's appeal and granted him enrollment.

Example: Martin passed all three parts of the EA exam, and wants to become an EA. However, six years ago, Martin was convicted of embezzlement and felony wire fraud. He served a year in prison and was ordered to pay restitution to his victims. The felony offense is grounds for denial of enrollment. Martin submits an application for enrollment, but it is denied, based on his past felony offense. Martin attempts to submit an appeal, but it is subsequently denied because of his prior conviction.

Renewal of Enrollment

Enrolled agents must renew their enrollment status every three years. To renew, an EA must file Form 8554, Application for Renewal of Enrollment to Practice before the Internal Revenue Service and submit the required fee. Enrolled agents that do not renew their enrollment, may not practice before the IRS. This form can be submitted online on www.pay.gov.

The three successive enrollment years preceding the effective date of renewal is referred to as the IRS "enrollment cycle." Applications for renewal of enrollment must be submitted between November 1 and January 31, prior to April 1 of the year that the next enrollment cycle begins. The last digit of a practitioner's Social Security number determines when they must renew enrollment. The IRS sends a reminder notice when an EA is due for renewal. However, an enrolled agent is not excused from the obligation to renew if they do not receive the notice. It is the practitioner's responsibility to apply for renewal by filing Form 8554.

SSN ends in 0, 1, 2, 3 4, 5 or 6 7, 8, 9, or no SSN
Renewal Cycle 2022-2025 2023-2026 2024-2027
Renewal Application Period 18 November 1, 2024 - January 31, 2025 November 1, 2025 - January 31, 2026 November 1, 2026 - January 31, 2027
Renewal Cycle Expiration March 31, 2025 March 31, 2026 March 31, 2027
EAs who do not have an SSN (such as foreign preparers who work overseas) must use the "7, 8, or 9" renewal schedule. As part of the renewal process, the IRS will check the practitioner's filing history to verify that they have filed and paid all federal taxes on time.

If the enrolled agent owns or has an interest in a business, the IRS will also check the tax compliance history of the business. In addition, the IRS will check that the EA has completed all necessary professional continuing education requirements. An EA must inform the Return Preparer Office of an address change within 60 days of a move.

Continuing Education for Enrolled Agents

During each three-year enrollment cycle, an EA must complete 72 hours of continuing education (CE) credit.

A minimum of 16 hours, including two hours of ethics or professional conduct, must be completed during each enrollment year.

The IRS conducts random CE audits of EAs by requesting copies of their continuing education certificates of completion for the past three years. Recipients of these letters will be asked to mail or fax the documents within 30 days. The first month of enrollment begins the CE requirement for a new EA. The practitioner must complete two hours of CE for each month enrolled, and two hours of ethics for the enrollment year.

Enrollment for any part of a month is considered enrollment for the entire month. 18 From IRS Publication 5186, available at: <https://www.irs.gov/pub/irs-pdf/p5186.pdf>.

The initial CE Requirements for EAs in their first enrollment cycle are:

- 2 hours of CE for every month enrolled.
- 2 hours of ethics annually (no exceptions).

Note: Generally, newly enrolled EAs will not need 72 hours of CE because they will not have been enrolled for all three years of the cycle. The 16-hour yearly minimum may not apply to them for at least one of the three years of the cycle.

When an EA's new three-year enrollment cycle begins, the practitioner will be required to satisfy the full 72-hour continuing education credit requirement. A 2-hour ethics course must be taken every year. An enrolled agent may not take additional ethics courses in the current year and neglect to take them in future years.

Example: Charisse passed all three parts of the EA exam on July 1, 2025. She submitted her application for enrollment and received her Treasury card and EA license number on September 1, 2025 (2 months later). This was the third year of the enrollment cycle, based on her SSN. She is required to take two hours of CE for each month before January 1, 2026, which equals eight hours for the period of September through December, 2025. Two of those hours must be on the topic of ethics. Charisse decides to get all her CE hours for the year in December by attending a national tax conference on December 19, 2025. She takes a 2-hour ethics course as well as an additional 10 hours of CE on various tax topics. She has fulfilled her CE requirements for 2025. Since her initial enrollment came during the final year of the enrollment cycle, Charisse must renew her enrollment status in 2026 and will be subject to the full 72-hour CE requirement during her subsequent renewal periods.

Note: If an enrolled agent retakes and passes the SEE again since their last renewal, the EA is only required to take 16 hours of CE (continuing education), including two hours of ethics, during the last year of their current enrollment cycle.

CE Providers: Individuals and companies who wish to offer continuing education to EAs must pay a registration fee and apply as providers with the IRS. Course providers must renew their status every year.

Providers are issued a provider number and may display a logo that says: "IRS Approved Continuing Education Provider."

Example: Roman, an enrolled agent with over a decade of experience, decides to start offering continuing education (CE) courses for EAs. Roman researches becoming an IRS Approved CE Provider, learning it requires a registration fee, an IRS application, and annual renewals. Roman develops several comprehensive tax courses with quizzes to cover the latest tax laws and best practices. Roman submits his CE application to the IRS, detailing the course content, instructor qualifications, and delivery method.

He also pays the necessary IRS registration fee. After a few weeks, the IRS approves his application, issuing Roman a unique provider number, making Roman an official IRS Approved CE Provider. Roman markets the courses using the IRS-approved logo on materials and promotes them through social media, newsletters, and professional networks. His first course is successfully delivered, receiving positive feedback and helping EAs earn required CE. Roman maintains his CE provider status by annually renewing with necessary documentation and fees.

Approved Programs: Qualifying CE programs include traditional seminars and conferences, as well as correspondence or individual self-study programs on the Internet, so long as they are approved courses of study by approved providers.

In order to qualify as CE, a course must be designed to enhance professional knowledge in federal taxation or federal tax-related matters. Courses related to state taxation do not meet the IRS requirement unless at least 80% of the program material consists of federal tax law topics.

Contact Hours: Continuing education programs are measured in terms of contact hours. The shortest recognized program is one hour. For a course to qualify for CE credit, it must feature at least 50 minutes of continuous participation. Individual segments at conferences and conventions are considered one total program. For example, two 90-minute segments (180 minutes) at a continuous conference will count as three "contact hours."

Example: Stephanie is an enrolled agent who signs up for a half-day federal tax update class. The instructor starts the class promptly at 8 a.m. and lectures until 9:40 a.m., when the class takes a 20-minute break.

The instructor resumes the class at 10 a.m., and it runs until 11:40 a.m. when the class is recessed.

Stephanie will receive four CE credits because she completed four 50-minute segments of instruction, worth one contact hour each.

Instructor Credit: An enrolled agent may receive continuing education credit for serving as an instructor, discussion leader, or speaker on federal tax matters for approved educational programs. One hour of CE credit is awarded for each contact hour completed. Two hours of CE credit is awarded for actual subject preparation time for each contact hour completed as an instructor, discussion leader, or speaker at such programs. The maximum credit for instruction and preparation may not exceed six hours annually.

Verifying CE Hours: After completing CE coursework, an EA will receive a certificate from the course provider. The course provider will also report completed continuing education to the IRS, using the PTINs of the individual participants.

Tax preparers may check their online PTIN accounts to see a display of the CE programs they have completed, as reported by providers. EAs are required to keep track of their own records related to continuing education hours for four years following the date of renewal.

CE Waiver

An EA may request a full or partial waiver of CE requirements from the RPO. Qualifying circumstances may include:

- Health issues.
- Extended active military duty.
- Absence from the United States for employment or other reasons.

- Other reasons on a case-by-case basis.

The request for a waiver must be accompanied by appropriate documentation, such as medical records or military paperwork. A request for a waiver must be filed no later than the last day of the renewal application period. If the request is denied, the enrolled agent will be placed on the inactive roster. If the request is accepted, the EA will receive an updated enrollment card reflecting their renewal.

Example: Jeremiah is an EA who is also an Army reservist. He was called to active duty in a combat zone for two years. During his deployment, Jeremiah could not complete his CE requirements for his enrolled agent credential. Jeremiah contacted RPO and requested a waiver based on his current active-duty military service. RPO grants the waiver. Jeremiah later returns to the United States after an honorable discharge.

Jeremiah is free to begin preparing tax returns as an enrolled agent again.

Inactive and Terminated EAs

The RPO notifies any EA who fails to comply with the requirements for eligibility for renewal of enrollment.

A notice will be sent via first-class mail explaining the reason for noncompliance. The notice further provides the preparer an opportunity to furnish the requested information, such as missing CE credits, in writing. An EA has 60 days from the date of the notice to respond to this initial notice. If no response is received, the EA will be moved to inactive status. During this time, the individual is strictly prohibited from practicing before the IRS or representing themselves as an Enrolled Agent.

To be eligible for renewal after missing one full enrollment cycle, an EA must pay fees for both the prior and current renewal cycles and verify that the required CE hours have been taken. To have their termination status reconsidered, an EA must file a written protest within 30 days and provide a valid reason for not renewing on time. Reasons may include serious illness or extended travel out of the country.

Losing the Eligibility to Practice

Practitioners may lose their eligibility to practice before the IRS for the following reasons, among others:

- Failure to meet the annual continuing education requirements for enrollment (for EAs).
- Failure to renew a PTIN.
- Requesting to be placed on inactive/retirement status.
- Being disciplined by state regulatory agents. For example, an attorney who has been disbarred from practice at the state level or a CPA whose license has been revoked or suspended at the state level is disbarred from practice at the federal level and cannot practice before the IRS as long as their disbarment, revocation, or suspension is active.

Example: Aileen is an enrolled agent who goes under investigation for misconduct. On January 25, 2025, the Office of Professional Responsibility permanently disbarred Aileen for stealing a client's tax payments and preparing tax returns with false deductions for multiple clients. Aileen's enrolled agent status is revoked for at least five years. After five years, Aileen may try to petition for reinstatement, but reinstatement would be solely at the IRS's discretion.

Example: Manuel is a tax attorney who practiced in New York and regularly represented clients before the IRS. However, on January 3, 2025, Manuel was arrested when he attacked his neighbor with a deadly weapon. Manuel is later convicted in a court trial of attempted murder. After his conviction, Manuel is permanently disbarred as an attorney, which means he can no longer practice either at the state level, or

before the IRS.

Study Unit 2: Study Questions

(Test yourself and then check the correct answers at the end of this chapter.)

1. Johnny passed all three parts of the EA exam and applied immediately by filing Form 23. When does his official enrollment take effect? a) The date he applies for enrollment with the IRS. b) The date listed on his enrollment card. c) The date he receives his enrollment card. d) The day he passes all three parts of the EA exam.

2. Rose's tax return is under audit. All of the following persons are permitted to represent Rose before the examination division of the IRS except: a) Paula, Rose's best friend, who is a licensed attorney in the state where Rose lives. b) Gary, who is Rose's brother, who is neither an attorney, CPA, nor an enrolled agent. c) Harold, Rose's boyfriend. Harold has an AFSP certificate, and he is an unenrolled return preparer, but he did not prepare the return under audit. d) Rosalie, who is Rose's mother. Rosalie is a retired accountant with an inactive CPA license.

3. Cameron is an enrolled agent who takes a continuing education class from an approved IRS provider.

The class runs continuously from 9 a.m. until 11:45 a.m., when there is a break for lunch. How many CE credits will Cameron receive for the morning session of the class? a) One b) Two c) Three d) Four 4. The IRS's public directory of tax return preparers includes listings for: a) Practitioners with a current PTIN, as well as practitioners who are inactive status. b) All current and past PTIN holders. c) Enrolled agents and CPAs with a current PTIN. d) All enrolled practitioners with a current PTIN, as well as AFSP Record of Completion holders.

5. Which of the following individuals is required to obtain a PTIN? a) A CPA who does not prepare any tax returns. b) An EA who works for a CPA firm but does not sign any tax returns. c) A tax attorney who only does representation of clients in the U.S. court system. d) A retired accountant who prepares tax returns for free for their family.

6. Carlton is an EA with a PTIN. His firm employs a bookkeeper named Sybill. Sybill gathers client receipts and invoices and organizes and records all information for Carlton. She does not use Carlton's professional tax return software, but she does use the firm's bookkeeping software. Carlton then uses the information that his bookkeeper has compiled and prepares all the client tax returns. Which of the following statements is correct? a) Sybill needs to have an EFIN as well as a PTIN. b) Sybill needs to have a PTIN, but she does not need to have an EFIN. c) Sybill needs to have a PTIN as well as an AFSP certificate. d) Sybill is not a tax return preparer and is not required to have a PTIN.

7. What is the "enrollment cycle" for enrolled agents? a) The enrollment cycle is the year after the effective date of renewal. b) The enrollment cycle means the three successive enrollment years preceding the effective date of renewal. c) The enrollment cycle is the method by which the RPO approves EA exam candidates. d) The enrollment cycle is the method PSI, Inc. uses to choose EA exam questions.

8. Denise and Gabriela are cousins. Gabriela does not speak English. Gabriela must appear before the IRS for an examination. Denise wants to appear before the IRS on her cousin's behalf, though she is not an enrolled practitioner. Which of the following statements is correct? a) Denise may appear before the IRS as a witness, if necessary, and to translate for Gabriela, but she may not advocate for Gabriela. b) Denise may advocate for Gabriela to the best of her ability. c) Denise may represent Gabriela before the IRS without Gabriela being present. d) Denise may not appear before the IRS in any capacity.

9. Andrea has been an EA for 10 years. Her records show that she had the following hours of qualified CE during the year:

- January 2, 2025, seven hours: Federal tax CE.
- May 3, 2025, one hour: Ethics.
- December 20, 2025, nine hours: Federal tax CE.

Has Andrea met her minimum yearly CE requirements? a) Andrea has met all her minimum yearly CE requirements. b) Andrea has met her ethics requirement, but not the minimum CE requirement for the year. c) Andrea has not met her ethics requirements. d) None of the above.

10. Which of the following individuals does not qualify as an enrolled practitioner? a) Certified public accountant. b) Enrolled actuary. c) Registered tax return preparer. d) Attorney.

11. Matthew is a full-time bookkeeper for Parkway Partnership. He is not an EA, attorney, or CPA. Parkway requests that Matthew represent the partnership in connection with an IRS audit. Which of the following statements is correct? a) Matthew is allowed to represent the partnership before the IRS. b) Matthew is not allowed to represent the partnership before the IRS. c) Matthew is allowed to represent individual partners before the IRS. d) Matthew must have an AFSP certificate to represent the partnership before the IRS.

12. Enrolled agents must complete continuing education credits for renewed enrollment. Which of the following best describes the minimum yearly credit requirements? a) A minimum of 72 hours must be completed in each year of an enrollment cycle. b) A minimum of 24 hours must be completed in each year of an enrollment cycle. c) A minimum of 16 hours must be completed for the entire enrollment cycle, on any topic. d) A minimum of 16 hours must be completed in each year of the enrollment cycle, including two hours of ethics.

13. Barry helps his best friend, Jose, who does not speak English fluently. Barry appears before the IRS and translates for Jose at an IRS examination. Which of the following statements is correct? a) Barry is not considered to be practicing before the IRS. b) Jose must sign a power of attorney form authorizing Barry to represent him. c) Barry is considered to be practicing before the IRS. d) The IRS prohibits unrelated persons from being present at an IRS examination.

14. Khan is a CPA who employs Lynne, an accounting student, to assist in preparing tax returns. Lynne prepares several of the easier tax returns, but Khan reviews and signs all of the returns. Which of the following statements is correct? a) Lynne and Khan can share one PTIN. b) Lynne is required by law to sign the returns that she has prepared. c) Lynne is required to obtain a PTIN. d) Lynne cannot assist with the preparation of tax returns until she becomes a CPA.

15. Which of the following persons is considered a "tax return preparer" under Circular 230 regulations? a) A full-time bookkeeper working for an employer who prepares payroll tax returns. b) A retired attorney who prepares tax returns under the VITA program. c) A full-time teacher who also prepares tax returns for pay, part-time from home. d) A secretary who furnishes typing, reproducing, or mechanical assistance.

16. Matias is an EA with a PTIN. What must he do to retain his existing PTIN? a) Matias is allowed to retain his PTIN so long as he is current in his EA status. b) Matias must renew his PTIN every three years when he renews his enrollment status. c) Matias cannot retain his existing PTIN. He must apply for a new PTIN every year. d) Matias must renew his existing PTIN each year.

17. "Practice before the IRS" does not include: a) Communicating directly with the IRS on behalf of a taxpayer. b) Representing a taxpayer at an IRS examination. c) Representing a taxpayer before the IRS appeals division. d) Representing a taxpayer in the U.S. Tax Court.

18. Lamond's EA license was terminated by the Office of Professional Responsibility for disreputable conduct. Lamond disagrees with OPR's decision. What action should Lamond take if he chooses to appeal his termination from enrollment? a) Call the Office of Professional Responsibility to request an appeal. b) File a written protest within 30 days of the date of the notice of termination. c) File a written protest within 60 days of the date of the notice of termination. d) File a written protest within 90 days of the date of the notice of termination.

19. All of the following are potential grounds for denial of enrollment except: a) Failure to timely file tax returns. b) Failure to pay taxes. c) The candidate does not have a Social Security Number. d) Felony convictions.

20. An enrolled agent can represent a taxpayer _____. a) Before any administrative level of the IRS. b) Only if the EA prepared the return. c) At all tax-related federal court proceedings. d) Before collections, examinations, and the U.S. Tax Court.

21. Debbie and Kyle both work for a large accounting firm. Debbie is an enrolled agent who starts preparing a highly complex tax return for a wealthy client. Debbie gets sick a few days later, and one of her coworkers, Kyle, finishes the tax return and submits it. Debbie prepared more than 90% of the tax return.

The accounting firm receives payment from the client the same day Kyle submits the return. Who is considered the preparer of this tax return? a) Any preparer who gives advice on the tax return b) Debbie, the preparer who prepared the substantial portion of the tax return c) Kyle, the preparer who reviews the tax return and submits it d) The firm itself, because the firm is paid by the client 22. Enrolled agents who apply for renewal to practice before the IRS must retain information about continuing education hours completed. How long must this documentation be retained? a) For one year following the enrollment renewal date. b) For three years following the enrollment renewal date. c) For four years following the enrollment renewal date. d) For six years following the enrollment renewal date.

Study Unit 2: Question Answers

1. The answer is B. Johnny must apply for enrollment by filing Form 23, and he must wait for his application to process. His enrollment becomes official on the date listed on his enrollment card.

2. The answer is C. Harold cannot represent Rose, because he is an unenrolled tax return preparer, and he did not prepare Rose's return. Even though Harold has an AFSP certificate, unenrolled tax preparers are not permitted to represent a taxpayer except in the examination of a tax return they prepared. According to current law, only unenrolled return preparers participating in the Annual Filing Season Record of Completion (AFSP) program may represent a taxpayer, and only with respect to returns prepared and signed by the preparer. The other persons listed would be able to represent Rose. Answer "A" is incorrect because Paula would be able to represent Rose because she is a licensed attorney. Answers "B" and "D" are incorrect, because Gary and Rosalie would both be permitted to represent Rose under the rules for limited practice (because of familial relationship).

3. The answer is C. Cameron will receive three hours of CE credit. Continuing education program credits are measured in terms of contact hours, which must be at least 50 minutes long. The class ran for 165 minutes, which counts as three contact hours. If the class had run continuously until 12:20 p.m., it would

have lasted 200 minutes, so it would have been worth four CE hours.

4. The answer is D. The Annual Filing Season Program is a voluntary certificate program to replace the registered tax return preparer program. Participants will be included in a public, searchable database of tax return preparers on the IRS website. The Directory of Federal Tax Return Preparers with Credentials and Select Qualifications includes the name, city, state, zip code, and credentials of all attorneys, CPAs, EAs, ERPAs, and enrolled actuaries with a valid PTIN, as well as all AFSP Record of Completion holders. An individual may opt-out of being listed in the directory. Unenrolled preparers with PTINs who are not Record of Completion holders are not listed in the directory.

5. The answer is B. All EAs are required to obtain PTINs as a condition of obtaining and maintaining their EA credential (the PTIN must be included on Form 23, which is the application form to become an enrolled agent). Attorneys and CPAs do not need to obtain a PTIN unless they prepare tax returns for compensation.

Someone who prepares returns for free (or as a volunteer) is not considered a tax return preparer by the IRS and does not need a PTIN.

6. The answer is D. Sybill is not a tax return preparer and is not required to have a PTIN. An employee who provides only typing, reproduction, or other mechanical assistance but does not actually prepare returns is not considered a tax return preparer by the IRS.

7. The answer is B. The "enrollment cycle" means the three successive enrollment years preceding the effective date of renewal. After the initial enrollment period, regular renewal enrollments are required every three years. This is known as an enrollment cycle.

8. The answer is A. Gabriela's cousin, Denise, is not considered a close family member and can only appear before the IRS as a witness and provide information to Gabriela, including translation. Simply appearing as a witness is not considered practice before the IRS. Individuals who are not enrolled practitioners are allowed to communicate with the IRS on behalf of a taxpayer, but they are not permitted to act as an advocate for them like a practitioner would. This means that Denise cannot advocate for Gabriela in any way.

9. The answer is C. Andrea has not met her annual ethics requirement. The IRS requires a 16-hour minimum of CE per year and two hours of ethics per year, and Andrea has only completed one hour of ethics CE. She has met her general CE requirement, but she has not met the ethics requirement for the year, so her minimum requirements have not been met.

10. The answer is C. The registered tax return preparer designation is now defunct due to the IRS's loss in the Loving v. Commissioner case. An individual who passed the RTRP exam is considered an unenrolled preparer, not an enrolled practitioner.

11. The answer is A. Matthew is a full-time employee for Parkway Partnership, so in that capacity, he may represent his employer before the IRS. A regular full-time employee of an individual employer may represent the employer without any additional licensing.

12. The answer is D. A minimum of 16 hours of continuing education credit, including two hours of ethics credits, must be completed in each year of the enrollment cycle. An EA must also complete a minimum of 72 hours of continuing education during each three-year period.

13. The answer is A. Barry is not considered to be practicing before the IRS. Simply appearing as a witness or communicating information to the IRS does not constitute practice before the IRS. Barry is

merely assisting with the exchange of information and is not advocating on Jose's behalf. An example of an individual assisting with information exchange but not practicing would be a taxpayer's friend serving as a translator when the taxpayer does not speak English.

14. The answer is C. Lynne must obtain her own PTIN. Every individual who prepares or assists in the preparation of a tax return or claims for refund for compensation must have their own PTIN.

15. The answer is C. A person who prepares tax returns for compensation is a tax return preparer, even if the activity is only part-time. A person who prepares and signs a tax return without compensation (such as for a family member or as a volunteer) is not considered a tax return preparer for purposes of preparer penalties. An employee who prepares a tax return for their employer or for another employee is not a preparer under Circular 230. The employer (or the individual with supervisory responsibility) is responsible for the accuracy of the return.

16. The answer is D. The IRS requires all paid preparers to have a preparer tax identification number (PTIN). Matias must renew his existing PTIN each year by the December 31 deadline to avoid any lapse in his active PTIN status. He may renew online at the IRS website or by mailing Form W-12.

17. The answer is D. "Practice before the IRS" does not include the representation of clients in the U.S.

Tax Court. The Tax Court is independent of the IRS and has its own rules of practice and its own regulations regarding admission to practice.

18. The answer is B. Lamond should file a written protest within 30 days of the notice of termination if he wants to appeal the termination of his enrollment. The protest must be filed with the Office of Professional Responsibility.

19. The answer is C. Enrolled agents who do not have a Social Security Number (SSN) can still apply for enrollment as foreign preparers. The IRS has a provision for foreign persons who do not have an SSN but want to prepare tax returns for compensation. Foreign preparers must still obtain a Preparer Tax Identification Number (PTIN) to prepare tax returns for compensation. Generally, the IRS requires an individual to provide an SSN to get a PTIN. However, because foreign persons generally cannot get an SSN, they must file Form 8946 to establish their identity and request a PTIN.

20. The answer is A. An enrolled agent can represent a taxpayer before any administrative level of the IRS, but not the U.S. Tax Court. Only enrolled agents, attorneys, and CPAs have unlimited practice rights before the IRS.

21. The answer is B. Debbie, the preparer who prepared the "substantial portion" of the tax return, would be considered the preparer of the return. Regarding the definition of a "substantial portion" Treas. Reg. § 301.7701-15(b)(2) currently provides a safe harbor that if the entries a person prepared are together "(1) less than \$10,000, or (2) less than \$400,000 and also less than 20% of the gross income of an entity, or AGI if the taxpayer is an individual, as shown on the return or claim for refund," then that person is not a treated as a preparer.

22. The answer is C. Each enrolled agent applying for renewal must retain information about CE hours completed for at least four years following their enrollment renewal date.

Study Unit

Authorizations and Disclosures

Study Unit 3: Authorizations and Disclosures

More Reading

- Instructions for Form 2848
- Publication 4019, Third Party Authorization, Levels of Authority
- Publication 4299, Privacy, Confidentiality, and Civil Rights The IRS provides different types of disclosure authorizations to help with federal tax issues. These authorizations permit a third party to assist in dealing with federal tax matters. The person or entity authorized can be a family member, friend, tax professional, attorney, or even a business, based on the particular authorization required. Examples of different types of third-party authorizations include:
- Power of Attorney (Form 2848): This form allows an authorized person to represent a taxpayer before the IRS. This can include advocacy, correspondence, or negotiations with the IRS. The form is most commonly used when the taxpayer wants their representative to handle an IRS audit or inquiry. The representative must be an individual authorized to practice before the IRS.
- Tax Information Authorization (Form 8821): This form is used to appoint a third party to review and/or receive confidential tax information for the type of tax and years or periods the taxpayer determines.
- Third Party Designee: Designate a person on your tax form to discuss that specific tax return and year with the IRS.
- Oral Disclosure: Authorize the IRS to disclose your tax information to a person you bring into a phone conversation or meeting with the IRS about a specific tax issue.

Power of Attorney

A power of attorney (POA) is a document that grants an individual the legal authority to act on behalf of a taxpayer in tax-related matters. This authorization allows an eligible person, such as an enrolled practitioner, to represent the taxpayer when communicating with the IRS.

Most commonly, the power of attorney is used when a taxpayer hires a practitioner to represent them at a conference or to submit formal, written responses to the IRS.

If a taxpayer wishes to be represented, they must complete and sign Form 2848, Power of Attorney and Declaration of Representative. By doing so, the taxpayer gives permission for a specific individual to access confidential tax information and perform specified actions as outlined on the form. Up to four representatives can be designated per form.

Note: Under the Taxpayer First Act, the IRS is required to accept electronic signatures for Forms 2848 (Power of Attorney) and 8821 (Tax Information Authorization). To facilitate this, the IRS provides an online portal practitioners may use to upload Forms 2848 and 8821 with either electronic or handwritten signatures.

The "Submit Forms 2848 and 8821 Online" portal is available through the IRS website at: <https://www.irs.gov/tax-professionals/submit-forms-2848-and-8821-online>. This tool supports remote authorization and reduces the need for mailing or faxing documents to the IRS.

On Form 2848, the representative must attest that they are subject to the regulations of Circular 230, governing practice before the IRS.¹⁹ The Form 2848 must describe the tax matters the representative is authorized to handle, the time periods allowed, and the specific acts that are authorized. Each taxpayer

requesting representation must fill out their own separate Form 2848, even if filing jointly. It is essential to be specific about the types of taxes and corresponding dates on the form; forms with vague statements like "all years" or "all taxes" will be rejected by the IRS. Past tax years or periods can be included in the "tax matters" section of the form.

For future tax periods, the period specified is limited to no later than three years after the date the POA is received by the IRS. A practitioner must provide their PTIN and use their own name as the representative, rather than the name of their business. A representative must be eligible to practice before the IRS in order to sign Form 2848, and the duty may not be delegated to an unlicensed employee. If a tax practitioner is disbarred or suspended, their power of attorney will not be recognized by the IRS.

Example: Beatriz is an enrolled agent who owns and operates Remit Tax Service, Inc. She has multiple employees working for her, including a full-time bookkeeper and another tax preparer, but she is the only enrolled practitioner in the office. None of the other people working for her has any type of license. When Beatriz prepares a Form 2848 for a client, she must represent her client as an individual. She must list her name on the Form 2848, not the name of her company or the name of any another employee. Since Beatriz is the only enrolled practitioner in the firm, only she is granted permission to represent her client before the IRS. Her corporation and other employees of her firm are not.

When filling out Form 2848, a representative must enter the designation under which they are authorized to practice before the IRS and list the applicable jurisdiction. For example, an enrolled agent must list the IRS as their licensing jurisdiction.

A Certified Public Accountant (CPA) or an attorney would enter their respective state or jurisdiction where they are licensed to practice. This could be a specific U.S. state or U.S. territory. For example, if a CPA is licensed in Oregon, they would enter "Oregon" as the licensing jurisdiction on Form 2848.

Unenrolled individuals may also be authorized to represent a taxpayer under Form 2848, if specifically permitted in very limited circumstances. For example, a parent representing their own child, an executor representing an estate, or an unenrolled tax return preparer with an AFSP record of completion who prepared the specific tax return at issue.

Example: Juana is a 25-year-old accounting student in her senior year of college. She prepares the tax returns for herself and her parents, but she does not charge her parents a fee, so she does not have a PTIN. Juana's father, Rodrigo, receives an audit notice in 2025. Rodrigo does not speak English very well and does not want to deal with the IRS at all. Juana offers to help her father and fills out a Form 2848 to represent him. Rodrigo signs the form as the taxpayer, and Juana submits the Form 2848 to the IRS and lists herself as his representative. As an immediate family member, she is allowed to represent her father before all levels of the IRS. 19 This attestation gives the Office of Professional Responsibility the authority to regulate unenrolled tax preparers who use the form.

Example: Christopher is an unenrolled tax preparer. He has a PTIN, but he does not participate in the IRS's Annual Filing Season Program and only prepares about 20 tax returns every year for family and close friends. He does charge a nominal fee, so he is considered a tax return preparer for IRS purposes. In most circumstances, Christopher would not be able to represent a taxpayer before the IRS. However, his aunt Dorothea died in 2025, and Christopher is named as the executor of her estate in Dorothea's will and the local court approved his status as the executor as part of the probate process of the estate. After being confirmed as the executor, the estate received an audit notice in 2025 for Dorothea's 2024 (prior year) tax return. Shortly after being approved as the executor, Christopher files IRS Form 56, Notice Concerning Fiduciary Relationship, to notify the IRS of his status as the executor of his aunt Dorothea's estate. This

enables him to represent the estate during the audit of Dorothea's prior-year tax return, and he does not need to file Form 2848 to represent Dorothea's estate before all levels of the IRS. He will have full representation rights for the estate, because he is the estate's executor.

Durable Power of Attorney

The IRS will accept a non-IRS power of attorney, such as a durable power of attorney, but it must contain all of the information included on a standard Form 2848. A non-IRS power of attorney must contain the following information:

- 1) The taxpayer's name, mailing address, and taxpayer identification number.
- 2) The name and mailing address of the representative.
- 3) The types of tax involved and the federal tax form number in question.
 - The specific periods or tax years involved.
 - For estate tax matters, the decedent's date of death.
- 6) A clear expression of the taxpayer's intention concerning the scope of authority granted to the representative.
- 7) The taxpayer's signature and date.

A signed and dated statement made by the representative should also be attached to the non-IRS power of attorney. The statement is signed under penalties of perjury. A non-IRS power of attorney may be rejected if the durable power of attorney does not contain all the required information.

Note: An IRS power of attorney (Form 2848) is terminated if the taxpayer becomes incapacitated or incompetent. A durable power of attorney²⁰ is not subject to a time limit and will continue in force after the incapacitation or incompetency of the individual. An ordinary power of attorney is automatically revoked if the person who made it is found to be incompetent, but a durable power of attorney can only be revoked by the person who made it, and while that person is mentally competent. All POAs are terminated upon the death of the individual.

Example: Eleanor has been ill for a long time. She signs a durable power of attorney that names her cousin, Jasper, as her representative. The durable power of attorney grants Jasper the authority to perform all acts on Eleanor's behalf. However, it does not list specific information, such as the types of tax covered. A year after Eleanor signs the power of attorney, she is declared incompetent due to Alzheimer's disease. Later, a tax matter arises concerning a prior year return filed by Eleanor. Jasper attempts to represent Eleanor before the IRS, but he is rejected because the durable power of attorney does not contain the required information. If Jasper attaches a statement that the durable power of attorney is valid under the laws of the governing jurisdiction, he can sign a completed Form 2848 and submit it on Eleanor's behalf. If Jasper is eligible to practice before the IRS, he can also name himself as the representative on Form 2848. ²⁰ A power of attorney (POA) is a legal document authorizing an individual to handle specific matters, such as health and financial decisions, on the behalf of another. A durable power of attorney is one that either takes effect upon, or lasts after, the principal's incapacitation. Durable POAs are typically used in the event of a person's incapacity. However, a durable power of attorney can also be drafted to take immediate effect.

Unless a particular act is specifically not authorized by the taxpayer, a representative (with the exception of unenrolled tax return preparers) can generally perform the following acts:

- Represent a taxpayer before any office of the IRS.
- Record an interview or meeting with the IRS.
- Sign an offer or a waiver of restriction on assessment or collection of a tax deficiency, or a waiver of notice of disallowance of a claim for credit or refund.
- Sign consents to extend the statutory time period for assessment or collection of a tax
- Sign a closing agreement.
- Receive (but never endorse or cash) a tax refund check.

The rights of unenrolled tax return preparers (those with an AFSP certificate) are limited to representing taxpayers in examinations of the tax returns they prepared and signed. A qualified representative can represent a taxpayer before the IRS without the taxpayer present, so long as the proper power of attorney is signed and submitted to the IRS.

Example: Geraldine is an enrolled agent with a signed Form 2848 for Hugo, who is being audited by the IRS. Geraldine did not prepare Hugo's tax return, but she is still eligible to represent him by virtue of her status as an EA. Hugo does not have to appear at the examination hearing. If Geraldine were an unenrolled preparer, her representation rights would be restricted to the particular tax returns she had prepared for Hugo that were under examination. She would be able to represent Hugo only before the IRS examination division, and not IRS appeals officers.

Revocation or Withdrawal of a POA

A power of attorney is valid until revoked by the taxpayer or until the representative chooses to withdraw from representation. If the taxpayer is revoking a power of attorney, the taxpayer must write "REVOKE" across the top of the first page with their signature and the date below it. Similarly, if the representative wishes to withdraw from their role, if they decide not to use the all-electronic Tax Pro Account system with the IRS, they must write "WITHDRAW" at the top of the first page and sign and date it.

The revocation or withdrawal must then be sent to the IRS by mail or fax with a clear indication of which tax matters and periods are affected. If a taxpayer or representative does not have a copy of the power of attorney available, a statement of revocation or withdrawal must be sent to the IRS.

Example: Karennia is an EA who had an IRS power of attorney for her former client, Lenny. Karennia fired Lenny for nonpayment of fees, but she continued to receive IRS notices on his behalf. Karennia writes "WITHDRAW" on a copy of the POA and submits it to the IRS, notifying the IRS that she no longer represents Lenny. The copies of the notices will stop being mailed to Karennia.

If a new power of attorney is filed for the same issue, any previous power of attorney will automatically be revoked. For instance, if a taxpayer changes their tax representative and the new representative files a power of attorney on behalf of the taxpayer, the previous one on record will be rescinded. However, the taxpayer can specifically request that the old power of attorney remain active when a newer power of attorney is filed.

Example: Successful entrepreneur, Tony Jones, is being audited by the IRS. Tony hires Violet Smith, a tax attorney, to handle his audit and signs a power of attorney (POA), allowing her to represent him before the IRS. However, Tony quickly became dissatisfied with her services. He felt that Violet was not proactive enough in communicating what was happening during the audit. Tony fires Violet, terminating their engagement. A few days later, Tony hires Sameer Aziz, an enrolled agent, as his new representative. Sameer files a new POA for Tony. The filing of this new POA automatically rescinds the previous POA that

listed Violet as Tony's representative. Sameer now has full authority over Tony's tax affairs and will take over the representation of his case.

Power of Attorney Not Required

If a third party is not representing a taxpayer before the IRS, a power of attorney is not required. This would include the preparation of a taxpayer's income tax return. The following situations also do not require a power of attorney:

- Providing information to the IRS.
- Authorizing the disclosure of tax return information through Form 8821, Tax Information Authorization, or other written or oral disclosure consent.
- Allowing the IRS to discuss return information with a third party via the checkbox provided on a tax return or other document.
- Allowing a partnership representative to perform acts for a partnership.
- Allowing the IRS to discuss tax return information with a fiduciary or an executor.

Representative Signing in Lieu of the Taxpayer

A representative named under a power of attorney is generally not permitted to sign a personal income tax return unless both of the following conditions are met:

- The signature is permitted under the Internal Revenue Code and the related regulations, and
- The taxpayer specifically grants signature authority on the power of attorney.

IRS regulations permit a representative to sign a taxpayer's return if the taxpayer is unable to sign for any of the following reasons:

- Disease or injury (such as a taxpayer who is completely paralyzed or who has some other debilitating physical injury).
- Continuous absence from the United States (including Puerto Rico) for a period of at least 60 days prior to the date required by law for filing the return.
- Other good cause, if specific permission is requested, and granted by the IRS.

When a representative signs a tax return, it must be accompanied by a copy of the power of attorney authorizing the representative to sign the return.

Example: Marcus is an EA with a client named Patsy who travels extensively for business. Patsy had signed Form 2848, specifically granting Marcus the right to sign her tax returns in her absence. Patsy is currently traveling in Europe on business and will not return to the United States until six months after the due date of her returns. Marcus is allowed to sign Patsy's return. When Patsy's return is signed by Marcus, a copy of the Form 2848 must accompany the return.

IRS Form 56, Notice Concerning Fiduciary Relationship, is used to report a fiduciary relationship to the IRS. It is commonly used for estates and certain trusts. For an estate, the executor submits Form 56 to the IRS to establish their authority to act on behalf of the estate. A fiduciary (such as an executor) is treated as if they are the taxpayer and they have all the powers and abilities of the taxpayer once the IRS is notified of this relationship via a Form 56 and they have been legally appointed in their fiduciary capacity.

For an estate, Form 56 should be filed with the IRS as soon as the executor has been appointed by the court and the estate's EIN is received, as it ensures that the executor will receive any important notices from the IRS.

Note that Form 2848, Power of Attorney and Declaration of Representative, is invalid once a taxpayer dies.

Therefore, if a deceased taxpayer had a Form 2848 Power of Attorney on file with the IRS with a named tax representative, Form 56 would first have to be filed by the appointed executor after their passing, and then a new Form 2848 can be filed to appoint an authorized representative of the estate.

Example: A famous musician, Michael McCartney, passes away unexpectedly on February 3, 2025. He was a single father of three minor children: Anna, Bella, and Clara. Since all the children are minors, none of them can serve as executors of their late father's estate. In his final will, Michael names his long-time attorney, Albert Smith, as the executor of his estate. After being appointed by the court, Albert takes on the responsibility of handling Michael's final affairs, including his taxes. As an attorney and professional executor, Albert is familiar with the process. Albert applies for an Employer Identification Number (EIN) for the Michael McCartney estate. Once he receives the EIN, he completes Form 56, Notice Concerning Fiduciary Relationship. This will notify the IRS of Albert's authority to act on behalf of the estate. On Form 56, Albert fills out Part I with Michael's information, including the decedent's name and Social Security number. Albert also lists himself as the executor of the estate and includes the newly-obtained EIN. Once the form is completed and signed by Albert, he submits the form to the IRS. He will act as the authorized representative of the estate, including preparing and signing Michael's final tax returns and the tax returns for the estate itself. Albert will also manage the estate's assets until Anna, Bella, and Clara reach adulthood, at which point the estate's assets will be transferred to them as per the terms of Michael's will.

Tax Information Authorization, Form 8821

Form 8821, Tax Information Authorization, authorizes any individual, corporation, firm, organization, or partnership to inspect or receive confidential information for the type of tax and periods listed. Any third party may be designated to receive tax information.

Form 8821 is commonly used by tax preparers, employers, banks, and other institutions to receive financial information on behalf of an individual or a business. It is only a disclosure form, so it does not give an individual authority to represent a taxpayer before the IRS.

Example: Tasha is applying for a mortgage loan from her bank. She gives her bank her prior-year returns, but the bank also requires her to sign a Form 8821. The bank uses Form 8821 to request Tasha's official IRS transcripts, in order to verify the tax return information it received from Tasha is correct, and also to confirm that no outstanding tax liens or judgments exist.

Similar to a POA form, Form 8821 requires the taxpayer to list the type of tax, the tax form number, the year or periods the authorization covers, and the specific tax matters that apply. Any prior tax years may be specified, but only future tax periods ending no later than three years after the date Form 8821 is received by the IRS are recognized.

Centralized Authorization File (CAF)

The centralized authorization file (CAF) is the IRS's computer database that contains information regarding the authorizations that taxpayers have given representatives for their accounts. When a power of attorney or disclosure authorization document is submitted to the IRS, it is processed for inclusion in the CAF.

A CAF number is assigned to a tax practitioner or other authorized individual when either a Form 2848 or Form 8821 is filed. It is a unique nine-digit number that is not the same as an individual's SSN, PTIN, or enrollment number.

Example: Matilda works as a full-time bookkeeper for a small retail company. She has an accounting background, but she does not prepare tax returns for compensation; but she does self-prepare her own return as well as her children's tax returns. In 2025, Matilda's 27-year-old son, Oscar, is audited by the IRS. Oscar does not wish to speak directly with the IRS. Matilda files Form 2848 on Oscar's behalf, and he signs the form since he is an adult. Matilda can be the authorized representative for her son. She is issued a CAF number, but she does not need to obtain a PTIN, because she does not prepare tax returns for compensation.

Joint filers must complete and submit separate Forms 2848 for each spouse to have a power of attorney recorded in the CAF. Alternative power of attorney forms, such as a durable power of attorney, will not be recorded in the CAF unless a Form 2848 is also attached.

The issuance of a CAF number does not indicate that a person is either recognized or authorized to practice before the IRS. It merely confirms that a centralized file has been established for the representative under that number.

Example: Salvador is an EA who recently submitted a Form 2848 to the IRS on behalf of his client, Tanesha.

Tanesha's refund has been delayed for over 10 weeks, and she does not know why. After waiting for the Form 2848 to process, Salvador calls the IRS Practitioner Priority Line to check the status of Tanesha's tax refund. Mrs. Smith, the IRS employee who answers the call, requests Salvador's CAF number to verify his identity. Salvador provides his CAF number, date of birth as well as his SSN to verify his identity to Mrs.

Smith. Mrs. Smith finds Tanesha's power of attorney information in the CAF system and can now give Salvador the information about his client's refund over the phone.

Having a CAF number also enables the IRS to automatically send copies of notices and other IRS communications to a representative. A practitioner may list the current year and any tax years that have already ended. The practitioner may also list future tax years or periods. However, the IRS will not record on the CAF system future tax years listed that exceed three years from December 31 of the year that the IRS receives the power of attorney.

Note: Practitioners can view a complete list of their current client authorizations through the IRS Tax Pro Account. The authorization list displays all Forms 2848 and 8821 recorded under the practitioner's CAF number. This online access replaces the former practice of submitting a Freedom of Information Act (FOIA) request to obtain a CAF Representative/Client Listing, although FOIA requests are still accepted if needed.

Tax Pro Account access: <https://www.irs.gov/tax-professionals/tax-pro-account> Third-Party Authorizations
A third-party authorization is when a taxpayer authorizes an individual (usually their tax preparer) to communicate with the IRS on their behalf. This allows the designated individual to discuss the processing of the taxpayer's current tax return, including any updates on refunds. The authorization automatically expires on the due date of the next year's tax return.

A taxpayer can choose a third-party designee by checking the "yes" box on their tax return, which is why it is known as "Checkbox Authority." The taxpayer then enters the designee's name and phone number and

a self-selected five-digit PIN, which the designee must confirm when requesting information from the IRS.

The third-party designee can exchange verbal information with the IRS on return processing issues and on refunds and payments related to the return. A designee cannot receive a tax refund check on a client's behalf. The third-party designee authorization is more limited than the authority given by Form 8821, Tax Information Authorization. Form 8821 can be used to allow discussions with third parties and disclosures of information to third parties on matters other than a taxpayer's current return.

Example: Tyler named his EA, Vicky, as his third-party designee on his tax return. A few months after filing his income tax return, Tyler still had not received his refund. He asked Vicky if she could check the status of his refund. Vicky called the IRS and was given the information over the phone because she was listed as a third-party designee on Tyler's return. No further authorization was necessary for Vicky to receive this confidential taxpayer information. This third-party designee authorization is only temporary and will expire automatically the following year.

Tax Return Copies and Transcripts

If a taxpayer needs an actual copy of a tax return that has been filed and processed, the taxpayer may use Form 4506, Request for Copy of Tax Return. Copies are generally available for the current year and the past six years. The IRS charges a fee for making the copy.

Tax transcripts, on the other hand, are free. Transcripts are available for the current year and the past three years. Form 4506-T, Request for Transcript of Tax Return, may be used when a taxpayer wants to authorize an individual or organization to receive or inspect confidential tax return information. However, individual taxpayers can obtain transcripts (and certain other tax information) from an Individual Online Account with the IRS.

Frequently Asked Questions concerning the Individual Online Account can be found at:
<https://www.irs.gov/individuals/transcript-services-for-individuals-faqs#online>.

This form is often used by financial institutions to verify tax compliance or income, such as when a taxpayer is applying for a mortgage. Form 4506-T does not authorize another individual to represent a taxpayer before the IRS, it is only a transcript request form. The taxpayer must specify on the form what type of information is needed.

If a "return transcript" is requested, the IRS will provide most of the line items of a filed tax return. A return transcript also includes items from any accompanying forms and schedules that were filed, but it does not reflect any changes made after the original return was filed.

If an "account transcript" is requested, the IRS will provide information on the financial status of the account, such as payments made and penalty assessments. Requesting a "record of account" produces the most detailed information as it combines the return transcript and account transcript information. In addition, "wage and income" transcripts from the IRS provide a summary of data reported to the IRS on various information returns, such as Forms W-2 and 1099.

Example: Jerome has fallen behind on filing his tax returns due to some personal problems, and now several of his returns are delinquent. The IRS is now sending notices to Jerome, so he wants to file all his delinquent returns. Unfortunately, he lost his W-2 forms and needs them to file his taxes accurately. After learning about Form 4506-T, Jerome prints the form from the IRS website. He carefully fills out the necessary information and specifies the tax years he needs "wage and income" transcripts for, checking the correct box on the form. Jerome signs the form and mails it to the address listed in the instructions. He

receives the requested transcripts about six weeks later. With the transcripts in hand, Jerome can now complete his tax returns accurately. Alternatively, Jerome could also obtain transcripts via the IRS Online Account system, or by calling the IRS directly to request his transcripts by mail.

Privacy of Taxpayer Information

Section 7216 of the Internal Revenue Code (IRC) and a related provision, IRC section 6713, provide penalties²¹ against tax return preparers who make unauthorized use or disclosure of tax return information.

The regulations authorize two types of disclosures: (1) permissible disclosures without taxpayer consent and (2) disclosures requiring taxpayer consent. The following disclosures do not require prior consent from the taxpayer:

- Disclosures to the IRS
- Disclosures pursuant to a court order or subpoena issued by any court, whether at the federal, state, or local level. The required information must be clearly identified in the document (subpoena or court order) in order for a preparer to disclose information.
- An administrative order, demand, summons, or subpoena that is issued by any federal agency (such as the IRS or the FinCEN), a state agency, or commission charged under the laws of the state with licensing, registration, or regulation of tax return preparers.
- To report a crime to proper authorities. Even if the preparer is mistaken and no crime has occurred, he will not be subject to sanctions if he makes the disclosure in good faith.
- A preparer may disclose tax return information to a tax return processor. For example, if a preparer uses an electronic or tax return processing service, they may disclose tax return information to that service in order to prepare tax returns or compute tax liability.
- Tax preparers within the same firm in the United States may use or disclose information within the firm for purposes of assisting in the preparation of tax returns.
- A preparer may disclose private client information to his attorney or to an employee of the IRS, in connection with an IRS investigation of the preparer.
- For purposes of peer reviews.

Example: The IRS is investigating a CPA named Adam for possible misconduct. Adam has hired an attorney who is assisting in his defense. As it turns out, Adam was a victim of embezzlement because his bookkeeper was stealing his client's checks without his knowledge. Adam only discovered the embezzlement when the IRS contacted him about client complaints. Adam may disclose confidential client information to his attorney in order to assist with his own defense. Adam may also disclose confidential client information to the IRS during the course of its investigation.

Example: Della is an enrolled agent. Her client, Trevor, sends an email request to Della, asking her to send the past three years of his business tax returns to his attorney for purposes of preparing his estate plan.

Della doesn't contact Trevor directly to confirm the request. She simply attaches Trevor's returns to an email and sends out copies of the returns to the attorney listed in the email, without realizing that the request didn't actually come from Trevor. Instead, the email came from Trevor's ex-wife, with whom Trevor is going through a contentious divorce. Trevor later discovers that his ex-wife obtained copies of his personal and business tax returns from Della, and he files a formal complaint with OPR. Della can be

subject to fines as well as disciplinary sanctions for improperly disclosing Trevor's information to unauthorized Tax return preparers must generally obtain written consent from taxpayers before disclosing information to a third party or using the information for any purpose other than the preparation of tax returns. The consent form must meet the following guidelines:

- Identify the purpose of the disclosure.
- Identify the recipient and describe the authorized information.
- Include the name of the preparer and the name of the taxpayer.
- Inform the taxpayer that signing the consent is not required, and if they do choose to sign, a time period can be set for the duration.
- Include mandatory language directing the taxpayer that they may report any improper disclosure to the Treasury Inspector General for Tax Administration (TIGTA).

If applicable, inform the taxpayer that their tax return information may be disclosed to a tax return preparer located outside the U.S.²² The consent must be signed and dated by the taxpayer. Electronic consents must be in the same type as the website's standard text and contain the taxpayer's affirmative consent (as opposed to an opt-out clause). Unless a specific period is specified, a taxpayer's written consent is valid for one year.

Note: Internal Revenue Code §7216 is a criminal tax provision enacted by Congress that prohibits tax return preparers from knowingly or recklessly disclosing or using tax return information. A preparer may be fined up to \$1,000, imprisoned up to one year, or both, for each violation of §7216.²³ There is also an additional civil penalty for improper disclosure or use of taxpayer information, outlined in IRC §6713. However, unlike §7216, this code section does not require that the disclosure be "knowing or reckless." This means that even an accidental disclosure of sensitive taxpayer information may cause the practitioner to be subject to a penalty.

These privacy regulations apply to paid preparers, electronic return originators, tax software developers, and other persons or entities engaged in tax preparation. The regulations also apply to most volunteer tax return preparers, such as Volunteer Income Tax Assistance (VITA) and Tax Counseling for the Elderly (TCE) volunteers, and to employees and contractors employed by tax preparation companies in a support role.

These regulations pertain to the disclosure of "tax return information," which is defined by law and very broad in scope.

Tax return information is defined as:

"All the information tax return preparers obtain from taxpayers or other sources in any form or matter that is used to prepare tax returns or is obtained in connection with the preparation of returns. This includes personally identifiable information (PII) such as SSNs, address, bank account numbers, etc. It also includes all computations, worksheets, and printouts preparers create; correspondence from the IRS during the preparation, filing, and correction of returns; statistical compilations of tax return information; and tax return preparation software registration information."

"Tax return information" also includes the taxpayer's name, mailing address, and taxpayer identification number, including Social Security number or employer identification number; any information extracted from a return, including names of dependents or the location of a business; information on whether a return was, is being, or will be examined or subject to other investigation or processing; information

contained on transcripts of accounts; the fact that a return was filed or examined; investigation or collection history; or tax balance due information. 22 Disclosing tax return information to another tax return preparer located outside the United States is only permitted with a client's written consent, this is true even when the preparers work for the same accounting firm. 23 A violation of IRC 7216 is a misdemeanor, with a maximum penalty of up to one year imprisonment or a fine of not more than \$1,000, or both, together with the cost of prosecution.

Allowable Disclosures

A preparer may disclose information to a second taxpayer from another person's tax return in certain circumstances. The preparer may disclose return information obtained from the first taxpayer if:

- The information obtained from the first taxpayer appears on the first person's tax return;
- The information is used for the purpose of preparing the second person's tax return;
- The second taxpayer is related to the first taxpayer. A taxpayer is considered "related" to another taxpayer in any of the following relationships: a spouse, a child and their parent, a grandparent and grandchild, a partner and a partnership, a trust or estate, and the beneficiary of the trust or estate, a corporation and shareholder, and members of a controlled group of corporations.
- The first taxpayer's interest is not adverse to the second taxpayer's interest; and
- The first taxpayer has not prohibited the disclosure.

A tax return preparer may also disclose tax return information that was obtained from a first taxpayer in preparing a tax return of the second taxpayer, if the preparer has obtained written consent from the first taxpayer. For example, if an unmarried couple lives together and splits the mortgage interest, the preparer may use or disclose information from the first taxpayer to the second so long as the preparer has written consent.

Example: Cherise is an enrolled agent. She prepares tax returns for Wilfred and his son, Timothy, who is 17 years old and still a minor. Wilfred claims his son, Timothy, on his tax return, but Timothy also has a part-time job after school, so he also has a filing requirement. Since Wilfred and Timothy are a parent and minor child, Cherise can share information between them.

Example: Felipe is an enrolled agent. His client, Gustavo, has a 19-year-old daughter named Lydia. Gustavo has always claimed Lydia on his tax returns, but in January 2025, Lydia gets into a big fight with her father, and she moves out of the home. Lydia gets a job and moves into a shared apartment with some roommates. Lydia contacts Felipe to help her prepare her own tax return and asks him not to share any of her information with her estranged father. Felipe assures Lydia of the privacy of her information and agrees to prepare her return. A few weeks later, Gustavo comes into Felipe's office and demands information about his daughter's return, because he still wants to claim her as a dependent. Gustavo also wants to see a copy of his daughter's Form W-2 so he can obtain her new address and contact information. Felipe refuses to share any of this information with Gustavo, because even though Gustavo and Lydia are related persons, (1) Lydia has specifically requested that her information not be shared, and (2) Lydia's interest is adverse to Gustavo's interest. Therefore, any disclosure that Felipe makes about Lydia's tax information would be prohibited by law.

Example: Xiang is an EA with two married clients, Wendy and Stewart, who file jointly. Wendy works long hours, so she is unavailable when Stewart meets with Xiang to prepare their joint tax return. Later, Wendy comes in alone to sign the return. She also has a question regarding the mortgage interest on the joint tax return. Xiang is allowed to disclose return information to Wendy because it is a joint return. Stewart has not

prohibited any disclosures, and both Wendy's and Stewart's names are on the return.

If a taxpayer dies or becomes incompetent, insolvent, or bankrupt, or the taxpayer's assets are placed in conservatorship, a tax preparer may disclose the information to the duly appointed fiduciary of the taxpayer or the estate, or to the duly authorized agent of the fiduciary.

Example: Tonya is an enrolled agent. She has always prepared the tax returns for her long-time client, Larry Garcia. On February 16, 2025, Larry Garcia dies. Larry's adult daughter, Mariah Garcia, is named and appointed as the executor of her late father's estate. Mariah has a certified copy of her letters testamentary²⁴ from the courts, which allows her to perform the necessary actions to gather and assess all the assets of the estate. Mariah asks Tonya for copies of her late father's tax returns, because she needs the information to prepare his final return as well as the tax return for the estate. After reviewing the letters testamentary and verifying that Mariah is the fiduciary of Larry's estate, Tonya may share information regarding Larry's tax returns.

Affordable Care Act Disclosures §7216 prohibits tax return preparers, including those who offer services related to the Affordable Care Act, from using tax return information for unauthorized purposes. In addition to criminal penalties, a civil penalty for each unauthorized disclosure or use of tax return information by a tax return preparer is imposed by §6713.

Current regulations allow preparers to use a list of client names, addresses, email addresses, and phone numbers to provide them general educational information, such as that related to the Affordable Care Act.

However, a tax preparer must first obtain taxpayer consent before using tax return information to directly solicit clients for health care enrollment services or other services.

Example: Sherry is an enrolled agent who is also a health care facilitator who helps enroll people in the Healthcare Marketplace insurance plans. She wants to contact some of her existing tax clients, who might not have health insurance, to let them know that she is offering these services. Under the terms of §7216, she must first obtain written consent from her clients before she can solicit them.

This mandate also applies to VITA and Low-Income Taxpayer Clinic (LITC) volunteers. Solicitation to offer health care enrollment services by all tax return preparers, including volunteer preparers, requires prior taxpayer consent.

Tax Practitioner Confidentiality Privilege

Under IRC §7525, enrolled practitioners and their clients are granted limited rights of confidentiality protection. This Federally Authorized Tax Practitioner Confidentiality Privilege (FATP) applies to attorneys, CPAs, enrolled agents, enrolled actuaries, and certain other individuals allowed to practice before the IRS.

This limited confidentiality protection applies to communications that would be considered privileged if they were between the taxpayer and an attorney and that relate to:

- Noncriminal tax matters before the IRS, or
- Noncriminal tax proceedings brought in federal court by or against the United States.

This confidentiality privilege cannot be used with any agency other than the IRS. For example, an enrolled agent cannot assert the federal confidentiality privilege with any state taxing agency. The confidentiality privilege does not apply:

- In any criminal tax matter.

- To any written communications regarding the promotion of a tax shelter.
- In any state tax proceedings.
- To the general preparation of tax returns. 24 A "Letter of Testamentary" is a document granted to the Executor of an estate by the probate court. This document gives the executor (or administrator) the legal ability to reach out to a financial institution like banks, mortgage lenders, creditors, and other relevant parties in order to act on behalf of an estate.

There is a long history of court decisions that deny confidentiality of information disclosed to an attorney for purposes of preparing tax returns. In a key court ruling, the court stated that "information transmitted for the purpose of preparation of a tax return," though transmitted to an attorney, is not privileged information.²⁵ Example: Daniel and Jasmine Bernstein filed a joint tax return that was selected for audit. The IRS revenue agent assigned to the case suspected that the Bernsteins may have had foreign bank accounts and tax shelter activities that were not properly reported. The IRS issued an administrative summons to the couple's accountant, Ivana, who was a licensed CPA. Ivana responded to the summons but refused to answer specific questions at her IRS interview, claiming tax practitioner privilege. Ivana also gave no evidence that she performed any work for the Bernsteins beyond tax preparation. The IRS took Ivana to court in order to force her to comply with the summonses. Ivana asserted in court that she had prepared the couple's tax return but did not mention any specific tax advice she gave that would qualify as privileged information.

The court ruled that Ivana could not assert the tax practitioner privilege and ordered her to comply with the IRS summons (based on the case of *United States of America v. Radchik*).

When information is transmitted to a third party (in this case, on a tax return), such information is not confidential. This restriction on the confidentiality privilege related to tax preparation applies to other practitioners besides attorneys, including enrolled agents and CPAs.

Certified Acceptance Agents (CAA)

A Certified Acceptance Agent (CAA), (also called an "ITIN acceptance agent," on the IRS website), is a person or an entity who, pursuant to a written agreement with the IRS, is authorized to assist individuals and other foreign persons who do not qualify for a Social Security Number but who still need a Taxpayer Identification Number to file a Form 1040. Certified Acceptance agents can authenticate a passport and birth certificate for dependents. There are multiple steps that need to be taken by all new and renewing applicants.

- Complete Form 13551, Application to Participate in the IRS Acceptance Agent Program.
- Complete the Mandatory Acceptance Agent training.
- Complete forensic training and submit the certificate of completion to the IRS.

All Form 13551, Application to Participate in the IRS Acceptance Agent Program applications and renewals must be submitted electronically through IRS e-Services. Paper applications are no longer accepted. All applicants must now use IRS e-Services and upload all required documents through the CAA upload tool.

Example: Elena Morales, an enrolled agent, wants to expand her practice offerings by becoming a Certified Acceptance Agent (CAA), so she can help individuals without Social Security Numbers (SSNs) obtain Taxpayer Identification Numbers (TINs). She applies to the CAA program and is accepted. Elena's new client, Alzira Gutierrez, recently moved to the United States and needs an Individual Taxpayer

Identification Number (ITIN) to file her taxes. Elena assists Alzira with filling out Form W-7. Elena reviews and submits the form and required documentation on Alzira's behalf, along with her tax return, to the special address for the IRS's ITIN Unit. A few weeks later, Alzira receives her ITIN from the IRS. Elena celebrates this milestone and looks forward to helping more clients obtain their ITINs in the future.

ITIN Expirations: ITINs that have not been used on a federal tax return at least once in the last three consecutive years will expire at the end of the year following the end of the third consecutive year of nonuse. For example, if a taxpayer's ITIN wasn't included on a U.S. federal tax return at least once for tax years 2023, 2024, and 2025, the ITIN will expire on December 31, 2026. To renew an ITIN that is about to expire, the taxpayer must complete a Form W-7 and submit all required documentation. *25 United States v. Lawless*, (7th Cir. 1983).

The supporting documents for an ITIN application must be able to prove a taxpayer's identity and their foreign status. A passport is the sole document that validates both. Other acceptable documents include a national ID card, a U.S. visa, or a foreign birth certificate.

Example: Maria Gonzales received her Individual Taxpayer Identification Number (ITIN) many years ago.

She used her ITIN on her federal tax returns. However, she stopped working in 2023 and had no taxable income for several years. Maria did not file federal tax returns for the years 2023, 2024, or 2025. Since Maria's ITIN was not included on a U.S. federal tax return for three consecutive years (2023, 2024, and 2025), her ITIN is set to expire on December 31, 2026. She started working again in 2026, so in order to renew her ITIN, Maria needs to complete Form W-7, "Application for IRS Individual Taxpayer Identification Number," and submit it along with the required documentation. By doing this, Maria can ensure her ITIN remains valid for future tax filings.

Study Unit 3: Study Questions

(Test yourself and then check the correct answers at the end of this chapter.)

1. What happens to an ITIN that has not been used on a federal tax return for three consecutive years? a) It remains valid indefinitely b) It expires c) It needs to be reissued every year d) It automatically renews
2. Esteban is an enrolled agent. He fires his client, Jackie, for nonpayment. Esteban had submitted a power of attorney for Jackie several months ago, but now Esteban does not want to represent Jackie anymore or receive any more IRS notices regarding her tax accounts. What should Esteban do? a) Esteban should write the word "DELETE" on the POA form and mail or fax it to the IRS. b) Esteban should write the word "REVOKE" on the POA form and mail or fax it to the IRS. c) Esteban should write the word "REMOVE" on the POA form and mail or fax it to the IRS. d) Esteban should write the word "WITHDRAW" on the POA form and mail or fax it to the IRS.
3. The Centralized Authorization File (CAF) is: a) An IRS computer database with information regarding the authority of individuals appointed under powers of attorney or designated under tax information authorizations. b) A public, searchable database of federally authorized practitioners and certain other tax preparers with professional credentials. c) An automated list of disbarred practitioners. d) An automated file of taxpayer delinquencies.
4. Wyatt is an enrolled agent. In which of the following situations is he allowed to disclose information without first obtaining written permission from his client? a) When contacted by a news reporter investigating a possible crime committed by his client. b) When he is issued a subpoena by a U.S. court. c) When a client's adult child requests the information and provides financial support. d) Disclosing tax return

information to another tax return preparer outside the United States, as long as both preparers are working for the same accounting firm.

5. What is the primary purpose of Form 2848 in tax-related matters? a) To allow a designated person to submit a petition to the Tax Court for a taxpayer. b) To grant power of attorney to a representative. c) To notify the IRS of a fiduciary relationship. d) To request an ITIN for a taxpayer who is not eligible for an SSN.

6. Bellamy self-prepared his own tax return in 2025. He later received an audit notice for that return, but he does not want to deal with the IRS. Bellamy wants to hire someone to represent him at the examination.

In order to have someone else represent him during the audit, all the following statements are correct except: a) Bellamy must furnish that representative with written authorization on Form 2848, Power of Attorney and Declaration of Representative. b) His paid representative must be an attorney, CPA, or EA. c) In order to save some money, Bellamy can potentially hire an unenrolled preparer, as long as that person has an AFSP certificate. d) Even if Bellamy appoints a representative, he may choose to attend the examination or appeals conference if he wishes.

7. In which of the following scenarios might an enrolled agent normally represent a taxpayer in communications with the IRS and also maintain confidential communications with the client? a) When the taxpayer is being audited by the IRS. b) When the taxpayer is being investigated for criminal tax fraud. c) When the taxpayer wants to be represented before the U.S. Tax Court. d) When the taxpayer only signs Form 8821.

8. A durable power of attorney remains in effect until an individual: a) Gets divorced. b) Becomes mentally incompetent or incapacitated. c) Dies. d) A durable power of attorney never expires.

9. How long is an IRS power of attorney authorization valid? a) One year. b) Three years. c) Until the due date of the next tax return. d) Until it is revoked, withdrawn, or superseded.

10. Which of these tasks is NOT permitted for an authorized representative to carry out on behalf of a taxpayer, even with a power of attorney? a) Deposit a client's refund into their own bank account. b) Update the taxpayer's address with the IRS c) Advocate for the taxpayer before the IRS Office of Appeals d) Request copies of a taxpayer's transcripts containing sensitive information.

11. Axford is an unenrolled tax return preparer for a married couple. He is also licensed to sell stocks and other securities. After preparing the couple's joint return, he was concerned that they were not saving adequately for retirement. Using information from their tax return, Axford created a custom retirement plan for the couple and solicited them both for retirement planning. He had not obtained their prior consent.

Which of the following statements is correct? a) Because he is not a practitioner, Axford is not subject to the rules of §7216. b) Axford is in violation of §7216. c) Axford is not in violation of §7216 because he used information from current clients; therefore, he was not required to obtain their consent. d) Axford is not in violation of §7216 because retirement planning is one of the exceptions listed as an allowable use of information.

12. How many representatives can a taxpayer appoint using a single Form 2848? a) One b) Two c) Three d) Four 13. Taxpayers are granted a limited confidentiality privilege with any federally-authorized tax practitioner.

Confidential communications include all of the following except: a) Written tax advice. b) Participation in a tax shelter. c) A noncriminal tax proceeding in Federal court. d) Noncriminal tax matters before the IRS.

14. Which authorization form gives the appointed person the greatest rights to represent a taxpayer? a) Third-party designee, also known as "Checkbox" authority. b) Form 8821, Tax Information Authorization. c) Form 2848, Power of Attorney and Declaration of Representative. d) Form 4506-T, Request for Transcript of Tax Return.
15. How many years in the future can an authorization on a Form 2848 be recorded to the Centralized Authorization File (CAF)? a) Current year + 1 year. b) Current year + 2 years. c) Current year + 3 years. d) Current year + 4 years.
16. Which of the following relationships is considered "related" for the purpose of disclosing tax return information? a) An employer and their employee b) A child and their parent c) A corporation and a vendor d) A school and a student
17. What form must a taxpayer complete to renew an expiring ITIN? a) Form 1040 b) Form W-2 c) Form W-7 d) Form 1099
18. Which of the following statements regarding the §7525 tax practitioner confidentiality privilege is correct? a) Advice on non-criminal tax matters from a federally authorized practitioner has the same confidentiality protection as communication with an attorney. b) Advice on criminal tax matters from a federally authorized practitioner has the same confidentiality protection as communication with an attorney. c) Advice on tax shelter activities from a federally authorized practitioner has the same confidentiality protection as communication with an attorney. d) Advice on any type of federal tax matter from a federally authorized practitioner has the same confidentiality protection as communication with an attorney.

Study Unit 3: Question Answers

1. The answer is B. An ITIN that has not been used on a federal tax return at least once in the last three consecutive years will expire. For example, if an ITIN was not included on a U.S. federal tax return for the years 2023, 2024, and 2025, it will expire on December 31, 2026.
2. The answer is D. Esteban should write the word "WITHDRAW" on the first page of the POA form, including his signature and the date, and mail or fax the form to the IRS. Email is not an acceptable means of contact. The form must clearly indicate the applicable tax matters and periods. In contrast, if a taxpayer chooses to end a previously authorized power of attorney, he must write the word "REVOKE" on the form, include his signature and the date, and mail or fax the form to the IRS. Alternatively, if Esteban has an IRS Tax Pro Account, he can withdraw the authorization online.
3. The answer is A. The Centralized Authorization File, or "CAF," contains information on third parties authorized to represent taxpayers before the IRS and receive and inspect confidential tax information on active tax accounts or those accounts currently under collection or examination by the IRS.
4. The answer is B. Wyatt can disclose a client's tax return information in response to a lawful subpoena.
- A tax return preparer who is issued a subpoena or court order, whether at the federal, state, or local level, is not required to obtain disclosure permission from a client. In all the other cases, disclosure is not allowed unless there has been prior written consent from the client.
5. The answer is B. Form 2848, Power of Attorney and Declaration of Representative, is used primarily to grant an individual (such as an enrolled agent or CPA) the legal authority to act on behalf of a taxpayer in tax-related matters. This form is typically used when a taxpayer hires a practitioner to represent them in communications with the IRS.
6. The answer is C. Bellamy cannot hire an unenrolled preparer to represent him. AFSP certificate holders can only represent clients with respect to returns that they have prepared. Since Bellamy self-prepared the

return under audit, he must hire an enrolled practitioner (EA, CPA or attorney). An unenrolled preparer who did not prepare and sign the specific tax return under examination would not be allowed to represent Bellamy.

7. The answer is A. An enrolled agent can represent a client that is being audited by the IRS. Answer "B" is incorrect, because taxpayers who are facing criminal tax charges should be referred to an attorney. Unlike the attorney-client privilege, the federally-authorized tax practitioner privilege that applies to enrolled agents does not apply to criminal tax matters. Answer "C" is incorrect, because Enrolled agents are specifically authorized to represent taxpayers before the IRS at all administrative levels, but not the Tax Court.

Only attorneys and individuals who have passed the U.S. Tax Court exam are authorized to argue cases before the U.S. Tax Court. Answer "D" is incorrect because an enrolled agent cannot represent clients when the client only signs a Form 8821. A Form 2848 would be required.

8. The answer is C. A durable power of attorney is not subject to a time limit. It remains in effect until the death of the individual, or until the individual revokes it.

9. The answer is D. A power of attorney obtained via Form 2848 is valid until revoked, withdrawn, or superseded. It may be revoked by the taxpayer or withdrawn by the representative, or it may be superseded by the filing of a new power of attorney for the same tax and tax period. An IRS power of attorney also terminates automatically upon a taxpayer's death or incompetency.

10. The answer is A. A tax preparer cannot deposit a client's refund into their own bank account. This is true even if they are given explicit permission to do so. A tax practitioner, acting under power of attorney, can perform a variety of actions on behalf of the taxpayer. This includes updating the taxpayer's address, advocating for the taxpayer before IRS examination and appeals officers, and requesting transcripts. However, the specific actions that the practitioner is authorized to perform will be outlined on Form 2848.

11. The answer is B. Axford is in violation of §7216 because he did not obtain written consent from his clients prior to using their private information. All paid tax return preparers are subject to the rules of §7216, a criminal statute. A tax return preparer must generally obtain written consent from taxpayers before he can disclose information to a third party or use the information for any purpose other than the preparation of tax returns. Each violation of §7216 could mean a fine of up to \$1,000, a prison term of up to one year, or both. There is also a separate civil penalty for improper disclosure or use of taxpayer information, as outlined in IRC §6713. However, unlike §7216, this code section does not require that the disclosure be "knowing or reckless."

12. The answer is D. Up to four representatives can be authorized per form, an increase from the previous Form 2848 which allowed only three representatives to be designated.

13. The answer is B. The confidentiality privilege does not apply in the case of communications regarding the promotion of or participation in a tax shelter. A tax shelter is any entity, plan, or arrangement whose significant purpose is to avoid or evade income tax. Unlike the attorney-client privilege, the federally-authorized tax practitioner privilege does not apply in criminal tax matters and does not apply in state tax proceedings. The privilege may be asserted only in a "noncriminal tax matter before the Internal Revenue Service" and a "noncriminal tax proceeding in Federal court brought by or against the United States." The confidentiality privilege is also not extended to matters related to the general preparation of tax returns.

14. The answer is C. Only Form 2848, Power of Attorney and Declaration of Representative, allows a third party to represent a taxpayer before the IRS. The other consents are much more limited and only allow the third party to receive or inspect tax account information.

15. The answer is C. An authorization on Form 2848 can be recorded to the Centralized Authorization File (CAF) for the current year, plus up to 3 future years (this question is based on an example from the most recently released EA exam sample questions).

16. The answer is B. A child and their parent would be considered "related persons" for the purposes of disclosing tax return information. For example, a taxpayer is considered "related" to another taxpayer if they are a spouse, a child and their parent, or a partner and a partnership.

17. The answer is C. To renew an ITIN that is about to expire, the taxpayer must complete Form W-7, "Application for IRS Individual Taxpayer Identification Number," and submit all required documentation.

Various documents can be used to support an ITIN application, including a driver's license, passport, and birth certificate. These documents help verify the applicant's identity and foreign status.

18. The answer is A. Advice on non-criminal tax matters from a federally authorized practitioner has the same confidentiality protection as communication with an attorney. The Federally Authorized Tax Practitioner Confidentiality Privilege (FATP) is limited to:

- Noncriminal tax matters before the IRS, or
- Noncriminal tax proceedings brought in federal court by or against the United States.

Study Unit

Circular 230 and Best Practices

Study Unit 4: Circular 230 and Best Practices

More Reading

- Circular 230, Regulations Governing Practice Before the Internal Revenue Service Publication 947, Practice Before the IRS and Power of Attorney
- Publication 4687, Paid Preparer Due Diligence
- Publication 4019, Third Party Authorization, Levels of Authority The Treasury Department's Circular 230 establishes rules and guidelines for all tax professionals who represent clients before the IRS. This includes enrolled agents, CPAs, attorneys, and others. These regulations outline professional standards and ethical codes of conduct that practitioners and advisors must abide by.

Circular 230 also prohibits certain actions, mandates others, and outlines consequences for any ethical misconduct or wrongdoing by these professionals. Circular 230 is broken into four main subparts:

- 1) Authority to practice.
 - 2) Duties and restrictions relating to practice.
- Sanctions for violations.
 - Disciplinary procedures.

In the next two units, we will look closely at subpart 2 of Circular 230, which describes practitioner responsibilities and standards.

Note: Circular 230 has not been updated since 2014. However, on December 20, 2024, the IRS proposed updates to Circular 230 (REG-116610-20), which governs practice before the IRS. These amendments aim to reflect legal changes and the evolving tax practice landscape. Key updates include: removing outdated sections related to registered tax return preparers and contingent fees, adding standards for qualified appraisers presenting evidence to the IRS, and revising other obsolete provisions. The proposed regulations also introduce requirements for technological competency and confirm the Office of Professional Responsibility's jurisdiction over suspended or disbarred practitioners. Additionally, they set standards for appraiser disqualification.

Diligence as to Accuracy §10.22 Central to the Circular 230 regulations is the mandate for practitioners to exercise due diligence when performing the following duties:

- Preparing or assisting in preparing, approving, and filing of returns, documents, affidavits, and other papers relating to IRS matters.
- Determining the correctness of oral or written representations made to the Department of the Treasury, including documents that are filed and submitted to the IRS on the taxpayer's behalf.
- Determining the correctness of oral or written representations made to clients related to any matter administered by the IRS.

While the specifics of due diligence are not explicitly outlined in Circular 230, it offers more detailed instructions in its sections on standards for providing written advice.

Publication 4687, Paid Preparer Due Diligence, is a more recent IRS publication (most recently revised in February 2025) that specifically discusses the due diligence rules for preparing tax returns that include refundable credits.

Reliance on Others: A practitioner can be considered to have fulfilled their responsibilities if they rely on the work product of another practitioner. This is on the condition that the practitioner used "reasonable care" when they hired, supervised, trained, and evaluated that person or the information provided.

Example: Blanca is an enrolled agent. Clayton, her new client, seeks out her tax preparation services during the year to help him file his tax return. As a self-employed plumber, Clayton will need to include a Schedule C with his tax return. In order to ensure accuracy, Blanca requests to see his previous year's return, which was prepared by another tax professional. Upon review, she finds it to be correct and reasonable, including a complete depreciation schedule for Clayton's business assets. Although she did not prepare it herself, Blanca can use this depreciation schedule as a reference for Clayton's current return.

Best Practices §10.33 Circular 230 explains the broad concept of best practices. Practitioners must provide clients with the highest quality representation concerning federal tax matters by adhering to best practices in providing advice and in preparing documents or information for the IRS. Practitioners who oversee a firm's practice should take reasonable steps to ensure that the firm's procedures for all employees are consistent with best practices.

"Best practices" include the following:

- Communicating clearly with the client regarding the terms of the engagement.
- Establishing the facts, determining which facts are relevant, evaluating the reasonableness of any assumptions, relating the applicable law to the relevant facts, and arriving at a conclusion supported by the law and the facts.
- Advising the client of the conclusions reached and the impact of the advice rendered; for example, advising whether a taxpayer may avoid accuracy-related penalties if the client relies on the advice provided.
- Acting fairly and with integrity in practice before the IRS.

Example: Archie is a successful self-employed architect who files on Schedule C. He is located in New York City, which is a high-cost-of-living area. Archie recently transitioned to working from a home office. As tax season approached, he considered taking aggressive deductions for his home office expenses; he wants to deduct all of his electricity bills and other utilities as business expenses. His trusted tax preparer, Sarah, advised against this, because although Archie was working from home, he did not have a dedicated inhome office space, and worked mainly on his kitchen table. Sarah explained the strict rules regarding deducting a home office and the potential consequences. Archie ultimately chose to follow her advice and comply with tax laws to avoid accuracy-related and other potential penalties.

Competence §10.35 This provision states that a practitioner must be competent to engage in practice before the IRS. "Competence" is defined as having the appropriate level of knowledge, skill, thoroughness, and preparation for the specific matter related to a client's engagement. Circular 230 says a practitioner can become competent in various ways, including consulting with experts in the relevant area or studying the relevant law.

Example: Aaliyah is an EA who has years of experience in preparing partnership tax returns. Every year, she takes classes related to changes in partnership law. She regularly consults with another tax professional in her office to seek advice on complex partnership returns. Also, during the year, a longtime client whose mother has died asks Aaliyah to handle the estate tax returns for him. Aaliyah rarely handles estate tax matters and does not have time to research the law sufficiently to handle this case, so she refers

the estate return to a tax attorney who specializes in estate tax law. Aaliyah has fulfilled her Circular 230 obligations related to §10.35.

Knowledge of Client's Omission §10.21 A practitioner who knows that a client has not complied with the revenue laws or who has made an error or omission on their tax return has the responsibility to advise the client promptly of the noncompliance, error, or omission, as well as its consequences. The practitioner is not responsible for correcting the noncompliance once they have notified the client of the issue, or for notifying the IRS of a client's noncompliance.

Example: Daniel is an EA with a new client, Laura, who has self-prepared her own returns in the past.

Daniel notices that Laura has been claiming head of household status on her tax returns, but she does not qualify for this status because she does not have a qualifying dependent. Daniel is required to promptly notify Laura of the error and tell her the consequences of not correcting the error. However, Daniel is not required to amend Laura's prior-year tax returns to correct the error. Nor is he required to notify the IRS of her claim of incorrect status.

The §10.21 obligations are not limited to practitioners preparing returns, so the discovery of an error in the course of a tax consulting or advisory engagement will also trigger its requirements.

Example: Cynthia is an EA who takes over another tax return preparer's practice. She discovers that the previous preparer has been taking section 179 deductions on assets that do not qualify for this treatment.

Cynthia must notify her clients of the errors and the consequences of not correcting the errors. However, she is not required to correct the errors and may not do so unless a client requests the correction.

Conflicts of Interest §10.29 Conflicts of interest are common, especially when it comes to divorce. There are special rules that apply to tax practitioners with regard to conflicts of interest between two clients. If there is a potential conflict of interest, the practitioner must disclose the conflict and be given the opportunity to disclose all material facts. A practitioner will have a conflict of interest if:

- The representation of one client will be directly adverse to another client; or
- There is a significant risk that the representation of one or more clients will be materially limited by the practitioner's responsibilities to another client, a former client, a third person, or by a personal interest of the practitioner.

A practitioner may still represent a client when a conflict of interest exists if:

- The practitioner reasonably believes that they will be able to provide competent and diligent representation to each affected client;
- The representation is not prohibited by law; and
- Each affected client waives the conflict of interest and gives informed consent, confirmed in writing, within 30 days after giving any non-written informed consent to the tax practitioner.

Regulations allow the written consent to be made within a reasonable period after the informed consent, but not later than 30 days after the date on which the conflict is known by the practitioner.

Example: Carter and Damian are business partners in Bloomfield Brokerage, LLP. Kristen is an enrolled agent who prepares both their partnership return and their individual returns. In 2025, Carter and Damian have a serious argument about the direction of the partnership. Carter calls Kristen and tells her that he is going to dissolve the partnership. Kristen must prepare a conflict-of-interest waiver for Carter and Damian, as well as the partnership itself, if she plans to keep them both as her clients. The waiver must be in

writing.

The written consent must be retained for at least 36 months from the date representation ends and must be given to any officer or employee of the IRS, if requested. At a minimum, the consent should adequately describe the nature of the conflict and the parties the practitioner represents.

Example: Janessa is an EA who has always prepared the tax returns for Abby Miller and Elmer Miller, a married couple. During the year, Abby and Elmer go through a contentious divorce, and Janessa believes there is potential for conflict of interest relating to the services she would provide each of them. She prepares a written statement explaining the potential conflict of interest and reviews it with her clients. Abby and Elmer still want Janessa to prepare their returns, and Janessa determines that she will be able to represent each fairly and competently. She has both Abby and Elmer sign the statement that waives the conflict and gives their consent for her to prepare their individual tax returns. Janessa must retain the record of their consent for at least 36 months after she last represents either party.

IRS Information Requests §10.20 Under Circular 230, §10.20, when the IRS requests information, a practitioner must comply and submit records promptly. If the requested information or records are not in the practitioner's possession, the preparer must advise the requesting IRS officer and provide any information the practitioner may have, regarding the identity of the person who may have possession or control of the requested information or records. The practitioner must also make a "reasonable inquiry" of the client, regarding the location of the requested records.

However, a practitioner is not required to make an inquiry of any other person or to verify any information furnished by a client. Further, the practitioner is not required to contact any third party who might have possession of the records.

Example: Mrs. Jones is an IRS revenue agent. She submitted a lawful records request to Howell, an enrolled agent, for accounting records relating to a former client who is currently under IRS investigation. However, earlier in the year, Howell had fired his client for nonpayment and also returned his client's records. Howell contacts Mrs. Jones, promptly notifying the IRS officer that he no longer has possession of his former client's records. Howell tells Mrs. Jones that he attempted to contact his former client, but the phone number was disconnected. Howell is not required to contact any third parties to discover the location of the requested records. Therefore, Howell has fulfilled his obligations under §10.20.

A practitioner may not interfere with any lawful effort by the IRS to obtain any record or information unless they believe in good faith and on reasonable grounds that the information is privileged under IRC §7525 or if the practitioner believes, in good faith, that the request is of doubtful legality.

Additionally, if the IRS's Office of Professional Responsibility (OPR) requests information about possible violations by other parties, such as other tax preparers, the practitioner must provide the requested information and be prepared to testify in disbarment or suspension proceedings. This ensures that practitioners adhere to professional standards and maintain the integrity of the tax system.

Example: Inaya is a CPA who runs her own tax practice. During the year, the Office of Professional Responsibility contacts Inaya, requesting information about another tax preparer, Frederick Jones, who is suspected of filing false returns and other unethical conduct. Several years ago, Inaya used to work with Frederick Jones at the same tax office. Inaya has information that could be relevant to the OPR's investigation. Despite her past professional relationship with Mr. Jones, Inaya complies with the OPR's request and provides the necessary information, understanding her obligation to uphold the standards of the profession.

Return of Client Records §10.28 A practitioner is required to return a client's original records upon request, whether or not the practitioner's fees have been paid. Client records include:

- All documents that a client provided to a practitioner that pre-existed their business engagement.
- Any materials that were prepared by the client or a third party that were provided to the practitioner relating to the subject matter of the representation.
- Any document prepared by the practitioner that was presented to the client relating to a prior representation if such a document is necessary for the taxpayer to comply with their current federal tax obligations.

At the request of a client, the practitioner must promptly return any and all records necessary for the client to comply with their federal tax obligations. Client records generally do not include the practitioner's work product. However, they may include any work product that the client has already paid for, such as a completed copy of a tax return.

Client records do not include any return, claim for refund, schedule, affidavit, appraisal, or any document prepared by the practitioner if he withholds these documents pending the client's payment of fees. A client must be given reasonable access to review and copy any additional records retained by the practitioner that are necessary for the client to comply with his federal tax obligations. The practitioner may retain copies of all the records returned to a client.

Example: Carol's business client, Alpine Snow Resort, Inc., has been slow to pay in the past, so Carol asks the owner of the business to pay for the tax returns when he picks them up. The president of Alpine Snow becomes furious and refuses to pay Carol's invoice. He demands the tax returns anyway. Carol must return the corporation's original records, but she is not required to give away any work product that the owner has not yet paid for.

Example: Jamison is an EA with a client, Samantha, who becomes very upset after he tells her she owes money to the IRS. Samantha wants to get a second opinion, and she refuses to pay Jamison for his time.

Jamison is required to hand over Samantha's original tax records, including copies of her W-2 forms and any other information she brought to his office. Jamison is not forced to give her a copy of the tax return he prepared, since she did not pay his fee for the return.

Copies of Tax Returns

Under IRC §6107, tax return preparers must give a completed copy of a tax return or claim for refund no later than the time the return or claim is presented for the taxpayer's signature. The copy can be in any media, including paper copies or electronic media.

Example: Blake is an enrolled agent. He has just finished preparing the tax return for his client, Sophie.

Utilizing his professional tax software, Blake can send an electronic copy of the completed return to Sophie via secure email. In the email, Blake includes instructions on how to review and electronically sign the return. Sophie clicks on the secure link and reviews her return before electronically signing it. By delivering the completed return in electronic format, Blake has complied with IRC §6107. This process allows for transparency, convenience for Sophie, and compliance with tax laws, as both parties have a record of the completed return and signature.

Example: Harriet is a CPA. She prepared a tax return for her elderly client, Mr. Stanley Brown. Mr. Brown is uncomfortable with computers and prefers all his documents in paper format. Understanding her client's

preference, Harriet prints out a complete copy of Mr. Brown's tax return. Harriet then schedules a meeting with Mr. Brown to review the return together. During the meeting, Harriet presents the printed tax return to Mr. Brown, going through it to ensure Mr. Brown understands everything. Once they have reviewed the return and Mr. Brown is satisfied, Harriet presents the return and e-file authorization pages for Mr. Brown's signature. Mr. Brown signs the return and e-file authorization, and Harriet provides him with a paper copy for his records. In this scenario, Harriet has complied with IRC §6107 by providing Mr. Brown with a completed copy of his tax return at the same time it was presented for his signature. This process ensures compliance with the tax law, while also accommodating Mr. Brown's preference for paper documents. This is a great example of a tax preparer adapting to the needs of their clients.

Preparers are also required to keep copies of all the tax returns they have prepared or retain a list of clients and tax returns prepared. At a minimum, the list must contain the taxpayer's name, taxpayer identification number, tax year, and the type of return prepared. The copies of tax returns or the lists must be retained for at least three years after the close of the return period.²⁶ Note: This provision has existed for decades, before scanners and copy machines were commonplace. Long ago, tax professionals would often just keep a list of returns prepared. In modern times, most preparers keep scanned, digital, or hard copies of client tax returns rather than simply a list of the returns prepared.

Tax Return Preparer Employer Records (IRC §6060) Any employer who hires tax return preparers is required to maintain a record of all employees and make it available for the IRS to inspect upon request. This record must include the employee's name, taxpayer identification number, and place of work. Typically, business records should be kept for at least three years after the end of the reporting period, but payroll records must be retained for a minimum of four years.

Example: Starla is an enrolled agent who owns three separate tax franchises in three different cities.

Between the three tax offices, Starla employs a total of 35 full-time and part-time employees. Starla must keep detailed employment records for all of her employees, including their names, Social Security numbers, and which franchise location the employee works at. She must also retain payroll records for each location for a minimum of four years.

Practitioner Fees §10.27 The IRS prohibits practitioners from charging "unconscionable fees." Although that term has not been defined, it is generally believed to refer to fees that the courts would consider grossly disproportionate in relation to the services provided, or fees retained for services not provided.

The IRS also has traditionally held that a practitioner may not charge a contingent fee (for example, a fee determined as a percentage of the taxpayer's refund) for preparing an original tax return pursuant to Circular 230.²⁷ This is mainly because the IRS wants to discourage any incentive for practitioners to take improper positions that can inflate a taxpayer's refund.

Example: Angela hires Bennett, an enrolled agent, to handle the preparation of her original tax return.

Angela is eligible for a large number of refundable credits, so her tax refund will be large. Unfortunately, she does not have the funds to pay for the tax services upfront. Bennett offers to prepare her return for a contingent fee equivalent to 50% of her expected refund from the IRS. This violates IRS regulations as practitioners are not allowed to charge a contingent fee on an original return, based on a percentage of a client's tax refund. This is known as a contingent fee and is prohibited by the IRS. By tying his fee to Angela's potential refund, Bennett is in violation of Circular 230. ²⁶ Under section 6060(c) the term "return period" means the 12-month period beginning on July 1 of each year. The close of the return period is defined as June 30, meaning the three-year period to retain records begins July 1 of each year. ²⁷ In July

2014, a U.S. district court ruled that the IRS lacked statutory authority to regulate contingent fee arrangements for a certified public accountant for the preparation and filing of ordinary refund claims (refund claims after the taxpayer has filed a return but before the IRS has started an audit of the return). The relevant case is *Ridgely v Lew*, where the U.S. District Court for the District of Columbia found Section 10.27 (b) of Circular 230 invalid as it pertains to refund claims and permanently enjoined the IRS from enforcing the regulation with respect to fees for preparing refund claims.

The IRS Advisory Council (IRSAC) issued a public report recommending that legislation be enacted to overturn the results in *Loving* and *Ridgely* by expressly affirming the Treasury Department's authority under 31 U.S.C. §330 to regulate paid tax return preparers. At the time of this book's printing, no such legislation had been passed.

Permitted Contingent Fee Arrangements

Notwithstanding the general limitation that applies to contingent fees, a practitioner is permitted to charge a contingent fee in limited circumstances under Circular 230, including:

1. Representation During the Examination of an Original Tax Return If a taxpayer is audited, the practitioner can charge a contingent fee based on the outcome of the audit.

Example: Jaxon, an enrolled agent, is representing his client, Sarah, during an IRS audit of her original tax return. Sarah had self-prepared her own return, and omitted a large stock sale that was reported on Form 1099-B. She incurred a loss on the sale, but this omission created a significant error on the return, which triggered an audit. Jaxon represents Sarah during the audit, and explains the error to the examiner, and also shows a corrected Schedule D to the auditor, showing the loss and the proper basis for the stock she sold. The audit results in a favorable outcome for Sarah. Jaxon is permitted to charge a contingent fee based on the amount of tax savings achieved through the audit.

2. During the Examination of an Amended Return or Claim for Refund If a taxpayer files an amended return or claim for refund within 120 days of the taxpayer receiving a written notice of examination or a written challenge to the original tax return.

Example: Maria, a licensed CPA, was recently hired by Sharad, who needs to file an amended tax return, Form 1040-X. Sharad had self-prepared his own return and made several errors. He also missed claiming the EITC, which he qualified for. He received a written notice (CP-2000) from the IRS less than 60 days ago, questioning some items on the return. Since Sharad's hiring of Maria has been within 120 days of receiving a written notice of examination from the IRS, Maria is permitted to charge a contingent fee for the amended return. The amended return results in a substantial refund for Sharad. Maria charges a contingent fee based on the refund amount obtained from the amended return.

3. Services Rendered In Connection With a Refund Claim For Credit or a Refund Filed in Conjunction With a Penalty or Interest Charge Assessed by The IRS:

If the IRS assesses a penalty or interest charge and the taxpayer files a claim for refund or credit, the practitioner can charge a contingent fee for services rendered in connection with the claim.

Example: Tarun, an enrolled agent, assists his client, Lisann, in submitting a refund claim after she paid a substantial amount for penalties and interest imposed by the IRS. When Lisann filed her tax return, she filed it late and owed a substantial amount of tax on the return, leading the IRS to apply significant penalties for late filing and late payment, as well as interest. However, at the time the return was due, Lisann was residing in a FEMA disaster zone and was greatly affected by the disaster, making her eligible

for automatic relief for penalties and interest. The refund claim is approved, and Lisann is refunded the penalty and interest. Tarun charges a contingent fee based on the refund amount for the penalty and interest.

4. Services Rendered in Connection with any Judicial Proceeding Arising under IRC If a taxpayer is involved in a court case related to a tax issue, the practitioner can charge a contingent fee for services rendered in connection with the case.

Example: Hester, a licensed tax attorney, represents her client, Ishaan, in a U.S. Tax Court case related to a tax dispute with the IRS. Ishaan had claimed a very large deduction for medical expenses, which the IRS contested. Ishaan had been paying for in-home caregivers to assist his disabled mother with her daily activities. Ishaan claimed his mother as a dependent, and she also had moderate dementia. The IRS argued the caregiver expenses were not deductible. However, the U.S. Tax Court rules in Ishaan's favor, resulting in a substantial reduction in his tax liability. Hester charges a contingent fee based on the tax savings achieved through the court ruling, which would be an acceptable practice.

These examples illustrate specific circumstances under which contingent fees are allowed, ensuring that tax practitioners comply with the regulations while providing valuable services to their clients.

It should also be noted that certain practitioners, such as licensed attorneys and certified public accountants, may be subject to additional prohibitions against charging contingent fees under applicable state regulations.

Refund Anticipation Loans (RALs)

Refund anticipation loans (RALs) are short-term loans offered by third-party companies, including tax preparers, based on a taxpayer's expected tax refund. Taxpayers apply for a RAL through a tax preparer or lender. The application typically requires proof of identity, income statements, and a copy of the electronically filed tax return. The IRS views RALs as financial products, not directly issued by the IRS itself. These loans allow taxpayers to access their anticipated refunds quickly, often within days, rather than waiting for the IRS to process their returns.

RALs often come with high interest rates and additional fees, making them potentially expensive for taxpayers. Just like any other loan, the full amount of the RAL must be repaid, if, for example, the taxpayer's refund is lower than the amount anticipated. The IRS does not regulate these loans but advises taxpayers to be cautious and understand the terms and costs involved.

Example: Maria, an unmarried taxpayer, expects a \$3,000 refund from the IRS. She needs the money urgently to pay for car repairs. Maria visits Omar, a tax preparer who offers RALs. Maria requests a refund anticipation loan when she files her tax return. Omar prepares Maria's tax return and helps fill out the paperwork. The lender verifies her information and offers her a loan of \$2,400 (80% of her expected refund). Maria receives the funds within two days and uses them for her car repairs. When the IRS processes her tax return, the refund goes directly to the lender to repay the loan, including any interest and fees.

Advertising Restrictions §10.30 A practitioner may not use any form of advertising that contains false, deceptive, or coercive information or that violates IRS regulations. In describing their professional designation, enrolled agents may not use the term "certified" or imply any type of employment relationship with the IRS. Examples of acceptable descriptions for EAs are "enrolled to represent taxpayers before the Internal Revenue Service," "enrolled to practice before the Internal Revenue Service," and "admitted to practice before the Internal R descriptions for EAs are "enrolled to represent taxpayers before the Internal

Revenue Service," "enrolled to practice before the Internal Revenue Service," and "admitted to practice before the Internal Revenue Service."²⁸ Solicitation Restrictions In certain situations, a professional may offer their services to both current and potential clients. However, this solicitation must adhere to federal or state laws, as well as any other applicable rules (such as attorneys who are bound to conduct guidelines in their particular states). It is not permitted for a practitioner to contact a prospective client who has expressed that they do not want to be solicited.

Mail Advertising

Mail advertising is allowed, but a solicitation must be clearly labeled as such and, if applicable, the source of information used in choosing the recipient must be identified. In the case of direct mail and ecommerce communications, the practitioner must retain a copy of the communication, along with a list of persons to whom the communication was mailed or distributed, for at least 36 months. Practitioners may also send solicitations to other practitioners indicating their availability to provide professional services (such as bookkeeping or payroll services). The advertising and communications must not be misleading, deceptive, or violate IRS regulations. ²⁸ Enrolled agents and enrolled actuaries may abbreviate their professional designation to either EA or E.A.

Example: Juliana is a newly-licensed enrolled agent who wants to attract as many new clients as possible.

She runs a flashy commercial ad on a local news station that she can settle any client's back tax debt for "pennies on the dollar" and she also states that every new client has a chance to win a lavish Hawaiian Cruise. In reality, there is no cruise, and Juliana's commercial also misleadingly inflated the chances of tax relief. Her commercial was merely a fabricated incentive to get new clients. This is false advertising that is purposely misleading. Juliana can be subject to penalties as well as potential suspension or even disbarment.

Fee Information

A practitioner may publish and advertise a fee schedule. A practitioner must adhere to the published fee schedule for at least 30 calendar days after it is last published. Fee information may be published in newspapers, mailings, websites, email, or by any other method. A practitioner may charge fees to a client based on any of the following methods:

- Fixed fees for specific routine services.
- Hourly rates.
- A range of fees for particular services.
- A fee for an initial consultation.

Example: Lorene is an EA who publishes an advertisement in her local newspaper. The ad includes a published fee schedule for preparing certain tax return forms at deeply discounted rates. Lorene is inundated with calls and decides that the ad was a mistake. Regardless, she must adhere to the published fee schedule for at least 30 days after publication.

Example: Jermaine is an EA who pays for a radio commercial about his tax services business. He also includes average prices for tax preparation and an hourly rate for his bookkeeping services. The advertisement plays on various radio stations for four months during the tax season. Jermaine must keep a copy of the radio commercial for at least 36 months from the last date that the commercial aired.

When advertising fees on radio or television, the broadcast must be recorded, and the practitioner must retain a copy of the recording for at least 36 months from the date of the last transmission or use.

Practitioners who are authorized e-Service providers may use the IRS e-file logo. Tax practitioners are specifically prohibited from using official IRS insignia or U.S. Treasury seals in their advertising.

Advertising Standards: Permissible Logos

Permitted

Not Permitted

Negotiation of Taxpayer Refund Checks §10.31 A practitioner must not endorse, negotiate, or cash a tax refund check issued to the taxpayer. For example, a practitioner cannot use Form 8888, Allocation of Refund (Including Savings Bond Purchases), to enter their own bank account in order to obtain payment for their tax preparation fee.

IRS instructions state that entering an account in someone else's name, such as a preparer's, will cause the direct deposit request to be rejected and the taxpayer's refund to be significantly delayed. Under new 2025 electronic payment mandates, the IRS will hold the rejected refund and contact the taxpayer for valid bank information before eventually issuing a paper check as a last resort. A preparer who attempts to route a client's refund to their own account is subject to a \$650 penalty under IRC §6695(f). In the most recent Circular 230 revision, §10.31 clarifies that this provision applies to any practitioner, not just one who prepares tax returns. It also expands the scope of "endorse or otherwise negotiate any check" to state that negotiation of a taxpayer check includes accepting or directing payment by any method, including electronically or via direct deposit or wire transfer.

Example: Bobby is an enrolled agent with a new client, Donna, who will receive a \$600 refund on her tax return. Donna has not yet paid Bobby's tax return preparation fee, and she doesn't have the money to pay the fee up-front, so Bobby enters his own bank account number, rather than Donna's, on Form 8888. Bobby plans to take his \$200 fee from the refund and give Donna the remaining \$400. However, directing a taxpayer's refund into the preparer's bank account is expressly forbidden, and Bobby could be subject to a preparer penalty for improper negotiation of Donna's refund.

Other Duties and Prohibited Acts in Circular 230

No Delay Tactics Allowed §10.23 A practitioner must not unreasonably delay the prompt disposition of any matter before the IRS.

Example: Bartholomew is an enrolled agent who is representing his client, Melissa, in an IRS examination.

Melissa owes a lot of money to the IRS but has no intention of paying her bill. She instructs Bartholomew to delay the IRS as much as possible so she can transfer assets to her family members to escape any garnishments or levies. Bartholomew agrees, and he repeatedly rescheduled appointments with an IRS revenue agent in an attempt to delay proceedings. Bartholomew also delays furnishing certain documents that the IRS has requested, and when he does provide them, the records are incomplete. Not only are Bartholomew's actions in violation of Circular 230, but there could be criminal exposure for such actions.

No Employment of Disbarred or Suspended Persons §10.24 A practitioner may not knowingly employ a person or accept assistance from a person who has been disbarred or suspended from practice.

This restriction applies even if the duties of the disbarred or suspended person would not include actual preparation of tax returns. In addition, a practitioner may not accept assistance from a former government employee in matters in which the former employee personally and substantially participated in the particular matter while employed by the government.

Example: Yanni is an enrolled agent who owns a popular tax franchise, TaxBusters, Inc. Yanni has several tax preparers working for him, including an enrolled agent named Maribelle. During the year, Maribelle is caught stealing large sums of money from her own family members. She is later convicted of a felony and subsequently disbarred by the Office of Professional Responsibility. Yanni must immediately terminate Maribelle's employment, because Yanni cannot knowingly employ a person who has been disbarred or suspended from practice.

Practice by Former Government Employees §10.25 A former government employee (and any partners and associates) cannot represent or knowingly assist a taxpayer if the representation would violate any law of the United States. A government employee who personally and substantially participated in a particular matter cannot represent or assist a taxpayer in the same matter after leaving their government position. §10.25 also places other restrictions on former government employees, including former IRS workers, in order to avoid conflicts of interest during representation. §10.25 is designed to prevent conflicts of interest and maintain the integrity of the tax administration process.

Example: Morty, a former IRS auditor, had previously worked on an audit of Summit Corporation and was deeply involved in the case. After leaving the IRS, Morty joins a private tax firm as a tax manager. A few months later, Summit Corporation asks the same tax firm for help appealing the penalties from that audit, neither Morty nor his colleagues at the firm can represent Summit Corporation under Circular 230 §10.25, as Morty was personally and substantially involved in the matter while he was still employed at the IRS.

Example: Robyn was a government employee working for the IRS. During her tenure, she was substantially involved in an ongoing audit of a large multinational corporation, OmniTech Corp. In 2025, Robyn leaves her position at the IRS and joins a private CPA firm. A few months later, OmniTech Corp becomes a client of Robyn's new firm and they need representation for an ongoing audit issue — the very same issue that Robyn worked on while she was working at the IRS. According to §10.25, Robyn is prohibited from representing or assisting OmniTech Corp in this matter because she had personally and substantially participated in it during her time at the IRS. Even though Robyn is no longer a government employee, the rules of §10.25 apply to avoid any potential conflicts of interest and to maintain the integrity of the tax administration process. If Robyn were to represent or assist OmniTech Corp in this matter, it would violate §10.25 and could result in penalties or disciplinary action against her. Therefore, Robyn informs her firm of the conflict and recuses herself from the case, ensuring compliance with the law.

Performance as a Notary §10.26 A practitioner who is a notary public and is employed as counsel, attorney, or agent in a matter before the IRS or who has a material interest in the matter cannot engage in any notary activities related to that matter. This rule serves to prevent potential conflicts of interest and uphold the integrity of the notarization process.

Note: Just because someone is an enrolled practitioner does not mean they are disqualified from being a notary. However, if they are already representing the taxpayer before the IRS, they cannot notarize any documents for that same taxpayer with respect to their tax matters. This aligns with the regulations of many states, where a notary public is typically prohibited from notarizing any documents in which they have a personal or professional interest.

Example: Eleanor is a notary public who is also an enrolled agent. Currently, she is representing her client, Mr. Travis Johnson, in an IRS audit. As part of this representation, Mr. Johnson needs to submit specific documents that require notarization by a third party. Although Eleanor is a notary public, according to §10.26, she cannot notarize any documents related to this representation for Mr. Johnson since she already represents him in the matter before the IRS. This ensures that Eleanor follows §10.26 and that Mr.

Johnson's documents are properly notarized by an unbiased individual. Eleanor informs Mr. Johnson of this restriction and advises him to find another notary public who is not affiliated with his case. Understanding the importance of following the rules, Mr. Johnson sets out to find another notary public who can help him notarize the required documents.

Signature Requirements for Tax Returns

The signature requirements for the preparation of tax returns are not spelled out in Circular 230, but instead, are based on Treasury regulations. The requirements are as follows:

Preparer Signature and PTIN

A paid preparer is required by law to sign the tax return and fill out the preparer areas of the form, which must include the preparer's PTIN.²⁹ The preparer's declaration statement is signed under penalties of perjury. The preparer must sign the return after it is completed but before it is presented to the taxpayer for signature. The preparer can sign original returns, amended returns, or requests for filing extensions by rubber stamp, mechanical device (such as a signature pen), or computer software program.

Taxpayer Signature

Taxpayer Signature

Regardless of whether a paid preparer or someone else has prepared a return, a taxpayer must sign their own return, affirming it is correct under penalties of perjury. A taxpayer is legally responsible for the accuracy of every item on the return. A paper-filed return is required to have a "wet signature" or an original signature.³⁰ Example: Henry is 75 years old and prefers to prepare his own return on paper forms, to save on the cost of software. His return is very simple, as he only has Social Security income and some interest income from a certificate of deposit. Henry downloads the Form 1040-SR directly from the IRS website and prints it out, then fills out the form with a ballpoint pen. He signs the return with an original "wet signature" and mails it in.

More Than One Preparer

If the original preparer is unavailable for signature, another preparer must review the entire preparation of the return or claim and then must manually sign it. For purposes of the signature requirement, the preparer with primary responsibility for the overall accuracy of the return or claim is considered the preparer, if more than one preparer is involved. The other preparers do not have to be disclosed on the return.

Note that a preparer may sign on behalf of the taxpayer in the client's signature area only if certain standards are met (see previous unit, under the section: Representative Signing in Lieu of the Taxpayer).
29 Use of electronic signatures is optional for tax professionals. For e-filed returns, a taxpayer may always choose to sign their return or e-file forms using a handwritten signature, instead of an electronic one, if they so choose. For paper-filed returns, the client must provide an original, handwritten signature. 30 Although the taxpayer is ultimately responsible for the items reported on the tax return, when a preparer e-files a taxpayer's return, the Form 8879 (IRS e-file Signature Authorization) must be completed by the preparer and signed by both the preparer and the taxpayer. The Form 8879 is signed under penalty of perjury by both parties.

Study Unit 4: Study Questions

(Test yourself and then check the correct answers at the end of this chapter.)

1. An enrolled agent can charge a contingent fee for services rendered in connection with which one of the following scenarios? a) An IRS audit of an original tax return b) The preparation of an original tax return for an individual c) Preparing a refund claim six months after the client received a written challenge from the IRS on the refund requested on the originally filed tax return. d) The preparation of an original tax return for a C corporation

2. Grace, an enrolled agent, represented Marley and his former business partner before the Internal Revenue Service with regard to a specific tax matter. Due to the potential conflict of interest, Grace obtained written consent from each client, waiving the conflict of interest and giving informed consent. Grace must keep those written consents for how long after the conclusion of representation? a) 24 Months. b) 36 Months. c) 48 Months. d) 72 Months.

3. Melanie is an EA and an ERO, who submits her clients' returns via IRS e-file. In order to save paper, she does not give a copy of the prepared tax return to her clients if they do not request it. Melanie allows her clients to have a copy of the return, as long as they pay a small fee. Which of the following statements is correct? a) Melanie is not in violation of IRC §6107. b) Melanie is not in violation of IRC §6107 if she gives clients the option of receiving a copy of their return for a small fee. c) Melanie cannot offer a copy of the return to a client unless the client requests it. d) Melanie is in violation of IRC §6107.

4. Deangelo is an enrolled agent in the process of representing Arthur, his client, before the Internal Revenue Service for an old tax matter on a jointly-filed return. Arthur's ex-wife, Michelle, also asked Deangelo to represent her for the same matter. Which of the following is required for Deangelo to represent them both? a) Both taxpayers must sit down together and discuss the matter before a mediator. b) Both taxpayers must waive the conflict of interest with written informed consent. c) Deangelo must charge both parties the same amount. d) This representation is prohibited by law.

5. If more than one tax return preparer is involved in preparing a return, which preparer is required to sign? a) All preparers involved in the preparation of the return. b) Only the preparer with primary responsibility for the accuracy of the return; however, the other preparers must be disclosed on the return. c) Only the preparer with primary responsibility for the accuracy of the return; the other preparers do not need to be disclosed on the return. d) Only the taxpayer must sign the return.

6. Frank is an enrolled agent representing his client, who is under examination by the IRS. The IRS examiner requests certain documents from Frank about his client's business. All of the following statements regarding Frank's responsibility to provide information requested by the IRS examiner are correct except: a) If Frank does not have the records, he must make a "reasonable inquiry" of his client about their location. b) Frank is not obligated to contact any third party who might possess the requested records. c) If Frank believes in good faith and on reasonable grounds that the requested material is legally privileged information, Frank may choose to decline a records request. d) Frank must promptly turn over all records relating to the IRS request, no matter what the circumstances.

7. Maeve, an enrolled agent, buys a practice owned by Kellan, a tax preparer who is retiring. As she reviews the records from Kellan's practice, she learns Kellan has been incorrectly claiming dependents for certain clients. What should Maeve do? a) Notify the clients of the error and the consequences of not correcting the error. b) Inform the clients that she will refuse to prepare their taxes if they do not file amended returns. c) Contact the IRS to report the error and request audits for those clients' previous returns. d) Inform Kellan that he made mistakes on his clients' returns and advise him to notify them.

8. Constanza is an enrolled agent. Her client, Aaron, is a wealthy businessman who frequently travels on extended business trips. Aaron is planning to be outside of the United States on business for at least 9 months this year. Constanza has a properly signed power of attorney from Aaron. Which of the following

actions is she permitted to do on Aaron's behalf? a) Receive Aaron's refund check but not endorse or cash the check. b) Sign Aaron's signature on his refund check, but only to deposit it into his account. c) Receive a taxpayer's refund check and endorse it, but only to pay tax preparation fees. d) Use her own bank account to receive Aaron's refund, then transfer the entire amount to him via a wire transfer.

9. Whitman is an EA who decides to advertise his fee schedule in the local newspaper. Which of the following fee arrangements is likely prohibited under the language contained in Circular 230? a) Hourly fee rates. b) Fixed fees for tax preparation. c) Unconscionable fees for representing a taxpayer before the IRS. d) Flat fees for initial consultations.

10. Zoe is an enrolled agent who is also a notary public. Which of the following statements is correct? a) Zoe cannot notarize documents for IRS matters for clients she represents before the IRS. b) Zoe must resign her notary commission, EAs cannot be notaries. c) Zoe is prohibited from performing notary services for her tax clients. d) Zoe is permitted to notarize any documents of the clients she represents before the IRS.

11. Circular 230 §10.35 states that a practitioner must be _____ to engage in practice before the IRS. a) Honest b) Diligent c) Ethical d) Competent 12. Keagan is a CPA and the owner of his own tax practice. Keagan has spent hours finishing the year-end bookkeeping for a client. The client has yet to pay Keagan for fees charged in connection with the bookkeeping, but the client demands a copy of the back-up file, because the client cannot prepare his tax return without it. Which of the following best describes Keagan's responsibility regarding the client's request for a copy of the spreadsheet? a) The firm is under no obligation to hand over the bookkeeping file the client has not paid for but must return the client's original records. b) The firm is required to hand over the bookkeeping file, regardless of any fee dispute. c) The firm is required to allow the client to copy the file. d) The firm is required to hand over the bookkeeping as well as prepare the taxpayer's return, as long as the client signed an engagement letter.

13. Which of the following is not listed as a "best practice" for practitioners in Circular 230? a) Acting fairly and with integrity in practice before the IRS. b) Communicating clearly with the client regarding the terms of the engagement. c) Advising the client regarding the consequences of advice rendered. d) Consulting other tax professionals when questions arise about a particular tax issue.

14. Oliver is an enrolled agent. He has a new client named Minnie, who asks him to prepare her business tax return. When he presents the return to Minnie for signature, she gets upset about the amount that she owes and refuses to pay for the return or sign it. She demands her original records back. Which of the following statements is correct regarding Minnie's request for her original records? a) Oliver may choose to withhold the client's records if there is a fee dispute. b) A legal case relieves Oliver of his responsibility to return a client's records. c) Oliver must, at the request of his client, promptly return her records, regardless of fee disputes. d) Oliver must, at the request of the client, return client records within 24 hours of payment.

15. Hitesh, an enrolled agent, wants to hire his friend, Brandon, who is an attorney. Brandon has been disbarred from practice by his state bar association for gross misconduct. Brandon has appealed the disbarment, and it is currently under review. Which of the following statements is correct? a) Hitesh can still hire Brandon as a tax preparer, but he can't represent any taxpayers. b) Hitesh can still hire Brandon, provided Brandon does not prepare or sign any tax returns. c) Hitesh cannot hire Brandon. d) Hitesh can hire Brandon while his appeal is pending.

16. Which of the following statements is correct? a) Conflicts of interest apply only to attorneys and not to other tax professionals. b) A practitioner may represent clients who have a conflict of interest under certain circumstances, but waivers to the conflict must be signed by both parties. c) A practitioner may represent

clients who have a conflict of interest if the practitioner receives a written conflict of interest waiver from the clients within 45 days of receiving any non-written, informed consent from the clients. d) A practitioner may not represent clients who have a conflict of interest.

17. Arthur is an enrolled agent. He must, at all times, exercise due diligence a) Renewing his PTIN. b) When making comments on social media about taxation topics. c) Preparing the FAFSA for his own family members. d) Preparing any document involving IRS matters.

18. Drake is an enrolled agent. He has a new client, Alexia, who has self-prepared her own returns in the past. Drake notices several errors on Alexia's prior-year return. What is Drake required to do? a) Drake must correct the errors by preparing an amended return for Alexia. b) Drake must advise Alexia about the errors and the consequences of not correcting the errors. c) Drake did not prepare the return with the errors, so he is not required to do anything. d) Drake is required to inform the IRS about the errors.

Study Unit 4: Question Answers

1. The answer is A. Circular 230 permits tax practitioners to charge a contingent fee for services rendered during an IRS audit of an original tax return. This is one of the limited scenarios where contingent fees are permitted. Per Circular 230, contingent fees are not allowed to prepare original returns. In addition, contingent fees for an amended return, or claim for refund or credit, are only allowed where the amended return or claim for refund or credit was filed within 120 days of the taxpayer receiving a written notice of the examination of, or a written challenge to the original tax return.

2. The answer is B. Grace must retain the records related to the conflict of interest for at least 36 months (three years) from the date the representation ends.

3. The answer is D. Melanie is in violation of IRC §6107. Tax return preparers must furnish copies of completed returns and claims for refund to all their clients, and this must be done no later than when clients sign the original documents. The copy can be a paper copy or a digital copy, but a complete copy of the return must always be provided to the client.

4. The answer is B. In order for Deangelo to represent Arthur and Michelle, both taxpayers must waive the conflict of interest and give informed consent in writing to the EA. In other words, both spouses must sign a conflict of interest waiver, which Deangelo must retain for at least 36 months.

5. The answer is C. Only the preparer with primary responsibility for the accuracy of the return is considered the preparer and is thus required to sign the return under penalties of perjury. The other preparers do not need to be disclosed on the return. The taxpayer is also required to sign the return, whether prepared by a preparer or not. The taxpayer is legally responsible for the accuracy of every item on his tax return.

6. The answer is D. Frank would not be required to turn over all records in every case. Although Circular 230 dictates that a practitioner "comply promptly" with record requests, there are limited circumstances when records do not have to be turned over. Frank may decline to do so if he believes in good faith that the request is not legal or that the information is privileged. Frank also does not have to contact any third party to inquire about his client's records; he must simply make a reasonable inquiry of his client.

7. The answer is A. Maeve must notify the clients of the error and the consequences of not correcting the error. Under the rules of Circular 230, a practitioner must advise a client about issues of noncompliance, errors, or omissions, in addition to the consequences of the errors. However, the practitioner is not obligated to correct the error, inform the IRS of the error, or insist the client file an amended return. The

duty to advise also applies when a practitioner discovers an error or omission in the course of tax consulting or an advisory engagement.

8. The answer is A. Constanza may receive Aaron's refund check, but she cannot endorse or cash the check. With proper authorization, an enrolled practitioner may receive a refund check issued to the taxpayer. A practitioner is not allowed to negotiate taxpayer refunds under any circumstances, regardless of whether the client has given permission.

9. The answer is C. Under Section 10.27 of Circular 230, an enrolled agent may not charge "unconscionable" fees in connection with any matter before the IRS.

10. The answer is A. Zoe cannot notarize documents of the clients she represents before the IRS if the document relates to a matter administered by the IRS. However, she is not prohibited from performing notary services for clients in connection with other financial or personal matters.

11. The answer is D. Circular 230 §10.35 replaces the previous section detailing the covered opinion rules. It states that a practitioner must be competent to engage in practice before the IRS. "Competence" is defined as having the appropriate level of knowledge, skill, thoroughness, and preparation for the specific matter related to a client's engagement.

12. The answer is A. Keagan is under no obligation to hand over its own work product to a client who has not paid his fees. Keagan is required to return his client's original records, regardless of any fee dispute.

13. The answer is D. Consulting with other tax professionals is not mandatory. Although it may be advisable to consult with other tax professionals when particular tax questions arise, this is not listed as one of the "best practices" in Circular 230.

14. The answer is C. Oliver must, at the request of his client, promptly return her records, regardless of fee disputes. However, Oliver is allowed to withhold the return of his own work papers or work product until the client has resolved any outstanding payment issues. Client records must generally be returned promptly upon client demand, regardless of fee disputes. Client records are defined as any original records belonging to the client, including any work product that he has already paid for, such as a completed copy of a tax return.

15. The answer is C. Hitesh cannot knowingly hire a disbarred practitioner, regardless of whether that person would prepare tax returns. A practitioner may not knowingly employ a person or accept employment from a person who has been disbarred or suspended by the Office of Professional Responsibility, even if that person's case is under appeal.

16. The answer is B. Under certain circumstances, a practitioner can represent clients who have a conflict of interest. The practitioner must reasonably believe he will be able to provide competent and diligent representation to each affected client; the representation cannot be prohibited by law, and each affected client must be fully notified and sign a consent waiving the conflict of interest in writing. A practitioner must receive written confirmation of a waiver of the conflict of interest from the clients within 30 days of receiving any non-written, informed consent from the clients.

17. The answer is D. As an enrolled agent, Arthur must at all times exercise due diligence when preparing any document involving IRS matters.

18. The answer is B. Drake must advise Alexia about the error and the consequences of not correcting the error. Drake is not required to amend the return and he is not required to notify the IRS about his client's error.

Study Unit 5: Practitioner Standards and Tax Advice

Study Unit

Practitioner Standards and Tax Advice

More Reading

- Circular 230, Regulations Governing Practice Before the Internal Revenue Service Circular 230 establishes general guidelines for practitioners concerning the tax positions taken on income tax returns and other written advice provided to clients. In the context of tax return preparation, a "tax position" refers to the stance or approach that a taxpayer, or their tax professional, takes regarding the interpretation of tax law as it applies to their specific situation. This may include choices regarding income reporting, claiming certain deductions or credits, or applying a specific tax rule. These positions are represented in the entries on the tax return.

While businesses and taxpayers have the right to take positions that minimize their tax liability, these positions must still comply with current tax laws. If a tax position is found to be incorrect or in violation of current tax laws, it could result in penalties or other sanctions.

Example: Nova-Tech Innovations, Inc. is a C corporation specializing in manufacturing and selling computer components. The company has invested heavily in research and development (R&D) for a ground-breaking new computer chip. Its outside tax advisor, Harold, is a licensed CPA. He believes the company's R&D expenditures qualify for the Federal research credit. Claiming the credit would reduce the corporation's current-year tax liability by thousands of dollars, but the IRS could take a different position based on its interpretation of the eligibility requirements. If the IRS audits the return and disagrees with the claimed credit, NovaTech Innovations Inc. could be liable for additional tax as well as potential penalties. It is therefore essential for the company and its CPA to thoroughly document the research activities, properly categorize R&D expenditures, and support the tax position with applicable regulations, court cases, and IRS guidance.

Tax professionals must adhere to the standards outlined in Circular 230 when advising clients on all tax matters. Practitioners who fail to meet these standards are subject to penalties and other sanctions.

Requirements for Written Advice §10.37 §10.37 of Circular 230 presents the due diligence requirements for practitioners to exercise when they issue written advice to a client. The definition of "written advice" has been expanded to encompass almost anything in writing, including email, text, or any other type of electronic communication, on any federal tax matter.³¹ A tax practitioner must:

- Base the written advice on reasonable factual and legal assumptions.
- Consider all relevant facts and circumstances that they know or reasonably should know.
- Use reasonable efforts to identify and ascertain the facts relevant to written advice on each federal tax matter.
- Not rely upon representations, statements, findings, or agreements of the taxpayer or any other person if reliance on them would be unreasonable.
- Relate applicable law and authority to facts.

In addition, when issuing written advice, a practitioner cannot take into consideration the chances that a tax return may or may not be audited, or that a particular matter may or may not be r tax return may or may

not be audited, or that a particular matter may or may not be raised during an audit.

This is called the "audit lottery," where the taxpayer is willing to take a non-compliant tax position, hoping that the low probability of an audit will allow this discrepancy to go unnoticed.

Example: Randy is an enrolled agent. Randy's client, Paulette, asks him what the odds are that the IRS will audit certain deductions she wants to claim on her Schedule C. Randy's response is that the IRS audits only about 2% of these types of tax returns, so the risk is worth taking, although the law is unsettled about whether the deductions are allowable. On the tax return he prepares, Randy includes the questionable deductions. Randy is playing the "audit lottery," which is in violation of Circular 230. This type of practitioner advice is specifically prohibited by the IRS.

Example: Nathan is a software engineer who owns his own firm. In the past year, Nathan has taken several clients on lavish golf trips, which would be classified as entertainment expenses, which are currently nondeductible. Nathan later meets with his CPA, Ramona, to discuss his tax return. Nathan suggests that they should classify his golf trips as "promotional expenses" on his tax return, so he can deduct them. Ramona explains that the IRS disallows deductions for entertainment expenses, regardless of how they are labeled.

Nathan responds, "But the chances of my return being audited are low, and even if we are audited, the IRS might not question this specific deduction. Give me advice on how I can take the deduction anyway." Nathan wants to play the "audit lottery." He is willing to adopt a tax stance that does not comply with current tax law, in hopes of avoiding an examination due to the low likelihood of being audited. Ramona properly refuses to comply with her client's request, because she cannot advise her client on how to knowingly circumvent the law.

Circular 230 allows a practitioner to rely on the advice or work product of another practitioner, so long as the advice is reasonable and the reliance is in good faith. However, the section specifies that reliance is not reasonable when the practitioner knows or reasonably should know that:

- The opinion of the other person should not be relied on;
- The other person is not competent or lacks the necessary qualifications to provide the advice;
- The other person has a conflict of interest in violation of the rules described in this part. 31 There are two exceptions to what is considered "written advice" under §10.37: (1) continuing education presentations on federal tax matters and (2) government submissions on general policy.

A "standard of review" paragraph was added that establishes the basis by which the IRS will evaluate whether a practitioner has complied with the written advice rules of §10.37. It applies a "reasonable practitioner" standard, with all facts and circumstances considered. The scope of the engagement and the type and specificity of the advice sought by the client are also to be considered.

Example: Janice is an enrolled agent who focuses on small business taxes. One of her clients, Mr. Felix Thompson, owns a large apartment complex, and is considering utilizing a Section 1031 exchange for the building. Felix seeks Janice's advice on how to proceed. Since section 1031 exchanges are not her area of expertise, she seeks guidance from Joe Green, who is a CPA who has experience with similar transactions.

However, Joe Green has also been recently censured by the IRS and his state board of accountancy for giving inappropriate advice to multiple clients regarding real estate transactions. This raises concerns about Joe Green's competence and reliability. According to Circular 230, Janice should seek guidance

from another qualified professional with a substantial understanding of the rules concerning like-kind exchanges.

Standards for Tax Returns and Documents (§10.34) In addition to §10.37, Circular 230's §10.34 is vital to understanding a practitioner's responsibilities when providing written advice to a client. The section directly relates to IRC §6694,32 which describes tax return preparer penalties. §10.34 has four parts:

- 2) Positions taken on tax returns, Positions taken on other documents or affidavits submitted to the IRS,
- Advising clients on potential penalties, and
- Relying on information furnished by clients.

1) Standards for Positions Taken in Tax Returns

A practitioner may not willfully sign a tax return or claim for refund that they know (or reasonably should know) contains a position that:

- Lacks a reasonable basis.
- Is an unreasonable position, as described in IRC §6694(a)(2).
- Is a willful attempt by the practitioner to understate tax liability or reflects a reckless or intentional disregard of rules or regulations.

Example: Becker is an enrolled agent. He is preparing a tax return for his client, Jasmine. She wants to claim a large deduction for charitable contributions, and she provides Becker with a receipt from a charitable organization reflecting a cash donation of \$15,000. However, upon closer inspection, Becker notices that the receipt appears to be altered and the original donation amount was \$1,500. He knew that the IRS requires accurate reporting of charitable contributions and that submitting an inflated amount would violate federal tax law. Jasmine is insistent and states that she wants to accept the risk of a potential audit, but Becker cannot willfully sign a tax return that contains a willful attempt to understate tax liabilities. As an experienced practitioner, Becker advises Jasmine that he cannot proceed with her tax return preparation if she does not agree to follow the law.

In determining potential penalties, the IRS will consider a pattern of conduct to assess whether a practitioner acted willfully, recklessly, or through gross incompetence. In addition to civil penalties, criminal penalties may also apply to tax return preparers who file fraudulent returns with unreasonable positions. 32 Section 6694(a) imposes penalties on paid preparers who prepare returns reflecting an understatement of liability due to an unreasonable position if the preparer knew (or reasonably should have known) of the position. No penalty is imposed, however, if it is shown that there is reasonable cause for the understatement and the preparer acted in good faith.

Tax Position Definitions

When it comes to the issue of whether or not a position is unreasonable or not, the following criteria must be included in the analysis:

1) More Likely Than Not: There is a greater-than-50% likelihood that the tax treatment will be upheld if the IRS challenges it. If a preparer is unsure that a position meets this standard, he may generally avoid penalties by disclosing the position on the return. However, a disclosure statement will not protect the preparer if the position is patently frivolous. The "more likely than not" standard must be used for tax shelters and reportable transactions.

2) Substantial Authority: The weight of authorities in support of a position is substantial in relation to the weight of authorities in opposition to the position; this is a higher level of certainty than a "reasonable basis."

3) Reasonable Basis: This is the minimum standard for all tax advice and preparation of tax returns.

Reasonable basis is a relatively high standard of tax reporting, that is, significantly higher than not frivolous or not patently improper. The reasonable basis standard is not satisfied by a return position that is merely "arguable," or that is merely a colorable claim. If a return position is reasonably based on one or more of the tax authorities, considering the relevance and persuasiveness of the authorities, and subsequent developments, the return position will generally satisfy the reasonable basis standard. For purposes of avoiding §6694 penalties, the reasonable-basis standard applies only if the relevant tax position is disclosed on the return or document so that the IRS is aware of a potential issue.

4) Unreasonable Position: In general, this is either a position without substantial authority or an undisclosed position without a reasonable basis.

5) Frivolous position: A position that is patently improper with no reasonable basis.

Adequate and appropriate disclosure can be normally made by using Form 8275, Disclosure Statement, (covered in more detail in the next section) which allows a preparer to disclose positions that do not have substantial authority, but still have a reasonable basis, assuming the position is not otherwise already disclosed on the return.

Example: Vicente is a nonresident alien and a citizen of Spain. He earns substantial royalties from a passive U.S. investment that he owns. Vicente would be subject to U.S. tax on the income "effectively connected" with the U.S. on this investment. The United States and Spain do have an income tax treaty in place.

However, Vicente's accountant is unsure if the royalties are subject to a special, lower tax rate based on the treaty. Vicente and the accountant decide that they have a reasonable basis to take a treaty-based return position, but it will be disclosed on Vicente's return. The accountant prepares Vicente's Form 1040-NR and attaches the Form 8275, explaining the position. No accuracy-related penalty will be imposed on any portion of an underpayment if Vicente can show that there was reasonable cause and that he acted in good faith.

Disclosure Statements

Circular 230 §10.34 specifies the use of disclosure statements in certain instances. A tax return that requires a disclosure to the IRS must include Form 8275, Disclosure Statement, or Form 8275-R, Regulation Disclosure Statement.

Form 8275 is used by taxpayers and preparers to disclose certain items or positions on a tax return. It is primarily used to avoid accuracy-related penalties so long as the return position has a reasonable basis, and the taxpayer (and the preparer) acted in good faith when taking the position. If the disclosure is made in good faith, the penalty for a substantial understatement of income tax or negligent disregard of rules or regulations may be avoided, even if the IRS later disallows the deduction or disagrees with the position.

However, Form 8275 cannot be used to avoid the portion of the accuracy-related penalty attributable to certain types of misconduct, including the following:

- Negligence

- Disregard of regulations
- Any substantial understatement of income tax on a tax shelter item A disclosure statement cannot be used by a preparer to avoid penalties if the position has no reasonable basis. Form 8275 is used for most disclosure matters. Form 8275-R is only used in limited circumstances when a taxpayer takes a position that runs contrary to Treasury regulations.

Example: Rochelle is an enrolled agent. She prepares a tax return for her client, Pavel, who is a selfemployed carpenter. Pavel would like to take an aggressive tax position in order to deduct a large travel expense, which may not have been deductible as a business expense. This large deduction on the return did not have a reasonable basis and was not disclosed. Pavel's return is later selected for audit, and the entire deduction is disallowed. Rochelle may be liable for a preparer penalty, and Pavel may be liable for an accuracy-related penalty.

Example: Hazel is an EA with a client who has a very complex tax situation. She notices that the IRS publications reflect one position, but there is a recent court case that may allow a more favorable position for her client. There are also two other similar cases being litigated, but the outcome of those cases is currently unknown. Hazel believes that the position has a 35% chance of prevailing on its merits. Hazel thinks that the client's position has a reasonable basis and decides to disclose the position on the tax return.

Even though the position is contrary to the IRS's current position, Hazel may take the position on the return, so long as it is disclosed. She must file Form 8275 along with the tax return stating the position and referencing the court case or any other basis she has for the position.

Example: Erick, a CPA, is hired to prepare a final tax return for a deceased individual. He receives a question from the executor about the deductibility of a particular expense. The IRS has no applicable guidance for the deduction, but there has been a recent court case where the taxpayer was allowed to claim a similar deduction. Thus, prior law supports a position favorable to the taxpayer. However, Erick's client is now deceased, and the executor's records are incomplete. The executor is certain that the expense can be ultimately deducted, but Erick believes that the deductibility of the expense is uncertain. Erick uses Form 8275, Disclosure Statement, to properly disclose the taxpayer's position. By filing Form 8275, Erick and his client can avoid the accuracy-related penalty if the IRS later disallows the expense.

2) Standards for Submission of Documents to the IRS

A practitioner may not advise a client to submit a document, affidavit, or other paper to the IRS:

- The purpose of which is to delay or impede the administration of the federal tax laws,
- That is frivolous, or
- That contains or omits information in a manner that demonstrates an intentional disregard of a rule or regulation, unless the practitioner also advises the client to submit a document that evidences a good faith challenge to the rule or regulation (such as a disclosure statement).

A practitioner may sign a return with a tax position that meets at least one of two standards:

- The position has a "reasonable basis" (for most positions), or
- The position is "more likely than not" to be sustained on its merits.

A practitioner must not knowingly sign a frivolous return. A frivolous position is defined as one that the practitioner knows is in bad faith and is improper.

The IRS considers a variety of positions to be frivolous when it comes to tax returns. Here are some examples of frivolous arguments that have gone before the U.S. Tax Court:

- Voluntary Income Tax System: Some taxpayers argue that filing a tax return or payment of federal income tax is voluntary and not compulsory. This is not true; the federal income tax system is not voluntary.
- Certain types of income: Some taxpayers argue that certain types of income, such as wages or military retirement pay, are not taxable. This is incorrect; these types of income are indeed subject to federal income tax.
- Sovereign citizen arguments: Some taxpayers argue that they are not a "citizen" or "person" as defined by the Internal Revenue Code, and thus are not subject to federal income tax laws.

Sovereign citizen arguments have no basis in law and have never been successful in any court.

- False Constitutional Claims: Some taxpayers refuse to pay income taxes on religious or moral grounds by invoking the First Amendment or argue that IRS summonses violate the Fourth Amendment protections against search and seizure. These arguments are also considered frivolous.

Example: Heidi is a tax preparer who prepares a Form 1040 for her client, Marceau, showing \$95,000 of wages and the appropriate tax due. Six months later, on behalf of the same client, she files an amended return, showing zero income, and requesting a full refund of the income taxes paid. Marceau attaches a signed statement to the return saying that "he is a sovereign citizen and not subject to income tax." The amended return is considered frivolous. Heidi signs the return as the preparer, because Marceau offered her a nice fee if she would prepare the return for him and sign it, believing it would add legitimacy to his frivolous tax position. The IRS flags the return and sends a notice, advising that the position reflected on the amended return was frivolous. The IRS can assert a penalty against Marceau, as well as Heidi, for the frivolous tax position (based on the U.S. Tax Court case: Kestin, 153 T.C. No. 2).

Example: Randall is an enrolled agent and is hired by a new client, Cassie, to file her tax return. During their initial interview, Cassie tells Randall that she believes the federal income tax system is purely voluntary. Cassie insists that she should not have to pay taxes. Despite Randall's explanation of the laws and consequences of not complying with them, Cassie remains firm in her position. She wants Randall to file a return with all the income zeroed out. As an ethical practitioner, Randall refuses to file a frivolous return and tells Cassie he cannot prepare her return unless she complies with the law. By doing so, he upholds his Circular 230 obligations by not participating in such actions.

3) Advising Clients on Potential Penalties

A practitioner is required to inform a client of any penalties that are reasonably likely to apply to a position taken on a tax return if:

- The practitioner advised the client concerning the position, or
- The practitioner prepared or signed the tax return.

The practitioner must also inform the client of any opportunity to avoid penalties by disclosing the position and the requirements for adequate disclosure. This rule applies even if the practitioner is not subject to an IRC penalty related to the position, or the document or tax return submitted.

4) Reliance on Information from Clients

When preparing income tax returns, a practitioner is not required to verify all the information furnished by their clients. In general, a practitioner:

- May rely on, in good faith, the information that a client provides.
- Should not ignore the implications of the information.
- Should make reasonable inquiries if the information appears to be incorrect, inconsistent, or incomplete.

Example: Shayne is an EA who conducts an interview with his new client, Tameka. She states she made a \$50,000 charitable contribution of valuable artwork during the year. Shayne believes Tameka and does not even ask her for a receipt. However, Tameka is lying, and Shayne fails to make reasonable inquiries to Tameka about the contribution. He does not ask about the existence of a qualified appraisal, and he does not complete an IRS-required substantiation form. Shayne includes the deduction for the charitable contribution on Tameka's tax return, which results in an understatement of tax liability. Tameka's return is later audited, and the charitable deduction is disallowed. Shayne is in violation of §10.34 and, in addition, would be subject to a preparer penalty for his negligence.

Example: Jennie works as an EA, and her client, Emilio, divorced many years ago, but is still paying alimony to his ex-wife. Emilio claims to have paid \$29,000 in deductible alimony over the year. However, based solely on Emilio's statement, Jennie cannot confirm if the \$29,000 qualifies as deductible alimony. Payments to a former spouse could be partially or entirely classified as child support or family support, which have different tax implications than alimony. It is Jennie's responsibility to ask relevant questions to determine if the payment is truly alimony. She also requests Emilio to provide a copy of his divorce decree to review the details of his divorce agreement that pertain to alimony.

Example: Oleg is an enrolled agent, and his client's name is Carmen. Carmen wants to claim her 5-year-old niece, Sofia, on her tax return, and claim the Earned Income Tax Credit and the Child Tax Credit for the child. Carmen tells Oleg that Sofia lived with her all year long. However, Oleg prepared the return for Sofia's parents last week, and he knows that Sofia lived with her parents all year. In preparing Carmen's return, Oleg cannot ignore what he knows about Sofia's residency.

Reporting Requirements for Tax Shelter Activities

Certain types of tax shelter activities must be reported to the IRS. A reportable transaction, also sometimes called a listed transaction, is one that the IRS has determined has the potential for tax avoidance or evasion.

The rules for reportable transactions apply to all individuals and entities (including trusts, estates, partnerships, and corporations). Form 8886, Reportable Transaction Disclosure Statement, must be attached to a taxpayer's return for any year that the taxpayer participates in this type of tax shelter.³³ A separate statement must be filed for each reportable transaction. A taxpayer may request a ruling from the IRS to determine whether a transaction must be disclosed. The fact that a tax shelter transaction must be reported on this form does not necessarily mean the IRS will disallow its tax benefits.

The penalty is 20% of the reportable transaction understatement when taxpayers adequately disclose their participation. The penalty is increased to 30% when the taxpayer does not adequately disclose participation in the transaction. In addition to the 30% understatement of tax penalty, a civil penalty of 75% of the reduction of tax associated with the reportable transaction may be imposed, with a minimum penalty of \$10,000 (\$5,000 if the taxpayer is an individual) and a maximum penalty as high as \$200,000 (\$100,000

if the taxpayer is an individual), pursuant to IRC section 6707A(b).

It's important to note that even if taxpayers disclose their tax shelter activities, they may still face a 20% penalty on any understatement of tax if the IRS later audits the return and disallows the tax shelter transaction.

Example: Audrey, a successful author, participates in an offshore trust in Guam. The Guam Trust was aggressively marketed to her as a wealthy individual, purporting to protect her assets and minimize her tax liability. Despite promises of tax-free income, the IRS identifies the trust as an abusive tax shelter and a listed transaction for potential tax avoidance. The IRS audited the promoter of this trust scheme and deemed it to be an abusive tax shelter transaction. Audrey did not disclose her involvement in the trust on her individual return. As such, she may be liable for a 30% understatement of tax penalty, in addition to a 75% civil penalty because of this abusive tax shelter scheme.

Example: Alfonso is a successful entrepreneur who has recently sold his tech startup for a significant amount of money. He wants to minimize his tax liability, so he invests in a limited partnership that claims to be involved in research and development. The partnership promises substantial tax deductions to its investors and that no loss limitation rules apply to any of the partners in this partnership. However, the partnership is actually a tax shelter that inflates its expenses to provide its investors with false deductions.

Alfonso receives a Schedule K-1 from the partnership showing his share of the inflated expenses, which he then uses to deduct large losses on his personal tax return. The IRS later identifies the partnership as a tax shelter due to its potential for tax avoidance. As a participant, Alfonso was required to report his involvement to the IRS, but he did not. The deductions on Alfonso's return were later disallowed under audit. Since Alfonso did not adequately disclose his participation in this tax shelter, the penalty is 30%, which will be added to any other penalties the IRS can assess. 33 Abusive tax shelters and abusive trust schemes will try to hide the true ownership of assets and income or to disguise the substance of transactions. When the IRS identifies a promoter of an abusive trust or an abusive tax shelter, the IRS will request a list of the promoter's clients through legal means, such as a judicial subpoena.

Firm Compliance Procedures §10.36 Circular 230 §10.36 was rewritten to address the measures a firm must take to ensure compliance with all provisions of Circular 230. A practitioner (or practitioners, if the duty is shared) who oversees a firm's practice must ensure adequate procedures are in place for every member, associate, or employee to comply with the requirements specified in Circular 230.

If a firm hasn't designated an individual with main authority over the practice, the IRS may appoint one or more practitioners responsible for meeting the §10.36 compliance obligations.

A practitioner who fails to take reasonable measures to ensure their firm implements adequate procedures to meet Circular 230 requirements could face disciplinary actions. They may also be penalized if they are aware of a pattern of noncompliance by other firm members and do not swiftly address the issue.

Example: Blaine and William are both CPAs, and they are partners in an accounting practice and prepare hundreds of tax returns every year. After reviewing a few business returns that William has prepared, Blaine thinks that his business partner, William, might be advising his clients to take credits for which they do not qualify. Blaine decides to say nothing and does not confront William about his suspicions. If the firm is later audited by the IRS, Blaine may be sanctioned by the IRS for William's negligent or reckless actions.

Example: Catherine is an enrolled agent working for a tax practice. Catherine knows that her coworker, Leandro, is filing fraudulent EITC claims, but Catherine does not want to make a fuss, so she says nothing.

Later, the entire firm is audited by the IRS for improper claims. Catherine can be subject to sanctions because she knew that other members of the firm were committing EITC fraud, and she did not report the illegal activity.

Study Unit 5: Study Questions

(Test yourself and then check the correct answers at the end of this chapter.)

1. When should a practitioner not rely on the advice of another person? a) When the advice is reasonable, and the reliance is in good faith. b) When the person is competent in providing the advice. c) When the person has a conflict of interest in the tax matter. d) When the practitioner has a professional relationship with the other person.
2. Joshua, an enrolled agent, is required to inform Nancy, his client, of any potential penalties that may apply to a position taken on her tax return if: a) Nancy decides to self-prepare the return. b) Joshua gave Nancy advice on the position. c) The IRS currently has one of Nancy's prior-year returns under examination. d) Nancy is deceased.
3. In the "standard of review" section of Circular 230, the IRS will evaluate whether a practitioner has complied with the written advice rules of §10.37 by applying a _____ standard. a) "Substantial authority" b) "More likely than not" c) "Reasonable authority" d) "Reasonable practitioner" 4. Under Circular 230, what is the responsibility of a practitioner who oversees a firm's tax practice? a) To ensure the firm has adequate procedures in place to ensure compliance with all provisions of Circular 230. b) To appoint another practitioner in the firm to monitor the compliance of other employees. c) To review the personal tax filings of all employees of the firm to make sure they comply with Circular 230. d) To make sure that every employee is an enrolled practitioner.
5. A penalty may be assessed on any tax preparer who: a) Gives advice (written or oral) to a taxpayer or to a preparer not associated with the same firm. b) Signs a return with an undisclosed position without a reasonable basis. c) Prepares and signs a tax return or claim for refund for a nonresident alien. d) Represents a member of their own family before the IRS.
6. Layla is the owner of a tax practice that employs several tax preparers. Under Circular 230, which of the following could lead to disciplinary action against Layla? a) Layla does not take reasonable steps to ensure the firm has adequate procedures in place to comply with Circular 230 requirements. b) One of Layla's former employees starts their own tax firm and the former employee engages in noncompliance with Federal tax law. c) Layla discovers noncompliance but takes prompt action to correct the issue within the firm. d) One of Layla's clients, Robert, has his business tax return audited by the IRS. He decides to handle the audit on his own without hiring Layla's firm to represent him. While doing so, Robert does not deal honestly with the IRS.
7. Violeta is an EA with a client, Maximo, who wishes to claim a deduction for a large business expense. However, there is a question about whether the expense is "ordinary and necessary" for his business. If the deduction were later disallowed, there would be a substantial understatement of tax. Violeta believes the position has a reasonable basis, but not substantial authority. Maximo does not want to disclose the position on the return, because he is afraid that the IRS will disallow it. What are the repercussions for Violeta if the position is not disclosed and she signs the tax return? a) Violeta has no repercussions, as all the penalties would apply to the client. b) Violeta may be liable for IRC §6694 preparer penalties. c) Violeta will not be liable for preparer penalties if she explains the potential penalties to the client. d) Violeta may be

liable for a failure-to-file penalty for filing a false return.

8. A practitioner cannot sign: a) A tax return for a family member. b) A tax return that they have prepared for free. c) A tax return with a properly disclosed tax shelter position. d) A tax return with a frivolous position.

9. Ryan is an EA with a client named Hannah, who has had significant income from a partnership for the past five years. However, Ryan did not see a Schedule K-1 from the partnership among the information Hannah provided to him this year. What do the Circular 230 due diligence provisions require Ryan to do?

a) Ryan needs to inquire with Hannah regarding the possibly missing Schedule K-1. b) Attempt to estimate the taxable amount that would be reported as income on Schedule K-1 based on last year's Schedule K-1 and include that amount on Hannah's return. c) Call Hannah's financial advisor and ask him about Hannah's investments. d) Nothing, because Ryan is required to rely only on the information provided by his client, even if he has reason to believe the information may not be accurate.

10. Glenn is an EA who prepares income tax returns for his clients. One of his clients submits a list of expenses to be claimed on Schedule C of the return. Glenn is required to do which one of the following? a) Glenn is required to independently verify the client's information. b) Glenn can ignore the implications of information known by him. c) Glenn must audit the client's financial statements. d) Glenn must make appropriate inquiries to determine whether the deductions are correct.

Glenn is required to independently verify the client's information. b) Glenn can ignore the implications of information known by him. c) Glenn must audit the client's financial statements. d) Glenn must make appropriate inquiries to determine whether the deductions are correct.

11. Jonathan is an enrolled agent, and Janice is his client. What type of written advice would not be permitted under Circular 230? a) An email to Janice about tax advice for a potential business that has not been created. b) Advice from Jonathan about the likelihood of getting audited by the IRS for a particular deduction. c) Advice from Jonathan based on recently-released IRS regulations. d) A formal written opinion about potential tax shelter activities.

Study Unit 5: Question Answers

1. The answer is C. The revised §10.37 of Circular 230 details the current standards for written tax advice.

Similar to the provisions in §10.22, §10.37 says a practitioner may rely on the advice of another person, so long as the advice is reasonable and the reliance is in good faith. However, reliance is not reasonable when the practitioner knows (or reasonably should know) that:

- The opinion of the other person should not be relied on,
- The other person is not competent, or lacks the necessary qualifications to provide the advice, or
- The other person has a conflict of interest in violation of the rules.

2. The correct answer is B. According to IRS regulations, Joshua must inform Nancy of any penalties that are reasonably likely to apply to a position taken on her tax return if:

- He advised Nancy with respect to the position, or
- He prepared or signed the tax return.

3. The answer is D. In Circular 230, a "standard of review" paragraph was added that establishes the basis that the IRS will use to evaluate whether a practitioner has complied with the written advice rules of §10.37. It applies a "reasonable practitioner" standard, with all facts and circumstances considered. The scope of the engagement and the type and specificity of the advice sought by the client will also be considered.

4. The answer is A. Under §10.36, a practitioner (or practitioners, if the duty is shared) who oversees a firm's practice must ensure adequate procedures are in place for every member, associate, or employee to comply with the requirements specified in Circular 230. A practitioner who does not take reasonable steps to ensure the firm has adequate procedures in place may face disciplinary action or sanctions if he knows of other members of the firm who are engaging in a pattern of noncompliance, and he fails to take prompt action to correct the noncompliance.
5. The answer is B. A penalty may be assessed on any preparer who signs a return with an undisclosed position without a reasonable basis. No penalty will be imposed if the preparer can show that there is reasonable cause for the understatement and the position was adequately disclosed.
6. The answer is A. As an owner of a tax firm, and an employer of preparers, Layla may face disciplinary action if she does not take reasonable steps to ensure the firm has adequate procedures in place to comply with Circular 230 requirements.
7. The answer is B. If the return does not adequately disclose the position and the IRS later examines the return, Violeta may be subject to a preparer penalty. The disclosure form is filed to avoid the potential for penalties due to disregard of rules regarding the substantial understatement of income tax.
8. The answer is D. A tax return preparer cannot sign a frivolous tax return, even if the return has a disclosure. A frivolous position is defined as one that the preparer knows is in bad faith or is improper.
9. The answer is A. Ryan needs to inquire with Hannah regarding the possibly missing Schedule K-1 and ask relevant questions to grasp the details of the situation. If a practitioner suspects their client has failed to comply with tax laws or has made a mistake or left something out of any return, document, affidavit, or other necessary paperwork, they are obligated to promptly inform the client about the noncompliance, mistake, or omission.
10. The answer is D. Glenn must make appropriate inquiries to determine whether the deductions are correct. A practitioner is not required to independently examine evidence of deductions. He may rely in good faith, without verification, upon information furnished by the taxpayer if it does not appear to be incorrect or incomplete. However, the practitioner must make reasonable inquiries about the validity of the information.
11. The answer is B. Jonathan cannot offer advice to Janice about the chances her tax return will be chosen for audit. When issuing written advice, a practitioner is expressly prohibited from taking into consideration the chances that a tax return may or may not be audited, or that a particular matter may or may not be raised during an audit.

Study Unit 6: Due Diligence for Refundable Credits and HOH Filing Status

Study Unit

Due Diligence for Refundable Credits

and HOH Filing Status

More Reading

- Publication 596, Earned Income Credit
- Publication 4687, Paid Preparer Due Diligence
- Publication 5713, Due Diligence Interviews Every year, tax preparers handle more than half of the tax returns that claim the Child Tax Credit (CTC), Additional Child Tax Credit (ACTC), Earned Income Credit (EITC), and/or American Opportunity Tax Credit (AOTC). The IRS estimates that one in four of these claims is incorrect, resulting in billions of dollars in erroneous refunds being paid out annually. The IRS has strict requirements for due diligence when it comes to these credits, including the Child Tax Credit and American Opportunity Credit.

With the enactment of the Tax Cuts and Jobs Act (TCJA), and its permanent extension under the One Big Beautiful Bill Act (OBBBA), key provisions related to family and dependent credits — such as the Child Tax Credit and the nonrefundable Credit for Other Dependents (ODC) — were preserved. Because these credits continue to be widely claimed and frequently subject to error, the IRS requires paid preparers to apply full due diligence standards when determining eligibility for the ODC and for Head of Household (HOH) filing status. These requirements form part of the Form 8867 due diligence framework and remain an active enforcement priority. Preparers must also verify that any qualifying child claimed for the Child Tax Credit (CTC) or Additional Child Tax Credit (ACTC) possesses a valid Social Security number, as required under the TCJA provision made permanent by OBBBA. Paid preparers must meet four additional due diligence requirements on returns with these claims or face possible penalties. Errors can delay the taxpayer's refund or can lead to a rejection of the credits listed on the return. Employers may also face penalties if their employees fail to exercise proper due diligence.

Due Diligence Requirements

There are four due diligence requirements for each EITC, CTC/ACTC/ODC, AOTC, and/or HOH filing status claim prepared. A preparer is required to:

- 1) Complete and submit Form 8867: The Paid Preparer's Due Diligence Checklist, must be included for each EITC, CTC, ACTC, ODC, AOTC, and/or HOH filing status claim prepared.
- 2) Compute the Credit: The preparer must complete and keep all worksheets used to compute the credit or complete the computations using similar worksheets and make sure to keep records showing the information used and how computations were made.
- 3) The Knowledge Requirement: Preparers must apply the "knowledge requirement" — the preparer must be knowledgeable and not know (or have reason to know) any information used to determine a client's eligibility for the EITC, CTC, ACTC, ODC, AOTC, and/or HOH filing status is incorrect.

4) Keep Records for Three Years: If a client provides records (such as birth certificates) and the preparer uses these records to determine eligibility for head of household filing status, or eligibility for or the amount of the EITC, CTC/ACTC/ODC or AOTC, the preparer must keep a copy of the records. A preparer may keep records in either a paper or electronic format.

Note: For the EA exam, you should memorize the four "due diligence" compliance requirements that apply to tax preparers with regard to these specific refundable claims, as well as for the head of household filing status. You may be asked several questions about this topic.

Requirement 1) Form 8867, Paid Preparer's Due Diligence Checklist

Form 8867, Paid Preparer's Due Diligence Checklist, includes several mandatory questions that preparers must ask taxpayers in order to comply with due diligence requirements.

A Form 8867 must be completed for each EITC, CTC/ACTC/ODC, AOTC, and/or HOH filing status claim prepared, every year, without exception. Form 8867 is also used by a preparer to identify the documents that the taxpayer provided and that the preparer used to determine credit eligibility. When establishing the residency of qualifying children, the preparer must specify if they relied on documents such as school records, medical records, or social service records.

Similarly, when determining the disability status of a qualifying child, a preparer must specify if they relied on documents from a doctor, other healthcare provider, or social services agency. If a Schedule C is included with the tax return, the preparer must clearly state if they determined eligibility for any credits by using documents provided by the taxpayer related to their business. These could include a business license, Forms 1099, records of income and expenses, or bank statements.

Example: Arun is a tax preparer who is preparing the return for Bernice, a self-employed individual who runs her own design business. Bernice does not have children, but she wants to claim her elderly mother, Florence, as a dependent. Bernice's mother lives with her, and Bernice provides more than half of her mother's support. Bernice wants to claim Head of Household (HOH) filing status, as well as the Other Dependent Credit (ODC). Arun asks Bernice for documents to verify her business, including a copy of her business license, 1099 forms, and bookkeeping records. Arun also asks Bernice for documents that can prove her mother lives with her. This could be a letter or bill addressed to her mother at Bernice's address.

This is part of his due diligence as a tax preparer to ensure her claims are supported by proper documentation, and the information will be included in Form 8867.

It should be noted that preparers are not always obligated to request proof of relationship and residency for a qualifying child before submitting a claim for a refundable credit. However, paid preparers should ask for additional documentation if the information provided by the client seems incorrect, inconsistent, or incomplete.

Example: Collin is an EA. His new client, Delia, 62, wants to claim her son, Ernest, who is 32, as a dependent. She also wants to claim the Earned Income Tax Credit and the Child for Other Dependents t for her son. Since Ernest is beyond the normal age limit for these credits, Collin makes reasonable inquiries, and Delia produces a doctor's statement that says Ernest is severely disabled and incapable of self-care. Therefore, Delia may claim her son as a dependent, and the credits will be allowed regardless of Ernest's age.

Collin has fulfilled his due diligence requirements by conducting a thorough interview with his client, including asking enough questions to understand an individual tax situation, documenting the answers,

and seek- -ng appropriate supporting evidence. He completes his due diligence requirements by submitting Form 8867 to the IRS. He retains copies of the supporting evidence in his records.

Requirement 2) Compute the Credits on the Required Worksheets

Most tax preparation software will compute these credits automatically on worksheets within the actual software program. Still, the IRS emphasizes that using software is not a substitute for knowledge of the law. A tax preparer must complete the applicable worksheets from the instructions for Form 1040 (or complete documents with the same information). The worksheets show what to consider in the computation.

The preparer must retain the records showing how they did the computations.

Requirement 3) Apply the Knowledge Requirement

IRS regulations specify due diligence requirements and set a "performance standard" for the knowledge requirement for all EITC, CTC, ACTC, ODC, AOTC, and HOH returns: what a reasonable and well-informed tax return preparer, knowledgeable in the law, would do.³⁴ The IRS assesses more than 90% of all due diligence penalties for failure to comply with the knowledge requirement of IRC §6695. Under the "knowledge requirement," a preparer must:

- Apply a common-sense standard to the information provided by the client.
- Evaluate whether the information is complete and gather any missing facts.
- Determine if the information is consistent; recognize contradictory statements and statements the preparer knows are false.
- Conduct a thorough, in-depth interview with every client every year.
- Ask enough questions to reasonably know the return is correct and complete.
- Document in the file any questions asked and document the client's responses.

Example: Norman is an EA. His client, Ayanna, states that she is separated from her spouse. Her dependent son is 12 years old and lives with her. Ayanna wants to claim the EITC and file as head of household. In reviewing his client's records, Norman notes that Ayanna earns a minimal income, which appears insufficient to support a household. As the preparer, Norman must ask appropriate questions to determine Ayanna's correct filing status, determine how long the child lived with each parent during the year, and probe for any additional sources of income. He must interview her thoroughly and document her answers. He must also fill out Form 8867, Paid Preparer's Due Diligence Checklist, and complete the EITC worksheet. After asking various questions, Ayanna discloses that she receives substantial child support, which is not taxable or reportable on the return. She also receives food stamps and other public benefits, which also help support her son. Food stamps are also not taxable. Norman notes this information in his work papers and is now more confident that he can prepare Ayanna's return accurately.

Example: Ezekiel is an enrolled agent, and Geneva is his new client. Geneva wants to claim the EITC as well as the AOTC. She has two qualifying children, ages 17 and 18, who both attend a local community college. Geneva tells Ezekiel she had a Schedule C business and earned \$12,500 in self-employment income, but that she had no business expenses. This information appears incomplete because it would be unusual for someone who is self-employed to have no business expenses. Ezekiel is required to ask reasonable questions to determine if Geneva's business actually exists and if the information about Geneva's income and expenses is correct. Ezekiel must submit Form 8867 to the IRS and keep copies of any documents Geneva provides, along with a record of the specific questions he asked and Geneva's

responses, for at least three years.

Example: Amanda is an EA. A new client, Brandon, who is unmarried and 26 years old, wants to claim two boys, aged 14 and 15, as qualifying children for the EITC and Child Tax Credit. Amanda is initially concerned about the age difference between Brandon and the children. After asking more questions, Amanda learns that the boys are distant relatives whom Brandon legally adopted from foster care, clearing up the age discrepancy. She then fills out the applicable IRS worksheets for both the EITC and the CTC, as well as Form 8867, and submits Form 8867 to the IRS. Amanda keeps copies of these documents, along with the adoption records Brandon provides and notes from her interview with him, for three years. By doing so, Amanda fulfills her due diligence obligations. 34 Treasury Regulations give more examples of the application of the knowledge requirement.

Requirement 4) Preparer Recordkeeping Compliance Requirements

A preparer must retain records of how they determined the taxpayer's eligibility for these refundable credits and the Head of Household filing status. This includes any worksheets or electronic records used to make these determinations. The preparer also must keep copies of any documents provided by the taxpayer that were used to determine eligibility for the credit or the amount of the credit. This includes, but is not limited to, W-2 forms, 1099 forms, expense receipts, school records, etc. A preparer must retain the following five records for each claim: 1) Form 8867, Paid Preparer's Due Diligence Checklist.

2) The applicable worksheet(s) for EITC, CTC/ACTC/ODC, and AOTC claimed on the return.

3) Any documents or other written proof relied on to complete the Form 8867 or to determine eligibility for any refundable credit or, if applicable, to the taxpayer's eligibility for Head of Household filing status.

- A record of how, when, and from whom the information used to prepare Form 8867 and the applicable worksheets was obtained
- Any record of any additional information that you relied upon, including questions you asked the taxpayer and the taxpayer's responses, to determine eligibility for and the amount of the credits.

Example: Emran has completed Tahira's tax return. Tahira is a widowed mother of two children, and she is claiming multiple refundable credits, including the EITC, ACTC, and AOTC. Emran does a thorough interview and carefully documents all of Tahira's answers. All of Tahira's responses seem reasonable and truthful.

Once he has completed the return, including Form 8867, he follows the preparer recordkeeping compliance requirements by keeping copies of all relevant documents in a secure and accessible location. This not only protects Emran's practice but also safeguards Tahira from any potential IRS issues.

It is necessary for the preparer to retain all these records for a minimum of three years from the latest of the following dates:

- The due date of the tax return (not including any extension).
- The date the tax return was filed (if you are a signing tax return preparer electronically filing the return).
- The date the return was presented to the taxpayer for signature (if you are a signing tax return preparer not electronically filing the return).
- The date you submitted your portion of the tax return (as a non-signing preparer) to the signing tax return preparer.

The records must be retained in either paper or electronic format, and they must be produced on-demand if an IRS field auditor asks for them.

Penalties for Failure to Exercise Due Diligence

The penalties for preparers failing to exercise due diligence with refund claims can be severe. Taxpayers also face consequences for not complying with the due diligence rules. If the IRS examines a taxpayer's return and disallows all or part of an EITC, AOTC, CTC/ACTC, ODC or Head of Household claim on a return, the taxpayer:

- Must pay back the amount in error with interest,
- May need to file Form 8862, Information to Claim Certain Credits After Disallowance
- Cannot claim the credit for the next two years if the IRS determines the error is because of reckless or intentional disregard of the rules, or
- Cannot claim the credits for the next ten years if the IRS determines the error is because of fraud.

For returns filed in 2026 (2025 tax year returns), tax preparers face a penalty of \$650 for each failure to comply with due diligence requirements. The penalty was \$635 per failure for tax returns filed in 2025 (2024 tax year).

This penalty applies per credit and per filing status. While there is no overall maximum dollar penalty amount for a preparer across all their clients, the maximum penalty that can be assessed on a single tax return is \$2,600 (\$650 for each of the four possible categories of failure: the EITC, the CTC/ACTC/ODC group, the AOTC, and HOH filing status).

Further, if the IRS examines a taxpayer's claim and it is determined that the preparer did not meet all four due diligence requirements, the preparer can be subject to penalties even beyond the usual penalty for each failure to comply. If a preparer receives a return-related penalty, they may also face:

- Disciplinary action by the OPR.
- Suspension or expulsion from the IRS e-file program.
- Injunctions barring the practitioner from preparing tax returns in the future.

The IRS has streamlined procedures for faster referrals to the U.S. Department of Justice to prevent preparers from making fraudulent refund claims. These preparers could be permanently or temporarily barred from all types of federal tax preparation.

The Most Common Errors on Refundable Claims

These three issues account for more than 60% of the errors on refundable claims:

1) Claiming a Child Who is Not a Qualifying Child: To avoid this error, tax preparers should thoroughly verify the relationship, age, residency, and joint return test for each child claimed on the return. This could involve asking for birth certificates, school records, or other documents that prove the child's relationship and residency.

2) Married Taxpayers Claiming the EITC Without Filing a Joint Return: Married taxpayers generally must file a joint return to claim the EITC. However, a married taxpayer filing separately may still qualify if they have a qualifying child who lived with them in the United States for more than half the year, and the taxpayer either lived apart from their spouse for the last six months of the year (even if not legally separated), or is legally separated and did not live with their spouse at the end of the year. Tax preparers

should confirm the taxpayer's marital status and understand the rules for separated spouses to avoid this error.

3) **Income-Reporting Errors:** To avoid income-reporting errors, tax preparers should ensure all income is reported accurately. This includes not only W-2 income but also any self-employment income, investment income, and other types of income. Preparers should ask for all relevant income documents and cross-check the reported income with these documents. In some cases, a self-employed taxpayer may say they had no expenses when it is not reasonable to conduct the business without incurring expenses, or conversely, their business expenses may seem unreasonably high. If the information provided by the client appears to be incorrect, incomplete or inconsistent, the preparer may need to ask probing questions and document those to determine the correct facts.

Another common method of fraud is the "borrowing" or "selling" of dependents. Unscrupulous tax preparers will "share" one taxpayer's qualifying child or children with another taxpayer in order to allow both to claim the EITC. Any taxpayer who is claiming the EITC must have a Social Security number that is valid for employment purposes.

Example: Herbert is a single dad who has four children that he can claim as dependents, but he only needs the first three children to receive the maximum EITC amount. Herbert hires an unscrupulous preparer, who lists the first three children on Herbert's return and lists the other child on another return. The preparer and Herbert are "selling" the dependents and will then split a fee or split the refund. This is an example of tax fraud that involves both the preparer and the taxpayer.

Example: Susan is an enrolled agent. Her new clients, Michelangelo and Mila, come into Susan's office.

They are married and both are 27 years old. Their seven-month-old son, Erik, was born in the U.S. and has lived with them since birth. Mila does not work because she is caring for their newborn. Michelangelo's Form W-2 shows earnings of \$21,000. Michelangelo and Mila's social security cards bear the words "VALID FOR WORK ONLY WITH DHS AUTHORIZATION." Michelangelo and Mila tell Susan that they obtained green cards in the previous year. Susan inspects their Social Security cards, and the cards appear to be valid. Therefore, Michelangelo and Mila would be eligible to claim the EITC if they meet the other eligibility requirements.

The Most Common Errors on the AOTC

The American Opportunity Tax Credit (AOTC) is a partially refundable credit available for clients who pay post-secondary education expenses. The maximum annual credit is \$2,500 per eligible student. It is calculated as: 100% of the first \$2,000 of qualified education expenses paid for each eligible student, and 25% of the next \$2,000 of qualified education expenses paid for that student. The most common errors for the AOTC are:

1) **Not Attending an Eligible Educational Institution:** The AOTC is for post-secondary education only, which may include education at a college, university, or technical school. The school must also be eligible to participate in a student aid program administered by the U.S. Department of Education.

Example: Loren is a full-time student at a nontraditional college, studying alternative medicine and astrology. Although she is enrolled in a degree program, the college is not accredited and therefore ineligible to participate in the U.S. Department of Education student aid program. Since the college is not a qualifying institution, Loren's tuition is not a qualifying educational expense for the purposes of the AOTC.

2) Claiming Non-Qualifying College Expenses: To be eligible, the educational costs must be paid (or considered paid) by the taxpayer, their spouse, or a dependent listed on the tax return. Eligible expenses include college tuition, necessary enrollment fees, and course materials. The following expenses do not qualify for the AOTC:

- Insurance of any type, including health or car insurance.
- Medical costs (even mandatory student health fees).
- Room and board.
- Transportation.
- Sports, games, hobbies, or non-credit courses.
- Any personal, living, or family expenses.

These expenses remain as nonqualifying expenditures for the AOTC, even if they are required by the college for enrollment or attendance.

3) Claiming the AOTC for more than Four Years: The AOTC can only be used for a maximum of four years towards post-secondary education expenses. A taxpayer is limited to claiming the credit for four tax years total. If a taxpayer (or if claimed as a dependent, their parents) has already claimed the credit for more than four years, it cannot be claimed again.

Example: Ariella is an enrolled agent. She interviews Harley, a 27-year-old client who states that he's a full-time college student and would like to claim the AOTC. He provides a Form 1098-T, Tuition Statement, showing \$6,000 paid for tuition at a qualifying institution. The Form 1098-T is a good indicator that Harley is eligible for the AOTC, but Ariella must ask more questions to determine eligibility. Harley states that he does not have a bachelor's degree yet, because he switched majors last year. He has been an undergraduate student for five years. Since a taxpayer can only claim the AOTC for four tax years, Harley is likely ineligible to take the AOTC on his current year return. He may be eligible for the Lifetime Learning Credit.

Note (2026 Tax Law Look-Ahead): Under the One Big Beautiful Bill Act (OBBBA), stricter identification rules will apply to education credits beginning in tax year 2026. To claim the American Opportunity Tax Credit (AOTC) or the Lifetime Learning Credit (LLC) for 2026 and later years, the taxpayer, spouse (if filing jointly), and the student must all possess valid Social Security numbers. ITINs and ATINs will no longer satisfy the identification requirement for these credits after 2025.

The Most Common Errors on the Child Tax Credit (CTC/ACTC)

The Child Tax Credit is a tax credit that provides up to \$2,200 for each child claimed with attached Schedule 8812. In order to be eligible for the credit, the dependent must be younger than 17 years old and have a valid Social Security number. The most common errors for this credit are:

- 1) Claiming a child who does not meet the age requirement: The child must be under the age of 17 at the end of the year. There are no exceptions to this rule. Errors can occur if taxpayers claim the credit for a child who is too old. This is a common error because taxpayers may not realize that the age limit for the Child Tax Credit is different from the age limit for claiming a qualifying child dependent.
- 2) Claiming a child who does not meet dependency requirements: The child must be claimed as a dependent on the client's return and meet all the eligibility rules for a dependent.

3) Claiming the credit for a child who does not meet the residency requirement: The child must be a U.S. citizen, U.S. national, or a U.S. resident alien, and the child must have lived with the taxpayer for more than half the year.

4) Children with an ITIN: If the qualifying child has an ITIN, the child does not qualify for the Child Tax Credit. However, a child with an ITIN may still qualify the taxpayer for the \$500 Credit for Other Dependents (ODC).

To avoid these errors, it's important for preparers to carefully review the rules for the CTC and to doublecheck all information on the tax returns they prepare.

Example: Maria has one child named Hugo, who is 16 years old. He was born in Mexico and lives with her in the U.S. Hugo does not have a Social Security Number (SSN), but he has an Individual Taxpayer Identification Number (ITIN) that Maria obtained for him. Maria hires an enrolled agent, Mohammed, to help prepare her tax return. She tells Mohammed that she wants to claim the Child Tax Credit (CTC) for her son, Hugo. Mohammed, being aware of the tax laws, informs Maria that unfortunately, she cannot claim the CTC for Hugo because he has an ITIN, and the Child Tax Credit requires that the child have an SSN. He offers to prepare her tax return correctly, following all current tax laws, and informs Maria that she can instead claim the \$500 Credit for Other Dependents (ODC) for Hugo. Maria agrees, and Mohammed accurately prepares her return without claiming the CTC.

The Most Common Errors on the Credit for Other Dependents (ODC) The credit for other dependents (ODC) is a \$500 per qualified dependent nonrefundable tax credit. Unlike the Child Tax Credit, the dependent does not have to have an SSN for the taxpayer to claim the ODC (a timely issued ITIN or ATIN is acceptable).

A qualifying dependent is a person who meets all of the following conditions.

- The person is claimed as a dependent on the taxpayer's return. The dependent must meet the requirements to be considered a qualifying relative or qualifying child based on specific tests.
- The CTC or ACTC are not being claimed for the person.
- The person is a U.S. citizen, U.S. national, or U.S. resident alien.

The most common errors for this credit are:

1) Assuming that any dependent with an ITIN or ATIN qualifies for the ODC. While a dependent does not need an SSN to qualify for the ODC, the dependent still must be a U.S. citizen, U.S. national, or U.S. resident alien.

2) Claiming the ODC for a dependent for whom the CTC/ACTC has already been claimed:

The ODC cannot be claimed for a person for whom the CTC/ACTC has already been claimed.

Example: Cruz is a legal resident alien (a green card holder) who supports his elderly mother, Rosario, and his 10-year-old niece, Dulce. His niece and mother both live in Mexico and qualify as his dependents, because he provides all their financial support. However, his niece and his mother are not U.S. citizens, U.S. nationals, or U.S. resident aliens. They also do not have Social Security Numbers or ITINs. Cruz cannot use his mother or his niece to claim ODC, because they do not meet the residency requirement for the ODC.

Study Unit 6: Study Questions

(Test yourself and then check the correct answers at the end of this chapter.)

1. Which of the following is NOT a credit for which the IRS specifies additional due diligence requirements for preparers? a) Earned Income Tax Credit b) Child Tax Credit c) Additional Child Tax Credit d) Energy Efficient Home Improvement Credit
 2. What is the "performance standard" set by IRS regulations for all EITC, CTC, ACTC, ODC, AOTC, and HOH returns? a) What a reasonable and well-informed tax preparer, knowledgeable in the law, would do. b) What a reasonable and well-informed taxpayer, knowledgeable in the law, would do. c) What a reasonable and well-informed IRS agent, knowledgeable in the law, would do. d) What a reasonable and well-informed accountant, knowledgeable in the law, would do.
 3. All of the following are potential penalties for a preparer who files fraudulent refund claims except: a) Suspension or expulsion from IRS e-file. b) Criminal prosecution by the OPR. c) A ban from preparing tax returns. d) A preparer penalty.
 4. All of the following are due diligence requirements except: a) To evaluate the information received from the client. b) To apply a consistency and reasonableness standard to the information. c) To verify the taxpayer's information with the appropriate third parties. d) To make additional reasonable inquiries when the information appears to be incorrect, inconsistent, or incomplete.
 5. Austin is an EA who submits a return for his client on March 1, 2026, for the 2025 tax year. The return claims the Earned Income Tax Credit, but Austin fails to submit Form 8867 for the return, because he did not purchase professional software, and the Form 8867 is not available in the consumer software he is using. What penalty does Austin potentially face? a) \$0 b) \$400 c) \$650 d) \$1,000
 6. The IRS can impose the following ban related to the AOTC, EITC, CTC/ACTC, ODC and/or HOH filing status: a) Ten-year ban for fraud. b) Two-year ban for fraud. c) Permanent ban for fraud. d) The IRS cannot ban a taxpayer from claiming credits on future returns.
 7. All of the following are common errors taxpayers make in claiming the EITC except: a) Incorrectly reporting income or expenses. b) Incorrectly claiming a child who does not meet the specific EITC requirements. c) Filing as head of household when married. d) Listing earned income for the year.
 8. Which of the following is not one of the requirements for AOTC claims? a) Reviewing the client's Social Security Card. b) Making sure the client has qualifying educational expenses. c) Completing and submitting the Form 8867. d) Following the knowledge requirement.
 9. Roger is a tax preparer, and he has a new client named Samantha. Samantha tells Roger:
 - She has no Form 1099-NEC.
 - She was self-employed cleaning houses.
 - She earned \$13,000.
 - She had no expenses related to the cleaning business.
 - She has three children who live with her; all three are under the age of 10.
- Samantha says she would like to claim the Earned Income Tax Credit and the Child Tax Credit. What is the best course of action for Roger in this case? a) Refuse to prepare the return based on Samantha's information. b) Ask questions to determine the facts and ask for proof of income or any expenses. c) Accept Samantha's word, so long as she fills out a legal liability release form. d) Make Samantha swear to the truthfulness of her statements before an IRS officer.

10. In preparing Form 8867, Paid Preparer's Due Diligence Checklist, how long should a return preparer retain copies? a) One year from the filing of the return. b) Two years from the filing of the return. c) Three years from the latest of the return due date of the filing date. d) Six years from the filing of the return.

11. When must a tax preparer complete Form 8867 (Paid Preparer's Due Diligence checklist) for a client claiming the AOTC? a) Every year. b) For the first year preparing a return for a new client. c) Every other year. d) The client checklist is recommended but is not required.

12. Andreas and Briseis are citizens of Ecuador. They are married and live in the United States. Both have valid ITINs. They have two children, both of whom have valid SSNs, because both children were born in the United States. Can Andreas and Briseis claim the EITC on their tax return, if they meet the income requirements? a) They can claim the EITC for themselves and their children. b) They can claim the EITC for their children, but not for themselves. c) They cannot claim the EITC, regardless of whether their children have valid SSNs. d) Their children can claim the EITC, but only if they file separate returns.

Study Unit 6: Question Answers

1. The answer is D. The Energy Efficient Home Improvement Credit is not a credit for which the IRS specifies additional due diligence requirements. The IRS specifies due diligence requirements for EITC, CTC, ACTC, ODC, AOTC, and HOH returns.

2. The answer is A. The "performance standard" set by IRS regulations for all EITC, CTC, ACTC, ODC, AOTC, and HOH returns is what a reasonable and well-informed tax return preparer, knowledgeable in the law, would do.

3. The answer is B. The OPR may take disciplinary action against tax return preparers who violate rules related to fraudulent claims. However, the OPR never prosecutes criminal cases. Criminal cases are referred out to the proper authorities (the U.S. Justice Department or the IRS Criminal Investigation Division).

4. The answer is C. A tax return preparer is not required to verify a taxpayer's answers with third parties.

Due diligence requires a preparer to:

- Evaluate the information received from the client,
- Apply a consistency and reasonableness standard to the information,
- Make additional reasonable inquiries when the information appears to be incorrect, inconsistent, or incomplete, and
- Document additional inquiries and the client's response.

5. The answer is C. Form 8867, Paid Preparer's Due Diligence Checklist, must be submitted for each client's return that claims the Earned Income Tax Credit, Child Tax Credit, American Opportunity Credit, Other Dependent Credit, or HOH filing status, or the preparer will be in violation of his due diligence requirements.

Note: For tax year 2024 returns filed in 2025, each failure can result in a penalty of \$635. For tax year 2025 returns filed in 2026, each failure can result in a penalty of \$650.

6. The answer is A. The IRS can impose the following types of bans related to refund claims of the AOTC, EITC, CTC/ACTC, ODC, and/or HOH filing status:

- Two-year ban for reckless or intentional disregard of due diligence rules, or
- Ten-year ban for fraud.

7. The answer is D. To qualify for the EITC, a taxpayer must have earned income during the tax period.

Assuming it is reported correctly, listing earned income is not an error made in claiming the EITC. The IRS cites the other three errors as common issues it sees with EITC claims.

8. The answer is A. Reviewing a client's Social Security cards is not a legal requirement, but is a "best practice," and recommended by the IRS.

9. The answer is B. The best course of action would be to ask probing questions and ask for proof of income and expenses. Roger must document Samantha's answers as part of his due diligence requirements.

During the interview, a preparer must ask additional questions if the information appears incorrect, inconsistent, or incomplete.

10. The answer is C. In preparing Form 8867, Paid Preparer's Due Diligence Checklist, the tax preparer should retain copies for at least three years from the filing of the return.

11. The answer is A. For any client claiming the AOTC, a preparer must complete Form 8867, Paid Preparer's Due Diligence Checklist, every year, even if the client is an existing client who has claimed the credit in the past. The preparer is required to keep a copy of the form in his records for at least three years.

12. The answer is C. Andreas and Briseis do not qualify for EITC. If a primary taxpayer, the spouse, or both have ITINs, they are ineligible to claim the Earned Income Tax Credit, even if their dependents have valid SSNs. A taxpayer (and their spouse, if married) must have valid Social Security numbers in order to claim the EITC. Qualifying children also must have valid SSNs.

Study Unit 7: Recordkeeping Requirements and Penalties

Study Unit

Recordkeeping Requirements and Penalties

More Reading

- Publication 583, Starting a Business and Keeping Records There are basic recordkeeping requirements for U.S. taxpayers that tax professionals need to be familiar with and make sure their clients understand. These requirements may be tested on all three parts of the EA exam, with Part 3 specifically focusing on substantiation and retention of records for preparers.

Records that clearly demonstrate income, expenses, and basis should be retained, but tax law generally does not require that specific types of records be kept. Taxpayers can opt to scan and keep their records digitally, as the IRS does not require original paper documents. However, taxpayers must ensure they can store, preserve, retrieve, and reproduce electronic records when necessary.

Supporting Documents

As an essential part of due diligence, it is a preparer's responsibility to request appropriate documentation from clients in order to prepare an accurate tax return. A preparer should review prior-year tax returns to identify relevant issues, such as items that need to be carried forward to the current year and tax years going forward. Furthermore, depending on the nature of the tax return, a preparer may also need access to supporting documents such as:

- Income Records: W-2 forms, 1099 forms, bank statements, brokerage statements.
- Expense Records: Receipts, invoices, canceled checks, credit card statements.
- Property Records: Purchase and sale documents, improvement records, insurance records.
- Charitable records: When making donations or claiming charitable expenses over \$250, it's important to keep written acknowledgments from the organization.
- Other Records: Medical bills, college receipts, and any other documents that support items on the tax return.

Example: Ursula claims numerous deductions for charitable contributions made to a qualifying charity that works to care for feral cats. Her tax return is later chosen for examination, and she receives a notice of deficiency. Ursula takes her case to the U.S. Tax Court. The U.S. Tax Court disallows any contributions that were \$250 or more because she failed to meet the substantiation requirement that required acknowledgment from the charitable organization. Even though the cat rescue organization is a qualifying charity, Ursula did not obtain a contemporaneous, written acknowledgment from the organization, so her charitable contribution deductions were disallowed, even though she had proof of her donations.

Example: Lucille is a teacher. She tells her tax return preparer, Liam, that she made \$23,000 in charitable gifts during the tax year. Lucille provides no documentation, and Liam does not ask to verify any of her receipts. The IRS audits her return and disallows most of Lucille's charitable deductions, which include a false deduction for an \$8,000 Mediterranean cruise, which Lucille claimed was a charitable event. Liam's failure to request receipts from his client shows a lack of due diligence. Liam and Lucille can both be liable for penalties.

In order for a taxpayer to claim deductions for travel, gifts, transportation, charitable donations, business expenses, and similar expenditures, the taxpayer must have evidence to support those claims and generally cannot deduct approximated or estimated amounts.

Example: Nathaniel owns an auto repair business, which he runs as a sole proprietorship. He only accepts cash payments from customers and refuses to keep proper books and records. He simply estimates his income and expenses every year. The IRS audits several years of tax returns and disallows most of the expenses claimed on Nathaniel's Schedule C. In addition to assessing additional tax, the IRS assesses an accuracy-related penalty. This penalty can be asserted for the understatement of income tax because of negligent acts or a disregard of the rules or regulations. "Negligent acts" includes the failure to keep adequate books and records.

Business expenses claimed on a taxpayer's Schedule C must be both "ordinary and necessary." An expense is considered "ordinary" if it is common within the taxpayer's specific trade or business. A "necessary" expense is one that is helpful and appropriate in the taxpayer's trade or business. It does not have to be deemed indispensable in order to qualify for a deduction.

Keep in mind that personal, family, and living expenses cannot be deducted. Additionally, if an asset is used for both business and personal purposes, only the business portion can be claimed as a deductible expense.

Example: Khadija is a self-employed architect who uses her personal minivan to visit clients and meet with suppliers and other subcontractors. She and her family also use the minivan for personal purposes. In 2025, Khadija keeps a detailed mileage log that shows the business purpose, her business destination, and the date of each use of the vehicle. Her records are adequate to substantiate that 75% of the car's use is for business purposes and 25% is for personal purposes. If she uses the actual expense method, she may deduct 75% of her allowable vehicle expenses on Schedule C. Alternatively, if she uses the standard mileage rate, she would multiply her total business miles by the 2025 rate of 70 cents per mile.

A taxpayer generally cannot deduct amounts that are estimates, although there are exceptions in the law for taxpayers who are victims of a casualty or a disaster. In that case, taxpayers are permitted to use a good-faith estimate based on records they do have.

Example: Babette is a self-employed therapist who works out of a home office. During the year, her house burns down. The house is completely destroyed, including her home office, her computer and all of her client records. She is able to reconstruct a portion of her records by using bank statements she requests from her bank, but the rest of her records are lost. The IRS will permit Babette to use a good-faith estimate of her expenses for the year because she was the victim of a casualty and her records were destroyed due to reasons beyond her control. Babette should disclose the use of estimates on her return by attaching a disclosure statement.

2025 Recordkeeping Requirements — Qualified Tips and Overtime

Beginning in 2025, the One, Big, Beautiful Bill Act (OBBBA) created new deductions for qualified tips and qualified overtime compensation.

However, the IRS did not revise information returns (such as Form W-2, Form 1099-NEC, Form 1099-MISC, or Form 1099-K) to separately report these amounts. As a result, the IRS will not receive a distinct line item identifying qualified tips or overtime compensation for 2025.

Because these amounts are not separately reported to the IRS, the taxpayer must be prepared to substantiate both eligibility and the amount claimed.

Taxpayers claiming either deduction should maintain adequate books and records. Practitioners should advise clients to retain supporting documentation such as:

- Earnings statements of pay stubs
- Copies of Form 4070 (Employee's Report of Tips to Employer) or similar monthly tip reports
- Daily tip logs, point-of-sale reports, or individual receipts
- Third-party settlement organization statements
- Documentation supporting the calculation of the qualified overtime premium Example: Inaya is a self-employed travel guide who operates as a sole proprietor in Charleston, South Carolina. She offers historical walking tours of the downtown district and food and cultural tours featuring local restaurants and landmarks. Customers typically pay through a third-party settlement organization using credit cards and mobile payment apps. During 2025, Inaya receives \$35,000 in total payments through the settlement organization. She later receives Form 1099-K reporting the full \$35,000. The form does not separately identify the portion attributable to tips. Included in that total are \$5,000 paid by customers. Inaya maintains a daily log for each tour showing the date of service and the tip amount received. Because she can document both the existence and the amount of the tips, Inaya may use the \$5,000 in determining her qualified tips deduction for 2025.

Example: Quinn is a registered nurse employed full-time at a regional hospital. During 2025, Quinn regularly works more than 40 hours per week and earns overtime pay. When Quinn receives her 2025 Form W-2, it does not include a separate entry identifying qualified overtime compensation. However, Quinn retains all year-end pay stubs. Her final pay stub shows a total of \$15,000 labeled as "overtime." This amount includes both regular wages for hours worked over 40 and the additional overtime premium required under federal wage and hour law. The hospital pays time-and-a-half for overtime hours. Because time-and-a-half consists of two parts regular pay and one part premium pay, Quinn divides the \$15,000 by three to determine that \$5,000 represents the actual overtime premium. By retaining her pay stubs and providing them to her tax preparer, Quinn satisfies the substantiation requirement and may claim a \$5,000 qualified overtime compensation deduction for 2025.

Note: For 2025, the absence of a separate tip or overtime line on Form W-2 or Form 1099 does not prevent a taxpayer from claiming the deduction. However, if examined, the taxpayer must be able to produce sufficient records to support the amount claimed.

The Statute of Limitations for Records Retention

It is important for taxpayers to keep all pertinent records until they are no longer needed for the administration of any provision of the Internal Revenue Code. This generally means retaining them until the assessment statute of limitations for each tax return has passed.

The responsibility to prove entries, deductions, and statements made on a taxpayer's tax return is known as the "burden of proof." The taxpayers must meet their burden of proof by having the information and receipts for the expenses and deductions taken on the return.

General refund statute: In general, the IRS has a 3-year statute of limitations for issuing refunds. This means that if a taxpayer is due a refund for withholding or estimated taxes, they must generally file their return to claim it within three years of the return due date, or two years from the date the taxpayer paid the

tax, whichever is later.

When a return or claim for a refund is not filed within the statute expiration date, a refund cannot be obtained, unless the taxpayer qualifies for a special exception that grants them more time. For assessment of tax owed, the statute of limitations period is also, generally three years from the filing date or unextended due date, whichever is later.

There is also a statute of limitations on refunds being claimed on amended returns. In general, if a refund is expected on an amended return, taxpayers must file the return within three years of the filing date of the original return, or within two years after the date they paid the tax, whichever is later.

Example: Magdalena is a delinquent filer and has not filed a tax return for many years. On January 30, 2026, she hires Timothy, an enrolled agent, to prepare her delinquent tax returns for tax years 2020 through 2024. Timothy will also prepare Magdalena's 2025 tax return, which is not delinquent. With Magdalena's authorization, Timothy prepares and files all these returns before April 15, 2026. Each of Magdalena's returns shows an overpayment of taxes, because Magdalena always had enough withheld from her paychecks to cover her income tax. However, she will receive refunds only for tax years 2022 through 2025, because those are the years still open under the three-year refund statute. Magdalena will not receive refunds for her older tax returns (2020 and 2021), because the refund statute has expired for those years (unless an exception to the refund statute applies).

If the return was filed prior to the original due date, the refund statute of limitations starts as of the original due date of the return (usually, this is April 15). If the return is filed on extension, the three-year period starts when the IRS receives the return. For amended returns (Form 1040-X) filed within 60 days of the limitations date, the IRS has 60 days after it receives the amended return to assess any additional income tax on the amended return (IRC Section 6501(c)(7)).

Example: Alyssa always files her tax returns on extension, and she files a valid extension every year. On October 15, 2022, Alyssa e-filed her 2021 return, precisely on the extended due date. The return was accepted and considered timely-filed. Alyssa later finds an error on the return, because she would have been eligible for the American Opportunity Credit and did not claim it. This would result in a refund. Alyssa would have until October 15, 2025 (three years from the filing date), to file an amended return and claim her refund, because the extension period is added to the three-year refund statute time period.

Example: Devon usually files his tax return on extension. On October 15, 2022, Devon filed his 2021 return, exactly on the extended due date. His return was accepted, and he received a refund. Devon later discovers an error on the return. The error increases his tax. Devon files an amended return on October 15, 2025, to correct this error. The IRS has 60 days to review his amended return and assess additional income tax, if necessary.

There are exceptions to this "three-year rule" for: net operating losses, capital loss carrybacks (for C corporations), foreign tax credits (which have a 10-year limit), losses from worthless securities, (which have a seven-year limit) and exceptions for Armed Forces personnel (covered in more detail later).

Property Records: Records relating to the basis of property should be retained as long as they may impact any tax returns related to the property. The basis of property is material until the statute of limitations expires for the tax year in which an asset is sold or otherwise disposed of. Taxpayers are required to maintain these records to determine the property's value, as well as any potential deductions for depreciation, amortization, or depletion.

The IRS typically has three years to audit a tax return. This means the taxpayer should keep all records proving the property's basis for at least three years after they have disposed of the property and reported the sale or disposition on their tax return.

Example: Reynold sells a vacation home he has owned for eight years, earning a substantial profit on the sale. He uses records relating to the purchase of the property and improvements made on it to compute the basis and his gain. He properly reports the sale on Schedule D of his 2025 tax return. He must retain the records relating to the home, as well as the sale, until the statute of limitations for the tax return expires, which is usually three years from the original due date of the return.

Example: Pablo, a small business owner, bought a commercial property several years ago for his business.

He saved the closing statement with the purchase price and associated costs to establish the property's basis. Each year, he also calculates depreciation and keeps copies of his prior year returns and the depreciation schedules. In January 2025, he renovated the property. He keeps the receipts and contracts as proof of the added costs to the property's basis. In December 2025, he sells the property. He must save the closing statement with the selling price and associated costs. He must keep all these records until the statute of limitations on his tax return ends, which is usually three years from the original due date of the return, or the date the return was filed, whichever is later.

Employment Tax Records: A business must retain payroll and employment tax records for at least four years after the tax becomes due or is paid, whichever is later. This rule also applies to tax preparation businesses that employ tax preparers.

Note: Under the One Big Beautiful Bill Act (OBBBA), the IRS assessment period for COVID-19 Employee Retention Tax Credit (ERTC) claims was extended. Therefore, any employment and wage records tied to an ERTC claim should be kept for at least six years.

Example: Shantel is an EA who employs five other tax preparers in her tax preparation franchise, Taxation- Techs, LLC. Shantel has six employees working for her franchise. One employee is a full-time receptionist, and does not prepare tax returns, but does collect taxpayer information when clients come into the office.

The other five employees are full-time preparers. Shantel must keep the employment tax records relating to all her employees for at least four years.

Applicable employer tax records must be made available for IRS review upon request. All copies of employment returns must also be retained for at least four years (this refers to payroll tax returns and applicable employment records related to wages paid, such as Forms 940 and 941).

Example: Pendant Realty, Inc. is a small business with seven employees. Pendant Realty uses a payroll company to process its payroll and has always diligently scanned and retained all its employment tax records, including payroll tax returns and related wage records. In January 2026, the company received a request from the IRS to review its employment tax records, specifically Forms 940 and 941 that Pendant Realty, Inc. filed in the years 2022 through 2025. Pendant Realty, Inc. promptly complies with the request, providing all necessary documentation for the IRS examiner to verify compliance with tax laws and regulations.

Special Statute of Limitations Exceptions

The One, Big, Beautiful Bill Act (OBBBA) introduced two major exceptions to the standard 3-year statute of limitations for refunds and assessments.

1. Employee Retention Tax Credit (ERTC) Notwithstanding the general statute of limitations for refund claims, the OBBBA imposes a specific and retroactive filing deadline for COVID-related Employee Retention Tax Credit (ERTC) claims.

No credit or refund attributable to the ERTC is allowed after July 4, 2025, unless the taxpayer filed a claim for the credit or refund on or before January 31, 2024. Claims filed after January 31, 2024, are barred, even if the general refund statute of limitations would otherwise remain open.

The OBBBA also imposes a \$1,000 due diligence penalty on COVID-ERTC promoters for each failure to comply with eligibility verification or credit calculation requirements.

Example: Marcus runs a tax preparation firm and spent the last few years aggressively marketing the Employee Retention Tax Credit (ERTC). In his previous taxable year, 60% of his firm's total gross receipts came from providing ERTC-related services. Because of this, Marcus is legally classified as a "COVID-ERTC promoter" under the OBBBA. In 2025, the IRS investigates Marcus and finds that he provided assistance on 15 ERTC claims where he completely failed to verify the taxpayers' eligibility or accurately calculate the credit amounts. Because Marcus violated IRS due diligence requirements, he is subject to a \$1,000 penalty for each failure, resulting in a \$15,000 penalty.

Example: Sunrise Catering, Inc. claimed the COVID-related Employee Retention Tax Credit (ERTC) on an amended employment tax return filed on March 15, 2024. Because Sunrise filed its claim after January 31, 2024, the refund is permanently barred. Conversely, if Sunrise had filed its claim on January 15, 2024 (before the deadline), the claim could be processed.

In addition, the statute of limitations for the IRS to assess tax attributable to an ERTC claim is extended to six years. This six-year period runs from the latest of: the date the original return was filed, the date the return is treated as filed, or the date the claim for credit or refund was made. Conversely, if the IRS disallows an improperly claimed ERTC, the statute of limitations for the employer to claim an income tax refund for the deduction of those paid wages is also extended to match this 6-year assessment period.

2. Clean Energy Credits and Foreign Entities The OBBBA imposes strict restrictions on clean energy credits (such as the clean electricity production and investment credits) if a taxpayer receives material assistance from a "prohibited foreign entity."

To enforce this, the OBBBA created a new exception to the general 3-year assessment statute of limitations.

If the IRS determines there is a deficiency attributable to an error in determining whether a clean energy project received material assistance from a prohibited foreign entity, the IRS may assess the deficiency at any time within 6 years after the return was filed.

Other Retention Periods

Longer record retention periods may apply in some cases. If a taxpayer fails to report income that exceeds 25% of the gross income shown on their return, the assessment statute of limitations is six years from when the return is filed. There is no time limit for the IRS to assess additional tax if a taxpayer never files a return or if a taxpayer files a fraudulent return.

Type of Record/Return

Normal tax return Claim for a refund (Refund Statute Expiration Date) A claim for credit or amended return Applicable Statute or Retention Period Three years after a return is due or filed, whichever is later Three years from the return filing date or two years from the date of payment, whichever is later The later of: (1) three years from the filing date of the original return, or (2) two years after the tax was paid Employment and payroll tax records Omitted income that exceeds 25% of the gross income shown on the return Assessment of an ERTC claim (or claim for wage deduction if ERTC disallowed) Four years after the tax becomes due, or is paid Six years from the filing date Six years from the latest of the return filing date, treated filing date, or claim date Claims filed after January 31, 2024, are barred, even if the general refund statute of limitations would otherwise remain open.

Clean Energy Credits and Foreign Entities

If the IRS determines there is a deficiency attributable to an error in determining whether a clean energy project received material assistance from a prohibited foreign entity, the IRS may assess the deficiency at any time within 6 years after the return was filed.

A claim for a loss from worthless securities or bad debts A claim for a foreign tax credit Fixed assets, real estate Fraudulent return No return filed Seven years Ten years Until the statute of limitations expires for the tax year in which the asset is disposed of No limit No limit If a taxpayer files a claim from a loss of worthless securities, the period to retain records related to the transaction is seven years. This includes the original purchase receipts, any records of attempted sales or trades, and documentation showing that the securities became worthless.

Example: Many years ago, Racine purchased stock in a start-up corporation that eventually went bankrupt.

The stock was delisted from the New York Stock Exchange and became worthless in 2020, but Racine did not pay much attention to her brokerage account and didn't realize that her stock had become worthless until 2025. Even though the normal 3-year statute of limitations for refund claims has passed for her 2020 tax return, Racine may file an amended return and claim the loss from the worthless securities and still receive a refund. This is because a loss for worthless securities is subject to the 7-year special rules.

Tax Avoidance vs. Tax Evasion The U.S. system of federal taxation operates on the concept of voluntary compliance; it is the taxpayer's responsibility to report all income. If a taxpayer fails to pay the amount owed, the IRS has the authority to collect back taxes and impose penalties. These penalties can range from civil fines to criminal charges for tax evasion.

The term "tax avoidance" is not defined by the IRS, but it is commonly used to describe the legal reduction of taxable income, such as through deductions, credits, and adjustments to income. Avoidance of tax is not a criminal offense. Taxpayers have the right to reduce, avoid, or minimize their taxes by legitimate means.

Most taxpayers use at least a few methods of tax avoidance in order to reduce their taxable income and therefore lower their tax liability.

Example: Tamera contributes to her employer-sponsored 401(k) retirement plan with pre-tax funds. She also uses an employer-based flexible spending account for her medical expenses, which reduces her taxable income by making all of her medical expenses pre-tax. She owns a home and claims a deduction for mortgage interest. All of these strategies lower her taxable income by using legal tax avoidance.

On the other hand, tax evasion is an illegal practice in which individuals or businesses intentionally avoid paying their true tax liabilities. Evasion involves some affirmative act to evade or defeat a tax, or payment of tax. Examples of affirmative acts are deceit, subterfuge, camouflage, concealment, attempts to obscure events, or make things seem other than they are. Tax evasion is a felony, and those caught evading taxes are subject to criminal charges and substantial penalties.

Example: Victor owns a jewelry store. For several years, he failed to report the cash he received from his stores. He often accepted large cash payments from his customers but did not report the income. He also kept a separate accounting system for the cash receivables as a second set of books. In addition, Victor broke cash receipts greater than \$10,000 into smaller receipts in order to evade federal cash reporting requirements. When he filed his tax return, Victor reported only \$27,000 of gross income on his Schedule C, while his actual taxable income was nearly \$195,000. Victor was eventually audited by the IRS, and convicted of committing tax evasion, a felony.

IRS auditors are trained to spot common types of deception and fraud on tax returns. These acts are known as "badges of fraud" and include deducting personal items as business expenses, the overstatement of deductions, and the understatement of income. Other common tax evasion schemes include:

- Intentional omission of income, especially cash payments;
- Claiming fictitious deductions;
- False allocation of income;
- Improper claims, credits, or exemptions; and/or
- Concealment of assets.

Although most Americans comply with their tax obligations, the U.S. government estimates that 3% of taxpayers do not file tax returns at all.

Note: For each year a taxpayer willfully does not file a tax return, the penalty can include a fine of up to \$25,000 and a prison sentence of up to one year (IRC §7203). If it can be demonstrated that the taxpayer deliberately did not file in an attempt to evade taxation, the IRS can pursue a felony conviction, which can include an additional fine of up to \$100,000 (\$500,000 for corporations) and a maximum prison sentence of five years (IRC §7201).³⁵ Under 26 USC 7201, a violation of the statute is punishable by a maximum fine of \$100,000 (\$500,000 in the case of a corporation), or imprisonment of not more than five years, or both, together with the costs of prosecution. However, the criminal fine provisions increase the maximum permissible fines for a violation of 26 USC 7201 to \$250,000 for individuals and \$500,000 for corporations.

Penalties Imposed Upon Taxpayers

The Internal Revenue Service (IRS) has the authority to impose penalties on individual taxpayers who do not file their taxes, do not pay their taxes, or both. Typically, the penalty for failing to file is higher than that for failing to pay. If a taxpayer is unable to pay the full amount of taxes owed, it is still beneficial to file on time and make whatever payment can be made. The IRS is open to discussing payment options with individual taxpayers. In certain cases, a taxpayer may be exempt from paying either penalty if they can prove that their failure to file or pay on time was due to reasonable cause and not intentional neglect.

Example: Andrei, a small business owner in Florida, was always diligent about his taxes. But in 2025, a severe hurricane hit, damaging his home and business. Despite his best efforts, Andrei could not file his taxes on time or pay the estimated amount due to the disaster's aftermath. He also had to divert his funds

towards immediate repairs and recovery efforts, leaving him unable to pay his estimated taxes. Once the immediate crisis was over, Andrei contacted the IRS disaster hotline and explained his situation. The IRS determined that Andrei's failure to file and pay his taxes was due to reasonable cause. The penalties for late filing and payment were waived. Andrei was given additional time to file his taxes and was encouraged by the IRS representative to set up a payment plan for the amount he owed. The IRS can waive penalties when circumstances beyond a taxpayer's control prevent them from filing or paying on time.

IRS penalties are payable upon notice and demand. They are generally assessed, collected, and paid in the same manner as taxes. The taxpayer will receive a notice that contains:

- The name of the penalty,
- The applicable code section, and
- How the penalty was computed.

Failure-to-FILE Penalty

The penalty for filing late is usually 5% of the unpaid taxes for each month or part of a month that a return is late, up to a maximum of 25% of the amount due. The penalty is based on the tax that is not paid by the due date, without regard to extensions. If both the failure-to-file penalty and the failure-to-pay penalty apply in any month, the 5% failure-to-file penalty is reduced by the failure-to-pay penalty.

However, if a taxpayer files their tax return more than 60 days after the due date, the penalty shall not be less than the lesser of (1) \$525 or (2) 100% of the tax due on the return. This penalty applies to Form 1120 (C corporations) and Form 1040 (individual) returns.

The penalty for fraudulent failure-to-file is even higher; 15% of the unpaid balance per month, up to a maximum of 75%. Taxpayers who are owed a refund, will not be assessed a failure-to-file penalty. The late filing penalties can be higher for certain business returns.

Example: Bautista does not bother to file his tax return on time, or file an extension, because he thought he was getting a refund like he usually does every year. However, he forgot that he had taken a retirement plan distribution at the beginning of the year that increased his tax liability. He eventually files his 2025 return on July 30, 2026 (over 60 days late) and discovers that he owes \$94. His failure-to-file penalty is equal to 100% of the amount he owes, or an additional \$94. He will also owe a small amount of interest on the unpaid amount, as well.

Failure-to-PAY Penalty

Taxpayers that do not pay their taxes by the due date will be subject to a failure-to-pay penalty of $\frac{1}{2}$ of 1% (0.5%) of unpaid taxes for each month or part of a month after the due date that the taxes are not paid. This penalty can be as much as 25% of a taxpayer's unpaid taxes.

The failure-to-pay penalty rate increases to a full 1% per month for any tax that remains unpaid the day after a demand for immediate payment is issued, or ten days after notice of intent to levy certain assets is issued. For taxpayers who filed on time but are unable to pay their tax liabilities, the failure-to-pay penalty rate is reduced to $\frac{1}{4}$ of 1% (0.25%) per month during any month in which the taxpayer has a valid installment agreement with the IRS.³⁶ The taxpayer will also owe interest on the amount due. Interest accrues daily on any unpaid tax from the due date of the return until the taxpayer pays in full.

The IRS may abate a taxpayer's penalties for filing and paying late if the taxpayer can show reasonable cause. There are exceptions in the law benefiting individuals for the following situations:

- A member of the Armed Forces serving in a combat zone or contingency operation,³⁷
- A U.S. citizen or U.S. resident alien living and working abroad, or
- Victims in certain disaster situations.

In those situations, the IRS has the legal authority to extend filing and payment deadlines.³⁸ Example: Stephen is an active-duty member of the Armed Forces. He serves in a combat zone from April 30, 2025, to March 1, 2026. Stephen has additional time to file and pay his tax return and any amounts due, following his exit date from the combat zone. He has at least 180 additional days to file his 2025 tax return and pay his 2025 tax. Stephen is married. His wife, Daniella, is not in the military, but she also has a filing requirement. Daniella also gets additional time to file, because this additional extension also applies to the spouses of servicemembers who are serving in a combat zone.

Note: If a taxpayer is affected by a natural disaster in a presidentially declared disaster area, and the taxpayer receives a late filing or late payment penalty notice from the IRS that has an original or extended filing payment or deposit due date that falls within the postponement period, the taxpayer should call the disaster assistance telephone number on the notice to have the IRS abate the penalty.

Example: Yuliana was affected by a hurricane that took place in July 2025, in Texas. Yuliana's business was flooded and severely damaged by the storm. The President declared the entire region a FEMA disaster area. The IRS postponed the filing deadlines as well as deposit deadlines for employment taxes for people who were living in the affected region. Yuliana later receives a notice from the IRS because the payroll tax returns for her business are delinquent. She calls the IRS disaster hotline to request tax relief, which is granted. Yuliana will receive additional time to file her payroll returns and make any applicable tax deposits. ³⁶ Regardless of whether or not the taxpayer has the ability to pay, it is always better to file and pay what you can. The IRS will normally work with a taxpayer who makes the attempt to be compliant with their tax obligations. ³⁷ Members of the Armed Forces who serve in combat zones or contingency operations are granted an automatic extension for filing tax returns, paying taxes, filing claims for refund, and taking other actions with the IRS. The extension is for 180 days after the later of (1) The last day of service in a combat zone or contingency operation, or (2) The last day of any continuous qualified hospitalization for injury from service in the combat zone or contingency operation. ³⁸ The IRS automatically identifies taxpayers located in the covered disaster area (based on the taxpayer's zip code) and applies automatic filing and payment relief. But affected taxpayers who reside or have a business located outside the covered disaster area must call the IRS disaster hotline to request tax relief.

Accuracy-Related Penalty on Underpayments

IRC §6662 describes penalties for accuracy-related violations of underpaying income tax, including penalties for substantial understatement, substantial valuation misstatement, and negligence or disregard of rules or regulations. This section imposes an accuracy-related penalty equal to 20% of the underpayment to which Section 6662 applies. These penalties are calculated as a flat 20% of the understatement of tax.

However, this penalty does not apply to any portion of an underpayment where the taxpayer acted with reasonable cause and in good faith.

Penalty for Substantial Understatement

For individual taxpayers, an understatement is considered substantial if it is more than the larger of:

- 10% of the correct tax (5% if the taxpayer claims a section 199A deduction), or

- \$5,000.

An understatement of \$5,000 or less is not substantial; however, it could still be subject to the accuracy-related penalty if the IRS asserts the understatement was due to negligence (discussed later in this chapter). If the understatement is more than \$5,000, it may be substantial, depending on the total tax that should have been correctly shown on the tax return.

Example: Jennifer is self-employed and has a SEP-IRA retirement plan for her business. She usually files as head of household, claiming her own son as a dependent. In 2025, she prepares her own tax return using online software. She makes a mistake and claims a large adjustment to income for a self-employed retirement contribution to her SEP-IRA, but she completely forgets to make her SEP-IRA contribution by the deadline. This raises her AGI much higher, which ends up disallowing several refundable credits on the return. Because of her error, the correct amount of tax on Jennifer's return should have been \$9,700, but Jennifer's return only reported tax of \$2,000. The IRS disallows the erroneous contribution deduction. The substantial understatement penalty would apply to Jennifer's return, because the \$7,700 shortfall is more than \$5,000, which is the greater of the two thresholds.

Example: Tina, a self-employed interior designer, had her 2025 tax returns audited by the IRS. She submitted her accounting records and bank statements, but her records failed to justify why her claimed expenses were ordinary and necessary deductions. Tina took deductions for bedroom furniture and airline trips on her Schedule C. Consequently, the IRS issued her a notice of deficiency for \$42,000 and an accuracy-related penalty of \$8,400 under IRC §6662(a).

For corporations (other than an S-corporation or a personal holding company), an understatement is considered "substantial" if it exceeds the lesser of:

- 10% of the tax required to be shown on the return for the tax year (or, \$10,000 if \$10,000 is greater than the 10% of the tax required amount), or
- \$10,000.³⁹ If the corporation can show that it acted with reasonable cause and in good faith, or if the corporation's position was adequately disclosed,⁴⁰ and had a reasonable basis, this penalty may not apply. ³⁹ See IRC §6662(d)(1). ⁴⁰ A way to avoid the penalty is to adequately disclose the position, typically on Form 8275, Disclosure Statement, Form 8275-R, Regulation Disclosure Statement. The adequate disclosure exception only applies if the taxpayer has a "reasonable basis" for the position and keeps adequate records. However, the adequate disclosure exceptions do not apply to understatements resulting from a tax shelter.

Example: The IRS issued an audit notice to Harvest Foods Corporation, Inc., a family farming business.

The business was audited, and a large business deduction was disallowed under examination. Disallowance of the deduction created a substantial understatement of 25% of the correct tax shown on the return.

However, the company included a proper disclosure on Form 8275, which was attached to the corporation's tax return, disclosing their position for the deduction. Harvest Foods Corporation was issued a notice of deficiency for \$15,800, disallowing the deduction, but an accuracy-related penalty was not assessed, because the company adequately disclosed its position, even though the deduction was later disallowed.

Penalty for Valuation Misstatement

A valuation misstatement can be either "Substantial" [IRC §6662(e)] or "Gross" [IRC §6662(h)].

1) "Substantial" valuation misstatements are subject to a 20% penalty.

2) "Gross" valuation misstatements are subject to a 40% penalty.

The substantial valuation misstatement penalty generally applies when a taxpayer incorrectly reports an asset's value or its adjusted basis on a tax return; the value or basis is overstated by at least 150% of the correct value; and which results in an underpayment of tax of at least \$5,000 (the threshold is \$10,000 for most C corporations).

Example: Walter donated a large parcel of land for conservation purposes to the National Wildlife Federation, a qualified charitable foundation. On his tax return, Walter reported an estimated value on the land at \$1,060,000. As such, he claimed a hefty charitable deduction on Schedule A, reducing his taxable income substantially. The IRS later examined his return and discovered that the land was significantly overvalued.

The IRS adjusted the value of the land downward to \$650,000, making Walter's true charitable deduction worth much less. As a result of this discrepancy, Walter was assessed a substantial valuation misstatement penalty for overvaluing his property in order to receive an inflated deduction and pay less tax. The penalty rate would be 20% since the overstated amount of the land was greater than 150% of the land's correct value. This penalty was in addition to any other income tax and penalties that the IRS can apply.

This penalty jumps to 40% of the net understatement of tax if the taxpayer claims a value for property on a tax return that is 200% or more of the correct amount. This is known as a gross valuation misstatement.

Example: Gary donated a large plot of farmland to his church. On his federal income tax return for that year, Gary valued his donation at \$975,000 and claimed a large charitable contribution deduction. Gary claimed a carryover of charitable contribution deductions related to the land donation for the next three years. The IRS later audited Gary's tax returns and determined that he did not meet the legal requirements for his charitable contribution. Gary cannot produce a qualified appraisal of the farmland that he donated.

The IRS deems that the actual value of Gary's donation was \$195,000. The actual value of the donation was far less than what was reported, and in Gary's case, the error is more than 200% of the land's actual value. The IRS disallows the deduction and assesses a 40% penalty against Gary for the gross valuation misstatement.

The valuation misstatement penalty also may apply if the price or valuation for any property or service claimed on a return is substantially less than the correct valuation. In the previous examples, the taxpayer attempted to claim larger deductions than they were legally entitled to claim.

However, there are times when a taxpayer will attempt to "undervalue" an asset in order to escape tax, as well. This happens most often with the valuation of an estate. Since an estate is taxed on the value of its assets, a lower value could result in a lower tax.

Example: After a Pennsylvania woman died, her executor initially valued her estate's assets at \$7.9 million when he filed Form 706, the estate tax return. The executor did not hire an appraiser to help determine the correct value, and he used the cost basis for many of the decedent's assets, even for those that had substantially increased in value over time. The IRS selected the estate's tax return for audit, disputing the executor's valuation, and putting the estate's assets at \$18.2 million. The IRS assessed a 40% "gross valuation misstatement" penalty against the estate. The executor disagrees with the IRS and fought this determination by appealing to the courts. After a lengthy legal battle, the U.S. Tax Court ultimately ruled

that \$12 million was the correct value of the estate. Since the correct value of the estate was over 150% of what the executor originally reported, the IRS then imposed a 20% substantial valuation misstatement penalty upon the estate, which the Tax Court upheld.

A taxpayer may avoid both the substantial understatement and the substantial overvaluation penalties if they have a reasonable basis for their position and if the position is properly disclosed. However, if an understatement was due to fraud, the penalty drastically increases to 75% of the understated amount.

Penalties for Negligence and Intentional Disregard

IRC §6662 defines negligence as any failure to make a reasonable attempt to comply with the Internal Revenue laws. Disregard means a taxpayer carelessly, recklessly or intentionally ignored the tax rules or regulations. Examples of negligence include:

- Not keeping records to prove deductions claimed on a return
- Not including income on a tax return that was shown in an information return, like income reported on Form 1099 or a Form W-2.
- Not checking the accuracy of a deduction or credit that seems "too good to be true."

Example: Rosalie self-prepares her own tax return, claiming the EITC and the Child Tax Credit for her 10-year-old niece, whom she claims on her return. However, her niece was not Rosalie's qualifying child because the child did not live with Rosalie at all during the year. Rosalie doesn't bother to look up any of the rules for claiming a dependent, and she also ignores the e-file warnings that she receives from the software.

The IRS later audits Rosalie's return and disallows all the credits on the return. The IRS also imposes a §6662 penalty for negligence.

Note that negligence occurs when someone acts in a careless, reckless, or negligent manner, but it is an unintentional mistake. The difference between negligence and fraud is willfulness. Simple ignorance of the law does not constitute fraud.

Civil Fraud Penalty (§6663) Fraud, as distinguished from negligence, is always intentional. Fraud cannot be a mistake or an accident, carelessness, or reliance on others. If the IRS does impose a fraud penalty, the burden of proof switches to the IRS to prove that the taxpayer committed fraud by "clear and convincing" evidence. If there is any underpayment of tax due to fraud, a penalty of 75% of the underpayment will be assessed against the taxpayer.

Example: Hasan owns a restaurant, Hasan's Cafe. The business had a successful year with increased sales.

However, when filing his business tax return, Hasan neglected to report any of the cash tips his staff received and he pocketed many of the tips for himself. He also claimed thousands of dollars of personal entertainment expenses as business deductions. One of his employees reported the tip theft, which triggered an audit of Hasan's business. During the audit, the IRS examiner found these discrepancies and penalized Hasan for fraud. The penalty was significant, a 75% penalty on the underpayment of taxes due to fraud, per IRC §6663.

In the case of a joint return, the penalty will apply to both spouses only if some part of the underpayment is due to the fraud of each spouse.⁴¹ Indicators of tax fraud include:

- Filing a false tax return,

- Hiding or transferring assets or income,
- Claiming false deductions,
- Keeping a second set of books,
- Failure to deposit receipts to business accounts,
- Covering up sources of receipts or deliberately omitting income.

Note: The IRS characterizes fraud as a deliberate action for the purpose of "deceit, subterfuge, camouflage, concealment, some attempt to color or obscure events, or make things seem other than what they are."

In addition to being a civil offense, fraud may also be a criminal offense. A criminal offense must generally include an element of willfulness, meaning a voluntary and intentional violation of a known legal duty.

Note: Civil fraud cases are corrective actions taken by the government such as assessing the correct tax and imposing civil penalties as an addition to tax. Criminal fraud cases are punitive actions with penalties consisting of fines and/or imprisonment.⁴² If IRS examiners find evidence of criminal fraud in the course of an audit, they will refer the case to the IRS Criminal Investigation Division. In tax fraud cases, the burden of proof switches to the government.

Example: Laurent used online software to prepare his tax return, which contained significant errors and led to an audit. Unable to hire representation, Laurent met with IRS auditor Ms. Smith and admitted to mistakes resulting in over \$13,000 in underpaid taxes, claiming they were unintentional errors. Ms. Smith imposed a 75% civil fraud penalty, but Laurent appealed in U.S. Tax Court, arguing he didn't understand the law and had no intent to commit fraud. The court found his testimony credible, holding him responsible for the additional tax and a 20% accuracy-related penalty, but not the more severe, 75% fraud penalty.

Frivolous Tax Return Penalty (IRC §6702) A frivolous tax return is one that does not include enough information to figure the correct tax, or that contains information clearly showing that the tax reported is substantially incorrect. Frivolous submissions include tax protester arguments. Tax protester arguments are made by taxpayers who contend that various tax laws are unconstitutional or otherwise invalid.

A taxpayer faces a penalty of \$5,000 for filing a frivolous tax return or making other frivolous submissions.

This penalty is in addition to any other penalties allowed by law. In cases brought before the U.S. Tax Court, the penalty for making frivolous arguments can be up to \$25,000 (IRC §6673).

Example: Anson is a tax protester. While employed by an airline company, Anson filed a Form W-4 claiming 60 withholding allowances. He also filed a frivolous tax return, reporting zero income and striking out the jurat (the perjury statement under which the return is signed). The IRS audits his return in 2025 and assesses a \$5,000 frivolous return penalty, an accuracy-related penalty, and a civil fraud penalty. Anson is incensed. Rather than paying the penalties and filing a correct return, he files a petition with the U.S. Tax Court. If Anson takes his case to court and attempts to make a frivolous argument before the court, the Tax Court can assess an additional penalty of \$25,000.⁴³ 41 IRC §6663(c) states, the fraud penalty is imposed on each spouse separately: "In the case of a joint return, this section shall not apply with respect to a spouse unless some part of the underpayment is due to the fraud of such spouse." ⁴² The IRS Fraud Handbook is located in IRM 25.1 ⁴³ Example based on a real "tax protestor" case, *United States of America v. John L. Cheek*.

Example: Elizabeth refused to file any income tax returns for over a decade. The IRS sent her dozens of letters. Elizabeth refuses to file because she believes that the income tax laws are invalid, and she

responded to one of the IRS letters with a tax protester argument. Elizabeth is eventually convicted of failure to file income tax returns. She appeals to the courts, stating in open court that she was not subject to federal tax laws because she was "an absolute, freeborn, and natural individual". The court rejected Elizabeth's contention as a frivolous tax protester argument, and her conviction was upheld.⁴⁴ Improper Claim for Trump Account Contribution Pilot Program Credit (IRC §6659) The One Big Beautiful Bill Act (OBBBA) introduced a new assessable penalty specifically for taxpayers who improperly elect the \$1,000 Trump Account Contribution Pilot Program credit for a child who is not an "eligible child". The penalty amount depends on the taxpayer's conduct:

- Negligence or Disregard: If the improper election was made due to negligence or a disregard of the rules, the penalty is \$500.
 - Fraud: If the improper election was made due to fraud, the penalty increases to \$1,000
- Information Return Penalties (IRC §6721 and §6722) IRC §6721 and §6722 impose penalties for failures relating to information reporting. These penalties apply when a taxpayer:
- Fails to file correct information returns with the IRS (§ 6721), or
 - Fails to furnish correct payee statements to recipients (§ 6722).

Information returns are year-end reporting forms issued by businesses or employers to employees, independent contractors, vendors, or other payees. Common examples include Form W-2, Form W-2G, Form 1099-NEC, Form 1099-MISC, and Form 1099-R. Penalties apply whether the failure involves late filing, failure to file, or filing incorrect information.

Tiered Penalty Structure & Annual Maximums The penalties apply separately to both the unfiled IRS return and the unfurnished payee statement. The maximum penalty caps depend on whether the business is a "Small Filer" (average annual gross receipts of \$5,000,000 or less) or a "Large Filer" (average annual gross receipts of more than \$5,000,000)."

Penalties for Each Unfiled Information Return

Penalty Per Return

Correction Timing

Corrected within 30 days Corrected after 30 days but by Aug 1 Filed after Aug 1 or not filed (2024 Tax year / Filed

- \$60 \$120 \$310 Penalty Per Return (2025 Tax year / Filed
- \$60 \$130 \$340 Max Cap for 2025:

Small Filers (≤ \$5M) \$239,000 \$683,000 \$1,366,000 Max Cap for 2025:

Large Filers (> \$5M) \$683,000 \$2,049,000 \$4,098,500 ⁴⁴ United States v. Studley, 783 F.2d 934, 937, 937 n.3 (9th Cir. 1986).

Intentional Disregard (No Annual Maximums)

If the failure to file or furnish is due to intentional disregard of the rules, the standard penalty caps are completely removed, and the penalty drastically increases. For 2025 forms filed in 2026, the penalties are below (Note: For 2024 forms filed in 2025, the base penalty is \$630):

- General Rule: The greater of \$680 per return/statement or 10% of the aggregate amount required to be reported. (2025 forms, filed in 2026).
- Certain broker-type returns: The greater of \$680 or 5%.
- §6050I cash transaction returns: The greater of \$34,150 or the amount of cash received (up to \$136,500).
- §6050V returns: The greater of \$680 or 10% of the contract benefit value.

Filing Deadlines

- Form 1099-NEC must be furnished to recipients and filed with the IRS by January 31, regardless of filing method.
- Certain forms (such as Forms 1099-B and 1099-S) must generally be furnished to recipients by February 15.

Note For 2025: The One Big Beautiful Bill Act (OBBBA) explicitly amended IRC § 6724 to classify the new Passenger Vehicle Loan Interest reporting requirement (under § 6050AA) as an "information return" and "payee statement." Therefore, lenders who fail to report this new car loan interest properly are subject to the tiered IRC §6721 and §6722 penalties outlined above.

Note: For the 2025 tax year only, the IRS issued transition relief stating that lenders will be deemed to have satisfied these reporting obligations — and thus avoid penalties — if they simply make a statement available to the borrower indicating the total amount of vehicle loan interest received in 2025.

Example: Nasir is a private consultant who files a Schedule C. Nasir hires several independent contractors during the year. Nasir does not wish to file 1099-NEC forms for his contractors because he does not want to pay his accountant the additional expense of filing them. Instead, he lies to his accountant and says that he filed the forms using an online service. His individual tax return is later chosen for examination. The IRS examiner discovers that Nasir failed to file 10 required 1099 forms. Because the lack of filing of these returns was intentional, Nasir is assessed a penalty of the greater of \$680 per unfiled form or 10% of the total compensation he failed to report for 2025.

Alteration of a Jurat

Frivolous submissions also include taxpayers who alter or strike out the preprinted language above the space provided for a signature. This declaration is called the jurat. Civil penalties for altering a jurat may include:

- A \$5,000 penalty imposed under IRC §6702;
- Additional penalties for failure to file a return, failure to pay the tax owed, and fraudulent failure to file a return under IRC §6651.

S Example: Jude is self-employed. He self-prepares his own Form 1040 using commercial software, and then prints it out, intending to mail his return. Jude signs the form but crosses out the jurat on the return and writes the word "void" across it. This is a deliberate act. Jude's return is now considered frivolous and is subject to penalties. The return is also considered unfiled, so a failure-to-file penalty will also apply.

Trust Fund Recovery Penalty (TFRP)

Authorized by IRC §6672, the trust fund recovery penalty involves the income and Social Security taxes an employer withholds from employees' wages. These taxes are referred to as "trust fund" taxes because they are held in trust until they are sent to the government. Sometimes, business owners neglect to remit these taxes to the IRS. The trust fund recovery penalty is equal to 100% of the amount of unremitted trust fund taxes. It can be assessed against anyone who is considered a "responsible person" in the business.

This may include corporate officers, directors, stockholders, and even rank-and-file employees.

The IRS has assessed the penalty against accountants, bookkeepers, and even clerical staff if they have the authority to sign checks. A person must be both "responsible" and "willful" to be liable for an employer's failure to collect or pay trust fund taxes. This entails having knowledge (or being expected to have knowledge) of the fact that payroll taxes are not being remitted properly to the IRS, as well as having the ability to rectify the issue.

Example: Thelma works for Forge Construction as a full-time bookkeeper and processes payroll. She also has check-signing authority to pay the bills when her boss is working off-site. In 2025, her boss has a heart attack, and his wife, Sheri, takes over the business in his absence. Sheri cannot manage the business properly, and Forge Construction is unable to meet its financial commitments. Sheri tells Thelma to pay vendors first. The business continues to withhold payroll taxes from employee paychecks but does not remit the amounts to the IRS. Eventually, the business declares bankruptcy. Sheri disappears, and the IRS contacts Thelma. Even though Thelma was "just an employee," the IRS can assess the trust fund recovery penalty against her because she had check-signing authority, and she knew that the business was not remitting payroll taxes to the IRS as required.

The charity's thrift shop is staffed by four part-time employees, and proceeds from the shop support the organization's charitable mission. Emily Johnson serves as the treasurer of the Foundation and handles all bookkeeping and payroll tasks for the thrift shop. Unfortunately, despite withholding \$19,500 in income, Social Security and Medicare taxes from their employees' wages over the year, the organization struggled financially and failed to pay these taxes to the IRS. The organization later became insolvent and dissolves, but the trust fund taxes remained unpaid. After an investigation, Emily was deemed a "responsible person" due to her role as treasurer and her responsibility for managing and paying these trust fund taxes. As a result, the IRS held her personally liable for the full amount of unpaid taxes, resulting in a total Trust Fund Recovery Penalty of \$19,500 assessed against Emily.

Penalties Imposed on Tax Preparers

Just like taxpayers, tax professionals are also subject to penalties for improperly filed or fraudulent returns.

Tax Preparer fraud is a serious issue that affects both taxpayers and the integrity of the tax system.

Preparer fraud typically involves preparing and filing false income tax returns for clients. This can include:

- **Inflated expenses:** Reporting higher personal or business expenses than the taxpayer actually incurred.
- **False tax deductions:** Claiming tax deductions or dependents that the taxpayer is not entitled to claim.
- **Manipulated income figures:** Adjusting income to qualify for refundable tax credits, such as the Earned Income Tax Credit, when the taxpayer is not actually eligible.

Unscrupulous tax preparers may also manipulate income figures to obtain fraudulent tax credits, such as the Earned Income Tax Credit, for clients who are not eligible. In some cases, a tax preparer may commit fraud without the taxpayer's knowledge.

Example: Danny Green is the owner of "Green's Quick Refunds," a tax preparation service that boasts the highest refunds in town. Alice is one of his clients, a single mother who earned \$65,000 in wages during the year. Alice's income exceeds the threshold for the EITC, so Danny manipulates Alice's income by creating a fraudulent Schedule C and claiming business losses, despite her not having a business. As a result, Alice's taxable income was significantly lowered and she received the EITC, even though she was not actually eligible for this credit. Unfortunately, Alice did not review her return carefully, and she failed to notice Danny's fraudulent actions. She was so pleased about the large refund that she happily signed her e-file authorization form, and Danny e-filed her returns. Later, the IRS investigated Danny's fraudulent actions and he was found to be guilty of preparer fraud. Unfortunately, Alice did not notice the discrepancies on her return, and the IRS audited her as well. As a result, both Alice and Danny faced penalties for the fraud.

A preparer's clients may or may not know about the fraudulent items on their tax returns. Fraud may benefit preparers financially by:

- Diverting a portion of taxpayers' refunds for their own personal benefit,
- Increasing clientele by developing a reputation for obtaining large refunds, and/or
- Charging inflated fees for return preparation.

In some cases, an unethical tax preparer might steal part or all of the client's refund by changing direct deposit information to a different bank account that they control. This is a criminal act.

Example: Sylvester is a tax preparer. He prepares a return for his client, Margaux. He gives Margaux a complete copy of her return, and she signs the e-file authorization forms and then goes home. After Margaux leaves his office, Sylvester adds fraudulent credits to her return, then adds his personal bank account to Margaux's Form 8888, illegally funneling a portion of her refund to himself. Sylvester has committed tax fraud. A preparer can never use Form 8888 to divert a portion of a taxpayer's refund into their own bank account.⁴⁵ Both taxpayers and tax preparers can face penalties for fraudulent returns. In the case of a tax professional who has committed tax fraud or filed fraudulent returns, the IRS's Criminal Investigation Division works closely with the U.S. Justice Department to prosecute the tax professionals who commit financial fraud.

Preparer Penalties for Substantial Understatement

If a tax return preparer willfully understates a client's tax liability, the preparer can be subject to penalties for understatement, just like a taxpayer can. Under IRS regulations, understatement of liability means:

- Understating net tax payable.
- Overstating the net amount creditable or refundable.

Under IRC §6694, there are two specific penalties when a tax preparer understates a taxpayer's liability.

The first penalty, under §6694(a), is for a non-willful act. The second penalty, under §6694(b), is much harsher, and is imposed for a willful act. According to the IRS, the test is whether there was an intentional violation of the law. "Willfulness" is defined as a voluntary, intentional violation of a known legal duty.⁴⁶ The two penalties under this section are as follows:

Understatement Due to Unreasonable Position — IRC §6694(a) If there is an understatement on a tax return due to an unreasonable position, the penalty is the greater of:

- \$1,000 per tax return, or
- 50% of the income the preparer received (or would have received) in income for preparing the tax return with the understatement.

Understatement Due to Willful or Reckless Conduct — IRC §6694(b) If a tax return preparer shows negligent or willful disregard of IRS rules and regulations, and makes a willful or reckless attempt to understate tax liability, the penalty is the greater of:

- \$5,000 per tax return, or
- 75% of the income the preparer received (or would have received) in income for preparing the tax return with the understatement.

Example: Samuel is a tax preparer. His client, Kamila, states that she had made a charitable contribution of \$70,000 in cash to her church, when in fact she had not made this contribution. Kamila's income was only \$65,000 for the year. In addition, Kamila has significant debts and very few assets (which Samuel is aware of), so it was unlikely that she would have been able to make such a significant cash contribution based on her level of income and overall financial situation. However, Samuel did not ask any further questions about the contribution or ask for any proof that Kamila actually made it. He merely reports the deduction on the tax return. Later, the return is audited, and the charitable deduction is entirely disallowed when Kamila cannot produce any proof. Samuel would likely be subject to an IRC §6694 penalty. 45 Example based on an actual case. Criminal Case No. 14CR3658-JM (U.S. District Court, Southern California District). 46 Internal Revenue Manual, Part 25. Special Topics, Chapter 1. Fraud Handbook.

The IRC §6694 penalty applies when a preparer knows, or "reasonably should have known," that the position was unreasonable and would not have been sustained on its merits. However, a preparer may be excused from the penalty if they acted in good faith, or there was reasonable cause for the understatement.⁴⁷ Example: Jenny is an enrolled agent. Her new client, Ahmad, provided a depreciation schedule prepared by another tax advisor. The depreciation schedule is for an office building that Ahmad owns and rents to commercial tenants. The depreciation schedule did not appear to be incorrect or incomplete. On the basis of this information, Jenny completed Ahmad's tax return. Ahmad's return was later audited, and the depreciation schedule was called into question because the basis of the building was significantly overstated, resulting in a larger depreciation deduction than Ahmad was actually entitled to. This creates a large understatement of liability on Ahmad's tax return that is directly related to the erroneous information on the depreciation schedule. Since Jenny reasonably believed the information on the schedule was correct when Ahmad provided the schedule to her, she was not subject to a penalty under section 6694.

If a tax return preparer is subject to a penalty for understatement of liability and this includes a change to the Earned Income Tax Credit, the preparer may be subject to additional penalties for failure to exercise due diligence while claiming the EITC.

IRC §6694 specifies that the understatement penalty will be abated if, under final judicial decision, it is found that there is no actual understatement of liability. Sometimes this occurs when a Tax Court case is decided in favor of the taxpayer.

Example: In 2025, Denny was audited, and a large deduction was disallowed on his return. Cassandra is Denny's tax attorney, and she prepared the return under examination. In addition to assessing penalties

against Denny himself, the IRS also assesses the IRC §6694(b) understatement penalty against Cassandra, his tax preparer. The position had not been disclosed, but Denny and Cassandra both believe that the tax position on the return is legally correct, and Denny takes his case all the way to the U.S. Tax Court, where Cassandra represents him. The U.S. Tax Court decides in Denny's favor. The court victory allows Denny to claim the previously disallowed deduction in full. Denny's understatement penalty is abated, and Cassandra's preparer penalty is abated, as well. 47 Examples based on the examples in IRS Notice 2008-13, Guidance Under the Preparer Penalty Provisions of The Small Business and Work Opportunity Tax Act Of 2007.

Listing of Preparer Penalties

Study Tip: Specific penalties that may be imposed on both preparers and taxpayers are frequently tested on Part 3 of the EA exam. Although it is not generally necessary to memorize the IRC section numbers, test-takers should be familiar with each of the penalties and the penalty amounts listed in this study guide.

Most of these penalties are now adjusted for inflation every year.⁴⁸ IRC §6694 — Understatement of taxpayer's liability by tax return preparer.

- IRC §6694(a) — Understatement due to unreasonable position. The penalty is the greater of \$1,000 or 50% of the income derived by the tax return preparer with respect to the return or claim for refund.
- IRC §6694(b) — Understatement due to willful or reckless conduct. The penalty is the greater of \$5,000 or 75% of the income derived by the tax return preparer with respect to the return or claim for refund.

IRC §6695 — Other penalties with respect to the preparation of tax returns: These penalties are adjusted for inflation.

- IRC §6695(a) — Failure to furnish a copy to the taxpayer: For returns filed in calendar year 2026, (2025 returns) the penalty is \$65 for each failure and the maximum penalty cannot be greater than \$32,500.
- IRC §6695(b) — Failure to sign return: For returns filed in calendar year 2026, (2025 returns) the penalty is \$65 for each failure, and the maximum penalty cannot be greater than \$32,500.
- IRC §6695(c) — Failure to furnish an identifying number: The penalty can be assessed for each failure to furnish an identifying number (an SSN, ATIN, or ITIN) on a tax return. For returns filed in calendar year 2026, (2025 returns) the penalty is \$65 for each failure, and the maximum penalty cannot be greater than \$32,500.
- IRC §6695(d) — Failure to retain a copy of the return (or list): The penalty can be assessed for each failure to retain a copy (or list) of each completed return or claim. For returns filed in calendar year 2026, (2025 returns) the penalty is \$65 for each failure, and the maximum penalty cannot be greater than \$32,500.
- IRC §6695(e) — Failure to file correct information returns - For returns filed in calendar year 2026, (2025 returns) the penalty is \$65 for each failure, and the maximum penalty cannot be greater than \$32,500.
- IRC §6695(f) — Negotiation of a taxpayer's refund check: The penalty is for a tax preparer who endorses or negotiates any tax refund check which is issued to a taxpayer. The penalty for returns filed in calendar year 2026 (2025 returns) is \$650 per check, no maximum.

- IRC §6695(g) — Failure to exercise due diligence in determining eligibility for EITC, AOTC, CTC/ACTC/ODC or Head of Household filing status: The penalty is for each failure to comply with the EITC, AOTC, or CTC due diligence requirements. This penalty is adjusted for inflation, and there is no annual maximum. The penalty for returns filed in calendar year 2026 (2025 returns) is \$650 failure, no maximum.

Example: Juliana is a tax preparer who owns a busy tax franchise. In 2025, Juliana institutes a policy at her office that clients will not be able to obtain copies of tax returns unless they pay an additional fee. This includes the preparation of an original return. Some clients decline the fee and leave her office without a complete copy of the return, even after paying a tax preparation fee, and Juliana has filed their return. One of Juliana's clients, Martin, is upset by this policy and contacts the IRS, filing a formal complaint against Juliana. The IRS launches an investigation into Juliana's practices and discovers that she has not provided a required copy of the completed return to 105 of her clients. The penalty is \$65 for each failure, multiplied by 105 clients, equals a preparer penalty of \$6,825 against Juliana under IRC §6695(a).

IRC §6700 — Promoting abusive tax shelters: This applies to people who organize or sell abusive tax shelters. An "abusive tax shelter" is a type of illegal investment strategy that manipulates the tax system to create tax benefits that are not supported by law. The IRS will calculate the penalty differently, depending on the conduct:

- False statements about the tax benefits of the transaction: The penalty is 50% of the gross income the person made for the activity.
- Provides a gross valuation overstatement: The penalty is \$1,000 or 100% (whichever is less) of the gross income the person made for the activity for each entity or arrangement (treated as a separate activity) and participation in each sale.

Example: Simon is a CPA who starts marketing aggressive tax shelters to his clients, offering the tax shelter to eliminate or reduce personal income tax. Simon encourages the use of offshore trusts to reduce tax liability by overclaiming deductions and hiding income and assets offshore, to shelter them from taxation. The IRS eventually catches up with Simon and assesses him a penalty of promoting abusive tax shelters, calling the trusts a sham transaction. The IRS assesses a penalty of \$1,000 for each sale of an abusive plan or arrangement. Simon sold the tax shelter to 250 of his clients, so his §6700 penalty would be \$250,000 ($\$1,000 \times 250$).

Example: Karen Brown, a tax attorney, was found guilty of unauthorized use and disclosure of her client Alberto Smith's tax information. In 2025, she shared all of Alberto's personal information, including his address and social security number, with an insurance carrier for marketing purposes. Alberto reported Karen to the IRS for misconduct. The subsequent IRS investigation revealed dozens more unauthorized disclosures, with one linked to the identity misappropriation. Karen was fined \$250 for all but one of the violations, plus an additional \$1,000 penalty for "identity misappropriation" that was used in a crime. She faced further legal action for criminal identity theft and possible disbarment, highlighting the importance of adhering to IRC §6713 and safeguarding client confidentiality.

COVID-ERTC Promoter Penalty (OBBA §70605) The One Big Beautiful Bill Act (OBBA) introduced a specific penalty targeting promoters of improper Employee Retention Credit (ERTC) claims, effective for conduct occurring on or after July 4, 2025.

A COVID-ERTC promoter who provides aid, assistance, or advice and fails to comply with required due diligence standards related to ERTC eligibility or credit amounts is subject to a penalty of \$1,000 for each failure.

For purposes of this penalty, a promoter is generally defined as a person or entity that provides such assistance and meets one of the following criteria:

- More than 20% of their annual revenue comes from ERTC-related services and they charge fees based on the refund or credit size,
- More than 50% of their revenue comes from ERTC-related services, or
- Their ERTC-related services exceed 20% of their revenue and total over \$500,000.

Note: This penalty applies specifically to ERTC promoters (a COVID-ERTC promoter explicitly excludes certified professional employer organizations (PEOs)), not taxpayers claiming the credit. It is separate from general preparer penalties under IRC §6694 and §6701 and reflects increased IRS enforcement activity related to COVID-era credits.

Criminal Statutory Provisions

These provisions apply to any person, not only to tax preparers.

Fraud and False Statements — IRC §7206 This penalty applies to people who commit fraud or make false statements on tax returns. This penalty also applies to fraudulent and false activities in connection with offers in compromise or a closing agreement.

People assessed this penalty are charged with a felony crime and may be:

- Fined up to \$100,000 (\$500,000 in the case of a corporation).
- Imprisoned up to 3 years and required to pay for the costs of prosecution.
- Or both, together with the cost of prosecution.

Fraudulent Tax Returns, Statements, or Other Documents — IRC §7207 This penalty can apply to people who prepare fraudulent returns, statements, or other documents. People assessed this penalty are charged with a misdemeanor crime and may be:

- Fined up to \$10,000 (\$50,000 in the case of a corporation).
- Imprisoned up to 1 year.

Disclosure or Use of Information by Preparers of Returns — IRC §7216 This penalty applies to tax preparers who knowingly or recklessly disclose information given to them to prepare a tax return or use the information for any purpose other than to prepare a return. Tax preparers assessed this penalty are charged with a misdemeanor crime and may be:

- Fined up to \$1,000, and if the disclosure is used in a crime related to identity theft, the fine increases to \$100,000.
- Imprisoned up to 1 year.
- Or both, together with the cost of prosecution.

Action to Enjoin Tax Preparers — IRC §7407 A federal district court may enjoin a tax return preparer from engaging in certain proscribed conduct, or in extreme cases, from continuing to act as a tax return preparer altogether.

Action to Enjoin Specified Conduct Related to Tax Shelters and Reportable Transactions — IRC §7408 The U.S. government may sue in federal district court to stop a person's unlawful conduct regarding tax shelters and reportable transactions.

If a penalty is assessed against a tax preparer and the preparer does not agree with the assessment, the preparer may be able to request an appeal.

Study Unit 7: Study Questions

(Test yourself and then check the correct answers at the end of this chapter.)

1. Which of the following is NOT a type of accuracy-related penalty under IRC §6662? a) Substantial understatement of income tax b) Substantial valuation misstatement c) Negligence or disregard of rules or regulations d) Failure to file a tax return 2. Gerold self-prepares his own tax return, which is later audited by the IRS. Gerold had claimed a very large deduction for medical expenses, which he could not substantiate. This led to a substantial understatement of income tax. What is the penalty rate for accuracy-related penalties under IRC §6662? a) 10% of the tax understatement b) 15% of the tax understatement c) 20% of the tax understatement d) 50% of the total amount due 3. Adele is a sole proprietor who files a Schedule C. She meets with Carlos, her enrolled agent, and gives him a list of expenses she says she incurred for a home office, business mileage, travel, and business meals.

She does not bring any receipts or other documentation to the meeting. What is Carlos required to do in order to prepare an accurate tax return for Adele? a) Carlos can rely on the list of Adele's expenses without seeing any documentation. b) Carlos must make appropriate inquiries of Adele about her list of expenses. However, he does not need to actually see any documentation if she tells him she did not retain any receipts or keep a mileage log. c) Carlos must review all of Adele's receipts and her mileage log prior to preparing her tax return. d) Carlos must ask relevant questions of Adele to help determine if the expenses are allowable. He must also ask if she has receipts to support the expenses.

4. Norris was audited during the year, and a large deduction was disallowed on his return. He was assessed a penalty for substantial understatement. What percentage of the understatement of tax must a taxpayer pay if he is liable for this penalty? a) 5% b) 10% c) 20% d) 25% 5. Paulette is married to Ronald, and the couple usually files jointly. Paulette is self-employed, and she files a fraudulent Schedule C, greatly inflating her deductions and underreporting her income. The IRS later discovers that Paulette had been making large cash deposits in a hidden bank account, and none of that income was reported on her return. Ronald only earns wages, and now he is terrified that the IRS will assess fraud penalties against him, too. All of the following statements regarding the fraud penalty are correct except: a) If there is any underpayment of tax due to fraud, a penalty of 75% of the underpayment may be assessed against Paulette. b) The fraud penalty on a joint return will automatically apply to both spouses. c) IRS examiners who find strong evidence of fraud may refer the case to the IRS Criminal Investigation Division for possible criminal prosecution. d) Negligence or simple ignorance of the law does not constitute fraud.

6. Suzie hires Gustav to prepare her income tax returns. Gustav has prepared returns for several years, but he is not a CPA, an attorney, or an enrolled agent. Although he knows that Suzie is single and childless, he prepares her tax return based on the head of household filing status with two qualifying children so that Suzie may qualify for the Earned Income Tax Credit, and thus a larger refund. Suzie reviews a copy of the tax return and signs it. Gustav also signs the return and submits it to the IRS for processing. If the IRS detects the fraudulent credit, which of the two, if either, will face potential penalties? a) Gustav only. b) Suzie only. c) Both Gustav and Suzie. d) Neither Gustav nor Suzie.

7. Accuracy-related penalties in IRC §6662 are imposed for substantial understatement of income tax and also for: a) Substantial misstatement of the value of assets. b) Substantial overstatement of income tax. c) Preparer fraud related to the Earned Income Tax Credit. d) Negligence while representing a business

entity.

8. All of the following statements about the trust fund recovery penalty are correct except: a) The penalty is equal to 100% of the trust fund taxes not properly paid. b) The IRS primarily targets employees for this penalty. c) The penalty involves payroll taxes withheld from the wages of employees. d) The penalty can be assessed against anyone who is considered a responsible person and has failed to remit trust fund taxes to the U.S. government.

9. What penalty applies to a "substantial" valuation misstatement? a) 10% b) 20% c) 30% d) 40% 10. What is not considered a "badge of fraud" by the IRS? a) Failing to deposit cash income into business accounts. b) Taking clearly improper deductions. c) Keeping two sets of books and records. d) Claiming deductions for foreign travel.

11. Under what circumstances would a "gross" valuation misstatement penalty apply? a) When the taxpayer intentionally misrepresents an asset's value. b) When the value or basis is understated by at least 150%. c) When the value or basis is understated by 200% or more of the correct amount. d) When the taxpayer alters the preprinted language on the jurat.

12. What is the primary difference between tax evasion and tax avoidance? a) Tax evasion is the use of legal methods to lower taxable income, while tax avoidance conceals income from tax authorities. b) Tax evasion is lying on tax forms, whereas tax avoidance is failing to file tax returns. c) Tax avoidance and tax evasion are both illegal. d) Tax avoidance involves legally reducing taxable income, while tax evasion uses illegal methods.

13. If there is substantial unreported income (over 25%), the IRS may audit tax returns for up to _____ after the filing date. a) Three years. b) Four years. c) Six years. d) Indefinitely.

14. An enrolled agent (EA) can be sanctioned under Circular 230 in each of the following ways, EXCEPT: a) Monetary penalty. b) Imprisonment. c) Censure. d) Disbarment.

15. Which of the following statements is incorrect regarding the statute of limitations on the assessment of additional tax? a) If no other provisions apply, the statute of limitations is three years from the filing date or the unextended due date, whichever is later. b) If more than 25% of gross income has been omitted from the tax return, the statute of limitations is six years after the return was filed. c) If a fraudulent return is filed, the statute of limitations is seven years after the return was filed. d) If a tax return is not filed at all, there is no statute of limitations on assessment.

16. What is a potential consequence of tax evasion? a) A fine, penalty and/or imprisonment. b) A larger tax refund. c) A lower tax liability or increased tax credits. d) No impact on the taxpayer because tax evasion is legal.

17. Keenan files a tax return that the IRS determined to be a frivolous return. What is the IRS penalty for a frivolous tax return? a) \$600, plus any other penalty provided by law. b) \$1,000, plus any other penalty provided by law. c) \$5,000, plus any other penalty provided by law. d) \$25,000, plus any other penalty provided by law.

18. At the end of April, Boris has not yet filed his individual tax return, and he did not file an extension.

Boris estimates that he owes \$2,000 in unpaid tax, but he doesn't have the money to pay this amount, so he doesn't file at all. Since he missed the filing deadline and did not file an extension, Boris will be subject to penalties for non-filing; which of the following penalties will accrue at a faster rate? a) Failure-to-file penalty. b) Failure-to-pay penalty. c) Both penalties are equal. d) Neither, as it is facts-and-circumstances

dependent.

Study Unit 7: Question Answers

1. The answer is D. The accuracy-related penalties under IRC §6662 include penalties for substantial understatement of income tax, substantial valuation misstatement, and negligence or disregard of rules or regulations. Failure to file a tax return is not covered under IRC §6662 but is instead subject to a separate penalty.

2. The answer is C. IRC §6662 imposes an accuracy-related penalty equal to 20% of the underpayment of tax attributable to negligence, substantial understatement of income tax, or substantial valuation misstatement. This penalty is calculated as a flat 20% of the understatement of tax.

3. The answer is D. Carlos must make reasonable inquiries if the information appears to be incorrect, inconsistent, or incomplete. Carlos can generally rely in good faith, without verification, on the information his client provides. However, he cannot ignore the implications of the information. Since Adele may not fully understand the tax laws and may incorrectly believe she can claim deductions for non-qualifying expenses, Carlos must ask probing and relevant questions to help determine if the expenses are allowable. He must also ask if Adele has receipts to support the expenses and further instruct her to keep the receipts in case the IRS requests supporting documentation.

4. The answer is C. The substantial understatement penalty is calculated as a flat 20% of the net understatement of tax. Norris may also face additional fraud-related penalties if he provided false information on his tax return.

5. The answer is B. The fraud penalty on a joint return will not automatically apply to a spouse unless some part of the underpayment is due to the fraud committed by that spouse. In other words, the fraud penalty would not automatically apply to Ronald, because the fraud of one spouse will not be automatically imputed to the other. If Ronald is innocent of any wrongdoing, he may qualify for innocent spouse relief.

6. The answer is C. Suzie is ultimately responsible for the accuracy of her own return. However, a tax return preparer, whether officially licensed or not, also signs a tax return attesting to its accuracy under penalties of perjury. Both Gustav and Suzie could face penalties and other legal action in relation to the fraudulently claimed Earned Income Credit.

7. The answer is A. Accuracy-related penalties in IRC §6662 are imposed for substantial understatement of income tax and also for a substantial misstatement of the value of assets. IRC §6662 imposes penalties on taxpayers who misstate the value of assets in order to reap tax benefits. The penalty is 20% of the net understatement of tax for assets incorrectly valued at 150% or more than the correct amount of valuation or adjusted basis. The penalty increases to 40% of the net understatement of tax for assets incorrectly valued at 200% or more than the correct amount of valuation or adjusted basis.

8. The answer is B. The trust fund recovery penalty may be levied against employers or other responsible persons who have failed to pay the appropriate payroll taxes to the U.S. government.

9. The answer is B. A "substantial" valuation misstatement incurs a penalty of 20%. This penalty is triggered when a taxpayer incorrectly reports an asset's value or adjusted basis, overstating it by at least 150% of the correct value, resulting in an underpayment of tax.

10. The answer is D. IRS auditors are trained to spot common types of deception and attempts to defraud on tax returns. These acts are known as badges of fraud and include deducting personal items as

business expenses, the overstatement of deductions, and the understatement of income. Simply having deductions for foreign travel is not an indication of illegal behavior on the part of a taxpayer.

11. The answer is C. A "Gross" valuation misstatement penalty (40%) is imposed if a taxpayer claims a value for property on a tax return that is 200% or more of the correct amount. This is known as a gross valuation misstatement. It is a severe penalty for significant misstatements.

12. The answer is D. Tax avoidance involves legally reducing taxable income, while tax evasion uses illegal methods. Tax evasion involves deliberate misrepresentation to deceive tax authorities.

13. The answer is C. In most cases, tax returns can be audited for up to three years after filing. However, the IRS may audit for up to six years if there is substantial unreported income (over 25%).

14. The answer is B. An enrolled agent can be sanctioned under Circular 230 in various ways, but imprisonment would be a consequence of criminal activity and would not fall under the jurisdiction of Circular 230. However, there are other Federal laws that could allow for the imprisonment of EAs (and other practitioners) under certain circumstances.

15. The answer is C. If a fraudulent tax return is filed, there is no statute of limitations. Under federal law, a tax return is fraudulent if the taxpayer files it knowing that the return either omits taxable income or claims one or more deductions that are not allowable.

16. The answer is A. Tax evasion is illegal and can result in fines, penalties, and even imprisonment. Tax avoidance involves using legal means to reduce tax liability, while tax evasion involves illegal concealment of income in order to avoid paying taxes.

17. The answer is C. Keenan may be assessed a \$5,000 penalty, in addition to any other penalties provided by law. This penalty may be doubled on a joint return. Those who pursue frivolous arguments before the Tax Court face a penalty of up to \$25,000.

18. The answer is A. The penalty for filing late (the failure-to-file penalty) is more severe and is usually 5% of the unpaid taxes for each month that a return is late. The penalty for not paying taxes by the due date is less severe; $\frac{1}{2}$ of 1% (0.5%) (the failure-to-pay penalty). Boris should have filed on time, or filed an extension, because even if he could not pay the amount due, he is better off filing on time and paying as much as he can.

Study Unit

Practitioner Misconduct

Study Unit 8: Practitioner Misconduct

More Reading

- Publication 947, Practice Before the IRS and Power of Attorney
- Form 14157, Return Preparer Complaint The IRS's Office of Professional Responsibility (OPR) is responsible for interpreting and applying the provisions of Circular 230 to ensure that tax professionals follow the law. OPR's oversight generally covers all individuals who interact with federal tax administration, whether in person, orally, in writing, or by the preparation and submission of documents. The following individuals are subject to Circular 230 jurisdiction, and thus to OPR oversight:
 - Attorneys and CPAs who interact with the IRS at any level.
 - Enrolled agents (EAs), enrolled retirement plan agents (ERPAs), and enrolled actuaries.
 - Qualified appraisers: persons providing appraisals used in connection with tax matters (such as valuing estate and gift assets).⁴⁹
 - AFSP certificate holders who represent taxpayers before the IRS, in connection with returns they prepared and signed.
 - Other licensed and unlicensed individuals who give written advice that has the potential for tax avoidance or evasion.
 - Any person submitting a power of attorney in connection with limited representation or special authorization to practice before the IRS.

The Office of Professional Responsibility is responsible for overseeing practitioner standards and has exclusive authority in matters involving disciplinary actions and sanctions. This includes receiving and reviewing reports of misconduct as outlined in Circular 230, initiating disciplinary proceedings against individuals or entities found to have engaged in misconduct, and implementing appropriate sanctions according to the relevant rules under Circular 230. OPR is also responsible for reviewing and determining petitions from practitioners seeking reinstatement to practice. ⁴⁹ A "qualified appraiser" is defined by the IRS as someone who has earned an appraisal designation from a professional appraisal organization (such as the ASA, NACVA, IBA, or AICPA) or has met certain minimum education and experience requirements.

Four Categories of Practitioner Misconduct

There are four broad categories of practitioner misconduct, all of which may be reasons for the OPR to initiate disciplinary action against a tax professional:

1. Misconduct while Representing a Taxpayer This involves any unethical or illegal actions taken by a tax professional while representing a client before the IRS. For example, a tax professional might provide false information to the IRS or attempt to unduly influence an IRS officer.

Example: Erick, a tax attorney, is representing his client, Mr. Frank Lewis, before the IRS. Under pressure to resolve the audit in his client's favor, Erick decides to take an unethical approach. Erick offers a bribe to the IRS examiner, Ms. Walker, who is handling the case. Being an ethical officer, Ms. Walker immediately recognizes this as an attempt at undue influence and reports it to the Office of Professional Responsibility.

OPR immediately initiates disciplinary action against Erick, resulting in penalties and even potential disbarment.

2. **Misconduct Related to the Practitioner's Own Tax Return** This refers to any unethical or illegal actions related to the tax professional's personal tax affairs. For instance, a tax professional might willfully fail to file a federal tax return, evade tax payments, or provide false information on their own tax return.

Example: Laverne is an enrolled agent. She has been preparing tax returns for compensation for over ten years but has filed her own returns late multiple times. She completely stops filing her own returns, and does not file for 2023, 2024, or 2025. The Office of Professional Responsibility sends multiple notices, which Laverne ignores. OPR initiates disciplinary action against Laverne for misconduct related to her own returns.

3. **Giving a False Opinion Knowingly, Recklessly, or Through Gross Incompetence** This involves providing a false opinion that results from a knowing misstatement of fact or law, counseling or assisting in illegal conduct, or consciously disregarding information indicating that material facts expressed in the opinion are false or misleading.

Example: Helen, an enrolled agent, is hired by a known drug dealer named Villard, to give a false opinion on the legality of not reporting cash transactions. Despite knowing it is illegal, she provides the opinion, as well as advice on how Villard can conceal income using offshore trusts, so he can hide the income he earns from his unlawful drug activities. Later, the IRS audits Villard and discovers the tax evasion scheme. They trace the advice back to Helen and discover that she knowingly provided a false opinion. She could face serious consequences, including disbarment or criminal charges.

4. **Misconduct Not Directly Involving IRS Representation** This category includes misconduct that doesn't directly involve representing a client before the IRS but is still relevant to the tax professional's fitness to practice. This can include conviction of certain criminal offenses, such as fraud or other crimes involving dishonesty.

Example: Milton is a CPA who prepares tax returns for compensation. He is also a partner in a company that sells dubious timeshares and land developments. In 2025, Milton was convicted of felony wire fraud in a multimillion-dollar real estate scheme. After his conviction, OPR initiated expedited disbarment proceedings against Milton. Milton was disbarred from practice before the Internal Revenue Service.

Circular 230 outlines many instances in which the OPR might sanction a practitioner for incompetence or disreputable conduct. Types of disreputable conduct include, but are not limited to:

- Conviction of any criminal offense under federal tax laws, or conviction of any criminal offense involving dishonesty or breach of trust.
- Conviction of any felony under federal or state law in which the conduct renders the practitioner unfit to practice before the IRS.
- Giving false or misleading information or participating in any way in the giving of false or misleading information to the Department of the Treasury, including a practitioner's misrepresentation of their own credentials.
- Soliciting employment, as prohibited under Circular 230, or making false or misleading representations with the intent to deceive a client.
- Willfully failing to file a federal tax return or willfully evading any assessment or payment of any federal tax.
- Willfully assisting a client in violating any federal tax law or knowingly counseling a client to evade federal taxes.

- Misappropriating funds received from a client for the purposes of payment of taxes.
- Attempting to influence any IRS officer by the use of threats, false accusations, duress, coercion, or bribery.
- Disbarment or suspension from practice as a CPA, actuary, or attorney.⁵⁰ Knowingly aiding and abetting another person to practice before the IRS during a period of suspension, disbarment, or ineligibility of such other person.
- Contemptuous conduct in connection with practice before the IRS, including the use of abusive language, knowingly making false accusations or statements, or circulating or publishing malicious or libelous matter.
- Willfully disclosing or using private tax return information, failing to sign a tax return, or signing a tax return without a valid PTIN.
- Willfully failing to e-file a return.
- Willfully representing a taxpayer before the IRS without appropriate authorization.

Example: Mirabella is an enrolled agent with her own tax preparation business. In 2025, she was convicted of forgery because she forged her father's signature on several checks and cashed them. Although this was a case unrelated to her tax preparation firm, Mirabella is guilty of disreputable conduct because she was convicted of a criminal offense involving dishonesty or breach of trust. The IRS can disbar her and strip her of her enrollment.

Furthermore, Circular 230 includes §10.51, which explicitly forbids giving false opinions, whether knowingly, recklessly, or through gross incompetence. These false opinions may include misstatements of fact or law that are intentionally made, asserting a position that is known to be unjustifiable under current laws, providing advice or assistance in illegal or fraudulent activities, and failing to disclose information that is required by law.

The IRS will consider a practitioner's pattern of conduct to assess whether it reflects gross incompetence, meaning "gross indifference, preparation which is grossly inadequate under the circumstances, and a consistent failure to perform obligations to the client." Some other examples of practitioner misconduct include fee disputes and bad behavior such as physical threats against a client, former client, or any employee of the IRS. ⁵⁰ For example, an attorney or CPA who is disbarred and loses their license at the state level would also be disbarred by the OPR at the federal level and be unable to represent taxpayers before the IRS.

Note: This paragraph of §10.51 in Circular 230 defines "reckless conduct" as a "highly unreasonable omission or misrepresentation involving an extreme departure from the standards of ordinary care that a practitioner should observe under the circumstances."

Example: Anthony is a CPA who was caught charging unconscionable fees to one client, for withholding files from another client, and for willfully failing to provide an accounting of deposited funds to a third client.

In his initial disciplinary proceeding, Anthony made several false statements to authorities. As a result of all of these actions, the Office of Professional Responsibility (OPR) successfully initiated disbarment proceedings against Anthony, which were ultimately upheld against Anthony. He will not be able to practice before the IRS.

Example: Annie is a tax preparer representing a business client before the IRS. She submits a Form 2848 for the entity to the CAF unit, but she misrepresents her credentials, listing herself as a CPA, when in fact

she does not have a current CPA license. She is studying for the CPA exam but has not passed it yet. The IRS CAF Unit discovered the practitioner's misrepresentation of her credentials and makes a referral to the OPR.

Referrals to the Office of Professional Responsibility (OPR)

Most disciplinary cases opened by the Office of Professional Responsibility (OPR) result from internal and external referrals. OPR relies heavily on referrals involving tax practitioner misconduct from several sources, including IRS employees, taxpayers, tax practitioners, law enforcement agencies, and U.S. state licensing authorities.

Example: A law enforcement agency in Arizona has been investigating a tax practitioner for potential involvement in a money laundering scheme. During their investigation, they discover that the tax practitioner has been knowingly preparing and filing fraudulent tax returns to help launder money for a criminal organization. The law enforcement agency communicates its findings with the IRS, and the case is immediately referred to OPR for disciplinary action.

An IRS employee who believes a practitioner has violated any provision in Circular 230 is required to file a written report to the OPR. Referrals are also mandatory following the assessment of penalties for violations of IRC §6694(b) (a willful attempt to understate the tax liability). OPR has stated that other common reasons for referral include:

- Cashing, diverting, or splitting a taxpayer's refund by electronic or other means,
- Patterns of misconduct involving multiple years, multiple clients, or unprofessional conduct demonstrated to multiple IRS employees,
- Potential conflict of interest situations, such as the representation of both spouses (or ex-spouses) who have a joint tax liability.

An OPR referral must be made when there are penalties or sanctions imposed that relate to the promotion of abusive tax shelters, or aiding and abetting the understatement of a tax liability.

Example: Ms. Rowena Smith is an IRS auditor who is examining a taxpayer's 2025 tax return. Ms. Smith discovers that the taxpayer has participated in an abusive tax shelter. When she asks the taxpayer about it, the taxpayer is bewildered and states that the tax shelter was suggested to him by his tax attorney, who also prepared the tax return currently under audit. Ms. Smith checks the preparer section of the taxpayer's return and writes down the tax attorney's name, address, and PTIN. She is required to file a written report to the OPR.

Mandatory OPR Referrals §6700 - Promoting abusive tax shelters §6701 - Aiding and abetting understatement of a tax liability §7407 - Injunction of a tax return preparer §7408 - Injunction for specified conduct relating to tax shelters and reportable transactions Discretionary OPR Referrals §6662 - Accuracy-related penalty §6694(a) - Understatement of liability due to an unreasonable position §6695(a) - Failure to furnish copy of return §6695(b) - Failure to sign return; §6695(d) - Failure to keep a copy of tax return or list of taxpayers, §6702 - Frivolous tax returns or submissions Individuals can submit a complaint against a tax preparer by completing Form 14157, Return Preparer Complaint, and submitting it to the IRS. This form allows individuals to report complaints in various categories, such as theft of refund, e-file issues, preparer misconduct, PTIN issues, false documents, employ- -ent taxes, and other concerns.

Additionally, Form 14157-A, Tax Return Preparer Fraud or Misconduct Affidavit, can be used to report potential tax preparer fraud, such as situations where the preparer provided the taxpayer with a copy of a

different tax return than what was submitted to the IRS.

While anonymous complaints are permitted, taxpayers have the option to provide their name and personal details when filing a complaint. This sensitive information will not be disclosed to the individual or business being reported.

Disciplinary Sanctions

The OPR may impose a wide range of sanctions upon practitioners and other preparers who are subject to Circular 230 jurisdiction:

1) Reprimand: A reprimand is the least severe sanction. It is a private letter from the director of the OPR, stating the practitioner has committed some kind of misconduct under Circular 230. Although the issuance of a reprimand is kept private, it stays on a practitioner's record.

2) Censure: Censure is a public reprimand, with the practitioner's name published in the Internal Revenue Bulletin. The facts of the case that triggered the censure are not published. Unlike disbarment or suspension, censure generally does not prevent a practitioner from representing tax-ayers before the IRS. However, in certain situations, a censure may place conditions on a practitioner's future representations to promote high standards of conduct.

3) Suspension from Practice before the IRS: An individual who is suspended is not eligible to represent taxpayers before the IRS during the term of the suspension. Suspensions may be imposed for a period of one to 60 months (five years).

4) Disbarment from Practice before the IRS: An individual who is disbarred is not eligible to represent taxpayers before the IRS. Disbarment lasts a minimum of five years, and Circular 230 requires the practitioner to demonstrate that he has regained fitness to practice before the IRS before he may be reinstated. As a result of suspension or disbarment, the practitioner will have the matter that caused the disbarment or suspension published in the Internal Revenue Bulletin.

5) Monetary Penalty: A monetary penalty may be imposed on an individual or a firm, or both, and can be in addition to any censure, suspension, or disbarment. The amount of the penalty may be up to the gross income derived, or to be derived, from the conduct that triggered the penalty. r Misconduct Example: Maynard is a CPA whose personal income tax returns were audited by the IRS. The audit found he was improperly claiming personal expenses as business deductions, and he had not timely filed his own tax returns. Even though no misconduct was discovered related to his clients, Maynard was suspended from practice by the OPR for a period of three years. The Internal Revenue Bulletin listed his name, length of the suspension, and personal tax compliance issues as the reasons for the disciplinary action.

The Official Complaint Process

The OPR's response to an official complaint about a tax preparer or other referral about possible misconduct will vary depending upon the seriousness of the allegation. The OPR will first investigate whether a violation has occurred, whether the violation is one that calls into question a practitioner's fitness to continue to practice, and if so, what an appropriate sanction might be.

When it has identified a violation following its preliminary investigation, the OPR will send a "pre-allegation notice" to the practitioner regarding the alleged conduct. The notice gives the practitioner an opportunity to provide evidence or documentation in the case. The OPR will then determine the appropriate level of discipline warranted for the violation and try to reach an agreement with the practitioner on a sanction.

If an agreement cannot be reached, the OPR will draft a complaint and refer the case to the Office of Chief Counsel. The practitioner will have one final opportunity to resolve the matter before a formal disciplinary hearing.

When a formal complaint is issued against a practitioner, the complaint must:

- Name the respondent.
- Provide a clear and concise description of the facts.
- Be signed by the director of the OPR.
- Describe the type of sanction.

If the IRS seeks to impose a suspension against the practitioner, the duration of the suspension must be specified. The complaint may be served to the practitioner in one of the following ways: certified mail; firstclass mail if returned undelivered by certified mail; private delivery service; in person; or by leaving the complaint at the practitioner's office. Electronic delivery, such as email, is not a valid means of serving a complaint.

The complaint must specify a date by which the practitioner is required to respond, which must be at least 30 days after it is served. Within ten days of serving the complaint, copies of the evidence against the practitioner must also be served.

In response to a complaint, the practitioner is required to either admit or deny each claim made against them. If they do not have enough information to confirm or refute an allegation, they must state so. It is not acceptable for the practitioner to deny a significant claim in the complaint if they are aware it is true.

Failure to respond to a complaint will be considered an admission of guilt and may result in consequences without a formal hearing.

Example: The Office of Professional Responsibility (OPR) receives a referral from the State Bar of California about a tax attorney named Randy Jenkins. The referral alleges that Randy has been involved in a securities fraud scheme, where he knowingly prepared and filed fraudulent corporate tax returns. OPR initiates an investigation and sends a complaint to Randy outlining the allegations against him. The complaint requires Randy to either admit or deny each claim. However, Randy fails to respond to the complaint within the stipulated time. In accordance with OPR's rules, Randy's failure to respond is treated as an admission of the allegations made against him in the complaint. OPR proceeds with disciplinary action without a formal hearing. Randy is subsequently disbarred from practicing before the IRS, and his case is also referred to the Department of Justice for possible criminal prosecution.

If the practitioner responds to the complaint, a hearing will be arranged where an administrative law judge will assess the evidence and determine whether the Office of Professional Responsibility (OPR) has successfully proven its case. During a hearing, the practitioner may appear in person or be represented by an attorney or another practitioner. The OPR may be represented by an attorney or by another IRS employee assigned to the case. Within 180 days of the conclusion of a hearing, the administrative law judge must enter a decision.

Note: To prevail in a disciplinary action involving disbarment, a monetary penalty, or a suspension of six months or longer, the OPR must prove its case by "clear and convincing evidence." (To prove a willful violation, "willful" is defined as a voluntary, intentional violation of a known legal duty). This is a higher standard than the "preponderance of the evidence" (or "more likely than not") standard, which applies to cases involving a censure or a suspension of less than six months.

If there is no appeal, the decision by the administrative law judge becomes final. However, either party — the OPR or the practitioner — may appeal the judge's decision with the Treasury Appellate Authority within 30 days. The Treasury Appellate Authority will receive briefs and render what is known as the "Final Agency Decision."

Example: The OPR receives a referral from another tax practitioner regarding Gayle, an enrolled agent.

After an initial investigation, the OPR drafts a complaint citing violations of Circular 230. The case is referred to the Office of Chief Counsel, which sends the complaint by certified mail alleging that Gayle gave irresponsible advice to clients, forged client signatures, and falsified multiple documents. Thirty days later, Gayle offers a response in writing, denying some of the allegations and admitting to others. The case goes before an administrative judge, who listens to evidence presented by the OPR and by Gayle's attorney.

Within 180 days, the judge issues his ruling, which agrees with the OPR's recommendation that Gayle be disbarred. She chooses not to appeal and is banned from practice before the IRS.

For the OPR, this decision is final, but the practitioner may contest the Final Agency Decision in a U.S. district court. The judge will review the findings from the administrative law hearing, but will only set aside the decision if it is considered arbitrary or capricious, contrary to law, or an abuse of discretion.

After a practitioner has been disbarred, they may appeal to the OPR for reinstatement after five years.

The OPR will review their conduct, and OPR will consider the degree to which the individual has complied with the terms of the consent to suspension or disbarment and the degree to which, during the suspension or disbarment, the individual has complied with the rules of conduct in Circular 230.

Note: Under Circular 230, the OPR has the right to use expedited suspension procedures against a practitioner in certain situations. This includes when their license has been revoked by a state agency or board, or when they have been convicted of a crime involving dishonesty or breach of trust. These expedited procedures can also be used for willful disreputable conduct related to personal federal tax filing obligations.

Prohibited Actions during Suspension or Disbarment During disbarment or suspension, a practitioner will not be allowed to practice before the IRS (except to represent themselves). A disbarred or suspended practitioner may not:

- Prepare or file documents or other correspondence with the IRS, regardless of whether they sign them, personally file them, or direct someone else to file them. However, disbarred or suspended practitioners can still prepare and file tax returns for compensation due to the Loving case.⁵¹
- Provide written advice on any arrangement or entity with the potential tax avoidance or evasion.
- Represent a client at conferences, hearings, and meetings or sign documents on their behalf, such as waivers, consents, or closing agreements.
- Receive a taxpayer's refund check; or sign a tax return on behalf of a taxpayer.
- File powers of attorney with the IRS, or state or imply that they are still eligible to practice before the IRS.
- Accept assistance from another person (or request assistance) or assist another person (or offer assistance) if the assistance relates to a matter constituting practice before the IRS or enlist someone for this purpose.

Example: Adrienne is an enrolled agent who prepares tax returns and owns her own firm. In 2025, she hires another enrolled agent named Emery as an employee. During the year, the Office of Professional Responsibility investigates Emery for writing fraudulent checks. Emery is later disbarred for financial fraud and loses his EA license. Adrienne must dismiss Emery as her employee. She cannot accept assistance from, or employ, a disbarred practitioner.

However, a disbarred or suspended individual is still allowed to:

- Represent themselves in any matter, or appear before the IRS as a trustee, receiver, guardian, administrator, executor, or other fiduciary if duly qualified/authorized under the law of the relevant jurisdiction.
- Appear as a witness for a taxpayer.
- Furnish information at the request of the IRS or any of its officers or employees.
- Receive IRS information pursuant to a valid tax information authorization (Form 8821). However, simply receiving this information does not entitle a disbarred or suspended preparer to practice before the IRS on behalf of any taxpayer.

As mentioned previously, prepare tax returns for clients for compensation (due to the outcome of the Loving case⁵²).

Example: Bartlett is an attorney who was disbarred in 2025 for criminal wire fraud. Bartlett can no longer give tax advice or represent clients before the IRS. However, he is the legal guardian of his disabled adult daughter, Camilla. Bartlett is the fiduciary of Camilla's qualified disability trust. Despite the fact that he is a disbarred attorney, he may still represent his daughter (as her legal guardian) and the trust (as the trust's fiduciary) before the IRS. ⁵¹ The Office of Professional Responsibility released a statement (OPR 20052314) stating that suspensions or disbarments from practice before the IRS cannot include restrictions on paid return preparation, and access to PTINs cannot be blocked for disciplinary reasons under Circular 230. ⁵² In *Loving v. IRS*, a U.S. district court found that the IRS lacked the authority to regulate tax preparers or the preparation of a tax return.

Study Unit 8: Study Questions

(Test yourself and then check the correct answers at the end of this chapter.)

1. A suspended or disbarred practitioner may: a) Appear before the IRS as a fiduciary. b) File an IRS appeal request on a taxpayer's behalf. c) Represent a client at IRS conferences, hearings, and meetings. d) Execute a closing agreement for a client with a valid power of attorney.
2. All of the following are considered examples of disreputable conduct for which an enrolled agent can be disbarred or suspended except: a) Directly or indirectly attempting to influence the official action of any employee of the Internal Revenue Service by use of threats, or by bestowing any gift, favor or thing of value. b) Misappropriation or failure to remit funds received from a client for the purpose of payment of taxes or other obligations due to the United States. c) Knowingly aiding and abetting another person to practice before the Internal Revenue Service during a period of suspension or disbarment. d) Non-willful failure to timely pay personal income taxes.
3. What is the shortest period of suspension that will be imposed upon a practitioner who has been found to violate a provision of Circular 230? a) One month. b) Six months. c) One year. d) Two years.

4. Alisha is an enrolled agent that was disbarred from practice by OPR. How long must Alisha wait in order to petition for reinstatement? a) One year. b) Five years. c) Ten years. d) Disbarment is permanent.

5. Which of the following types of disciplinary actions allows a practitioner to continue practicing before the IRS? a) Disbarment b) Suspension c) Censure d) All of the above Bowie is an enrolled agent. The OPR receives a complaint about Bowie and launches an investigation.

The OPR determines Bowie has violated provisions of Circular 230 by cashing his client's refund checks.

Bowie wants to fight the determination. Which of the following best describes the due process procedures that Bowie will face? a) After the formal OPR complaint is filed against Bowie; a disciplinary hearing is held with an administrative law judge presiding; either the OPR or Bowie can appeal; a final decision is rendered by the Treasury Appellate Authority; at that point, Bowie must sue in court to contest the decision. b) After the formal OPR complaint is filed against Bowie; a disciplinary hearing is held with an administrative law judge presiding; either the OPR or Bowie can appeal; a final decision is rendered by the Treasury Appellate Authority; no further appeal is granted by either side. c) After the formal OPR complaint is filed against Bowie; a disciplinary hearing is held with an administrative law judge presiding; either the OPR or Bowie can appeal; a final decision is rendered by the judge; at that point, Bowie must sue the IRS to contest the decision. d) After the formal OPR complaint is filed against Bowie; a decision is rendered by the Treasury Appellate Authority; no appeal can be made by either OPR or Bowie.

7. Renata Smith, an enrolled agent, advises her prospective clients that she is able to obtain approval of qualified retirement plans with unique vesting provisions because of her close relationship with the IRS territory manager of the Tax Exempt Government Entities operating unit in her locality. This type of solicitation constitutes: a) Reasonable care b) Disreputable conduct c) Authorized disclosure d) Conflict of interest 8. Benedict is a lawyer who was disbarred from practice in 2025. Which of the following actions is he not allowed to do? a) Represent himself before the IRS during the examination of his own tax return. b) Furnish information to the IRS at the request of a revenue officer. c) Act as a representative for a client for a fee in an IRS audit. d) Prepare the tax return of a corporation in which he is an officer and the sole shareholder.

9. Under Treasury Department Circular 230, all of the following are considered to be "incompetence and disreputable conduct" except: a) Conviction of any criminal offense under the Federal tax laws. b) Conviction of any criminal offense involving dishonesty or breach of trust. c) Willfully disclosing tax return information with the consent of the taxpayer. d) Willfully failing to sign a tax return prepared for compensation.

10. How is a proceeding for a violation of the regulations in Circular 230 instituted against an enrolled practitioner once an official complaint has been made against the practitioner? a) An aggrieved taxpayer files a petition with the United States Tax Court stating a claim against the enrolled practitioner. b) The Commissioner of the IRS files a complaint against the enrolled practitioner with the United States Tax Court. c) The Office of Professional Responsibility will draft a "pre-allegation notice" and refer the case to the Office of Chief Counsel. d) The Secretary of the Treasury files a complaint against the enrolled actuary in the United States District Court for the District of Columbia.

11. What is the primary source of disciplinary cases opened by the Office of Professional Responsibility (OPR)? a) Direct complaints from taxpayers b) Random due diligence audits of tax practitioners c) Whistleblower reports submitted to OPR d) Internal and external referrals 12. Which of the following is a common reason for referral to the OPR? a) Cashing, diverting, or splitting a taxpayer's refund by electronic or other means b) Filing a tax return late c) Disagreeing with an IRS audit finding and filing an appeal with

the IRS Office of Appeals d) Failing to provide a receipt for a tax preparation fee 13. Which of the following is not listed in Circular 230 as conduct that could cause a practitioner to be censured, suspended, or disbarred? a) Abusive language in connection with practice before the IRS. b) Willfully failing to sign a federal tax return. c) Conviction of a felony charge. d) Indictment on a criminal offense charge.

Study Unit 8: Question Answers

1. The answer is A. A disbarred practitioner may appear before the IRS as a trustee, receiver, guardian, administrator, executor, or other fiduciary, if duly qualified or authorized under the laws of the relevant jurisdiction.
2. The answer is D. A failure to timely pay personal income taxes will not be considered disreputable conduct, as long as the failure to pay is not a willful attempt to evade tax. However, a willful failure to timely file a federal income tax return constitutes disreputable conduct as defined under 31 C.F.R. § 10.51(a)(6).
3. The answer is A. The OPR can suspend a practitioner who has violated the rules and regulations of Circular 230 for a period of one month and up to a maximum of 60 months (5 years). A suspension (unlike a disbarment) can be for a period shorter than 5 years.
4. The answer is B. Alisha may petition the OPR for reinstatement after a period of five years. Reinstatement will not be granted unless the Internal Revenue Service is satisfied that the petitioner is not likely to engage thereafter in conduct contrary to the regulations, and that granting such reinstatement would not be contrary to the public interest. In the case of a suspension (rather than a disbarment), a practitioner may petition for reinstatement immediately following the expiration of the suspension period if shorter than 5 years (Title 31, CFR §10.81).
5. The answer is C. A practitioner who is censured by the OPR is still eligible to practice before the IRS. Censure is a public reprimand. Unlike disbarment or suspension, censure does not affect an individual's eligibility to represent taxpayers before the IRS, although the OPR may subject the individual's future representation of taxpayers to conditions designed to promote high standards of conduct.
6. The answer is A. After the formal complaint is filed against Bowie; a disciplinary hearing is held with an administrative law judge presiding; either the OPR or Bowie can appeal; a final decision is rendered by the Treasury Appellate Authority. At that point, if Bowie does not agree with the decision, he can sue in a U.S. district court. However, the district court judge will only reverse the decision if it is considered arbitrary or capricious, contrary to law, or an abuse of discretion.
7. The answer is B. This type of solicitation constitutes disreputable conduct, subjecting Renata to potential disbarment or suspension from IRS practice. A tax preparer cannot infer or imply any type of employer/employee or other close relationship with the IRS.
8. The answer is C. Benedict cannot act as a representative for a client for a fee in an IRS audit. A practitioner who has been disbarred (or suspended) may not represent a client in front of the IRS, sign a tax return on behalf of a taxpayer, file powers of attorney with the IRS, or any other actions considered practice before the IRS. The other actions listed are allowed, even for a practitioner who has been disbarred or suspended.
9. The answer is C. Willfully disclosing tax return information with the consent of the taxpayer would not be considered disreputable conduct.

10. The answer is C. When OPR receives an official complaint about a practitioner, it will send a "preallegation notice" to the practitioner regarding the alleged conduct. The notice gives the practitioner an opportunity to provide evidence or documentation in the case. The OPR will then determine the appropriate level of discipline warranted for the violation and try to reach an agreement with the practitioner on a sanction. If an agreement cannot be reached, the OPR will draft a complaint and refer the case to the Office of Chief Counsel. The practitioner will then have one final opportunity to resolve the matter before a formal disciplinary hearing.

11. The answer is D. Internal and external referrals are the primary source of disciplinary cases opened by OPR. The OPR relies heavily on referrals involving tax practitioner misconduct from multiple sources, including IRS employees, taxpayers, other tax practitioners, law enforcement agencies, and U.S. state licensing authorities.

12. The answer is A. Cashing, diverting, or splitting a taxpayer's refund by electronic or other means is prohibited, and one of the common reasons for referral to the OPR. This can also include other patterns of misconduct involving multiple years, or multiple clients.

13. The answer is D. Circular 230 §10.51 details a large number of violations related to incompetence or disreputable conduct for which a practitioner may face sanctions from the OPR. The statute specifically cites "conviction" of a criminal offense or felony charges, rather than merely an "indictment" on criminal offense or felony charges. Circular 230 also does not specify that a conviction of misdemeanor charges is a sanctionable offense. However, the statute warns that practitioners may be sanctioned for offenses that are not specifically listed.

Study Unit 9: Tax Payments and IRS Collections

Study Unit

Tax Payments and IRS Collections

More Reading

- Publication 594, The Collection Process
- Publication 1035, Extending the Tax Assessment Period
- Publication 971, Innocent Spouse Relief
- Publication 1660, Collection Appeal Rights After filing their tax return, if a taxpayer does not pay any balance due in full by the original due date, the IRS will send them a bill for the amount due, which may include additional charges such as penalties and interest.

This initiates the collection process, which will continue until the full balance is paid or until the IRS is no longer able to legally collect the owed taxes (such as when the statute of limitations on collections expires).

The unpaid amount will accrue daily interest and potentially incur a monthly late payment penalty, up to the maximum allowed by law.

Example: Elmer files his tax return for the year 2025 and discovers he owes \$2,500. He files his tax return on time, but due to financial constraints, Elmer is unable to pay the full amount by the original due date.

He decides to pay only \$500 by April 15 and hopes to settle the rest later. A few weeks after he files the tax return, Elmer receives a bill from the IRS. The bill states that he still owes \$2,000 in base taxes and also includes additional charges for penalties and interest, bringing the total amount due to \$2,150. The bill also outlines the payment options available to Elmer, such as setting up an installment agreement or paying the balance in full. Elmer is informed that if he does not take action to pay the remaining balance, the IRS will continue the collection process. This could include further penalties, interest, and potential enforcement actions like wage garnishment or a lien on his property. The IRS collection process will continue until the full balance is paid or until the collection statute of limitations expires. Elmer agrees with the amount due but still cannot pay the full amount. He decides to contact the IRS to discuss his payment options and sets up an installment agreement to pay off the remaining balance over the next year.

If a taxpayer agrees with the information on the bill, but cannot afford to pay the full amount, they are encouraged to make a partial payment and promptly contact the IRS to discuss their circumstances. There are various options available for taxpayers who are unable to pay their taxes in full, such as:

- Extensions of time to pay: A short-term extension to pay the balance in full.
- Installment agreements: A monthly payment plan. The IRS encourages taxpayers to apply for an Online Payment Agreement (OPA) to meet their tax obligations in monthly installments.
- Offers in compromise: An agreement that settles the taxpayer's debt for less than the full amount owed. Taxpayers can use the IRS's online Offer in Compromise Pre-Qualifier tool to see if they are eligible.

Approved Methods of Payment

The IRS offers numerous options for making payments. The following methods of payment are currently accepted by the IRS:

1) Direct Debit or Electronic Funds Withdrawal (EFW): A Direct Debit, or Electronic Funds Withdrawal, is a tax payment electronically withdrawn from a taxpayer's bank account. Direct Debit is commonly used for direct debit installment agreement (DDIA) payments as well as regular tax payments (note that this is not the same as "Direct Pay"). This type of payment can be an integrated e-file/e-pay option offered when filing federal taxes using tax preparation software. This payment option is free and available when e-filing a tax return.

2) Credit Card, Debit Card: Individuals can pay online, with a credit card or debit card through any of the authorized card payment processors. The card processor charges a fee. The IRS does not receive any fees for these payments.

3) IRS Online Account and Direct Pay: Direct Pay is free and allows individuals to securely pay their federal taxes directly from their checking or savings account without any fees or preregistration. Alternatively, taxpayers can log into their secure IRS Individual Online Account or Business Tax Account to view balances, make payments, and review payment history.

4) Electronic Federal Tax Payment System (EFTPS): A free online tax payment system that allows users to schedule payments up to one year in advance. This is the primary and best option for businesses paying employment and corporate taxes. Note for 2026: The IRS is sunsetting EFTPS for individual taxpayers. Effective October 17, 2025, individuals can no longer create new enrollments via EFTPS.gov. All individuals will be required to transition to IRS Direct Pay or their IRS Online Account by late 2026.

5) Installment Agreement: A payment plan where a taxpayer pays taxes over an extended period of time. A Direct Debit Installment Agreement (DDIA) is when payments are made directly from the taxpayer's bank account, but installment payments can be made by other means, such as check or money order.

6) Pay with Cash at a Retail Partner: Cash payments can be made through select, IRS-approved retail stores (often using the "Vanilla Direct" network), which the IRS counts as a secure electronic payment. These are subject to dollar amount and frequency limitations.

7) Same-Day Wire Transfer: If a taxpayer does not have a U.S. bank account (for example, a U.S. citizen who is living and working overseas), it is possible to make same-day wire transfers directly to the IRS. This is done most often by taxpayers who have foreign bank accounts. The foreign bank where the wire transfer originates must have a banking relationship with a U.S. bank, although the U.S. bank does not have to be an affiliate of the foreign bank.

8) Personal Check, Cashier's Check, or Money Order: Mailed paper payments are still accepted for now, but the IRS strongly encourages electronic options to avoid delays or lost checks. All checks or money orders should include the taxpayer's phone number, SSN/EIN, tax return type, and relevant tax year, and be made payable to "United States Treasury."

Example: Sophie always has her tax return prepared by Larry, her CPA. Sophie owes \$450 in federal taxes.

Larry asks Sophie if she would like to pay via Electronic Funds Withdrawal (EFW). Larry explains that the IRS will withdraw the \$450 directly from her bank account and that she just needs to provide her bank account and routing numbers. Larry offers to schedule the withdrawal for her chosen date. Sophie gives Larry her banking details and asks for the withdrawal to be scheduled on April 15. Larry uses his professional tax software to e-file Sophie's return and schedule the payment, ensuring a smooth process.

Taxpayers are not required to send payments at the same time as they file their return. For instance, they may choose to file their tax return in February but wait until a later date to pay using Direct Pay, or mail in their payment via check. As long as the payment is submitted or postmarked by the due date of the return, it will be considered paid on time.

Tax Refunds

Taxpayers have several options related to their tax refunds. They may:

- Apply a refund to next year's estimated tax.
- Receive the refund as a direct deposit to an eligible financial account.
- Split the refund, between next year's estimated tax and directing the remainder by direct deposit among up to three eligible financial accounts.

Electronic Delivery Transition. Pursuant to Executive Order 14247, "Modernizing Payments To and From America's Bank Account," the U.S. Department of the Treasury is transitioning federal payments, including tax refunds, to electronic delivery. Paper refund checks are being phased out beginning September 30, 2025, to the extent permitted by law, and refunds are generally issued electronically.

The most efficient way to receive refunds is through direct deposit. Taxpayers can designate their refunds to be deposited directly into qualified accounts in their name, such as savings, checking, share draft, or retirement accounts (such as IRA or money market accounts).

Prepaid debit cards are also eligible for direct deposits, but regular credit card accounts are not. All qualified accounts must be with financial institutions located within the United States. There is a limit of three refunds that can be electronically deposited into a single account.

Example: On February 13, 2026, Julien e-files his 2025 tax return and is notified that it has been received and accepted by the IRS. He owes \$800 in taxes, which is less than the \$1,000 safe harbor,⁵³ so he will not owe an underpayment penalty as long as he pays what he owes by the unextended due date. Julien does not pay the \$800 immediately. Instead, he sets aside money from each paycheck over the next few months to cover the \$800 he owes. On the morning of April 15, 2026, Julien uses the IRS Direct Pay system to schedule a payment the same day, which is processed on time. This strategy allows him to file early and pay later during the tax season, giving him extra time to gather the necessary funds.

A preparer must accept any direct deposit election to a qualified account at an eligible financial institution designated by the taxpayer. A preparer may not charge a separate fee for direct deposit. A direct deposit election cannot be rescinded once a return is filed. In addition, changes cannot be made to the routing numbers of financial institutions or to the taxpayer's bank account number after the IRS has accepted the return. A preparer should verify account and routing numbers with the taxpayer each year.

Example: Karla filed her 2025 tax return on February 25, 2026. She e-filed and chose direct deposit for her refund. Three days later, her purse was stolen, and she had to close her bank account to prevent fraud.

The direct deposit information cannot be changed on her return after it has been e-filed. The IRS will attempt to deposit her tax refund, but once the bank declines her deposit, the IRS will mail Karla a notice asking her to update her banking information online. If she does not provide updated electronic deposit information within 30 days, her refund will be delayed and eventually issued as a paper check after six weeks. ⁵³ The IRS will not impose an underpayment penalty if an individual pays at least 90% of the tax owed for the current year, or 100% of the tax owed for the previous tax year, or if they owe less than

\$1,000 in tax after subtracting withholdings and credits. These safe harbor rules are covered in detail in Part 1, Individuals.

Installment Agreements (Long-Term and Short-Term Payment Plans)

Installment agreements are long-term payment arrangements in which the IRS allows taxpayers to pay their tax liabilities over time. Before applying for an installment agreement, the taxpayer (or business) must file all required tax returns.

While interest and late-payment penalties continue to accrue on any unpaid taxes after the due date, the failure-to-pay penalty rate is cut in half while an installment agreement is in effect — from the usual penalty rate of 0.5% per month to a reduced rate of 0.25% per month.

Taxpayers who file their taxes electronically can apply for an installment agreement once their return has been processed and their tax has been assessed. They can either submit Form 9465, Installment Agreement Request, or apply online, if eligible. There is a one-time user fee for setting up an installment agreement, but low-income taxpayers with AGIs at or below 250% of the federal poverty level may qualify for a reduced or waived fee.

An installment agreement must generally provide for full payment of the taxpayer's account before the expiration of the collection statute of limitations; however, there are exceptions if the taxpayer's financial circumstances warrant it.

While the installment agreement is in effect, penalties and interest will continue to accumulate. Any future tax refunds will be used towards the outstanding debt until it is completely paid off. The agreement specifies equal monthly payments, but the taxpayer has the option to pay more than the required amount each month.

IRS Payment Plan Options

Short Term Payment Plan

Free option for individuals and businesses who can pay in 180 days (6 months).

Payment options include:

- Checking or savings account
- Electronic Federal Tax Payment System (EFTPS) online or by phone (enrollment required; phasing out for individuals — see note below).
- Check, money order, or debit/credit card (Fees apply when paying by card).

Long-Term Payment Plans

Option 1: Pay through Direct Debit (automatic monthly payments from a checking account).

Also known as a Direct Debit Installment Agreement (DDIA).

Direct Debit is required if the taxpayer's balance is more than \$25,000.

Option 2: Other payment options:

- Make monthly payment via Direct Pay (Individuals only)
- Make monthly payment using the Electronic Federal Tax Payment System (EFTPS)

- Make monthly payment by check, money order or debit/credit card (additional fees apply when paying by credit card) Cost
- Apply online: \$31 setup fee
- Apply by phone, mail, or in-person: \$107 setup fee
- Low income: setup fee waived
- Accrued penalties and interest will be assessed until the balance is paid in full
- Apply online: \$130 setup fee
- Apply by phone, mail, or in-person: \$225 setup fee
- Low income: \$43 setup fee, which may be reimbursed if conditions are met
- Accrued penalties and interest will be assessed until the balance is paid in full Note (2026 Payment Transitions): Under Executive Order 14247, the IRS is modernizing its payment systems and transitioning away from paper checks. While paper checks are still temporarily accepted for payment plans, the IRS strongly encourages using electronic portals. Additionally, the EFTPS system is being sunset for individual taxpayers. Effective October 17, 2025, individuals can no longer create new EFTPS enrollments, and all individuals will be required to transition to IRS Direct Pay or their IRS Online Account by late 2026. EFTPS remains the primary system for businesses.

Applying for an Installment Agreement Online: Individuals must owe \$50,000 or less in combined individual income tax, penalties, and interest, and have filed all required returns in order to apply for an installment agreement online. In the case of a business taxpayer with a payroll tax liability, the business must owe \$25,000 or less in payroll taxes and must have filed all required returns.

Qualified taxpayers who owe \$25,000 or less may have their Notice of Federal Tax Lien withdrawn after entering into a direct debit installment agreement. For businesses that establish an installment agreement online, balances over \$10,000 must be paid by Direct Debit. For individual taxpayers who owe more than \$50,000, Form 433-F, Collection Information Statement, will have to be submitted along with the installment agreement request.

Cost

Apply online: \$0 setup fee (only individuals can apply for a short-term payment plan online) Apply by phone, mail, or in-person: \$0 setup fee (up to 180 days) No fee, but penalties and interest will accrue until the balance is paid in full.

A "guaranteed installment agreement" applies when taxpayers owe \$10,000 or less in tax. Taxpayers applying for a "guaranteed installment agreement" cannot be turned down for an installment agreement if all of the following apply: 1 of the following apply:

- The taxpayer (and spouse, if married) has timely filed all income tax returns and paid all tax due during the past five years;
- The IRS has determined the taxpayer cannot pay the tax owed in full when it is due;
- The taxpayer agrees to pay the full amount he owes within three years; and
- The taxpayer has not entered into an installment agreement with the IRS in the prior five years.

Example: Glenda owes \$36,000 in taxes and is not able to pay the balance due. She is under the \$50,000 threshold, so she is eligible to apply for an installment agreement online. She applies online, and her installment agreement is approved by the IRS. For payment convenience, Glenda has \$500 deducted from

her checking account every month via direct debit. Under the terms of the agreement, she must pay the entire amount within 72 months.

Note: Do not confuse a long-term installment agreement with a "short-term payment plan." Short-term payment plans do not require a fee, and typically the balances must be paid within 180 days.

The IRS will not take collection actions when a taxpayer has requested an installment agreement, when an installment agreement is in effect, within 30 days after a request for an installment agreement has been denied, and when the IRS is reviewing an appeal for a rejected or terminated agreement.

Example: Jayce, a small business owner, is struggling to pay \$130,000 in back tax debt. He requests an installment agreement with a monthly payment of \$300. This amount would not fully pay the tax debt before the expiration of the collection statute of limitations, so the IRS requires him to provide his financial information. After reviewing Jayce's financial situation, the IRS determines that he can afford to pay \$860 monthly. As a result, the IRS denies his request for the \$300 per month installment agreement. Jayce appeals their decision within the 30-day window. During this time, the IRS continues to refrain from taking further collection actions. If the IRS upholds its original decision, Jayce will be required to enter into the \$860 per month installment agreement or face collection action. If the IRS accepts Jayce's appeal, they will work with him to establish a new installment agreement based on the revised assessment of his financial situation.

Missed Installment Payments: If a taxpayer who has an installment agreement with the IRS fails to make a payment, the IRS considers the agreement to be in default. The IRS will then generate an automatic 30-day notice, typically referred to as a CP523 Notice. This notice informs the taxpayer that they have defaulted on their installment agreement and provides them with a 30-day period to address the issue.

If the taxpayer wants to reinstate their installment agreement, they must contact the IRS. This can usually be done by calling the phone number listed on the notice. The taxpayer must explain why they missed the payment and how they plan to ensure future payments are made on time. There is typically a fee charged for reinstating an installment agreement that has defaulted, unless the taxpayer can demonstrate reasonable cause (such as being affected by a FEMA disaster).

Extension of Time for Payment due to Hardship (Form 1127): If a taxpayer is experiencing a serious hardship, they may be able to request the time they have to pay by filing Form 1127, Application for Extension of Time for Payment of Tax Due to Hardship, by the due date of their return, or by the due date for the amount determined as a deficiency. The types of taxes covered by Form 1127 include income taxes, self-employment taxes, and gift taxes.

The term "undue hardship" does not mean a taxpayer will simply be inconvenienced by paying the tax.

Rather, for the IRS to grant a Form 1127 request, a taxpayer must show they will sustain a substantial financial loss if they pay the tax on the due date.

In addition, Form 1127 also requires that the taxpayer include a statement of the assets and liabilities of the taxpayer, and an itemized statement showing all receipts and disbursements for each of the three months immediately preceding the due date of the amount to which the application relates. Actual acceptance of a payment extension using Form 1127 is rare.

Example: Salma, a successful self-employed artist, suffered a severe accident that has left her unable to work and with large medical bills. Salma's tax return has been filed, and she owes income tax, but given her current financial situation, paying her tax bill would mean she wouldn't be able to afford her basic living

expenses and medical bills. This situation goes beyond mere inconvenience; paying the tax on its due date would cause Salma substantial financial loss. Salma files Form 1127, Application for Extension of Time for Payment of Tax Due to Undue Hardship. On the form, she provides a detailed explanation of her situation, including documentation of her accident, her medical bills, and her current financial status. The IRS reviews her situation and determines that paying the tax on the due date would indeed result in undue hardship and grants her an extension of 6 months to pay the tax that she owes.

Interest will continue to accrue on the amount due, even if the IRS grants the taxpayer an extension due to hardship. The IRS generally will not grant an extension of more than six months to pay the tax shown on a return.

An extension to pay an amount determined as a deficiency is generally limited to 18 months from the date payment is due, but an extension to pay a deficiency will not be granted if the tax deficiency is due to negligence, intentional disregard of rules and regulations, or fraud with intent to evade tax.

Example: Bernard and Cindy were sent a notice and demand for payment of \$6,900, plus interest and penalties, because multiple credits on their joint return, including the Child Tax Credit and the American Opportunity Credit, were disallowed due to gross negligence. Bernard and Cindy had claimed their nephews as qualifying children, but the children did not live with them and did not qualify as their dependents.

Bernard and Cindy cannot pay the tax on the notice because their savings were drained because of a recent knee surgery for Bernard. Bernard wants to request a hardship extension to pay using Form 1127, but Cindy fears additional accusations of negligence or fraud, because the credits they claimed on their return had been improper. Although they provide a full explanation of their financial difficulties, the required collection information statements, as well as proof of the medical procedures, the IRS refuses to grant them a hardship extension, because their tax deficiency was due to negligence or intentional disregard of rules and regulations.

The IRS Collection Process and the CSED

After a taxpayer files a return, if they have unpaid tax due, the IRS will send a bill, which officially starts the collection process.⁵⁴ The IRS has wide powers when it comes to collecting unpaid taxes. The first notice explains the balance due and demands payment in full. It will include the amount of the unpaid tax balance plus any penalties and interest calculated from the date the tax was due. The collection process continues until the taxpayer's account is satisfied or until the IRS may no longer legally collect the tax, such as when the collection period has expired. The date that the IRS is no longer allowed to collect the tax is called the collection statute expiration date (CSED). The CSED is normally ten years from the date of the assessment.

Typically, the date of assessment is the date of the first bill received for the balance due (also called a notice and demand letter). This is typically received within a few weeks of electronically filing a tax return.

Each tax year has its own CSED because each tax year is a separate assessment.

Example: David e-files his 2025 return on March 31, 2026. David files his return on time, but he owes \$3,000 in taxes. He does not have the money to pay the tax, so he does not make any payments. The IRS sends David a bill on April 15, 2026, which is also the official date of assessment. This bill officially starts the IRS collection process. If David does nothing else to extend the statute of limitations, the CSED for David's 2025 tax return will end on April 15, 2036, ten years later.

Suspending or "Tolling" the CSED

The collection statute of limitations period can be suspended (also referred to as "tolled"), which extends the CSED.

Note: The collection period is suspended when the IRS is prohibited from collecting tax. During this suspension period, the collection period is extended whereby the IRS is legally authorized additional time to be added to the initial ten years to collect. The IRS is not prohibited or stopped from collecting after the original 10-year period if the collection period is extended.

The CSED can be "tolled" or extended, for a variety of reasons, including:

- While the IRS considers a proposed installment agreement or offers in compromise.
- From the date a taxpayer requests a collection due process (CDP) hearing.
- While the taxpayer is residing outside the United States for a continuous period of at least 6 months.
- During a bankruptcy, and the collection period is extended by 6 months upon the conclusion of the bankruptcy.

When the CSED is NOT Tolloed

The CSED is not tolled while an installment agreement is in effect or the IRS has deemed the accounts "currently not collectable" due to a financial hardship. The amount of time the suspension is in effect will be added to the time remaining in the ten-year period. For example, if the ten-year period is suspended for six months, the time left in the period the IRS has to collect will increase by six months. If a taxpayer is delinquent in filing their return, the date of assessment is the date the return is processed, and the taxpayer is legally liable for the tax.

Note: Installment agreements do not suspend the collection statute. In other words, if a taxpayer is paying their tax debt under an installment agreement, the amount of time that the IRS has to legally collect the debt does not increase. 54 Per Publication 594, the "collection process" is a series of actions that the IRS can take to collect the taxes you owe if you do not voluntarily pay them.

Bankruptcy

Filing for bankruptcy puts an immediate halt to tax assessment and collection. This is known as an "automatic stay," which remains in effect until the bankruptcy court lifts it or discharges liabilities. However, not all taxes can be discharged this way. To qualify for discharge in bankruptcy, the tax debt must meet certain conditions:

- It must be income tax debt. Payroll taxes, excise taxes, or fraud penalties cannot be discharged in bankruptcy.
- The bankruptcy must be filed at least three years after the due date of the tax return. In addition, a valid tax return for the debt must have been filed at least two years before filing for bankruptcy.
- The IRS must have assessed the tax debt at least 240 days before the bankruptcy filing.
- The tax return was not fraudulent, and the taxpayer cannot be guilty of tax evasion.

Example: Marcel is a freelance graphic designer who has been struggling financially for the past few years.

In 2021, he earned a substantial income from a big project. However, due to financial mismanagement, he was unable to pay his income taxes for that year. Interest and penalties continued to accrue and Marcel's back income tax debt from 2021 ballooned to \$20,000. On February 15, 2026, Marcel consulted a bankruptcy attorney who recommended that he file for Chapter 7 bankruptcy, which he did on March 1, 2026.

The filing in bankruptcy court immediately stops IRS collection action. The court discharged Marcel's tax debt since it met the necessary conditions: type of tax (income), age of the tax year (more than 3 years old), filing of tax returns (valid for 2021), assessment by the IRS more than 240 days prior, and no fraud or evasion committed. This lifted a significant financial burden off his shoulders.

The Taxpayer's Ability to Pay

When a taxpayer has unpaid taxes or requests an installment agreement or an offer in compromise, the IRS might use different approaches to assess the taxpayer's ability to pay. They may evaluate the taxpayer's overall financial condition by looking at elements like cash flow, assets, any lawsuits against them, garnishments, and if they have declared bankruptcy. Additionally, the IRS may use third-party information, such as property assessments, asset valuations, and state and local tax details.

Collection Financial Standards

The IRS Collection Financial Standards are guidelines used to determine a taxpayer's ability to pay a delinquent tax liability. These standards help establish allowable living expenses necessary for a taxpayer's health, welfare, and income production while repaying tax debt. Allowances for housing, utilities, and transportation vary by location, while standard amounts are allowed nationwide for food, clothing, out-of-pocket health care expenses, and other items.

The IRS uses these standards for taxpayers who do not qualify for streamlined installment agreements, which require little financial analysis or substantiation of expenses, or who cannot afford the streamlined payment amount. In most cases, the taxpayer is allowed the amount actually spent, or the local standard, whichever is less.

Generally, the IRS allows living expenses based on the number of people in the taxpayer's household.

Because personal exemptions have been eliminated from the tax code, this number usually corresponds to the number of dependents claimed on the taxpayer's most recent tax return, plus the taxpayer(s).

Example: If a single taxpayer claims three dependents on their tax return, the IRS will consider the Collection Financial Standard living expenses for a four-person household (the three dependents plus the taxpayer themselves).

Example: Amina Smith owes the IRS \$60,000 in back taxes from prior years. She always files her tax returns on time but cannot pay the back taxes in full as she is still struggling financially. The IRS uses Collection Financial Standards to assess her ability to pay. With three dependents, Amina's family is considered a family of four. The national standard for food, clothing, and other items is \$2,027 per month (for four persons). In New York City, Queens County, the local standard for housing and utilities is \$3,982 monthly, though Amina spends \$3,700, so this is the allowed amount. For transportation, the local standard is \$337 for one car, but Amina spends \$550, so the IRS will only allow \$337 unless she can show the higher amount is a necessary living expense. The national standard for out-of-pocket health expenses for a family of four is \$332 monthly; any health insurance cost would be allowed in addition to that. Based on the above, Amina's allowable living expenses total \$6,396 per month, covering:

- Food, clothing, and other items: \$2,027
- Housing and utilities: \$3,700
- Transportation: \$337
- Out-of-pocket medical expenses: \$332 The IRS subtracts these expenses from Amina's monthly income to determine her ability to pay the tax debt. Amina would likely have other allowable expenses, including current income and payroll taxes (such as wage withholding, FICA taxes, and state income tax withholding). If a taxpayer believes they need a higher amount for basic living expenses than the Collection Financial Standards allow, the taxpayer must provide documentation to explain why.

Collection Information Statements

The information described above regarding allowable living expenses may be used to prepare a Collection Information Statement, using Form 433-A, Form 433-B, Form 433-F, Form 433-A (OIC), or Form 433-B (OIC). The IRS utilizes these forms to collect data on a taxpayer's monthly household income, living expenses, personal and business assets, and debts. Further, the statements may include information concerning the taxpayer's obligations for court-ordered payments, such as child support and alimony, since the taxpayer will generally have little flexibility regarding these obligations.

Example: Bryson, a self-employed building contractor in Austin, Texas, owes \$105,000 in back taxes to the IRS due to a severe downturn in his business. His IRS account is assigned to a Revenue Officer for collection. Bryson requests an installment agreement, but he is required to fill out Form 433-A and provide personal information, employment details, financial information, assets and liabilities, and monthly income and expenses. The IRS reviews his form and agrees to an installment agreement based on his ability to pay. necessary living expenses to make monthly payments to the "Currently Not Collectible" Status If the IRS determines that a taxpayer is unable to pay their tax debts, they may classify them as "currently not collectible" or CNC. To qualify for this status, the taxpayer must provide a detailed statement of their financial information, demonstrating that they have a financial hardship and have no available funds after necessary living expenses to make monthly payments to the IRS.

The IRS may also ask for financial information to review their income and expenses and determine if the taxpayer can sell any assets or obtain a loan. Once granted "currently not collectible" status (also known as "Status 53"), the IRS must stop all collection activities, including levies; however, the IRS can offset tax refunds toward the balance due unless the taxpayer requests a refund offset bypass due to their financial hardship. Generally, the temporary stop on collection activities will last for a year at a time. However, the IRS may review the taxpayer's financial information periodically and can keep them in CNC status until their income increases. During this time, penalties and interest will continue to accrue on the tax debt. The collection statute of limitations continues to run.

Example: Michael owes the IRS \$175,000 in back taxes. He used to be a highly-paid securities broker, but he had a serious medical issue last year and lost his high-paying job. He now struggles financially, earning \$2,000 monthly from unemployment benefits while facing \$2,100 in necessary expenses. He has filed all his tax returns on time, but he cannot pay his taxes, so he requests CNC status from the IRS. Michael submits detailed financial information the IRS concludes he cannot make any payments. They grant CNC status, halting collection activities but allowing interest and penalties to accrue. The IRS will periodically reassess his financial status and may restart collections if his financial situation improves. Although the IRS will not actively collect from Michael, any future tax refunds will go toward his debt.

Example: Linda is a single mother of two children, who lost her job as a restaurant manager due to the poor economy. She has been unable to find work and relies on unemployment benefits and food stamps.

She currently owes \$13,000 in back taxes but can't make payments. She fills out Form 433-F to explain her financial situation, showing she has no extra income after necessary expenses. The IRS places her in "Currently Not Collectible" status. The IRS will review her situation annually while penalties and interest continue to accrue. In the meantime, the collection statute of limitations continues to run.

IRS Enforcement to Collect Unpaid Taxes

Congress has granted the IRS the authority to compel taxpayers to provide information necessary for determining their tax liability and collecting taxes. This includes the power to examine books, papers, records, and even summon individuals to appear under oath. These powers are most often used in collection proceedings and IRS audits (also known as examinations), such as when a taxpayer refuses to provide information voluntarily. IRS enforcement actions to collect unpaid taxes may include the following:

- Liens and Levies (covered in the next section)
- Summons: Issuing a summons to secure information to prepare unfiled tax returns or determine the taxpayer's ability to pay.
- SFRs: The IRS may prepare a "substitute for return" (SFR) when taxpayers fail to file their return voluntarily. The IRS generally does this by using information they have on file for the taxpayer, combined with other data.⁵⁵ Example: Ambrose has not filed tax returns for several years. The IRS has sent him notices repeatedly, which Ambrose ignored. The IRS prepares substitute for returns (SFRs) for all of Ambrose's unfiled years.

The IRS does this so it can assess tax and begin collection activities. After the SFRs are filed, the IRS sends Ambrose a bill for each year, and collection activity can commence.

Refund Offset Program: A "refund offset" is when an IRS refund is reduced or intercepted to pay off delinquent debt, such as past-due federal income tax, past-due child support, outstanding student loans, or unpaid state income tax. If a refund is offset, the taxpayer will receive an explanatory letter. There is generally no limit on the period during which an offset may be initiated or taken, meaning debts that are years, or even decades, old may be repaid by a refund offset. A state income tax refund may also be intercepted to pay a taxpayer's federal tax liability.

Example: Emily works as a nurse in California. In 2025, she files her tax return and is expecting a refund of \$5,000. However, Emily has an outstanding state income tax debt of \$1,000 that she has been unable to pay due to financial difficulties. Under the Treasury Offset Program, the federal government intercepts \$1,000 of Emily's tax refund to pay off her delinquent state tax debt. Emily then receives the remaining \$4,000 of her tax refund. She also receives a letter from the Bureau of the Fiscal Service, explaining why part of her refund was offset.

Example: Franklin has been expecting a \$2,500 refund from his federal tax return. However, Franklin has past-due child support payments and a delinquent student loan totaling \$3,800. The IRS notifies Franklin that the entire \$2,500 tax refund will be used to offset his past due child support.

Note: The One Big Beautiful Bill Act (OBBBA) created a new type of tax-advantaged investment account for children called a Trump Account. Under a special pilot program, the federal government will make a one-time \$1,000 contribution to the accounts of eligible children born between 2025 and 2028. The law explicitly states that the \$1,000 payment made by the government to a Trump Account under the pilot

program is exempt from being reduced or offset to satisfy other assessed Federal taxes or debts. 55 Substitutes for Returns (SFRs) don't give credit for deductions and exemptions a taxpayer could receive. Even if the IRS files an SFR, taxpayers can still file their own return which will be adjusted by the IRS to reflect correct figures. SFRs only apply to income tax returns, not to non-taxable Form 990 and similar returns.

Federal Tax Lien

A federal tax lien is a legal claim against a taxpayer's property, including property that the taxpayer acquires after the lien is filed. By filing a Notice of Federal Tax Lien, the IRS establishes its interest in the taxpayer's property as a creditor and as security for the debt. The lien filing also publicly notifies the taxpayer's other creditors of its claim.

Once the IRS assesses a taxpayer's liability and sends a notice demanding payment, a federal tax lien automatically arises if the taxpayer neglects or refuses to pay the debt. The lien is a public document, to alert creditors that the government has a legal right to the taxpayer's property. An IRS lien attaches to all the taxpayer's property, such as a house or car, and to all the taxpayer's rights to property (such as accounts receivable, in the case of a business).

The general filing threshold for the amount taxpayers can owe before a Notice of Federal Tax Lien is \$10,000 in most cases. Once a lien is filed, the IRS generally cannot release it until the taxes are paid in full or until the government may no longer legally collect the tax.

Example: Adrian owes the IRS \$85,000 in back taxes from a prior year in which he won a big lottery prize.

Although he filed his taxes on time, Adrian does not want to pay the tax, and he ignores the IRS bills that come to his home. Adrian's home is worth \$250,000, and he has over \$175,000 in equity in the home. The IRS files a Notice of Federal Tax Lien against Adrian's assets. It is on public record, and the tax lien will give the government the authority to seize Adrian's house if he fails to pay his delinquent debt. Adrian is embarrassed by the public nature of the lien and contacts the IRS to make payment arrangements. Within six months, he has paid his tax debt in full, which is the easiest and fastest way to eliminate a federal tax lien.

The IRS releases Adrian's lien within 30 days after he has paid his tax debt.

Notice of Levy

An IRS seizure (or a levy) is the legal act of confiscating a taxpayer's property to satisfy a tax debt. The IRS may issue levies to attach a taxpayer's assets, such as wages, pension benefits, annuities, or Social Security benefits, that result in multiple payments over many years. There are special rules regarding IRS levies. The IRS generally must wait at least 30 days from the date of the notice of intent to levy (Letter 1058 or Notice LT11) before it can make a seizure. Typically, the IRS may not seize property in the following circumstances:

- When there is a pending installment agreement, or while a taxpayer's appeal is pending.
- During the consideration of an offer in compromise.
- During a bankruptcy (unless the seizure is authorized by the bankruptcy court).
- If the taxpayer's liability is \$5,000 or less in a seizure of real property.
- While innocent spouse claims are pending.

However, if the IRS has determined that the collection of tax is in jeopardy, it may immediately seize property without the normal 30-day waiting period.

Example: Gerard is a successful stockbroker and multi-millionaire. The IRS recently discovered that Gerard is involved in an international tax evasion scheme. He was underreporting income and claiming fraudulent deductions using offshore trusts. The IRS finds out that Gerard is a dual citizen, is planning to flee the United States to avoid prosecution, and has been liquidating his assets, intending to transfer all his wealth overseas. To prevent this, the IRS immediately seizes his remaining U.S. assets, including business properties and bank accounts, which would then be used to offset Gerard's tax debt.

The IRS may not seize a main home without prior approval from the IRS Area Director; judicial approval is also required for the seizure of a primary residence. Further, the following items are exempt from IRS levy:

- Wearing apparel and school books.
- Fuel, provisions (food), furniture, personal effects in the taxpayer's household, arms for personal use, or livestock, up to an allowable amount.
- Books and tools necessary for the trade, business, or profession of the taxpayer, up to an allowable amount.
- Undelivered mail.
- Unemployment benefits.
- Workers' compensation, including amounts payable to dependents.
- Certain annuity or pension payments, but only if payable by the Army, Navy, Air Force, Coast Guard, or under the Railroad Retirement Act or the Railroad Unemployment Insurance Act. Traditional and Roth IRAs are not exempt from levy.
- Judgments for the support of minor children (child support).
- Certain public assistance and welfare payments and amounts payable for Supplemental Security Income for the aged, blind, and disabled under the Social Security Act. Regular Social Security payments are not exempt from levy.

If an IRS levy creates a severe economic hardship, it must be released by the IRS. However, even if the IRS releases a levy, this does not mean the taxpayer is exempt from paying the taxes they owe.

Example: Bradley owes \$295,000 to the IRS because of a failed business venture. Bradley closed the business and started working for a department store as a manager. The IRS issues a continuous levy under IRC §6331 to Bradley's employer, and the department store withholds a portion of his paycheck every month for his outstanding tax debt, remitting the amount to the IRS each month for the next four years.

In 2025, Bradley's teenage daughter, Mandy, becomes ill, and as a result, Bradley's living expenses increase significantly due to Mandy's large medical bills. The IRS levy is now causing a severe economic hardship to the taxpayer. Bradley contacts the IRS and asks the IRS to release the levy. The IRS determines that Bradley is experiencing severe economic hardship, and the IRS agrees to release the levy.

IRS Summons

If a taxpayer or other witness refuses to comply with requests for IRS records or other information, the IRS has the power to issue a summons. The IRS's authority to issue a summons is rooted in the Internal Revenue Code (IRC) Section 7602. This allows the IRS to examine books, papers, records, or other data relevant to determining the accuracy of a tax return or to summon individuals to provide testimony under oath. IRC §7602 authorizes the IRS to issue summonses for the following purposes:

- To ascertain the correctness of any return.
- To prepare a return where none has been made.
- To determine the liability of a person for income tax.
- To determine the liability at law or in equity of a transferee or fiduciary of a person in respect of any internal revenue tax.
- To collect any internal revenue tax liability.
- To inquire into any civil or criminal offense connected with the administration or enforcement of the internal revenue law.

When the IRS needs specific documents and records from individual taxpayers or businesses, it will often use a summons as a last resort.⁵⁶ A summons cannot force someone to create new documents, such as tax returns, if they do not already exist. In serving a summons, the IRS must follow strict procedures, and it cannot be used as a means of harassing or pressuring a taxpayer. The summons must be physically given to the taxpayer or left at their known address.

Example: Jada operates a small business (as a C corporation) selling various items at flea markets, and the IRS suspects she is underreporting her sales. To investigate, the IRS issues a third-party summons to her bank. The IRS sends the summons directly to Jada's bank for detailed account records. The bank complies and submits the requested data, revealing discrepancies between her deposits and Jada's reported sales figures. The IRS utilizes this information to impose extra taxes and penalties on Jada's business.

When a summons is served in-person to a taxpayer or left at their home, the person serving the summons must sign a certificate of service. This certificate must include the date and time the summons was served, the manner in which it was served (such as the address and whether it was left with a person), the server's title, and the server's signature. The certificate of service certifies that the taxpayer has been properly served.

An individual has the right to contest a summons based on various technical, procedural, or constitutional grounds. However, if a taxpayer or other witness fails to respond to a summons within the prescribed period, the IRS may seek judicial enforcement through a U.S. district court.

Example: In recent years the IRS has given more scrutiny to cryptocurrency exchanges. One notable action involved the Department of Justice filing a court petition for a "John Doe" summons on Coinbase, a major cryptocurrency exchange. This "John Doe" summons directed Coinbase to produce records identifying U.S. taxpayers who have used its services. The summons was triggered after the IRS found instances of tax evasion involving Coinbase customers. Coinbase initially resisted the summons, arguing that it was overly broad and invasive. The IRS subsequently narrowed the demand to a smaller number of heavy traders, specifically those with transactions exceeding \$20,000, and Coinbase eventually produced the requested records.

Taxpayer Requests: Collection Appeal Rights

A taxpayer may appeal an IRS collection action to the IRS Independent Office of Appeals. The Independent Office of Appeals is separate from, and independent of, the IRS Collection offices that initiate collection actions. The IRS ensures the independence of the Appeals office through a strict policy prohibiting "ex parte communication" with the IRS Collection office about the accuracy of the facts or the merits of each case.⁵⁷ The two main ways that taxpayers use to appeal an IRS collection action are collection due process and the collection appeals program. The first method is a Collection Due Process hearing, or a "CDP hearing."

The second avenue is the Collection Appeals Program, or CAP. There are drawbacks and benefits to both of these appeals options. ⁵⁶ During the audit process, the IRS will often issue an Information Document Request (IDR), asking the taxpayer for certain records. An IDR is issued on IRS Form 4564, and this is how the IRS requests information from a taxpayer or a business. If the taxpayer does not respond or comply with the Information Document Request, the IRS has the right to issue a summons. ⁵⁷ An "ex parte communication" is one that takes place between any IRS Appeals employee and employees of other IRS functions, without the taxpayer or his representative being given a chance to participate in the communication, whether it is written, on the phone, or in person. The ex parte communication rules only apply to communications between IRS Appeals and other IRS employees (Rev. Proc. 2012-18).

1) Collection Due Process Hearings (CDP)

A taxpayer who wants to protest an IRS-enforced collection notice may complete Form 12153, Request for a Collection Due Process or Equivalent Hearing, and submit it to the address listed on the IRS notice. CDP procedures are available to taxpayers who have received any of the following notices:

- Final Notice of Intent to Levy and Notice of Your Right to a Hearing.
- Notice of Federal Tax Lien and Your Right to a Hearing.
- Notice of Jeopardy Levy and Right of Appeal.
- Notice of Levy on Your State Tax Refund — Notice of Your Right to a Hearing.
- Post Levy Collection Due Process (CDP) Notice.

A taxpayer has 30 days from the date of a collection notice to request a CDP hearing. Before the hearing, the taxpayer may attempt to work out a solution with the Collection office that sent the notice. If the issue cannot be resolved, the case will be forwarded to IRS Appeals for the taxpayer (or the taxpayer's representative) to schedule a conference with an Appeals officer. The conference may be conducted by telephone, correspondence, or face-to-face, for taxpayers who qualify.

Many taxpayers ignore IRS notices until they receive a final notice or a notice of intent to levy. Often, by the time this happens, it is too late to help the taxpayer solve these issues, and the IRS has already begun the collection process in earnest. A CDP hearing gives taxpayers a chance to challenge the existence or amount of the underlying tax liability.

Issues that may be discussed during a collection due process hearing include:

- Whether or not the taxpayer paid all the tax owed.
- Whether the IRS assessed tax and sent the levy notice when the taxpayer was in bankruptcy.
- Whether the IRS made a procedural error in the assessment.
- Whether the time to collect the tax (the statute of limitations) has expired.

- Whether the taxpayer wishes to discuss collection options.
- Whether the taxpayer wishes to make a spousal defense (innocent spouse relief).

In a CDP hearing, a taxpayer may request specific action regarding a lien against their property or a collection alternative (installment agreement, offer in compromise, etc.). For example, a taxpayer may request a lien withdrawal on the grounds that the IRS filed the Notice of Federal Tax Lien prematurely or did not follow established procedures. Alternatively, a taxpayer may request a lien discharge that removes a federal tax lien from a specific property, so it can be sold to satisfy the debt.

Example: Jenni was married to Amos from 2021 through 2023, when Amos was the owner of a business that was very profitable for those years, but Amos reported only a small fraction of its taxable income for the business on the Schedule C. Jenni was not involved in the business at all. Jenni and Amos filed jointly for all of those years. On March 31, 2025, Jenni filed for divorce from Amos. The divorce became final on September 30, 2025. Jenni later receives a notice from the IRS, informing her of their intent to assert taxes and penalties against her and her ex-husband totaling \$175,000 based on the unreported income of her ex-husband's business. Jenni attempted to contact Amos about the notice, but he ignored her, and the deadline for Jenni to challenge the proposed assessment has passed. Once the IRS issued a letter proposing a levy action against her, Jenni timely requested a collection due process (CDP) hearing because she wants to make a spousal defense claiming the business was her ex-husband's and not hers, and that she was not aware of the high level of profitability of the business.

Example: Elwood owes \$125,000 in delinquent taxes to the IRS due to a failed business venture. The IRS issues a notice of federal tax lien on Elwood's vacation condo in Florida. Elwood's attorney attends a CDP hearing and asks that the property be discharged from the lien so Elwood may sell the condo and use the sales proceeds to pay the income tax he owes. The IRS Appeals officer agrees and discharges the property from the lien so that the property may be sold. Elwood uses the proceeds from the sale to pay his delinquent tax debt.

Following a CDP hearing, the Appeals officer will provide a written decision. If the taxpayer disagrees with this decision, they have the option to request a judicial review by submitting a petition to the U.S. Tax Court. This must be done within the specified time period mentioned in the determination letter. If the taxpayer does appeal, no collection action can be taken until a final determination is made following the subsequent appeal to the Tax Court.

2) Collection Appeals Program (CAP)

The collection appeals program (CAP) is generally quicker than a CDP hearing and available for a broader range of collection actions. However, there is a significant drawback, and that is that the taxpayer cannot appeal an adverse decision made in a CAP hearing. CAP is available in the following instances:

- Before or after the IRS levies or seizes a taxpayer's property.
- After the termination of an installment agreement.
- After the rejection of an installment agreement.

To appeal an installment agreement that has been rejected or that the IRS is proposing to be modified or terminated, the taxpayer should appeal by completing Form 9423, Collection Appeal Request. The form should be submitted within 30 days to the IRS office or revenue officer who took action regarding the installment agreement.

Example: Danton had an installment agreement and missed a few payments, because he lost his job. The IRS sent a notice that the installment agreement was canceled, and he must now pay the full outstanding balance. Danton appealed the termination of the installment agreement by filing Form 9423 and requesting an appeal. In the meantime, he got a new job and notified the IRS that he could begin making monthly payments again. Danton's appeal was granted, and his installment agreement was reinstated.

Example: Walter filed his 2025 tax return on time, on February 15, 2026. He owed \$3,900, which he could not pay, because he had recently had a large medical expense. Walter applied for an installment agreement in March, and his installment agreement was approved. He started making monthly payments to the IRS, as agreed, but two months later, he was a victim of wire fraud, and his entire bank account was drained suddenly without his knowledge. It took Walter several weeks to correct the problem with his bank. In the meantime, he received notification that his installment agreement had been rescinded. Walter wants to appeal the cancellation of his installment agreement. He files Form 9423, Collection Appeal Request. He will explain his circumstances to an IRS employee and request reinstatement of his installment agreement once he gets his bank account issue resolved.

Form 9423, Collection Appeal Request, is also used in cases of liens, levies, and seizures. The taxpayer must explain why they disagree with the collection action and how they propose to resolve their tax problem.

During a CAP appeals hearing, an individual taxpayer has the option to represent themselves or appoint a qualified representative such as an attorney, CPA, EA, spouse, or family member. If it is a business entity, they can be represented by a full-time employee, general partner, or official officer. Any decisions made by the IRS during the CAP process are final for both the taxpayer and the IRS and cannot be further appealed to the U.S. Tax Court.

Abatement of Penalties and Interest

There are circumstances where the IRS may choose to waive or reduce penalties charged to a taxpayer.

Typically, this kind of relief is granted if the taxpayer can provide evidence of reasonable cause.

This means that the taxpayer can prove they were assessed a penalty despite taking necessary precautions and acting with good judgment, due to circumstances that were out of their control. Here are some of the situations that may qualify as reasonable cause:

- **Natural Disasters and Personal Emergencies:** Disasters, death, serious illness, or unavoidable absence of the taxpayer or immediate family.
- **Inability to Obtain Records:** If a taxpayer cannot get necessary records due to circumstances outside their control. For example, their records were destroyed, or the accountant who processed their payroll suddenly dies, etc.
- **Reliance on a Tax Professional:** If the taxpayer relied on the advice of a professional tax advisor, provided all necessary information, and the advisor made an error.
- **Reasonable Misunderstanding of Fact or Law:** This includes the complexity of the tax issue, the taxpayer's education, experience, or knowledge of tax law, and the steps taken to understand the tax obligation or seek help from a tax advisor.

Note that, lack of funds, by itself, is not considered a "reasonable cause" for failing to pay or deposit taxes due. The First Time (Penalty) Abatement (FTA) waiver is an administrative waiver that the IRS may grant to relieve taxpayers from failure-to-file, failure-to-pay and failure-to-deposit penalties if certain criteria are

met. Taxpayers may be eligible for the First Time Abatement waiver if they have a good tax compliance history. For IRS purposes, this generally means the taxpayer has not been required to file a return or has no prior penalties (except the estimated tax penalty) for the preceding three years, and they have filed all currently required returns and paid (or arranged to pay) any tax due.

Example: Kelly has always filed her tax returns on time and paid the amounts that she owes by the filing deadline. She self-prepares her own tax return using online software. She owes \$900 in tax and fills out the information for the tax to be automatically withdrawn from her bank account when she submits her return. She attempts to submit the return, and believes that she has filed it, but she does not realize that her return was not submitted. She doesn't realize her mistake until June 15, well after the filing deadline has passed. She submits her return as soon as she realizes her mistake, but the IRS still assesses a \$525 failure-to-file and an \$8 failure-to-pay penalty, as well as \$5 of interest on the amount due, because she did not file her return and pay the amount due by the deadline. She contacts the IRS customer service line and requests an FTA. Since Kelly has always had an excellent compliance history, the FTA is granted, and the failure-to-file and failure-to-pay penalties are waived. Kelly will still be required to pay the small amount of interest due.

Abatement of Interest

The IRS will not abate interest using the FTA procedure or for reasonable cause. Interest is only abated rarely, but may be abated in the following instances:

- When it is excessive, barred by statute, or erroneously or illegally assessed,
- When it is assessed on an erroneous refund,
- When it was incurred on an account while the taxpayer was in a combat zone or in a federally declared disaster area.
- When the interest is the result of certain errors or delays caused by an IRS employee. The IRS will only abate the interest if there was an unreasonable error or delay in performing a managerial or ministerial act (defined below). The taxpayer cannot have caused any significant aspect of the error or delay.

The interest can be abated only if it relates to taxes for which a notice of deficiency is required, which includes income taxes and estate and gift taxes.

Definition: A "managerial" act is an administrative act that occurs during the processing of the taxpayer's case involving the temporary or permanent loss of records or the exercise of judgment or discretion relating to the management of personnel.

Example: A revenue agent is examining Catrina's tax return. During the course of the examination, the agent is sent to an extended training course in another state. The agent's supervisor decides not to reassign the case, so the examination is unreasonably delayed until the agent returns. Interest caused by the delay can be abated since the decision to send the agent to the training class and the decision not to reassign the case are both managerial acts.

Definition: A "ministerial" act is a procedural or mechanical act that does not involve the exercise of judgment or discretion, and that occurs during the processing of the taxpayer's case.

Example: Bryant moves to another state, and a few months later, the IRS selects his tax return for examination. The notice of the examination was sent to his old address and then forwarded to his new address.

When Bryant gets the letter, he responds with a request that the examination be transferred to the area office closest to his new address. The examination group manager approves his request. However, the original examination manager forgets about the transfer and fails to transfer the file for six months. The failed transfer is a ministerial act. The IRS can reduce the interest Bryant owes because of the unreasonable delay in transferring the case.

A taxpayer may request an abatement of penalties and/or interest on Form 843, Claim for Refund and Request for Abatement. The taxpayer should file the claim with the IRS service center where the examination was affected by the error or delay.

If a request for abatement of interest is denied, an appeal can be made to the IRS Independent Office of Appeals. When a portion of interest is abated, the IRS must recalculate the amount of remaining interest the taxpayer owes.

Seeking Relief from Joint Liability

Married taxpayers often file jointly because of the benefits this filing status affords. In the case of a joint return, both taxpayers are liable for the tax and any interest or penalties, even if they later separate or divorce. "Joint and several liability" means that each spouse listed on the return is legally responsible for the entire liability. This is true even if only one spouse earned all the income, or if a divorce decree states that a former spouse is or is not responsible for any amounts due on previously filed joint returns. In some cases, however, a spouse who filed joint returns can receive relief from joint and several liability:

- 1) Innocent Spouse Relief: Provides relief from additional tax if a spouse or former spouse failed to report income or claimed improper deductions.
- 2) Separation of Liability Relief: Provides for the allocation of additional tax owed between the taxpayer and their spouse or former spouse because an item was not reported properly on a joint return.
- 3) Equitable Relief: This type of relief may apply when a taxpayer doesn't qualify for the innocent spouse or separation of liability relief. This can apply if items were improperly reported on a joint return and can be attributed to one spouse, or if the correct amount of tax was reported but remains unpaid.

1) Requesting Innocent Spouse Relief

In order to apply for innocent spouse relief, a taxpayer must submit Form 8857, Request for Innocent Spouse Relief, and sign it under penalty of perjury. One form can cover multiple years. While an innocent spouse relief request is being reviewed, the IRS cannot take any collection actions against the taxpayer, but interest and penalties will still accrue. A taxpayer must meet all of the following conditions in order to qualify for innocent spouse relief:

- The taxpayer filed a joint return that has an understatement of tax directly related to the other spouse's erroneous items.
- The taxpayer did not know, and had no reason to know, of the understated tax or erroneous reporting when they signed the return.
- Considering all the facts and circumstances, it would be unfair for the IRS to hold the taxpayer liable for the understatement.
- A request for innocent spouse relief must generally be filed within two years after the IRS first takes collection action against the requesting spouse.

If a taxpayer files for innocent spouse relief, the IRS may reject their request if they can provide evidence that the taxpayer and their spouse or former spouse intentionally transferred property in an attempt to deceive the IRS or another third party.

Example: Bettie and Christian are married and file jointly. At the time Bettie signed their joint return, she was unaware her husband had a gambling problem. The IRS examined their return and determined that Christian's unreported gambling winnings were \$30,000. Christian kept the gambling proceeds for himself in a separate account and hid the bank statements from his wife. Bettie was able to prove that she did not know about, and had no reason to know about, the additional \$30,000 because Christian had concealed his gambling winnings. The understatement of tax due to the \$30,000 qualifies for innocent spouse relief.

2) Requesting Separation of Liability Relief

To qualify for "separation of liability" relief, the taxpayer must have filed a joint return and be no longer married (including a widowed taxpayer), legally separated, or living apart for the 12 months prior to the filing of a claim. Living apart does not include a spouse who is only temporarily absent from the household, in which case the taxpayer would not qualify for separation of liability relief.

The spouse or former spouse who is applying for separation of liability relief must not have known about the understatement of tax at the time of signing the return. A request for separation of liability relief must generally be filed within two years after the IRS first takes collection action against the requesting spouse.

Example: Charlotte and Darwin have lived apart for several years and legally divorced on December 1, 2025. In the tax year before they separated, they filed a joint return showing Charlotte's wages of \$35,000 and Darwin's self-employment income of \$15,000. Their prior-year joint return was later selected for audit.

During the audit, the IRS examiner found that Darwin failed to report \$25,000 of self-employment income, which resulted in a \$7,500 understatement of tax. Since she is now divorced from Darwin, Charlotte filed Form 8857 to request relief by separation of liability. However, the IRS proved that Charlotte knew about the \$25,000 of additional income because it was deposited into their joint bank account, and she had full ownership, access and use of the funds. She is not eligible for separation of liability relief, and the IRS denies her request.

3) Requesting Equitable Relief

If a taxpayer is not eligible for innocent spouse relief or separation of liability relief, they may be able to qualify for equitable relief. This requires the taxpayer to provide evidence that it would be unjust to hold them accountable for any underreported or unpaid taxes.

The IRS considers the individual's current marital status, whether there is a legal obligation to pay the tax due to a divorce decree, and if not granting relief would cause significant financial hardship. The following factors weigh in favor of equitable relief:

- Abuse by the spouse or former spouse,
- Poor mental or physical health on the date the taxpayer signed the return or requested relief.

Note: Unlike innocent spouse relief or separation of liability, if you qualify for equitable relief, you can get relief from an understatement of tax or an underpayment of tax. (An underpayment of tax is an amount properly shown on the return but not paid.)

Example: Shanice and Wyatt were married in 2022 and filed a joint return that showed they owed \$12,000 in unpaid income tax. Shanice had \$7,000 of her own money, and she took out a loan to pay the remaining

\$5,000. Shanice gave Wyatt the money to pay their full \$12,000 tax liability. Without telling Shanice, Wyatt gambled away the entire \$12,000 rather than paying their tax liability. The couple divorced on January 15, 2025, and the IRS later began collection actions against Shanice for the 2022 unpaid balance. Shanice did not know at the time she signed the return that the tax would not be paid. These facts indicate to the IRS that it may be unfair to hold Shanice liable for the underpayment. Shanice's request for equitable relief is granted.

Congress expanded the amount of time to request equitable relief in the Taxpayer First Act. A taxpayer seeking relief from a balance due has up to ten years to file a request, the same period the IRS has to collect the tax. If the taxpayer is claiming a refund, they must still submit their request within the statute of limitations for refunds.

Injured Spouse Claims

Innocent spouse relief should not be confused with an injured spouse claim. An individual can be considered an injured spouse if they have filed a joint tax return and their share of the refund was used towards outstanding debts owed by their spouse.

When a joint return is filed, and the refund is used to pay one spouse's past-due federal tax, state income tax, child support, spousal support, or federal nontax debt (such as a delinquent student loan), the other spouse may be considered an injured spouse. An injured spouse may be entitled to recoup only their share of a tax refund. The injured spouse can request their share by using Form 8379, Injured Spouse Allocation.

Exam Note: Use Form 8857 (Innocent Spouse) when the IRS says you owe a joint tax debt that shouldn't be your fault. Use Form 8379 (Injured Spouse) when you are expecting a refund, but the IRS intercepts it to pay your spouse's legally enforceable separate debt.

Example: Andrea and Cesar marry on August 1, 2025, and file jointly in 2025. Unknown to Andrea, Cesar has unpaid child support as well as delinquent student loan debt. Their entire refund is offset to pay Cesar's outstanding debts. Andrea may qualify for injured spouse treatment and recoup her share of the tax refund.

Andrea can file Form 8379 to recoup her share of the refund. The IRS will keep Cesar's share of the refund to pay his delinquent debts.

Example: Colton and Kamilla, who are newlyweds, reside in Florida, which is not a community property state. They file a joint tax return together, expecting a \$4,100 refund. However, Colton owes a substantial amount on an old state income tax debt, dating back to when he was unmarried and used to live in another state. The IRS offsets the entire refund. In this scenario, Kamilla is classified as an injured spouse, and may be entitled to claim her \$1,500 share, calculated from her own income and separate withholdings. By submitting Form 8379, Injured Spouse Allocation, Kamilla may be able to secure her portion of the refund. If successful, she will receive \$1,500, with the remaining amount of the refund applied to Colton's debt.

Offer in Compromise Program

An offer in compromise (OIC) is an agreement between a taxpayer and the IRS that settles the taxpayer's tax liabilities for less than the full amount owed. Submitting an offer application does not guarantee that the IRS will accept the offer.⁵⁸ It begins a process of evaluation and verification by the IRS. To be eligible to apply for an offer in compromise, a taxpayer must have filed all required tax returns, made all required estimated payments, not be in an open bankruptcy proceeding, and if the taxpayer is an employer, made tax deposits for the current and past two quarters.

Typically, the IRS will only accept an OIC if the IRS determines that the taxpayer cannot fully pay the liability within the remaining collection period and that the proposed offer is the most they can collect from the taxpayer within a reasonable period of time. Special circumstances aside, an offer will not be accepted if the IRS thinks the full liability can be paid in a lump sum or through a payment plan. Each taxpayer's situation will be considered, including their ability to pay, income, expenses, and assets. An offer in compromise can be applied to all taxes, including interest and penalties.

After an OIC is accepted, the taxpayer must remain in good standing with the IRS for a minimum of five years. This includes timely filing all tax returns and paying all taxes due during this period. Failure to comply will result in the termination of the OIC and reinstatement of the full liability, including accrued penalties and interest, minus any OIC payments and refunds applied after acceptance.

Example: Sarah owes \$61,000 in back taxes to the IRS. She is facing serious financial difficulties due to a serious chronic disease that she was recently diagnosed with. Based on her medical condition, her doctors have confirmed that she will never be able to work again. Sarah has no retirement savings and only a few thousand dollars of regular savings. In addition, she has no income sources, except for a very small amount of Social Security income that she is entitled to under her permanent medical condition. As a result, she is unable to pay the entire sum in full. Sarah submits an Offer in Compromise (OIC), proposing to pay \$5,000 (in total) based on her current financial situation and assets. She provides comprehensive financial documentation, detailing her income, expenses, and assets. The IRS evaluates her offer and finds it acceptable due to her financial hardship. The IRS agrees to Sarah's OIC, and she pays the \$5,000 in one payment.

Sarah ensures she files her tax returns promptly and pays any due taxes for the following five years. She maintains records of her compliance to prevent any issues with the IRS. After this period, Sarah has continued to be in good standing, and the IRS does not reapply her initial debt.

A taxpayer may submit an OIC on one of three grounds: (1) doubt as to collectibility, (2) doubt as to liability and (3) effective tax administration.

To apply for an OIC on the grounds of "doubt as to collectibility" or "exceptional circumstances," a taxpayer must submit an application fee and initial nonrefundable payment along with Form 656, Offer in Compromise. Fees may be waived for low-income taxpayers.

There is no fee required to apply for an OIC on the grounds of "doubt as to liability," and Form 656-L is used instead. A taxpayer may appeal a rejected offer in compromise within 30 days by filing Form 13711, Request for Appeal of Offer in Compromise, or drafting a separate appeals letter. ⁵⁸ The acceptance rate of OIC offers from the Internal Revenue Service averaged around 32% in the previous year.

1) Doubt as to Collectibility

This type of OIC applies when doubt exists about the taxpayer's ability to pay the entire tax debt within the remaining statutory period for collection. This type of offer in compromise is the most commonly submitted and applies when a taxpayer lacks sufficient assets and income to cover the full amount of taxes owed.

Example: Constance owes \$80,000 for unpaid tax liabilities and agrees that the tax she owes is correct.

Constance is terminally ill and cannot work. She does not own a home and does not have the assets or the ability to pay the liability now, or through monthly installment payments. Constance may qualify for an OIC under "doubt of collectability."

2) Doubt as to Liability

Doubt as to liability exists where there is a genuine dispute as to the existence or amount of the correct tax debt under the law. A legitimate doubt must exist that the assessed tax liability is correct. The taxpayer must provide a written statement explaining why the tax debt or portion of the tax debt is incorrect.

In addition, the taxpayer should provide supporting documentation or evidence that supports the inaccuracy of the disputed debt. A doubt as to liability OIC is processed through the IRS examination division and is not considered a collection alternative.

Note: To request an OIC under "doubt as to liability," the taxpayer must complete a Form 656-L, Offer in Compromise (Doubt as to Liability). This is a different form than is used for other types of offers, and no fee is required when this form is submitted.

Example: Darla was the vice-president of a corporation from 2011 to 2024. After she departed from the company, the business started having financial difficulties. In 2025, the corporation accrued unpaid payroll taxes, and Darla was later assessed a trust fund recovery penalty. However, Darla had resigned from the board of directors prior to any of these delinquent payroll taxes accruing. Since there is legitimate doubt that the assessed penalty is correct, she may apply for an OIC under doubt as to liability.

3) Exceptional Circumstances (Effective Tax Administration)

An OIC based on Exceptional Circumstances (Effective Tax Administration) is a unique way for taxpayers to settle their tax debt with the IRS. Acceptance of this type of OIC is very rare. This type of OIC can be based on the client's financial hardship or on public policy or equitable considerations. In this case, there is potential to collect the full amount of the tax owed, but an exceptional circumstance exists.

A taxpayer must demonstrate that the collection of the tax would create a serious economic hardship or would be unfair. An example would be a taxpayer with a terminal illness and high medical expenses who may be unable to pay their tax liability without compromising their essential care.

Example: Valerie and Walter Smith have sufficient assets to satisfy their tax liability. However, they provide full-time care to their dependent child, who has a serious chronic illness. The unpaid taxes were a result of the Smiths providing necessary medical care for their sick child. They will need to continue to use their assets to provide for basic living expenses and ongoing care for the child. There is no doubt that the tax is correct, but to pay the tax would endanger the life of their child and would create a serious hardship.

Study Unit 9: Study Questions

(Test yourself and then check the correct answers at the end of this chapter.)

1. Belinda and Corby file jointly. They report \$15,000 of income, but Belinda knows Corby is not reporting \$3,000 of dividends. The income is not hers, and she has no access to it since it is in Corby's separate bank account. She signs the joint return. The return is later chosen for examination, and penalties are assessed.

Does Belinda qualify for innocent spouse relief? a) Yes, because she can file for divorce later. b) Yes, because she had no control over the income. c) No, but she is eligible for injured spouse relief. d) No, because she knew about the understated income.

2. Axel is married to Emma; they live together and file joint returns. In which scenario would Axel qualify as an injured spouse? a) Axel files a joint return, and his share of the refund is offset due to Emma's student loan debt. b) Axel files a joint return with Emma, and one of them fails to report income. c) Axel files a separate return and has the refund offset for his past-due student loans. d) Axel files for bankruptcy protection due to significant back tax debt.

3. When can the IRS issue a summons? a) When a taxpayer immediately complies with IRS requests for records or other information. b) When a taxpayer refuses to comply with IRS requests for records or other information. c) When a taxpayer requests an enrolled practitioner to represent them at a hearing. d) When a taxpayer chooses not to file a return.

4. All of the following property is exempt from an IRS levy except: a) Undelivered mail. b) Child support payments. c) Social Security payments. d) Unemployment benefits.

5. Waylen owes \$40,000 in delinquent tax debt. He applies for an offer in compromise, but it is rejected.

How much time does Waylen have to appeal his rejected offer? a) 30 days b) 60 days c) 90 days d) 120 days
6. The IRS generally does not pursue collection enforcement action against a taxpayer who has been placed in "currently not collectible" status for a minimum of: a) Six months b) One year c) Two years d) Five years
7. Aziza owes \$20,000 of unpaid federal tax liabilities. She agrees she owes the tax, but she has a serious medical problem, and her monthly income does not meet her necessary living expenses. She does not own any real estate and does not have the ability to fully pay the liability now or through monthly installment payments. What type of offer in compromise may she qualify for? a) Doubt as to liability. b) Effective tax administration. c) Collection advocate procedure. d) Doubt as to collectibility.

8. A levy allows the IRS to: a) Publicly notify a taxpayer's creditors of a claim against his property. b) Confiscate and sell a taxpayer's property to satisfy a tax debt. c) Collect tax beyond the statute of limitations. d) Sell property on behalf of the taxpayer.

9. Jack's only income comes from wages. He has a high-paying job as a medical doctor but did not properly estimate his withholding for several years. As a result, he currently owes \$255,000 to the IRS. He would like to set up an installment agreement. Which of the following statements regarding his payment options is correct? a) Jack may qualify for an installment agreement for this amount of unpaid tax. b) Jack is not eligible for an installment agreement because he owes more than \$100,000. c) Jack may qualify for an installment agreement, pending acceptance of an offer in compromise. d) Jack must enroll in IRS Direct Pay and have automatic withdrawals in order to have his installment agreement approved.

10. "Separation of liability" relief does not apply to taxpayers who are: a) Divorced. b) Legally separated.

10. "Separation of liability" relief does not apply to taxpayers who are: a) Divorced. b) Legally separated. c) Widowed. d) Single (never married).

11. Farida is an enrolled agent. She prepared a tax return for her client, Josue. Josue has a balance due of \$25,900, but he cannot pay the entire amount upon filing and would like to set up an installment agreement.

Which of the following is required before an installment agreement will be approved? a) Since Josue owes more than \$25,000, the taxpayer must submit a paper application. b) Josue must authorize the installment agreement by contacting the IRS directly. c) Josue must be in filing compliance. d) Josue must be a U.S. Citizen.

12. Douglas owed \$5,500 in back taxes, and he wants to set up an installment agreement, because he cannot pay the full amount currently. The installment agreement will allow Douglas to do all the following except: a) Pay his tax debt in equal monthly payments over a period of time. b) Pay his tax debt by check, payroll deduction, or direct debit. c) Avoid IRS collection actions, including levies (so long as Douglas maintains his installment agreement obligations). d) Eliminate interest accruals while the agreement is active.

13. Sheila and Dale were married in 2025. They are owed a refund on their joint return, but the refund is offset against Dale's past-due child support. Does Sheila have any recourse to recover her portion of the refund? a) Since they filed jointly, Sheila's portion of the refund cannot be recovered. b) Sheila may be eligible for injured spouse relief. c) Sheila may be eligible for innocent spouse relief. d) Sheila may be eligible for equitable relief.

14. If the IRS has filed a notice of seizure, how long must it wait before actually seizing a taxpayer's nonexempt property? a) Immediately, with the exception of a taxpayer's home, which requires judicial approval. b) At least 7 days. c) At least 30 days. d) At least 60 days.

15. The statute of limitations on collection activity can be suspended in certain instances. The ten-year collection period may be suspended in each of the following instances except: a) While the IRS considers a request for an installment agreement. b) While a collection due process (CDP) hearing is pending. c) While the taxpayer is in prison. d) While the taxpayer lives outside the United States.

16. Rosalyn is receiving a \$4,500 federal tax refund this year. Which of the following methods is not available for her to receive her refund? a) She may apply the refund to next year's estimated tax. b) She may receive the refund as a direct deposit to her retirement account. c) She may direct deposit her refund to a savings account. d) She may direct deposit her refund to her credit card account.

17. Which of the following amounts is the IRS least likely to challenge when evaluating a taxpayer's offer in compromise? a) Rent. b) Prescription drugs. c) Child support. d) Food.

18. Ignacio files his tax return on time but does not pay the \$750 balance due. How would the IRS begin the collection process against Ignacio? a) With an email to Ignacio shortly after he files his tax return. b) With a certified letter, immediately after Ignacio's tax return is processed and flagged. c) With a written examination notice when Ignacio is notified of the possibility of an audit. d) With a notice and demand for payment mailed to Ignacio.

19. All of the following statements regarding IRS installment agreements are correct except: a) During the course of the installment agreement, penalties and interest continue to accrue. b) A taxpayer who owes \$10,000 or less in taxes will be automatically approved for an installment agreement if certain requirements are met. c) An installment agreement allows taxpayers to pay a set monthly amount toward a tax liability. d) An IRS levy may be served during an installment agreement.

20. Jason cannot pay his tax liability because of a serious health issue that is causing significant hardship.

How much extra time will the IRS grant for Jason to pay his tax liability under the undue hardship extension? a) 4 months. b) 6 months. c) 12 months. d) 24 months.

21. Penalties and interest continue to accrue on a taxpayer's unpaid tax liability in which of the following instances? a) When an installment agreement is in place. b) When a taxpayer has been declared currently not collectible. c) When a taxpayer requests innocent spouse relief. d) All of the above.

Study Unit 9: Question Answers

1. The answer is D. Belinda is not eligible for innocent spouse relief because she knew about the understated income. She signed the return knowing that the income was not included, so the IRS will not grant her relief.

1. The answer is D. Belinda is not eligible for innocent spouse relief because she knew about the understated income. She signed the return knowing that the income was not included, so the IRS will not grant her relief.

2. The answer is A. If Axel files a joint return with his wife, Emma, and his share of the refund is applied against Emma's past-due student loans, then he would qualify as an "injured spouse." A taxpayer may qualify as an injured spouse if he filed a joint return and his share of the refund was applied against past due amounts owed by a spouse. The injured spouse may be entitled to recoup only his share of a tax refund.

3. The answer is B. The IRS can use its summons authority when a taxpayer or other witness refuses to comply with IRS requests for records or other information. Answer "A" is incorrect, because a summons would not be used in a situation where the taxpayer immediately complied with a records request. Answer "C" is incorrect, because a taxpayer can always seek representation from an enrolled practitioner to represent them in any tax matter before the IRS. Answer "D" is incorrect, because an IRS summons cannot force or compel a taxpayer to file a return.

4. The answer is C. Regular Social Security payments are not exempt from IRS levy. Certain types of income are exempt from IRS levy, such as unemployment compensation, court-ordered child support payments, and welfare.

5. The answer is A. Waylen may appeal his rejected offer in compromise within 30 days. This can be done by filing Form 13711, Request for Appeal of Offer in Compromise, or drafting a separate appeals letter.

6. The answer is B. If the IRS has determined a taxpayer's status is currently not collectible, it generally ceases all collection activities for at least one year, or until the taxpayer's income has increased.

7. The answer is D. Aziza may apply for an offer in compromise under doubt as to collectibility. Doubt exists that she could ever pay the full amount of tax liability owed within the remainder of the statutory period for collection.

8. The answer is B. A levy allows the IRS to confiscate and sell property to satisfy a tax debt. An IRS levy refers to the actual seizing of property authorized by an earlier tax lien. Answer "A" refers to a lien, which gives the IRS a legal claim to a taxpayer's property as security for a tax debt.

9. The answer is A. Even though he owes more than \$50,000, Jack may still qualify for an installment agreement, but he will be required to fill out a collection information statement (typically Form 433-F or

Form 433-A).

10. The answer is D. To qualify for separation of liability relief, the taxpayer must have filed a joint return, meaning the taxpayer must have been married at one time. Separation of liability applies to taxpayers who are no longer married (including a taxpayer who is widowed), legally separated, or living apart for the 12 months prior to the filing of a claim.

11. The answer is C. In order to set up an installment agreement, Josue must be in filing compliance (all tax returns must be filed). Josue must also remain tax compliant for the entire term of the installment agreement.

12. The answer is D. An installment agreement will not eliminate the accrual of interest (or penalties, if applicable). An installment agreement will allow Douglas to pay his tax liability over a period of time if he cannot pay the amount when it is due. When an installment agreement is in place, penalties and interest continue to accrue.

13. The answer is B. Sheila may be eligible for injured spouse relief. She can file Form 8379, Injured Spouse Allocation, and request injured spouse relief. If married taxpayers file a joint return and the refund is offset, the injured spouse can file Form 8379 to request the portion of the refund attributed to him or her.

14 The answer is C. After the IRS has filed a notice of intent to seize, it must wait 30 days before actually seizing a taxpayer's nonexempt property. It legally cannot seize items such as clothing, food, fuel, furniture, and personal effects up to a specified inflation-adjusted amount. Undelivered mail, books, and tools of the trade needed for the taxpayer's business are also exempt, up to a certain amount. Further, the IRS cannot seize unemployment benefits, worker's compensation, child support payments, and certain disability and public assistance payments. However, most Social Security benefits and retirement fund proceeds may be seized to fulfill a taxpayer's debt obligation. Before a taxpayer's home is seized, there generally must be judicial approval.

15. The answer is C. The ten-year collection period is not suspended when a taxpayer is in prison. The ten-year collection period may be suspended in the following cases:

- While the IRS considers a request for an installment agreement or an OIC.
- From the date a taxpayer requests a collection due process (CDP) hearing.
- For tax periods included in a bankruptcy.
- While the taxpayer is residing outside the United States.

16. The answer is D. Rosalyn may not designate a credit card account for direct deposit of their federal tax refund. However, the IRS will deposit refunds onto a prepaid debit card.

17. The answer is C. The IRS would be least likely to challenge the child support obligation. Collection Financial Standards are used to evaluate a taxpayer's ability to pay a delinquent tax liability. The IRS typically will not challenge court-ordered obligations like child support or alimony payments since the taxpayer has little flexibility in those areas.

18. The answer is D. Since Ignacio did not pay in full when filing his tax return, he will receive a bill in the mail from an IRS service center. The first notice will explain the balance due and demand payment in full. It will include the amount of the tax plus any penalties and interest added to Ignacio's unpaid balance from the date the tax was due. The IRS will never email a taxpayer about an unpaid liability.

19. The answer is D. No levies may be served during installment agreements. During the course of an installment agreement, penalties and interest continue to accrue. A taxpayer who owes less than \$10,000

in taxes will automatically be approved for an installment agreement under most circumstances.

20. The answer is B. The IRS generally will not grant an extension of more than six months to pay the tax due on a return. A taxpayer may file Form 1127, Application for Extension of Time for Payment of Tax Due to Hardship, to explain why he cannot pay the tax. Jason must provide a detailed explanation of the undue hardship that would result if he paid the tax when it is due and provide adequate documentation of his financial situation.

21. The answer is D. The IRS will continue to assess penalties and interest on a taxpayer's unpaid tax liability in most circumstances, including during the period when an installment agreement is in place, when a taxpayer has been declared "currently not collectible," and when a taxpayer requests innocent spouse relief.

Study Unit

The IRS Examination Process

Study Unit 10: The IRS Examination Process

More Reading

- Publication 556, Examination of Returns, Appeal Rights, and Claims for Refund
- Publication 1, Your Rights as a Taxpayer
- Publication 3498, The Examination Process
- Publication 3498a, The Examination Process (Audits by Mail)
- Publication 3598, The Audit Reconsideration Process
- Publication 3605, Fast Track Mediation: A Process for Prompt Resolution of Tax Issues Overview of the IRS Audit Process An IRS examination is also commonly called an "IRS audit." While most tax returns are accepted as filed, a small percentage are selected for closer examination by the IRS. In recent years, less than 1% of individual tax returns are subjected to an audit. Individuals with higher incomes tend to be audited more often than those with lower incomes, and tax returns claiming refundable credits such as the EITC are also more likely to be audited.

An IRS examination is a review of the accounts and financial information supporting the items reported on a tax return. An examination evaluates whether information on the return is being reported correctly and according to the tax laws and verifies that the amount of tax reported is accurate.

Due to disclosure requirements, the IRS will always notify a taxpayer about an examination by mail, (never by email). Filing an amended return does not affect the selection process for original returns. Amended returns go through a separate screening process and may also be selected for audit.

Selecting a return for examination does not automatically imply that the taxpayer has filed an erroneous return or acted dishonestly. However, it is the taxpayer's responsibility to provide evidence and support for all entries, deductions, and statements made on their tax return. This is known as the burden of proof.

To deduct expenses, taxpayers must be able to prove them with receipts or other documentation. After an examination, if any changes to a taxpayer's return are proposed, the taxpayer can either agree or disagree with the changes. If the taxpayer disagrees with the examiner's adjustments, the taxpayer can appeal the IRS's determination. This is done through the appeals process. We will cover the examination process in this chapter.

Types of Audits

There are three types of IRS examinations:

- 1) Correspondence audit, which is conducted entirely by mail.
- 2) Office audit, which takes place at a nearby IRS field office.
- 3) Field examinations, which typically take place at the taxpayer's home or place of business.

The IRS conducts most examinations entirely by mail. In these correspondence audits, a taxpayer will receive a letter asking for additional information about certain items shown on the return, such as proof of income, expenses, and itemized deductions.

Correspondence audits typically occur when there is a minor issue that the IRS needs to clarify.⁵⁹ For example, the IRS may have detected a math error, or there may be a discrepancy between the tax return and the 1099 statements sent by brokers, banks, or mutual funds. Other times, the IRS simply requests

evidence that a particular transaction has transpired as reported on the tax return.

Example: Evelyn's tax return is selected for examination by the IRS. She had listed her older half-brother as a qualifying child due to his permanent disability and also claimed head of household status. The IRS requests proof of her brother's disability and residency, and Evelyn provides copies of medical records and other evidence showing that he lives with her full-time. After reviewing the documents, the IRS closes the case as a no-change audit. Evelyn does not have to meet with the IRS auditor, as the entire audit is conducted by mail.

Similar in purpose to that of formal examinations, CP-2000 notices are typically issued to a taxpayer when information on the IRS computer systems on a taxpayer differs from that on a return filed by the taxpayer.

Example: Rocio receives a CP-2000 notice saying that she has unreported wages. Rocio carefully reads the notice and realizes that the missing Form W-2 has her name and Social Security number, but she has never worked for the company. In fact, the company is in a completely different state than where she currently resides. Someone has stolen Rocio's Social Security number. Rocio is a victim of employment-related identity theft. Another person is using her SSN without her permission for employment purposes. Rocio responds to the notice and also files Form 14039, Identity Theft Affidavit, reporting the identity theft. A few weeks later, the IRS sends her a letter that it has accepted her return as filed. Rocio should also consider obtaining an Identity Protection PIN (IP PIN) to protect her account against tax-related identity theft.

In an "office audit," the IRS interviews the taxpayer and inspects the taxpayer's records at a nearby IRS office. The issue under examination is typically not a complex one. Office audits generally involve issues with Schedule A, Schedule C (small business), or rental activity on Schedule E. Office audits usually cover a few specific issues or an uncomplicated tax matter. Taxpayers can choose to represent themselves, or have an enrolled practitioner represent them.

The least common type of audit is a field audit. Field audits are the most detailed and thorough of IRS examinations. Field audits are conducted only by IRS Revenue Agents, who are highly trained and have many years of experience. Only experienced and highly trained Revenue Agents are authorized to conduct field audits.

These audits can take place at any of the following locations: the taxpayer's residence or workplace, an IRS office, or the office of the taxpayer's representative, (i.e., the office of the CPA, attorney, or enrolled agent representing them). 59 The majority of IRS audits, 78.4 percent, were conducted via correspondence for the most currently reported fiscal year. The remaining 21.6 percent were conducted in the field, according to the official IRS Data Book. <https://www.irs.gov/system/files/irs-pdf/p55b.pdf>.

If a taxpayer is selected for a field audit, the taxpayer's return will most often be examined in the area where he lives and where the books and records are located. But if the return can be examined more conveniently in another area, the taxpayer can request the audit to be transferred to that area.

Example: Natalia runs a marketing business, and she frequently travels in order to meet with clients. She currently lives in Los Angeles; however, her CPA lives in Chicago, her old hometown. Natalia's prior-year tax return is selected for examination, and she chooses to have her CPA represent her. Her CPA requests that the examination be transferred to Chicago, where Natalia's records are located. The IRS grants the transfer, so Natalia's CPA can represent her in Chicago.

The Centralized Partnership Audit Regime

The Centralized Partnership Audit Regime (CPAR) was established by the Bipartisan Budget Act of 2015 (BBA) and applies to taxable years starting in 2018. Under CPAR, the IRS is, by default, authorized to assess and collect any underpayment of tax at the partnership level, rather than the individual partner level.⁶⁰ Partnerships have the option to elect-out of the CPAR, provided they meet the following requirements:

- The partnership has 100 or fewer partners.
- To be eligible to elect out, the partnership must have only "permitted" partners. Only individuals, C corporations, S corporations, or an estate of a deceased partner qualify.

A partnership cannot elect-out of CPAR if they are required to issue a Schedule K-1 to partners that are partnerships, trusts, disregarded entities (including disregarded LLCs), or bankruptcy estates. To opt out of the CPAR, a partnership must make a valid election each year on Schedule B-2 of Form 1065. The election must be made on a timely filed return (including extensions).

Example: Agri-tech Partnership has 50 individual partners and one corporate partner, a C Corporation. The partnership has always opted-out of CPAR. However, this year, one of the individual partners, Jason, transferred his partnership interest to a grantor trust. This means that the partnership now has a non-permitted partner according to CPAR: a grantor trust does not meet the requirements of being a permitted partner.

As a result, Agri-tech Partnership will no longer be able to opt out of the Centralized Partnership Audit Regime (CPAR). ⁶⁰ A partnership subject to CPAR can also elect to "push-out" tax liability changes to the reviewed year partners under IRC 6226 if certain conditions have been met. The "push-out" election, made by the partnership representative, must be made with the IRS within 45 days of the Notice of Final Partnership Adjustments (FPA). The election is made via IRS Form 8988.

How Returns are Selected for Examination

The Internal Revenue Service reviews a small percentage of all federal tax returns to verify the accuracy of reported income, expenses, and credits. The IRS chooses which returns to examine through various methods, including random selection and automated screening. When tax returns are filed, they are compared against the norms for similar returns. The IRS selects most returns for examination using the following criteria or methods:

- **Potentially Abusive/Tax Avoidance Transactions:** The IRS selects some returns based on information obtained through efforts to identify promoters of and participants in abusive tax avoidance transactions.
- **Information Matching:** Some returns are examined because third-party reports, such as Forms W-2 or 1099, do not match the applicable amounts reported on the tax return.
- **Computer Scoring/DIF Score:** Returns may be chosen on the basis of computer scoring. A computer program called the Discriminant Inventory Function System (DIF) assigns a numeric score to each individual and certain corporate tax returns after they have been processed.⁶¹
- **Related Examinations:** Returns may be selected for audit when they involve transactions with or issues related to other taxpayers, such as business partners or investors, whose returns were selected for examination.

- **Third-Party Information:** Returns may be selected as a result of information received from other third-party sources or individuals. Sources may include state and local law enforcement agencies, public records, and individuals. The information is evaluated for reliability and accuracy before it is used as the basis of an examination (or a possible criminal investigation).

Taxpayers with high incomes, self-employment, and significantly higher itemized deductions are more likely to be audited by the IRS. Other red flags include large charitable donations, home office deductions, rental losses, high business meal and travel deductions, 100% use of a vehicle for business, hobby losses, running a cash business, failing to report foreign bank accounts, and engaging in currency transactions.

Example: Harvey is an EA with a client, Jamila, who received an audit notice this year. Jamila's prior-year tax return was selected because she had a large number of tax credits and very little taxable income.

However, her tax return was prepared correctly. Jamila had adopted four special-needs children and was able to take the Earned Income Credit and a large Adoption Credit. Harvey provided proof of the adoptions to the examining officer, which resulted in a positive outcome for Jamila: a "no-change" audit.

Example: Alfred embezzled money from his former employer and was arrested for felony embezzlement.

The case was made public, and the police shared its information with the IRS. The IRS then contacted Alfred and proposed adjustments to his tax returns, assessing additional tax, interest, and penalties for fraud for failing to report the embezzled funds as income. This is an example of third-party information that can trigger an IRS criminal investigation. 61 IRS computers automatically check tax returns and assign a Discriminant Inventory Function System (DIF) score based on the probability that the return contains errors, excessive tax deductions, or other issues. This does not necessarily mean that the return was prepared incorrectly. However, the screening is intended to identify aberrations and questionable items. If a taxpayer's return is assigned a high score under the DIF system, the return has a high probability of being chosen for audit. The IRS does not release information about how it calculates a taxpayer's DIF score.

Taxpayer Examination Rights and Obligations

The IRS chooses to conduct some audits face-to-face, which are known as field audits. After notification of the planned audit, the taxpayer or the taxpayer's representative must make an appointment to meet with the IRS examiner. Before or during an initial interview, the IRS examiner must explain the examination and collection process and the taxpayer's rights (either to the representative, or the taxpayer themselves).

These rights include:

- A right to professional and courteous treatment by IRS employees.
- A right to privacy and confidentiality about tax matters.
- A right to know why the IRS is asking for information, how the IRS will use it, and what will happen if the requested information is not provided.
- A right to representation, either by oneself or an authorized representative.
- A right to appeal disagreements, both within the IRS and before the courts.

During an examination, the IRS has the right to confirm every item on a taxpayer's return. Form 4564, Information Document Request (IDR), is used to request information from the taxpayer. The taxpayer must make available any documents the IRS requests, including providing access to bookkeeping files such as QuickBooks.

The Taxpayer's Representative

Taxpayers have the option of representing themselves during an examination, or they may choose to have a qualified representative act on their behalf before the IRS. It is not necessary for the taxpayer to be present at the audit as long as the representative has proper authorization with a power of attorney and meets one of the criteria for being a qualified representative, such as being an enrolled practitioner under Circular 230 or meets one of the other qualified representative criteria (such as certain family members of the taxpayer).

Example: Lloyd, a small business owner, used consumer tax software to prepare his tax return. Despite his best efforts, he received a notice from the IRS indicating that his return had been selected for an audit.

Feeling overwhelmed and anxious about dealing with the IRS, Lloyd decided to hire Kimberly, an Enrolled Agent (EA), to represent him. Lloyd tells Kimberly that he is intimidated by the IRS and that he does not want to attend the examination. Lloyd signed Form 2848, granting Kimberly Power of Attorney to represent him in all tax matters. This form allowed Kimberly to communicate with the IRS on Lloyd's behalf and attend the audit on his behalf.

Example: Mitchell is a 23-year-old accounting student who is not an enrolled practitioner, but is currently studying for the CPA exam, so he has some basic accounting and tax knowledge. The IRS mails an audit notice to Mitchell's older sister, Jacqueline. Concerned about speaking to the IRS, Jacqueline designates Mitchell as her authorized representative by signing and submitting Form 2848. Due to their familial relationship, Mitchell is allowed to represent Jacqueline before the IRS, despite not being an enrolled practitioner. Mitchell has full representation rights before the IRS with regards to his sister's tax issue.

Example: Alexander is a full-time bookkeeper who also volunteers for his favorite animal rescue organization, Tri-County Greyhound Rescue, a 501(c)(3) organization. Alexander prepares the organization's annual returns and does the monthly bookkeeping. He is not an enrolled practitioner, but he is listed as the organization's treasurer (many exempt organizations have officers who are volunteers and not paid for their services). Tri-County Greyhound Rescue receives an examination notice from the IRS during the year.

Alexander files a Form 2848 for the organization, listing himself as the entity's treasurer. As an officer of the organization, Alexander has full representation rights before the IRS and can represent the Tri-County Greyhound Rescue during the examination.

When a jointly-filed tax return is selected for examination, either spouse may meet with the IRS, or the qualified representative may meet with the IRS without either spouse present.

Although the IRS has the authority to issue an administrative summons to compel a taxpayer to provide documents or records, without such a summons, the IRS cannot force a taxpayer to attend an examination interview.

Example: Lucia and Javier are married and have always filed jointly. During the year, Lucia and Javier receive an audit notice. Lucia tries to encourage Javier to hire a representative, but Javier refuses to respond to the notice or participate in the audit process. Since it is a joint return, both spouses are jointly and severally liable for all the items shown on the return. Lucia contacts Mohammed, a licensed CPA, and hires him to represent her during the audit process. Mohammed obtains a signed Form 2848 from Lucia and speaks with the IRS on his client's behalf. Mohammed does not represent Javier; he only represents Lucia.

Lucia can have Mohammed represent her during the IRS audit process and she does not need to be present.

Mohammed will do his best to represent Lucia during the audit process.

Just as a taxpayer is required to do, a representative must also provide the IRS with requested documents if they possess them. If the representative does not have the documents, they are obligated to disclose any information they do have about them.

A representative is not allowed to intentionally deceive the government, nor can they allow their client to do so by presenting false documents or making baseless arguments. If a representative fails to promptly submit taxpayer records, keep scheduled appointments, or respond to correspondence, the examiner has the authority to bypass the representative and communicate directly with the taxpayer.

Audit Location and Procedures

IRS examiners are instructed to work out times, dates, and locations that are convenient for the taxpayer.

However, the IRS retains the right to make the final determination of when, where, and how the examination will take place. Regardless of where an examination takes place, an examiner has the right to visit the taxpayer's place of business or home to establish facts (such as information about inventory or verification of assets) that can only be accomplished by a direct visit.

The examination interview may be recorded by the taxpayer or their representative, or by the IRS, but whoever initiates the recording must notify the other party in writing ten days in advance. If a taxpayer becomes uncomfortable during the audit process and wishes to consult with a qualified representative, the IRS must suspend the interview and reschedule it.

Example: Brandon is a self-employed mechanic who owns an auto body shop. The IRS is auditing his return (the amounts reported on his Schedule C). A licensed CPA prepared his return, but Brandon does not want to pay the CPA to represent him during the audit. Brandon decides to represent himself during the examination of his business in order to save some money. Brandon meets with the IRS auditor at his auto body shop. The auditor immediately begins asking complicated questions, and Brandon becomes uncomfortable right away. He regrets not hiring someone to represent him. Brandon tells the IRS auditor that he wants to discontinue the audit, because he wants to hire someone to represent him. The auditor must immediately suspend the audit and allow Brandon time to seek representation.

Notice of IRS Contact of Third Parties

The IRS may contact third parties during the examination process. "Third parties" may include neighbors, banks, employers, or employees. An IRS auditor must notify the taxpayer that they intend to contact third parties.

Note: A third-party contact (TPC) is often made when the taxpayer is unable or unwilling to provide the necessary information or when the examiner needs to verify information provided. For example, if the IRS examiner requests business bank statements, but the taxpayer refuses to provide them. An IRS examiner will generally request the information on a Form 4564, Information Document Request, before making a third-party contact.

The Taxpayer First Act of 2019 (TFA) revised IRC §7602(c)(1) to require the IRS to provide advance notice of the intent to contact third parties. The notice must include the designated time period for contact, which cannot exceed one year, and must be sent at least 45 days before the first contact is made.

However, there are exceptions for pending criminal investigations, cases where providing notice could harm tax collection efforts, or when it may lead to retaliation against any person. Additionally, the IRS Chief Counsel has also stated that contacts with other governmental agencies are not subject to TFA's advance notice requirements.⁶² Example: Feliciano is a business owner, but he uses his business to launder money from illicit activities.

The IRS selects Feliciano's tax return for audit. The auditor sees several clues and immediately suspects unreported income related to possible criminal activity. The IRS auditor later discovers that Feliciano is also being investigated by the FBI and the Department of Justice for drug trafficking. Because this is a pending criminal investigation, the IRS is not required to give Feliciano notice before contacting the FBI or the Department of Justice about Feliciano's tax matters.

Revenue Agent Report (RAR)

A Revenue Agent's Report (RAR) is a detailed document prepared by an IRS examiner at the conclusion of an audit. It outlines the examiner's findings and states the amount of deficiency or refund the agent finds the taxpayer to owe or be owed. A RAR is supposed to clearly state the amount of adjustments to a taxpayer's return and demonstrate how the tax liability was computed. Taxpayers have the right to disagree with a RAR and may choose to contest the agent's findings. If the taxpayer agrees with the IRS's proposed changes in the report, the taxpayer may immediately sign off on the revenue agent report on Form 4549 (Income Tax Examination Changes).

Alternatively, a closing agreement is a written settlement agreement between the taxpayer and the IRS. It is used to conclusively settle the taxpayer's tax liability or the tax consequence of a specific transaction. If the taxpayer owes and pays the additional tax owed when they sign the agreement, the interest and penalties are calculated from the due date of the tax return to the date of the payment. Closing agreements are used sparingly. ⁶² IRS Office of Chief Counsel Memorandum 202013015, The Application of I.R.C. §7602(c) to Government Contacts in the Context of DOJ Settlements with a Taxpayer.

Audit Determinations

An audit can be closed in one of three ways:

- 1) No Change: An audit in which the taxpayer has substantiated all of the items being reviewed, resulting in no changes.
- 2) Agreed: An audit in which the IRS proposes changes and the taxpayer understands and agrees with the changes.
- 3) Unagreed (or "Disagreed"): An audit in which the IRS proposes changes and the taxpayer understands but disagrees with them. The taxpayer may request a conference with an IRS manager for further review of the issues. In addition, the taxpayer may request an appeal. The taxpayer may also choose to go to court and contest the IRS determination there.

The IRS will not typically reopen a closed examination case to make an unfavorable adjustment and assess additional tax unless:

- There was fraud or misrepresentation.
- There was a substantial error based on an established IRS position existing at the time of the examination.
- Failure to reopen the case would be a serious administrative omission.

Example: Abigail Thompson, who owns a small business in New York, underwent an IRS audit on her most recently filed business tax return. The audit concluded, and the case was closed without any additional taxes being imposed. A year later, the IRS receives information from a former disgruntled employee of Abigail's business, claiming that Abigail concealed a significant amount of income in offshore accounts. The IRS looks into the tip and uncovers significant evidence of undisclosed offshore accounts and unreported income. Due to the fraud and misrepresentation, the IRS reopened Abigail's previously closed examination case to evaluate the additional tax owed on the hidden income.

Audit Reconsideration

The IRS audit reconsideration process is a procedure that allows taxpayers to dispute the results of a previous audit where additional tax was assessed and remains unpaid, or a tax credit was reversed. The taxpayer may request reconsideration if they disagree with the earlier audit assessment. However, they must provide new information, with documentation, that was not considered during the original examination. The IRS may accept a taxpayer's reconsideration request if:

- The information submitted has not been considered previously.
- The taxpayer filed their own return after the IRS had already completed a substitute return for them.
- The taxpayer believes there was an error in the IRS's calculations or processing when assessing their taxes.
- The tax liability remains unpaid, or credits are denied.

The IRS will not accept an audit reconsideration request if the taxpayer previously agreed to pay the amount of tax they owe by signing a closing agreement. Also, the request will not be accepted if the U.S. Tax Court, or another court, has issued a final determination on the taxpayer's tax liability. The IRS is under no obligation to approve a r **Example:** Cedrick is a sole proprietor who files on Schedule C. After an IRS examination, he was assessed \$1,900 of additional taxes because he had lost the file with his receipts and other documentation supporting his business deductions. Cedrick disagrees with the findings of the examination, and a couple of weeks later, he finds the missing file, which includes his original receipts. Cedrick requests an audit reconsideration due to the new documentation.

Example: In 2025, Gracie received a Notice Number CP504. The notice says — "Urgent! The IRS intends to levy Certain Assets." Gracie had moved in the prior year and also hadn't filed a tax return, so the IRS did not have an updated address for her. She did not respond to any prior notices because she did not receive them. The tax has already been assessed, but Gracie doesn't believe that she owes the amount listed on the notice. Gracie may request an audit reconsideration.

Repeat Examinations

The IRS tries to avoid repeat examinations of the same items, but sometimes, this happens. If a taxpayer's return was audited for the same items in the previous two years and no change was proposed to tax liability, the taxpayer may request the IRS discontinue the examination (IRM 4.10.2.13.2). However, approval of the request is subject to the IRS's discretion.

Example: Eleanor donates a large percentage of her salary to her church. The IRS has selected Eleanor's return for examination for the last two years based on her large donations. In both instances, Eleanor was able to substantiate all her donations, and no change was made to her tax liability. Her tax return is selected again for the same reason in 2025. Eleanor contacts the IRS to request that the examination be discontinued, and the examining officer agrees to do so.

Example: Terrance's tax return has been selected for examination three years in a row. In the prior two years, his tax return was selected to verify compliance with the EITC requirements. There was no change to his tax liability in either year. In 2025, Terrance's tax return is selected again for audit. This time, the IRS is questioning an education credit that he claimed on the return. Terrance cannot request that the examination be discontinued because it was selected for a different reason than in the previous two examinations.

Study Unit 10: Study Questions

(Test yourself and then check the correct answers at the end of this chapter.)

1. Shane's tax return was chosen for examination, but he does not want to communicate with the IRS directly. Who may represent Shane in an examination, assuming the proper power of attorney authorization is in place? a) Shane's sister, Belinda, who is an accounting student, but does not have any type of licensing. b) Eve, the unenrolled preparer who prepared the return under audit. Eve has a current AFSP certificate. c) Gary, a tax attorney who is Shane's college buddy. d) All of the above may represent Shane before the IRS examination division.
2. Which of the following is NOT an eligible partner in order for a partnership to elect-out of the Centralized Partnership Audit Regime? a) Individuals b) C corporations c) Trusts d) Estates of deceased partners
3. Aria's prior-year return was selected for audit in 2025. Regarding the audit process, which of the following statements is correct? a) Aria must appear before the IRS in person. b) Aria may choose to be represented by a federally-authorized practitioner and is not required to appear unless she chooses to do so. c) Aria must communicate directly with the IRS, even if she hires a lawyer, EA, or CPA. d) If Aria feels that she is not being treated fairly during an IRS audit, she cannot appeal to the auditor's manager.
4. Rahim's tax return was chosen by the IRS for examination. He moved recently to another state, but the IRS notice says that his examination will be scheduled in the city where he used to live. Which of the following statements is correct? a) Rahim can request that his tax return examination be moved to another IRS service center since he has moved to another area. b) Rahim must schedule the examination in his former city of residence, but he can have a practitioner represent him there. c) To move the examination to another location, Rahim must meet with the examiner at least once in person. d) Rahim must make arrangements to meet with the IRS examiner at his previous home.
5. Which of the following is a reason that the IRS would reopen a closed audit case? a) There was fraud or misrepresentation from the taxpayer during the audit process. b) The taxpayer is deceased, and the IRS sees an opportunity to assess more tax against the estate. c) The taxpayer has a successful business and makes over \$1 million. d) The taxpayer filed for bankruptcy.
6. Which type of IRS examination is conducted entirely by mail? a) Office Audit b) Field Examination c) Correspondence Audit d) Corporate Examination
7. Joshua received a notice from the IRS saying a prior year's tax return had been examined, creating a tax assessment of \$2,875. Joshua disagrees with the amount of tax assessed. He could request an audit reconsideration in all of the following situations EXCEPT: a) The full amount owed has already been paid. b) There is new documentation for the examination that could help the taxpayer's case. c) Joshua neither appeared for the examination nor sent information to the IRS. d) Joshua moved and never received the examination notice.
8. Which of the following statements is correct for a jointly-filed tax return that has been selected for examination? a) Both spouses must be present during an examination because both are liable for the tax. b) Only one spouse must be present. c) Each spouse must have their own representative. d) Neither

spouse may use a representative.

9. Hazel trades a large number of stocks every year, although she is just a casual investor. Hazel's 2023 and 2024 tax returns were audited for investment interest expense. Both examinations resulted in no change to the return as filed. Hazel was notified that her 2025 return was selected again for examination for the same type of expenses. What should Hazel do? a) Since Hazel has two prior no change audits, she should notify the Internal Revenue Service to see if the examination should be discontinued. b) Hazel should contact the Office of Professional Responsibility and report the repeat examinations. c) Hazel should notify the Treasury Inspector General to see if the repeat examinations should be considered abusive. d) Hazel should file a whistleblower claim due to the repeat examinations.

10. Gibson is being audited for a prior year, and he wishes to record the audit using an audio device. What must he do in order to record the audit? a) Make a request the same day as the examination. b) Notify the examiner one month in advance, in writing. c) Notify the examiner ten days in advance, in writing. d) Nothing. Examinations are automatically recorded by the IRS to ensure compliance. © HOCK interna 11.

What is the maximum number of partners a partnership can have to be eligible to elect out of the Centralized Partnership Audit Regime? a) 50 b) 100 c) 150 d) 200 12. When do the IRS rules regarding notice of third parties not apply? a) To any pending criminal investigation. b) When the IRS is requesting bank statements. c) When the examiner asks for a copy of a bookkeeping file. d) When the person under audit is a nonresident alien.

13. Where does an office audit typically take place? a) At the taxpayer's home b) At a nearby IRS field office c) Entirely by mail d) At the taxpayer's place of business 14. Which of the following is not a term the IRS uses to classify an audit determination? a) No change. b) Agreed. c) Acknowledged. d) Unagreed.

Study Unit 10: Question Answers

1. The answer is D. All of the people listed could potentially represent Shane before the IRS during an examination. Shane's sister can represent him because she is a close family member, and Eve can represent him because she prepared the return, and she has a current AFSP certificate in place. Attorneys, CPAs, and Enrolled Agents have unlimited rights of representation before all offices of the IRS, so Gary would be able to represent Shane, as well. A Form 2848 (power of attorney) would be required.

2. The answer is C. Trusts are not considered eligible partners. Partnerships with 100 or fewer partners for the taxable year can elect-out of the centralized partnership audit regime if all partners are eligible partners. Eligible partners are:

- Individuals
- C corporations
- Foreign entities that would be treated as a C corporation if it were domestic
- S corporations
- Estates of deceased partners (but not bankruptcy estates).

The partnership must also complete Schedule B-2, Form 1065, Election Out of the Centralized Partnership Audit Regime, and list each eligible partner's name, U.S. Taxpayer Identification Number, and type of eligible partner.

3. The answer is B. Aria is not required to be present during an IRS examination if she has provided written authorization, such as Form 2848, to a qualified representative per Circular 230. Aria may choose to be

represented by a federally-authorized practitioner and is not required to appear unless she chooses to do so.

4. The answer is A. Rahim can request that his tax return examination be moved to another IRS service center since he has moved to another area. If a taxpayer has moved or if his books and records are located in another area, he can request that the location of his audit be changed to another IRS service center. IRS examiners are instructed to work out times, dates, and locations that are convenient for the taxpayer.

However, the IRS retains the right to decide when, where, and how the examination will take place.

5. The answer is A. Only in rare circumstances will the IRS reopen a closed examination case and assess additional tax. In general, the IRS will not reopen a closed examination case to make an unfavorable adjustment unless:

- There was fraud or misrepresentation,
- There was a substantial error based on an established IRS position existing at the time of the examination, or
- Failure to reopen the case would be a serious administrative omission.

6. The answer is C. A correspondence audit is conducted entirely by mail. The IRS sends a letter to the taxpayer asking for more information about certain items on their tax return.

7. The answer is A. Joshua could request audit reconsideration in all of the following situations except if the full amount owed has already been paid (based on a prior exam question).

8. The answer is B. For taxpayers who file jointly, only one spouse is required to meet with the IRS.

Alternatively, the taxpayers can use a qualified representative to represent them before the IRS. They could be present along with the representative, or they could choose not to be at the meeting.

9. The answer is A. Since Hazel has two prior no-change audits, she should notify the Internal Revenue Service to see if the examination should be discontinued.

10. The answer is C. Gibson must notify the examiner ten days in advance, in writing. If a taxpayer, his representative, or the IRS examiner wishes for an audit to be recorded, he must notify the other parties in writing ten days in advance. If the IRS records the interview, the taxpayer may request a copy.

11. The answer is B. Partnerships with 100 or fewer partners for the taxable year can elect out of the CPAR if all partners are eligible partners.

12. The answer is A. During the examination process, the IRS must give the taxpayer reasonable notice before contacting third parties. However, this provision does not apply:

- To any pending criminal investigation.
- When providing notice would jeopardize collection of any tax liability.
- When providing notice may result in reprisal against any person.

13. The answer is B. An office audit usually takes place at a nearby IRS field office. The taxpayer is usually asked to bring certain documents and records to the IRS office for the auditor to examine. Office audits usually cover a few specific issues or an uncomplicated tax matter. Taxpayers can choose to represent themselves, or have an enrolled practitioner represent them.

14. The answer is C. There are three types of audit determinations. In other words, an IRS audit can be closed in one of three ways:

- No change: An audit in which the taxpayer has substantiated all of the items being reviewed, resulting in no changes.
- Agreed: An audit in which the IRS proposes changes and the taxpayer understands and agrees with the changes.
- Unagreed (or "Disagreed"): An audit in which the IRS proposes changes and the taxpayer understands but disagrees with the changes. A conference with an IRS manager may be requested for further review of the issues. In addition, the taxpayer may request fast-track mediation or an appeal. The taxpayer may also choose to go to court and contest the IRS determination. **Study Unit** **11** **IRS Appeals and the U.S. Tax Court** **Study Unit 11: IRS Appeals and the U.S. Tax Court** **More Reading:** **• Publication 5, Your Appeal Rights & How to Prepare a Protest If You Don't Agree** **• Publication 4227, Learn More About Appeals** **• Publication 4167, Appeals: Introduction to Alternative Dispute Resolution** **Because taxpayers often disagree with the IRS on tax matters, the IRS has a formal appeals process. The** **IRS Independent Office of Appeals ("IRS Appeals") is independent of any other IRS office and serves as an** **informal administrative forum for any taxpayer who wishes to dispute an IRS determination. Taxpayers can** **appeal their audits by filing a formal protest or a small case request within 30 days of the date on the letter** **sent by the IRS.** **Example: Landon is the owner of a small bakery and is currently under audit by the IRS for a previous tax** **year. According to the IRS examiner, Landon failed to report \$20,000 in income and had numerous business** **expenses that were deemed ineligible for a deduction, resulting in a proposed tax deficiency of \$8,500.** **Landon does not agree with the examiner's findings and submitted a formal protest with supporting docu-** **ments within 30 days. After a few months, his case was reviewed by the IRS Independent Office of Appeals** **and an appeals conference was held where both parties reached a mutual agreement for a reduced tax** **deficiency of \$4,300. Satisfied with this revised assessment, Landon accepts it, and the audit can finally be** **closed.** **IRS Appeals provides taxpayers an alternative to going to court to fight disagreements about the application** **of tax law. The role of appeals is to resolve disputes on a fair and impartial basis that does not favor either** **the government or the taxpayer. Appeals officers are directed to give serious consideration to settlement** **offers by taxpayers or their representatives.63** **Note: In general, only attorneys, certified public accountants, or enrolled agents are allowed to represent** **a taxpayer before IRS Appeals. An unenrolled preparer may be a witness at the conference, but not a** **representative. Exceptions apply under the rules for limited practice (for example, a parent may represent** **their own child).** **63 Treas. Reg. §601.106(d)(2): "Appeals will ordinarily give serious consideration to an offer to settle a tax controversy** **on a basis which fairly reflects the relative merits of the opposing views in the light of the hazards which would exist if** **the case were litigated. However, no settlement will be made based upon the nuisance value of the case to either party."** **198** purchaser. Resale prohibited.** **Study Unit 11: IRS Appeals and the U.S. Tax Court** **IRS Appeals System Overview** **The mission of the IRS Appeals is to resolve tax controversies without litigation. The IRS Appeals Office is** **a separate division and independent of IRS examinations and collections. A taxpayer has three choices** **when protesting an IRS determination:** **1) Appeal within the IRS appeals system.** **2)** **Take the case directly to the U.S. Tax Court ("Tax Court").** **3) Bypass both IRS Appeals and the Tax Court and take the case to the U.S. Court of Federal Claims** **or to a U.S. District Court.** **The contested tax does not have to be paid first if a

taxpayer opts for either IRS Appeals or the Tax Court,** **but if the taxpayer goes directly to the Court of Federal Claims or a U.S. District Court, the contested tax** **must be paid first, and then the taxpayer must sue the IRS for a refund. An IRS appeal does not normally** **abate penalties and interest on the tax due. These continue to accumulate until one of two events occurs:** **• The balance of the debt is paid, or** **• The taxpayer wins their appeal and is granted a no-change audit.** **Reasons for an appeal must be supported by tax law. An appeal cannot be based solely on moral, religious,** **political, constitutional, conscientious, or similar grounds.** **Appealing After an Examination** **The 30-Day Letter** **Within a few weeks after a taxpayer's closing conference with an IRS examiner, the taxpayer will receive a** **30-day letter. This letter includes:** **• A notice explaining the taxpayer's right to appeal the proposed changes within 30 days.** **• A copy of the revenue agent report explaining the examiner's proposed changes.** **• An agreement or waiver form.** **• A copy of Publication 5, Your Appeal Rights.** **Within 30 days of the date of the letter, the taxpayer must either accept or challenge the proposed changes.** **If they opt to challenge an examiner's decision through the IRS system, they can reach out to a local** **Appeals Office, which operates independently from the office that conducted the examination.** **Conferences with Appeals Office personnel may be conducted in person, through correspondence, or by** **telephone with the taxpayer or his authorized representative.** **Only enrolled practitioners are permitted to represent taxpayers during an IRS appeals hearing. An unen-** **rolled tax return preparer may be a witness for a taxpayer at an appeals conference but may not serve as** **an authorized representative for the taxpayer. The taxpayer does not have to attend in person if their** **representative holds power of attorney authorization via a signed Form 2848 or another valid POA form.** **Filing a Formal Protest** **A formal written protest is required in all cases to request an Appeals conference, unless the taxpayer** **qualifies for the small case request procedure. Amounts in dispute (including tax and penalties) of not more** **than \$25,000 qualify for the "small case" procedure, which allows for the initiation of an appeal through** **IRS Form 12203, Request for Appeals Review, which must be signed by the taxpayer.** **purchaser. Resale prohibited.** **199** **Study Unit 11: IRS Appeals and the U.S. Tax Court** **Example: Tracy is a sole proprietor who runs a small restaurant. The IRS audited Tracy's business return** **and found discrepancies on her Schedule C. Tracy initially tried to represent herself, but the audit went** **poorly, and Tracy felt that the IRS auditor was not heeding her arguments. Tracy receives a 30-day letter** **stating that she owes an additional \$32,000 in tax. Tracy disagrees with the amount, so she hires Jose, an** **enrolled agent, to represent her. Jose files a formal protest within 30 days with the IRS Appeals office. Jose** **also submits the required practitioner declaration and a copy of Form 2848, power of attorney, allowing** **him to represent Tracy before the IRS. In the protest, Jose details why the proposed assessment is incorrect** **and the legal basis for his argument. Jose then schedules a conference with an Appeals Officer. When they** **meet, they discuss the matter and reach a settlement agreeable to each party. Since the IRS has a signed** **Form 2848 authorizing Jose to be Tracy's representative, she was not required to attend the appeals hear-** **ing.** **The protest statement must go into greater detail than the small case request. It must include the facts** **supporting the taxpayer's position and the law or authority that the taxpayer is relying upon in making his** **case. The protest must be signed by the taxpayer under penalties of perjury. If an Enrolled Agent or other** **enrolled practitioner prepares and signs the protest for a taxpayer, the practitioner must substitute a dec-** **laration that states whether they personally know that the facts in the protest and accompanying documents** **are true and correct.** **The 90-Day Letter (Notice of Deficiency)** **If a taxpayer fails to respond to a 30-day letter or is unable to reach an agreement with an Appeals Officer,** **the IRS will send them a

Notice of Deficiency, also known as the 90-day letter.⁶⁴ Example: Jake was sent several IRS notices about an audit for a prior-year return, but he ignored them all. On March 30, 2025, he receives a Notice of Deficiency (a 90-day letter) and finally decides to respond. He has only 90 days from the date of the letter to file a petition with the Tax Court, otherwise, the IRS will make a final assessment and begin collection action. Jake responds to the letter on May 1, 2025, challenging the tax that the IRS has proposed by filing a Tax Court petition in the U.S. Tax Court. His file will be sent to the IRS appeals office first, giving him a prior opportunity to resolve his case before going to an actual hearing in the Tax Court. This formal legal notice, sent by certified or registered mail, informs taxpayers of their rights to appeal to the U.S. Tax Court. It is required by law before the IRS can make a final assessment of tax due. The taxpayer has 90 days (or 150 days if outside the United States) from the date of this notice to file a petition with the U.S. Tax Court in order to dispute the deficiency being assessed. Example: Svetlana is a U.S. citizen who lives and works in Russia. She files U.S. tax returns as required by law. Her prior year return comes under audit, and she receives a 90-day letter, which is mailed to her residence in Russia. Since she has a foreign address, she has 150 days to respond to the letter, rather than the normal 90 days.

⁶⁴ If a taxpayer and the IRS fail to settle a non-docketed examination dispute in the IRS Appeals Office, the next event to occur is the issuance of a notice of deficiency (NOD). A non-docketed case is a tax dispute not yet filed in the U.S. Tax Court, where the taxpayer and IRS disagree on examination findings, but no NOD has been received or petition filed. The IRS Appeals Office manages both docketed and non-docketed cases.

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Study Unit 11: IRS Appeals and the U.S. Tax Court

Example: Arnold always files his tax returns on time. In 2025, he receives a notice from the IRS stating that he underreported his income by \$20,000 for a prior year, resulting in an additional tax liability of \$5,000. Arnold believes that the IRS has made an error in their assessment, because he had reported that he was the victim of ID theft months ago, and he believes that someone was fraudulently working under his Social Security number. Arnold responds to the IRS notice by writing a letter, but his response is either lost or ignored, and he eventually receives a Notice of Deficiency. He files a petition with the U.S. Tax Court within the 90-day deadline, choosing the simplified, "small tax case" procedure. Once the case is docketed, Arnold's case is remanded to an IRS Appeals Officer to attempt to settle the case pre-trial. Arnold provides evidence to show that the income reported on his tax return was accurate and that the \$20,000 of alleged underreported income does not belong to him. The IRS Appeals Officer reviews his evidence and agrees that the underreporting of income notice was incorrect. The IRS and Arnold jointly propose a stipulated decision that there is no change for the tax year, and the judge signs the decision, officially ending the case. If the taxpayer fails to submit the petition within the deadline (90 days, for most taxpayers), the tax will be officially assessed, and the taxpayer will not have the option to appeal to the Tax Court. However, if the taxpayer does submit a timely petition and their case is accepted by the Tax Court, in most cases, it will first go to an IRS Appeals office in an attempt to reach a resolution before proceeding to a court hearing. More than 90% of all tax cases are resolved without a trial.

U.S. Tax Court

The U.S. Tax Court is a federal court separate from the IRS, and the only court where taxpayers may choose to contest their tax deficiencies without having to pay the disputed amount first. For most taxpayers, the U.S. Tax Court is the optimal court in which to challenge an adverse IRS decision, as payment is not a requirement for jurisdiction and the judges possess specialized tax expertise. Under current law, however, taxpayers generally may litigate in Tax Court only if the IRS determines they owe more tax and it issues a notice of deficiency. When taxpayers are

solely seeking a refund because they believe they overpaid their tax, they are barred from the Tax Court and must litigate in either the U.S. District Court or the U.S. Court of Federal Claims. If a taxpayer does not receive a notice of deficiency and seeks judicial review of an adverse IRS determination, the taxpayer must pay the tax, penalty, or interest and file suit in a U.S. District Court or the U.S. Court of Federal Claims. This situation generally arises when the taxpayer is claiming a refund of tax, penalty, or interest that has been paid. Taxpayers solely seeking refunds cannot litigate their cases in the Tax Court. Example: Bernice files her income tax return on time. Her return reflects a tax liability of \$15,000. Bernice had \$12,000 of withholding taken from her wages, and she pays an additional \$3,000 using direct debit when she e-files her return. Six months after filing her original return, she discovers a significant error that would result in a refund, and Bernice files an amended return, Form 1040-X, showing a tax liability of \$11,000 and claiming a refund of \$4,000. The IRS rejects her amended return and denies her claim. Under current law, Bernice could not go to Tax Court because there is no deficiency (i.e., no tax is due). To litigate her refund claim, she would have to file a refund suit in the U.S. District Court or the U.S. Court of Federal Claims to pursue her \$4,000 refund claim. Bernice is at a disadvantage, because this type of suit would involve greater court fees, and potentially additional discovery burdens. The U.S. Tax Court issues both regular and memorandum decisions. A regular decision is when the Tax Court rules on an issue for the first time. A memorandum decision is when the Tax Court has previously ruled on identical or similar issues. The Tax Court has jurisdiction over the following tax disputes:

- Notices of deficiency for income, estate, and gift taxes.
- Review of the failure to abate interest.
- Notices of transferee liability.
- Adjustment of partnership items.
- Administrative costs.
- Worker classification (employee versus independent contractor).
- Review of certain collection actions.
- Relief from joint and several liability on a joint return.
- Certification of seriously delinquent tax debt (passport cases).
- Whistleblower awards.

A taxpayer has the right to represent themselves before the U.S. Tax Court. This is known as being "pro se" or "self-represented," in legal terms, meaning acting on one's own behalf. Alternatively, a taxpayer can choose to have someone who is admitted to practice in the Tax Court represent them. Enrolled agents and CPAs must be "admitted to practice" before the U.S. Tax Court by first passing a separate exam specific to this purpose. Note that "practice before the IRS" does not include practice before the U.S. Tax Court. Licensed attorneys are the only practitioners who are not required to pass the U.S. Tax Court exam before being eligible to practice before the U.S. Tax Court. Example: Clyde has always self-prepared his own tax returns using tax preparation software. In 2025, one of his prior-year returns comes under examination. Clyde underreported a significant amount of income because he thought the income was not taxable. After his return goes under examination, he is assessed income tax on the amount that should have been reported and a substantial accuracy-related penalty. Clyde concedes that he should have reported the income, but he contests the accuracy-related penalty because he believes that the software steered him in the wrong direction. He files a petition with the U.S. Tax Court, requesting an abatement of the penalty due to reasonable cause. The Tax Court rejects his argument, and the accuracy-related penalty is upheld. That is because taxpayers cannot justify errors on self-prepared returns using reliance on software as an excuse. 65 The Tax Court has held that taxpayers who rely on software to justify errors on self-prepared returns are liable for the IRC §6662 accuracy-related penalty. IRC §6662; 6664(c); Treas. Reg. §1.6664-4(b)(1); and Anyika v. Commissioner, T.C. Memo. 2011-69, 202 purchaser. Resale prohibited. Study Unit 11: IRS Appeals and the U.S. Tax Court U.S. Tax Court Small

Tax Case Procedure Small tax case procedures (also known as S-case procedures) in the Tax Court are one avenue to resolve disputes between taxpayers and the IRS. Small tax cases are handled under simpler, less formal procedures than regular cases. Often, decisions are handed down quicker than in other courts. However, the Tax Court's decision in a small tax case cannot be appealed by the taxpayer. The decision is final, as the IRS is not allowed to appeal, either, if it loses the case. In contrast, either the taxpayer or the IRS can appeal a decision in a regular, non-S case to a U.S. Court of Appeals. The taxpayer, the IRS, and the Tax Court must all agree to proceed with the small case procedure. Generally, the Tax Court will agree with the taxpayer's small case request if the taxpayer otherwise qualifies. Dollar limits for the Tax Court Small Case Division vary:

- For a Notice of Deficiency: \$50,000 (including penalties) for any year.
- For a Notice of Determination: \$50,000 for all years combined.
- For a Notice of Deficiency related to a request for relief from joint and several liability: \$50,000 is the maximum amount of spousal relief for all the years combined.
- For an IRS Notice of Determination of Worker Classification: Disputes cannot exceed \$50,000 for any calendar quarter.

A decision entered in a small tax case is not treated as precedent for any other case and is not typically published. Since the taxpayer cannot appeal a decision under the Small Tax Case procedures, they must weigh the potential risks of using the small case procedure against the possibility of not being able to challenge an unfavorable decision in a higher court. Note: Do not confuse the U.S. Tax Court's "Small Tax Case Procedure" with the IRS' "Small Case Request." They are not the same thing. One procedure is with the U.S. Tax Court, the other procedure is within the IRS Appeals system. Within the IRS appeals system, a taxpayer may also file a "Small Case Request" if the total amount of tax, penalties, and interest for each tax period involved is \$25,000 or less. To make a Small Case Request, the taxpayer may use Form 12203, Request for Appeals Review, or prepare a brief written statement requesting an appeals conference. The taxpayer must also specify why they do not agree with the proposed tax assessment.

Delay Tactics are Prohibited If a taxpayer unreasonably fails to pursue the internal IRS appeals system, if the taxpayer files a case with the U.S. Tax Court primarily to cause a delay, or if the taxpayer's position is deemed frivolous, the Tax Court may impose a penalty of up to \$25,000. Frivolous positions include:

- Arguing the income tax is not valid: This argument usually takes the form of the taxpayer asserting that the Sixteenth Amendment (which allows Congress to levy an income tax) was not properly ratified, or that the income tax is somehow unconstitutional. The courts have consistently found this argument to be wholly without merit.
- Payment of tax is voluntary: Some taxpayers argue that they are not required to pay federal taxes, the system is voluntary. This argument is based on a misinterpretation of the word "voluntary" as used in IRS publications. In this context, "voluntary" refers to the U.S. system of allowing taxpayers initially to determine the correct amount of tax and complete the appropriate returns, rather than having the government determine tax for them.

66 Employee retirement plans (Form 5500), exempt organizations, S corporations, and partnerships are not eligible for small case requests.

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- A person or a type of income is not subject to tax: Some taxpayers argue that they are not a "person" as defined by the Internal Revenue Code, and therefore not subject to federal income tax laws. Others may contend that their income is not a type of income that is taxable. These arguments are flawed and rejected by the courts.
- Espousing other arguments that the courts have previously rejected as baseless: There are a variety of other arguments that have been made in an attempt to avoid tax liability. These can range from claims that the taxpayer is a sovereign citizen and thus not subject to U.S. law, to arguments

that federal reserve notes do not constitute cash income. These arguments have also been consistently rejected by the courts. These penalties are targeted at taxpayers who do not have a legitimate complaint and are instead using the Tax Court simply to delay collection action in their case.⁶⁷ Ignorance of the law or disagreement with the law is never a defense against tax liability. Example: Brian Swanson, a high school teacher, filed his tax return but did not pay, claiming his wage income was not taxable under the IRC. The IRS issued a Notice of Deficiency, stating he owed \$16,000 in tax, plus \$3,000 in penalties. Swanson petitioned the U.S. Tax Court, arguing his wage income was tax-exempt because he was a schoolteacher working for the government. Representing himself in court, he once again maintained that teachers' wage income was not specifically taxable. The IRS countered that all income is taxable unless exempted. The Tax Court dismissed Swanson's claim as frivolous, emphasizing that the IRC includes teachers' wages as taxable income. Swanson was penalized an additional \$25,000 for his frivolous argument, with the judge highlighting that such claims were a waste of judicial resources. This case is a cautionary tale against making frivolous arguments in the Tax Court (Swanson v. Commissioner, T.C. Memo. 2024-105). Example: Jamillah worked as a clerical employee of a California University. When she filed her tax return, she attached a statement that her wages were not subject to Federal income tax because she was not engaging in the "exercise of Federal privileges." Jamillah claimed that since she was not a federal officer, employee, or elected official, she was not "exercising a Federal privilege" when performing services for the University and should therefore not be taxed. The court found her argument to be patently frivolous. The IRS's attorney urged the court to impose a section 6673 (frivolous return) penalty of \$25,000 against Jamillah, but the taxpayer told the judge presiding over the case that she was currently unemployed and that a penalty would cause her financial hardship. Taking her at her word, the court assessed a tax deficiency of \$5,326 and a modest penalty of \$250. The judge warned Jamillah that she would risk a much more severe penalty if she advances frivolous positions in any future appearance before the Tax Court (based on Muhammad v. Comm'r, TC Memo 2021-77).⁶⁷ The IRS makes public the names and cases of taxpayers who have been assessed these §6673 penalties by the Tax Court. The cases are published on the IRS website as well as in the Tax Court Historical Opinion area.²⁰⁴ purchaser. Resale prohibited. Study Unit 11: IRS Appeals and the U.S. Tax Court Other Types of Court Appeals The vast majority of taxpayers who use the court system to appeal their federal tax disputes do so in the Tax Court. However, a minority of taxpayers choose to challenge the IRS in a U.S. District Court or Court of Federal Claims. In this case, a taxpayer must pay the contested tax deficiency first before filing the case in these courts. If either party loses at the trial court level, the court's decision may be appealed to a higher court. Example: Cassie is a professional gambler with a complex tax situation. Her return was selected for audit. During the course of the examination, the IRS disallows a large deduction on Cassie's return. Cassie believes the deduction is legitimate, and she disagrees with the auditor's position. However, the auditor will not budge. The IRS eventually issues a Notice of Deficiency in the amount of \$45,000. Cassie knows the deduction she has taken on her return is contrary to the current IRS position, but there is a recent court case where another taxpayer took a similar deduction and prevailed against the IRS. Cassie does not wish to contest the tax through the IRS Appeals Office or the Tax Court. Instead, she feels that she would have better luck if she went straight to a U.S. District Court. She must first pay the contested liability in full and then sue the IRS for a refund. Note: Although Enrolled Agents and CPAs have unlimited rights of representation before all levels and officers of the IRS, they cannot represent taxpayers in

disputes with the IRS before U.S. District Courts, bankruptcy courts, courts of appeal, or the U.S. Supreme Court. That authority is reserved only for licensed attorneys. Taxpayer Rights to Bring Civil Action Taxpayers generally have the right to take their cases to court. The government cannot ask a taxpayer to waive their right to sue the United States or a government employee for any action taken in connection with the tax laws. Taxpayers have the right to file a refund suit in a United States District Court or the United States Court of Federal Claims.

The burden of proof: In most cases, the burden of proof lies with the taxpayer; however, the burden of proof can shift to the IRS during court proceedings, if the taxpayer meets the following requirements:

- Adhered to IRS substantiation requirements.
- Maintained adequate records.
- Cooperated with reasonable requests for information from the IRS.
- Introduced credible evidence relating to the issue.

This burden of proof "shift" applies to both individual taxpayers as well as business entities. However, in the case of a trust, corporation, or partnership, it only applies if the entity had a net worth of \$7 million or less and not more than 500 employees at the time of contested tax liability. This only applies in court proceedings on civil tax matters, not criminal cases.

68 In the case of an individual taxpayer, the IRS shall have the burden of proof in any court proceeding with respect to any item of income which was reconstructed solely through the use of statistical information from unrelated taxpayers (IRC § 7491(b)).

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Study Unit 11: IRS Appeals and the U.S. Tax Court

Example: Dustin owns a laundromat business as a sole proprietor. His laundromat accepts coins in all the machines, making it a cash-intensive business. Dustin's prior-year tax return goes under audit. Dustin's accounting records appear to be correct and complete, and his bank statements match the amounts that are listed on his return. The IRS examiner believes that Dustin is concealing cash but does not have any proof. The IRS examiner issues an audit report, assessing additional tax for "phantom income," based on statistical data taken from other taxpayers, which Dustin vehemently disagrees with. He waits for the 90-day-letter (the Notice of Deficiency) and immediately files a petition with the U.S. Tax Court. In this case, the IRS will have the burden of proof with respect to any item of income on the return that it has reconstructed.

Recovering Litigation Costs A taxpayer may be able to recover litigation costs incurred to defend a position while contesting tax assessed by the IRS. Under IRC § 7430, the IRS is compelled to pay "reasonable litigation and administrative" costs incurred by a taxpayer in most administrative proceedings before the IRS and in court proceedings before most U.S. federal courts. To recover court costs, the following general requirements must be met:

- The costs must be incurred in an administrative or court proceeding brought by or against the United States.
- The taxpayer must be the prevailing party.
- The taxpayer must have exhausted all administrative remedies within the IRS.
- The costs must be reasonable and must have been incurred as a result of assessment, collection, or refund of tax, interest, or penalty imposed pursuant to the IRC.
- The taxpayer must not have unreasonably delayed any IRS proceeding.

Example: Aurora is a registered nurse. During an examination, she disagreed with an IRS assessment that disallowed educational expenses she had claimed while pursuing an MBA degree for health professionals. After receiving a Notice of Deficiency, she took her case to the U.S. Tax Court and won. Aurora may be able to recover attorney fees and other court costs she incurred in her fight with the IRS. The taxpayer will not be treated as the prevailing party if the IRS establishes that its position was substantially justified. In order to request the recovery of litigation costs from the IRS, the taxpayer must meet certain net worth requirements:

- For individuals, net worth cannot exceed \$2 million as of the filing date of the petition for review.
- Spouses filing a joint return are treated as separate individuals.
- For estates, net worth

cannot exceed \$2 million as of the date of the decedent's death.** **• For exempt organizations and certain cooperatives, the entity cannot have more than 500 employ-** **ees as of the filing date of the petition for review.** **For all other taxpayers, net worth cannot exceed \$7 million, and the entity must not have more than 500** **employees as of the filing date of the petition for review.** **206** purchaser. Resale prohibited.**

Study Unit 11: Study Questions

(Test yourself and then check the correct answers at the end of this chapter.)

1. Armando's tax return was selected for audit, and he went through the examination. He was represented by Ginny, an unenrolled preparer with an AFSP certificate. Ginny prepared the return under audit. Armando wishes to appeal the examination and prefers that Ginny represent him before IRS Appeals. What are his options? a) Armando may ask Ginny to represent him before IRS Appeals, because she prepared the return and she has an AFSP certificate. b) Armando may be represented by Ginny, as long as he is present during the IRS Appeals process, but he does not have to speak at any time during the appeals process. c) Ginny cannot represent him before IRS Appeals. Armando may represent himself or hire an enrolled practitioner (CPA, attorney, or EA) to represent him at the Appeals level. d) Armando may ask an IRS employee to represent him at IRS Appeals.
2. Tyler's tax return recently went under audit, and the IRS made unfavorable adjustments. What is the first step Tyler should take if he disagrees with his examiner's findings? a) Ignore the findings and hope the IRS forgets about it. b) Immediately pay the proposed tax deficiency. c) Request an appeal with the IRS Office of Appeals. d) File a lawsuit against the IRS in district court.
3. Which of the following best states the purpose of the IRS Independent Office of Appeals? a) To help the taxpayer and the government settle their tax dispute and reach an equitable settlement. b) To advocate for the taxpayer in connection with the taxpayer's disagreement with the collection or examination divisions of the IRS. c) To advocate for the government and convince the taxpayer to pay his fair share before he pursues his case through the court system. d) To look at the facts and circumstances of each case and then take a side in the tax dispute.
4. Gamila owes a substantial sum to the IRS. She files a petition with the U.S. Tax Court. Her case is later determined to be frivolous, wholly without merit, and merely to cause delay. As a repercussion to Gamila's action, the Tax Court may impose a penalty of: a) Up to \$10,000. b) Up to \$25,000. c) Up to \$50,000. d) Up to \$25,000 and one year in prison.
5. A Statutory Notice of Deficiency is also known as a "90-day letter" because: a) Taxpayers have 90 days from the date on the letter to file a petition with U.S. District Court. b) Taxpayers have 90 days from the date of the letter to file a petition with the U.S. Tax Court. c) The IRS generally has 90 days from the date of the letter to issue a notice of intent to levy. d) The IRS generally only has 90 days from the date of the letter to collect the amount due.

Study Unit 11: IRS Appeals and the U.S. Tax Court

6. Which of the following statements is correct about an IRS appeal? a) An appeal does not abate the interest on a tax liability. Interest continues to accrue. b) A taxpayer must pay the disputed tax before filing an appeal with the IRS. c) The IRS is prohibited from filing a notice of federal tax lien if the taxpayer is outside the U.S. d) Taxpayers who disagree with the IRS changes may not appeal to the U.S. Tax Court.

7. Kevin and Javier are general partners in FastLane Auto Repair, a body shop business. The partnership elected-out of the Centralized Partnership Audit Regime. Both had their individual returns examined, in separate examinations, and based on how each of them treated flow-through items from the partnership, the IRS assessed additional tax on both Kevin and Javier. However, both of them disagreed with the IRS.

Kevin decided to take his case to the IRS Appeals office. After the conference, he and the IRS still disagreed.

Javier decided to bypass the Appeals office altogether and go directly to court. Which of the following statements is correct? a) Neither may petition the U.S. Tax Court. b) Both Kevin and Javier can take their cases to the following courts: U.S. Tax Court, U.S. Court of Federal Claims, or the U.S. District Court. c) Only Kevin may petition the Tax Court, because he went through the IRS appeals process first. d) Both can take their cases to the Tax Court, but not to other U.S. courts.

8. Alyssa disagrees with the IRS examiner regarding the outcome of her recent audit. Her appeal rights are explained to her, and she decides to contest the tax by pursuing the case in the U.S. Tax Court. Which of the following statements is correct? a) Alyssa must receive a Notice of Deficiency before she can petition the U.S. Tax Court. b) Alyssa must wait for the IRS examiner to permanently close her audit case. c) Alyssa must request a collection due process hearing before she can go to the U.S. Tax Court. d) Alyssa cannot go to the U.S. Tax Court unless she agrees with the auditor's findings.

9. At the beginning of each examination, the IRS auditor must explain: a) A taxpayer's appeal rights. b) A taxpayer's right to a fair trial. c) A taxpayer's right to remain silent. d) A taxpayer's right to confidentiality.

10. The Tax Court has generally held that taxpayers who rely on software to justify errors on self-prepared returns are: a) Not liable for the §6662 accuracy-related penalty. b) Liable for the §6662 accuracy-related penalty. c) Liable for 20% of the §6662 accuracy-related penalty. d) Liable for 40% of the §6662 accuracy-related penalty.

11. Which of the following statements is correct regarding a taxpayer's right to appeal a tax assessment? a) A taxpayer must first pay the contested tax before they can appeal in the U.S. Tax Court. b) A taxpayer has the right to appeal a tax assessment on the basis of political grounds. c) Taxpayers can appeal to their congressional representative instead of the IRS Independent Office of Appeals. d) A taxpayer must first pay the contested tax before they can appeal in a U.S. District Court.

12. Geraldine is an EA. Which of the following tasks can she perform on behalf of a client? a) Prepare and file a suit for refund in U.S. District Court. b) Prepare and sign a U.S. Tax Court petition to contest a notice of deficiency. c) Prepare and sign a protest to challenge examination results in the IRS Appeals Office. d) Prepare and file a bankruptcy petition in the United States Bankruptcy Court due to unpaid tax balances.

13. Vivian's return went under examination, and she disagreed with the findings of the IRS. She filed a formal protest, and her case was then sent to the IRS Office of Appeals. What happens if Vivian and the IRS Appeals Office cannot reach an agreement? a) The case is closed, and Vivian must pay the proposed tax deficiency. b) The case is closed, and no further action is taken. c) The IRS will issue a notice of

deficiency, giving Vivian the right to challenge the proposed deficiency in the U.S. Tax Court. d) The IRS seizes Vivian's assets to cover the proposed tax deficiency.

14. If a taxpayer and the IRS fail to settle a non-docketed examination controversy in the IRS Appeals Office, the next event to occur is: a) Issuance of a notice of deficiency. b) Issuance of notice and demand for payment. c) Return of the case to the Revenue Agent for further review. d) Referral of the case to the Taxpayer Advocate.

15. If a taxpayer wishes to challenge the IRS in a District Court, the taxpayer must: a) First attempt to resolve the contested tax with the IRS Appeals office. b) Pay the contested liability first and then sue the IRS for a refund. c) Pay a retainer to the IRS for a refund. d) Go first to the U.S. Tax Court before appealing to a U.S. District Court.

16. Under which of the following conditions would it be likely that the IRS will reopen a closed examination case to make an unfavorable adjustment and assess additional tax? a) The taxpayer requests a review of their case. b) The taxpayer's financial situation has improved. c) There was fraud or misrepresentation in the original examination. d) The taxpayer has moved to a different state.

17. An Enrolled Agent may NOT represent a taxpayer in a dispute before: a) An IRS revenue agent. b) An IRS revenue officer. c) A U.S. District Court judge. d) The IRS Independent Office of Appeals.

Study Unit 11: Question Answers

1. The answer is C. Armando can appear before IRS Appeals by himself or hire a qualified representative to appear on his behalf. Ginny cannot represent him before IRS appeals, because she only has an AFSP certificate. Only enrolled practitioners (attorneys, CPAs, and EAs) can represent taxpayers before an appeals hearing (unless a special exception applies, for example, an executor representing an estate or a parent representing their own child).

2. The answer is C. Tyler should request an appeal with the IRS Office of Appeals. If Tyler disagrees with his IRS examiner's findings, he can request a conference with the IRS Appeals Office. This is an independent organization within the IRS that helps taxpayers resolve their tax disputes through an informal, administrative process.

3. The answer is A. The Office of Appeals helps taxpayers resolve their tax disputes with the IRS without going to Tax Court. The IRS Appeals Office is an independent organization within the IRS. After the applicable IRS compliance division has made its decision, Appeals reviews a case and works to settle disagree-ments on the basis that is both fair and impartial to both the government and the taxpayer.

4. The answer is B. Gamila may be liable for a \$25,000 penalty. If a taxpayer unreasonably fails to pursue the internal IRS appeals system, if the case is filed primarily to cause a delay, or if the taxpayer's position is frivolous, the Tax Court may impose a penalty of up to \$25,000.

5. The answer is B. A Statutory Notice of Deficiency is also known as a 90-day letter because the taxpayer generally has 90 days from the date of the letter to file a petition with the U.S. Tax Court.

6. The answer is A. An IRS appeal does not abate the interest, which continues to accrue until the balance of the debt is paid, or until the taxpayer wins their appeal and they are granted a no-change audit. A nochange audit means the IRS has accepted the tax return as it was filed.

7. The answer is B. Both Kevin and Javier can take their cases to court. A taxpayer is not required to use the IRS appeals process. If a taxpayer and the IRS still disagree after an appeals conference or a taxpayer

decides to bypass the IRS appeals system altogether, the case may be taken to the U.S. Tax Court, the U.S. Court of Federal Claims, or a U.S. District Court. Although Kevin and Javier are not required to take their claim to the U.S. Tax Court, it is the only court that will allow Kevin and Javier to contest their liability before paying the amount in dispute. In any other court, they would be required to pay the tax first and then sue the IRS for a refund.

8. The answer is A. A Notice of Deficiency (90-day letter) must be issued before Alyssa can petition the U.S. Tax Court. Alyssa will then have 90 days from the date of the notice to respond and file a petition with the court.

9. The answer is A. At the beginning of each examination, the IRS auditor must explain a taxpayer's appeal rights.

10. The answer is B. The Tax Court has generally held that taxpayers who rely on software to justify errors on self-prepared returns are still liable for the §6662 accuracy-related penalty.

11. The answer is D. A taxpayer has the right to appeal a tax assessment through the IRS Appeals office, the U.S. Tax Court, or a U.S. District Court or the Court of Federal Claims. The contested tax does not have to be paid first if the taxpayer petitions the U.S. Tax Court. However, if the taxpayer opts to have their appeal heard in a district court (or other court), the taxpayer must first pay the contested tax and sue the IRS for a refund.

12. The answer is C. An Enrolled Agent may prepare and sign a protest to challenge examination results in the IRS Appeals Office.

13. The answer is C. The IRS will issue a notice of deficiency, giving Vivian the right to challenge the proposed deficiency in the U.S. Tax Court.

14. The answer is A. If a taxpayer and the IRS fail to settle a non-docketed examination controversy in the IRS Appeals Office, the next event to occur is the issuance of a notice of deficiency. This notice is a formal declaration by the IRS that it intends to assess a tax deficiency and it gives the taxpayer the right to challenge the proposed deficiency in Tax Court before paying it. A "non-docketed" case refers to a tax dispute that has not yet been filed in the U.S. Tax Court.

15. The answer is B. In order to appeal in District Court, the taxpayer must first pay the contested liability and then sue the IRS for a refund. If either party loses at the trial court level, the court's decision may be appealed to a higher court.

16. The answer is C. The IRS will typically reopen a closed examination case to make an unfavorable adjustment and assess additional tax if there was fraud or misrepresentation.

17. The answer is C. An Enrolled Agent may represent taxpayers at all levels of the IRS but does not have the same practice rights in the U.S. court system.

Study Unit

The IRS E-File Program

Study Unit 12: The IRS E-File Program

More Reading

- Publication 3112, IRS e-file Application and Participation
- Publication 1345, Handbook for Authorized IRS e-file Providers
- Publication 4163, Modernized e-File (MeF) Information for Authorized IRS e-File Providers for Business Returns
- Publication 5293, Protect Your Clients; Protect Yourself Data Security Resource Guide for Tax Professionals The IRS e-file program allows taxpayers to transmit their returns electronically. Today, electronically filed returns account for the vast majority of both individual and corporate filings.

According to the IRS, the processing of e-file returns is not only quicker but is also more accurate than the processing of paper returns. However, as with a paper return, the taxpayer is responsible for ensuring an e-filed return contains accurate information and is filed on time.

The IRS enacted an e-file mandate for tax preparers because e-filed returns cost less for the government to process, contain fewer errors, and result in faster refunds. Paid preparers who prepare more than ten individual and/or trust returns a year are required to e-file these returns.⁶⁹ Example: Ashley is an enrolled agent who works as a full-time employee for Appleby Accountancy, Inc., a small CPA firm that offers accounting and tax services to individuals and businesses in her city. Ashley also has a side business preparing tax returns from her home. Ashley specializes in fiduciary and estate tax issues and does not prepare very many individual tax returns. For the coming tax year, Ashley expects to prepare and file around ten Form 1041 returns (for estates and trusts) while working for the CPA firm. She also expects to prepare and file seven Form 1040 tax returns as a self-employed preparer. Since she expects to file 10 or more forms between her regular job and her side business, Ashley is required to e-file all of the returns she prepares.

The preparer e-file mandate only covers returns for individuals, trusts, and estates (Form 1040 and Form 1041). The e-file mandate does not apply to tax preparers who are not paid. This includes volunteer preparers, including returns prepared under the Volunteer Income Tax Assistance (VITA) program. For the purposes of the e-file mandate, members of firms must count their returns in aggregate. If the number of applicable income tax returns is 11 or more, then all members of the firm generally must e-file the returns they prepare and file. This is true even if an individual preparer expects to prepare and file fewer than 11 returns.

If a single preparer files 11 or more returns for the calendar year, all preparers of a firm must e-file the returns they prepare and file. This is true even if, on an individual basis, a member prepares and files fewer than the threshold. ⁶⁹ The e-file mandate only applies to paid preparers, not individual taxpayers. Taxpayers can choose to file on paper if they prefer. The mandate also does not apply to pro bono tax returns or certain financial institutions/fiduciaries. Some states, like New York, have stricter e-file mandates for both taxpayers and preparers.

Some preparers are exempt from the e-file mandate. The IRS e-file does not accept foreign preparers without social security numbers into their e-file program, so those preparers are exempt from the mandate.

Example: Whitney is a licensed CPA and Canadian citizen specializing in cross-border accounting for Canadians with U.S. businesses and investments. Whitney specializes in the preparation of U.S. tax

returns for nonresident aliens. She is not a U.S. citizen or U.S. resident and does not have a Social Security number.

She is ineligible for an EFIN. She cannot e-file returns, so she is exempt from the e-file mandate. However, she still must have a PTIN and report her preparer information on client returns.

Fiduciaries who file returns in their fiduciary capacity are not considered "tax preparers" and are also not subject to the e-file mandate, even if they are compensated for their fiduciary duties. This applies even when the fiduciary is paid for their services.⁷⁰ Example: Dale Jones died on February 1, 2025. Samantha, his first cousin, is a financial planner and Dale named her as the executor of his estate in his final will. Samantha accepts the role of executor for her deceased cousin's estate and is approved as the executor by the court. In this capacity, she is considered a fiduciary and is responsible for completing and signing a 1041 return for the estate. As the executor, it is also Samatha's duty to prepare and sign Dale's final individual income tax returns, if required. Even if Samantha receives compensation as an executor, the returns will not be subject to the e-file mandate because she is preparing them in her capacity as a fiduciary, not a paid tax preparer. She will sign the returns as a fiduciary of the estate, rather than as a paid preparer.

In some cases, preparers may qualify for a waiver of the e-file requirement. A tax preparer may request an exemption from the e-file program due to financial hardship situations (including being in a Presidentially declared disaster area) by submitting Form 8944, Preparer e-file Hardship Waiver Request. Waivers are reviewed and approved in cases where the preparer demonstrates that complying would be an undue hardship. Hardship exemptions are rare and considered only on a case-by-case basis. The IRS will deny requests based on lack of appropriate software or personal preference.

A tax preparer who is a member of a recognized religious group that is conscientiously opposed to filing electronically is not required to apply for a waiver using Form 8944. Preparers who claim a religious exemption to e-filing must attach Form 8948, Preparer Explanation for Not Filing Electronically, to their clients' paper returns and check the appropriate box.

Example: Abraham is an accountant who belongs to a conservative Mennonite community. His faith encourages strict limits on computer use, limiting it to recordkeeping only, and forbids accessing the Internet altogether. Abraham will prepare tax returns on a computer, but he is conscientiously opposed to using the internet for any tasks, including filing electronically. He does not have to request a waiver to the e-file mandate, because he automatically qualifies for a religious exemption. When he prepares a return for a client, he should attach Form 8948, marking box 3: "The preparer is a member of a recognized religious group that is conscientiously opposed to filing electronically." The tax return can be mailed in by the client.⁷⁰ Fiduciaries, as contemplated by IRC §7701(a)(36)(B)(iii), that file returns in their fiduciary capacity are not considered tax return preparers and are therefore not covered by the e-file mandates.

Entity E-file Mandates

The Department of the Treasury and the Internal Revenue Service have issued final regulations that significantly expanded the electronic filing requirements for tax returns and information returns. Under these regulations, most entities are required to e-file their self-prepared business tax returns and other information statements electronically if they file 10 or more of these statements in a year. To determine whether the 10-return threshold is met, all covered returns and information statements must be aggregated.

This requirement represents a major change from the prior rule, which generally required electronic filing for businesses that filed more than 250 information statements in a year.

Returns subjected to the electronic filing mandate include corporate and partnership returns, UBIT returns (for exempt entities with unrelated business income), information returns (such as Forms W-2, 1099), and excise tax returns. This requirement applies regardless of whether the entity uses a paid preparer or not.

However, employment tax returns, such as Forms 940, 944, and 941, are not required to be filed electronically, even if a business files more than 10 of them in a year. Extension requests (such as Form 4868 and Form 7004) are also not subject to the e-file mandate.

Example: Tech Titan, Inc. is a C Corporation with fifteen employees and twenty independent contractors.

In 2025, they filed 15 Forms W-2 for their employees, and 20 Forms 1099-NEC for their independent contractors. This totals 35 information returns, which exceeds the 10-return threshold. Therefore, Tech Titan will be required to e-file their information returns, as well as their corporate return (Form 1120).

Example: Cafe Delight is a small local café that is run by Timothy and Betty, a husband and wife who report their business as a partnership. Cafe Delight has only one other employee, who works part-time when Timothy and Betty cannot be there. In 2025, Cafe Delight filed only one Form W-2 for their sole employee, and no other information returns. This does not exceed the 10-return threshold, so Cafe Delight is not required to e-file their returns. They can choose to file the partnership return on paper, as well as the payroll tax returns and Form W-2 for their only employee.

Example: Pasadena Brokerage, LLP, is a limited liability partnership with 115 partners, most of whom are merely investors and do not work in the business. The partnership has 12 employees and two general partners who work at the main office. Pasadena Brokerage is required to e-file its partnership return (Form 1065) because it will have to file over 10 returns (Form 1065 and 12 W-2s).⁷¹ Pasadena Brokerage requests an extension of time to file its return by filing Form 7004. The extension can be mailed in on paper because extension requests are not subject to the e-file mandate. The partnership is also allowed to file its payroll tax forms by mail (Form 940 and Form 941) because payroll returns are also not subject to the e-file mandate. ⁷¹ Partnerships are also required to e-File their 1065 tax returns starting in 2024 if they have more than 100 partners (see the 2024 1065 Instructions - under the Electronic Filing section).

Applying to the IRS E-file Program

To file tax returns electronically, preparers must have an EFIN (Electronic Filing Identification Number).

This can be obtained by applying to become an authorized IRS e-file provider, a process that can take up to 45 days. There is no fee to apply for an EFIN, but the process can take up to 45 days.

The first step is to create an IRS e-Services account by providing required personal information including a Social Security number, an address where confirmation of the account will be mailed, and the preparer's adjusted gross income from the current or prior tax year. If the preparer is accepted into the e-file program, the IRS will issue the preparer an EFIN.

Example: Sadie is a tax preparer who has worked for an accounting firm for several years. She has an AFSP certificate and a PTIN but has never had her own EFIN because she has never had her own clients. In 2025, she sits for the enrolled agent exam and passes all three parts. She submits Form 23 to the IRS and receives her EA license number about nine weeks later. Sadie decides that she wants to pursue her own clients working from home, part-time. She applies for an EFIN. Since she is already an enrolled agent, she will not have to be fingerprinted as part of the application process. A week after she submits her

application, the IRS issues Sadie an EFIN. Now she has a PTIN, as well as an EFIN. She does some research on available software options, and on December 26, 2025, she purchases an affordable professional software suite. Now she can e-file returns from her home office during the upcoming filing season, using her own EFIN and PTIN. She can also continue working for her employer, if she wishes.

EFINs and passwords must be safeguarded by providers and never shared with unauthorized individuals.

This includes accepting payment for the use of an EFIN (i.e., renting, leasing, or purchasing an EFIN is prohibited.) In addition, if an e-file provider or software provider resells software, the provider cannot include the EFIN.

A preparer who wants to e-file for clients must be approved as an electronic return originator (ERO). The application must also identify a firm's principals and at least one responsible official. Each person on an efile provider application must:

- Must be a U.S. citizen or legal permanent resident (green card holder).
- Be at least 18 years of age as of the date, and
- Comply with state and local licensing/bonding for tax preparation, if applicable.

If the responsible official is certified or licensed (such as an attorney, CPA, or enrolled agent), the person must enter their current professional status information. All other individuals must be fingerprinted as part of the application process.⁷² The IRS requires electronic fingerprinting as part of the EFIN application process. New or added Principals and Responsible Officials who are not enrolled agents, CPAs, or attorneys must schedule an appointment with Fieldprint®, the authorized vendor for Livescan fingerprinting, eliminating the need for fingerprint cards.

Example: Michelle is a professional bookkeeper. She mainly does bookkeeping for small businesses but has never prepared tax returns for clients. She has always prepared her own returns and the tax returns for her family, but she has never charged them. This year, Michelle decided to start preparing tax returns for compensation. She needs to request an EFIN. Michelle first creates an IRS e-services account. Michelle is not an attorney, CPA, or enrolled agent, so she is required to provide fingerprints to the IRS. She makes an appointment to be fingerprinted using Livescan procedures through the IRS' official provider. She must also go through a suitability check. About two months later, Michelle gets her acceptance letter from the IRS with her Electronic Filing Identification Number (EFIN). ⁷² If the Principal or Responsible Official is an attorney, CPA or enrolled agent, they do not have to submit fingerprints.

All other individuals need to provide fingerprints to the IRS.

Resa

Once the EFIN application is submitted, the IRS will review the eligibility of every individual listed as a principal or responsible official. This review may include a credit check, verification of tax compliance and a criminal background check.

Note: An EFIN is not transferable; if you sell your businesses, the new owner must obtain their own EFIN.

An EFIN identifies a tax practice location — in other words, there must be an EFIN application for each office location. If you expand your business to multiple locations, an application is required for each location where e-file transmissions will occur.

A preparer's e-file application must be current and must list all the form types (1120, 1065, 990, etc.) that they will transmit to the IRS. If the preparer does not list a certain form on the e-file application, and later

attempts to transmit that form, the IRS will reject the return.

Example: Rosemarie is an EA. When she first applied to be an e-file provider, she only prepared individual returns. In 2025, she prepares her first partnership return. However, Rosemarie forgets to update her efile application. When she submits the partnership return, it is rejected. Rosemarie will have to update her e-file application in order to submit partnership returns electronically.

All preparers in a firm based in the same physical location can be covered by the same EFIN. For example, a tax preparation business with ten employee-preparers in one location would all file using the same EFIN.

Each preparer would then use their own PTIN on the returns that they individually prepare. The IRS requires firms with multiple physical locations to obtain separate EFINs for each different location.

Note: An "IRS e-file provider" is an umbrella term for anyone authorized to participate in e-file. This does not only include tax professionals. The program also includes tax software developers and transmitters.

Electronic Return Originators

An ERO is an authorized IRS e-file provider who originates the electronic submission of tax returns to the IRS. Although most EROs typically engage in tax return preparation, (most do), tax preparation is a distinct and separate activity from the electronic submission of tax returns to the IRS. An ERO may submit a taxpayer's return only after the taxpayer has authorized the e-file transmission. The return must be either:

- Prepared by the ERO; or
- Collected from a taxpayer who has self-prepared their own return and is asking the ERO to e-file it on their behalf.

An ERO is required to:

- Timely submit returns.
- Submit any required supporting paper documents to the IRS.
- Provide a copy of the return to taxpayers.
- Retain records of each return filed and make those records available to the IRS.
- Work with the taxpayer to correct a rejected return.
- Enter the preparer's identifying information (name, address, and PTIN).
- Be vigilant in detecting and reporting fraud and abuse to the IRS.
- Cooperate with IRS investigations by providing requested documents.

An ERO who originates returns that they did not prepare, but only collected, becomes an income tax return preparer when they make substantive changes to the tax return. A "non-substantive" change is a correction limited to a transposition error, misplaced entry, spelling error or arithmetic correction. The IRS considers all other changes substantive. As such, the ERO may be required to sign the return as the preparer.

Example: Carolina is a tax preparer as well as an ERO. Sergey, a new client, brings a tax return that he self-prepared on paper with a ballpoint pen. He wants Carolina to e-file the return. She notices gross errors on the tax return and talks with Sergey about the mistakes. Sergey agrees to correct the return, and Carolina makes the necessary adjustments on the return for a small fee. Carolina is now required to sign the return as the preparer.

Authorized Transmitters

After an ERO submits a tax return, it is sent to an authorized transmitter (an "authorized transmitter" is usually a software company, like Lacerte, ProSeries, TaxSlayer, Drake, etc.). The transmitter then submits the return to the IRS.

Example: Bruce is an enrolled agent who uses UltraTax-Pro software to prepare returns. Once he has completed a tax return, he gives a printed copy of the return to the client. Bruce also gives each client a Form 8879, which is an e-file signature authorization. After the client signs the Form 8879, Bruce then transmits the return to UltraTax-Pro, which is an authorized transmitter. UltraTax-Pro then transmits the return to the IRS. Most tax practitioners use this method; all the major tax preparation software companies have e-file transmission options.

Once a tax return is received at the IRS, it is automatically checked for errors. If the return contains an efile error and cannot be processed, the IRS sends it back to the originating transmitter.

After an e-file rejection, the preparer typically will attempt to correct the return and re-submit it via their professional tax software (the transmitter). The transmitter will then retransmit the return to the IRS. If the corrected return is accepted, the IRS sends an acknowledgment to the transmitter stating the return is accepted for processing. This is called an electronic postmark, and it is the taxpayer's proof of filing and assurance that the IRS has the return.

Authorized e-file providers must retain a record of each electronic postmark until the end of the calendar year. Most tax software packages automatically retain a record of the return transmission report and electronic postmark.

Practitioners must provide these records to the IRS upon demand. These record retention requirements are an important part of maintaining the integrity of the e-filing system.

Electronic Signature Requirements

Electronically filed returns have signature requirements, just as paper tax returns do. There are two methods of signing individual income tax returns with an electronic signature available for use by taxpayers.⁷³ Both methods allow taxpayers to use a Personal Identification Number (PIN) to sign the return and the Declaration of Taxpayer.

- **Self-Select PIN Method:** The Self-Select PIN method requires taxpayers to provide their prior-year Adjusted Gross Income (AGI) amount or prior year PIN for use by the IRS to authenticate the taxpayer's signature. This method may be completely paperless if the taxpayers enter their own PINs directly into the electronic return record using keystrokes after reviewing the completed return. Taxpayers may also authorize EROs to enter PINs on their behalf, in which case the taxpayers must review and sign a completed signature authorization form (Form 8879) after reviewing the return.
- **Practitioner PIN Method:** This method is the most commonly used method and does not require the taxpayer to provide their prior-year AGI amount or prior-year PIN. Instead, taxpayers must sign a completed signature authorization form (Form 8879).

Form 8879 includes a taxpayer's consent to electronic filing; a declaration that the e-filed return is true, correct, and complete; and an indication of which method of signature authorization is used on the e-filed return. The preparer must retain this form for at least three years from the return due date or the IRS 73 Publication 1345, Handbook for Authorized IRS e-file Providers of Individual Income Tax Returns. received

date, whichever is later. Unless the IRS requests to see the form, it is not submitted with the return.

Sometimes, a tax return will require certain attachments. Form 8453, U.S. Individual Income Tax Transmittal for an IRS e-file Return, is used to send any required paper forms or supporting documentation that may be needed with an e-filed return. Form 8453 must be mailed to the IRS within three business days after receiving an acknowledgment that the IRS has accepted the electronically-filed return. If the ERO is signing the tax return as a representative, Form 2848, Power of Attorney and Declaration of Representative, must be attached to Form 8453.

Example: Dexter is an enrolled agent and ERO. He has power of attorney for a client, Desiree, who has been living and working overseas in Spain for over 9 months. Dexter uses his practitioner PIN and signs Desiree's tax return on her behalf. He e-files the return and then mails Form 8453 to the IRS the next day.

Dexter attaches Form 2848, showing he is Desiree's authorized representative and has met the specific requirements to sign his client's tax return.

Practitioners who accept electronic signatures must take additional security steps to verify the identity of the taxpayer. For in-person transactions, the preparer must inspect a valid government-issued picture ID, compare the picture to the applicant, and record the name, Social Security number, address, and date of birth. A credit check or other identity verification is optional.

For remote transactions, the preparer must verify that the name, Social Security number, address, date of birth, and other personal information on record are consistent with the information provided through record checks with applicable agencies or institutions, or through credit bureaus or similar databases.

The IRS has clarified that an electronic signature via remote transaction does not include handwritten signatures of Forms 8879 sent to the ERO by hand delivery, U.S. mail, private delivery service, fax, email, or an Internet website.

Example: Charles is an enrolled agent. He has a new client named Kiana who comes to his office to consult with him about her tax return. Charles verifies Kiana's identity by inspecting her driver's license. Another long-term client, Vinnie, lives in a different state. Charles uses an online service that provides identity verification services to confirm Vinnie's identity. After confirming the identity of each client, Charles can prepare their returns and allow each to sign Form 8879 with electronic signatures.

Note: Although no specific technology for e-signatures is required, the IRS gives the following examples of acceptable electronic signature methods: a handwritten signature input onto an electronic signature pad; a handwritten signature, mark, or command input on a display screen by means of a stylus device; a digitized image of a handwritten signature that is attached to an electronic record; a typed name (e.g., typed at the end of an electronic record or typed into a signature block on a website form by a signer); a digital signature; or a mark captured as a scalable graphic.

E-File Rejections

If the IRS rejects an e-filed return, the preparer must notify the taxpayer within 24 hours and provide them with the reject codes and explanation. If the return cannot be corrected or accepted by the IRS, a paper return must be filed.

Example: Ahmed attempts to e-file his tax return but receives a rejection notification from the IRS. After trying to e-file again and getting rejected once more, he gives up, and decides to file a paper return, instead.

He prints out his tax return and signs the paper return with a wet signature and mails it, making sure it's postmarked by the due date.

The due dates for filing paper income tax returns also apply to electronic returns. However, if an e-filed return is rejected, the taxpayer is given a limited amount of time to correct the problem. This period is officially called the "transmission perfection period." During the transmission perfection period, the preparer can correct the return and retransmit it electronically. If the return cannot be corrected for e-filing, the taxpayer may file a paper return.

Transmission Perfection Periods

In some cases, a rejected e-file return can be corrected and resubmitted electronically, such as when the rejection is due to a missing IP PIN or other validation errors. To be considered timely filed after an e-file rejection, the taxpayer must correct the return and attempt to resubmit it electronically by the later of:

- The original due date of the return, or
- The applicable transmission perfection period.
- For business returns: Ten calendar days after the date the IRS gives notification that it rejected the e-filed return. This is called the "ten-day transmission perfection period." It is additional time the IRS gives a preparer and taxpayer to correct errors in the electronic filing and resubmit a tax return without a late filing penalty.⁷⁴
- For individual returns: Five calendar days after the date the IRS gives notification that it rejected the e-filed return. This is called the "five-day transmission perfection period." It is additional time the IRS gives a preparer and taxpayer to correct errors in the electronic filing and resubmit a tax return without a late filing penalty.

The transmission perfection period varies based on the type of return. The perfection period for Form 1040 returns and Form 4868 (individual extensions) is usually five days, ending on April 20. The perfection period for Forms 1120, 1120-S, 1065, 1041, and 990 is ten days, and the deadline will depend on the entity type and whether the entity uses a calendar year or a fiscal year.

Rejected individual e-filed returns can be corrected and retransmitted without new signatures or authorizations if the changes do not differ from the amount on the original electronic return by more than \$50 to "total income" or "AGI," or more than \$14 to "total tax," "federal income tax withheld," "refund," or "amount you owe." ⁷⁴ Note that the Perfection Period for business extensions (Form

- and tax-exempt extension (Form
- is five calendar days.

If a taxpayer is unable to correct the return for e-file and must file a paper return (such as in identity — theft situations), the following information must be included:

- An explanation of why the paper return is being filed after the due date.
- A copy of the rejection notification.
- A brief history of actions taken to correct the electronic return.
- The taxpayer should write in red at the top of the first page of the paper return:

"REJECTED ELECTRONIC RETURN-(DATE)"

When forced to file a paper return due to an unresolvable e-file rejection, the taxpayer has 10 calendar days from the date of the rejection to postmark the paper return, regardless of whether it is an individual or business return.

If a return has been rejected multiple times, the date should be the date of the first e-file rejection. If an e-file submission is rejected, a return can be corrected within the transmission period and not be subject to a late filing penalty, but this is not the case for a late payment penalty.

If a return is rejected on the due date, an electronic payment should not be transmitted with the return, because a tax payment must still be submitted or postmarked by the due date. Paper-filed returns must be mailed to the IRS, and must have original, ink signatures (a "wet signature"). The PIN that was used on the rejected e-filing may not be used as the signature on a paper return.

Example: Harvey is an EA who e-files a 2025 tax return for his client, Joelle, right on April 15, 2026, which is the filing deadline for 2025 returns. Six hours later, Harvey receives an alert from his software that Joelle's return was rejected. Harvey notifies Joelle of the rejection within 24 hours. The IP PIN on the return does not match what the IRS has on file. Joelle provides Harvey with the correct 2025 IP PIN, and Harvey is able to correct and re-transmit the return electronically. Joelle's tax return will be considered filed timely, because the return was e-filed within 5 calendar days of the rejection and the original e-filing of the return was attempted in a timely manner. If Joelle had owed tax, however, she would have needed to send payment by the due date in order to avoid a late payment penalty.

Paper Returns

Even if a tax return has been prepared electronically by a tax preparer, a taxpayer may choose to file their return on paper. This could be due to personal preference, or because they encountered issues with e-filing.

In such cases, the taxpayer is responsible for mailing the paper return to the IRS themselves.

When a tax preparer prepares a return that is to be filed on paper, they are required to attach Form 8948, Preparer Explanation for Not Filing Electronically. This form is used to explain why the return is being filed on paper instead of being e-filed. The preparer must provide a valid reason for not e-filing the return. Some valid reasons include the taxpayer choosing to file on paper, or the return being rejected when e-filed.

The taxpayer must sign a paper return with an original signature, also known as a "wet signature." It's important to note that filing on paper can delay the processing of the return and any associated refunds.

Therefore, taxpayers are generally encouraged to e-file whenever possible. However, the option to file on paper is available if needed. Some returns are impossible to e-file for various reasons. For example, Form 709, Gift Tax Return, cannot be e-filed. These returns are therefore exempt from the e-file requirement.

The following tax returns cannot be processed using IRS e-file:

- Estate tax returns (Form 706) and gift tax returns (Form 709).
- Older amended individual tax returns.
- Individual tax returns with fiscal year tax periods (very rare).
- Returns containing forms or schedules that cannot be processed by IRS e-file.

- Tax returns with taxpayer identification numbers within the range of 900-00-0000 through 999-99-9999 (with the exception of certain ITIN and ATIN returns).
- Returns with rare or unusual processing conditions (for example, many nonresident and dual-status alien returns cannot be e-filed).

Example: Samuel Smith died on June 30, 2025. When Samuel died, he owned over \$39 million in assets, so an estate tax return must be filed for his estate. The executor of Samuel Smith's estate is Angela, Samuel's adult daughter and his only heir. Angela hires an enrolled agent, Donna, to file the estate tax return (Form 706). Estate tax returns cannot be e-filed. Therefore, Donna is required to paper-file the estate tax return. This tax return is not subject to the e-file mandate. Donna has no choice but to submit the return on paper.

Example: Gregory files as head of household and claims his two daughters as dependents. He attempts to e-file his 2025 return on March 2, 2026. His e-filed return is rejected because one of his dependent's SSN has already been used on another return. Gregory is widowed and there is no one else who can legally claim his daughters. He is forced to file his return on paper. He should also complete and file Form 14039, Identity Theft Affidavit, and submit it with his paper tax return.

The IRS also may grant administrative exemptions when technology issues prevent specified preparers from filing returns electronically.

Form W-2 Requirements for E-Filing

An e-file provider is prohibited from submitting electronic returns prior to the receipt of all Forms W-2, W-2G, and 1099-R from the taxpayer. A provider also cannot advertise that they can file a tax return using only pay stubs or earning statements.

If the taxpayer cannot provide a correct Form W-2, W-2G, or 1099-R, the return may be filed after Form 4852, Substitute for Form W-2, Wage and Tax Statement, or Form 1099-R, Distributions from Pensions, Annuities, Retirement or Profit-Sharing Plans, IRAs, Insurance Contracts, etc., is completed. This is the only time information from pay stubs or earnings statements is permitted.⁷⁵ The taxpayer must first make an attempt to obtain all the necessary forms from the employer. Form 4852 should only be used as a last resort.

Example: Kristen is a tax preparer. She advertises in her local newspaper that she will prepare a taxpayer's return "early" by using just their final earnings statement or their final pay stub, so taxpayers can get their refund as quickly as possible. This is strictly prohibited, and Kristen can be expelled from the IRS e-file program for doing this.

Example: Nikolai is an enrolled agent. His client, Rosalie, did not get a Form W-2 from her last employer.

Rosalie tells Nikolai that her employer went out of business last year and did not issue a Form W-2 to any of the employees. The owner of the business later filed for bankruptcy. Nikolai believes it is unlikely that Rosalie will ever get a Form W-2 from her former employer, so he uses Rosalie's final pay stub and Form 4852 to create a "substitute W-2" so she can file her tax return as accurately as possible, based on the information they have.

E-File Advertising Standards

Once accepted to participate in IRS e-file, a tax preparation firm may represent itself as an "Authorized IRS e-file Provider." Practitioners may not use the regular IRS logo (the eagle symbol) or IRS insignia in their advertising, or imply any type of relationship with the IRS. They may use the IRS e-file logo, but cannot combine the e-file logo with the IRS eagle symbol, the word "federal," or with other words or symbols that might suggest a special relationship with the IRS.

A practitioner must not use improper or misleading advertising in relation to IRS e-file, including promising a time frame for refunds.

Advertising materials must not carry the official IRS logo, or any other Treasury seals, but may use the IRS e-file logo. Use of any type of logo or insignia that copies the IRS "eagle" logo is strictly prohibited. If an efile provider uses radio, television, Internet, signage, or other methods of advertising, the practitioner must keep a copy and provide it to the IRS upon request if any fee information is included in the advertising.

Copies of any advertising specifically containing fee information or a fee schedule must be retained for a period of at least 36 months from the date of the last transmission or use. 75 A leave and earning statement (LES) is a document given on a monthly basis to members of the U.S. military that documents their pay and leave status.

E-file Revocations and Sanctions

The IRS may revoke e-file privileges if a firm or individual is either:

- Prohibited or disbarred from filing returns by court order, or
- Prohibited from filing returns by any federal or state legal action that forbids participation in e-file.

The IRS may also sanction any e-file provider who fails to comply with e-file regulations. Before sanctioning a provider, the IRS may issue a warning letter that describes specific corrective action the provider must take.

The IRS categorizes the seriousness of infractions as Level One (the least serious), Level Two, and Level Three (the most serious). Sanctions may be a written reprimand, suspension, or expulsion from participation from IRS e-file.

Suspended providers are generally not eligible to participate in e-filing for one to two years, depending on the seriousness of the infraction. If a principal or responsible official is suspended or expelled from participation in the IRS e-file program, every entity listed on the firm's e-file application may also be expelled.

Example: Harold Smith is the owner of TaxMaster Solutions, a tax preparation firm that has been in business for several years. The firm offers services such as tax preparation, bookkeeping, and e-filing. However, the IRS became suspicious of the returns filed by TaxMaster Solutions and launched an investigation. They discovered that the owner, Harold Smith, had been regularly funneling portions of his clients' refunds into his own personal bank accounts. This was a clear violation of IRS regulations and constituted tax fraud, which is a Level Three infraction — the most severe category of infractions. As a result, the IRS promptly expels TaxMaster Solutions from the IRS e-file program. Harold Smith was also personally expelled from IRS e-file. This meant that not only the firm, but also Harold, was prohibited from providing e-filing services.

Providers who are denied participation in IRS e-file usually have the right to an administrative review. In order to appeal, a provider must mail a written response within 30 days addressing the IRS's reason for denial or revocation and include supporting documentation. During this administrative review process, the denial of participation remains in effect.

In certain circumstances, the IRS can immediately suspend or expel an authorized IRS e-file provider without prior notice.

Example: Frankie was a CPA who was convicted of felony embezzlement because he was stealing from his clients and illegally transferring funds from their bank accounts. After his conviction, Frankie was immediately stripped of his CPA license by his state accountancy board. The IRS revoked his e-file privileges without prior notice.

Safeguarding IRS e-File Authorized IRS e-file providers are responsible for helping recognize and prevent fraud and abuse in IRS efile. The IRS has mandated security, privacy, and business standards to which providers must adhere, including the reporting of security incidents. Providers who e-file individual income tax returns must report incidents to the IRS as soon as possible, but no later than the next business day. Any unauthorized disclosure, misuse, modification, or destruction of taxpayer information is considered a reportable security incident.

Study Unit 12: Study Questions

(Test yourself and then check the correct answers at the end of this chapter.)

1. Lucas meets with a brand new client, Patty. Lucas has never worked with Patty before and does not know her personally. Under the IRS' verification requirements, what must Lucas do to authenticate Patty's identity if he is using electronic signatures, even if he is meeting with Patty in person? a) Lucas is required to inspect Patty's client's Social Security card. b) Perform a credit check or take other identity verification measures through a third party. c) Inspect Patty's government-issued picture ID, compare the picture to the applicant, and record the name, Social Security number, address, and date of birth. d) No verification is required if a client meets the preparer in person.
2. What is the "perfection period" in the context of e-filed tax returns? a) The time period during which a taxpayer can pay their taxes without incurring penalties. b) The time period during which a taxpayer can file an appeal. c) The time limit in which a preparer can sign a taxpayer's return before the filing deadline. d) The time period during which a preparer can correct and re-transmit a rejected e-filed return.
3. The IRS may sanction providers who fail to comply with e-file regulations. It uses a specific system of categorizing how serious infractions are. Which is the most serious? a) Level One b) Level Two c) Level Three d) Level Four
4. What is the first step of the process for an individual to become an authorized e-file provider? a) Apply for a PTIN. b) Be fingerprinted and undergo a background check by the IRS. c) Become a federally-authorized practitioner. d) Create an authorized e-Services account online.
5. The IRS may excuse a preparer from the mandate to e-file in which of the following instances? a) An administrative exemption due to technology issues. b) An individual case of hardship documented by the preparer. c) Lack of access to tax preparation software. d) A preparer who does not like using a computer and prefers to fill out tax forms by hand.
6. Elizabeth e-filed a return for her new client, Bobby. The IRS rejected the e-filed tax return and the reason for the rejection cannot be rectified with the information that Bobby already provided to Elizabeth. What is her responsibility at that point? a) Elizabeth is not legally required to notify the taxpayer. b)

Elizabeth must attempt to notify the taxpayer within 24 hours and provide the taxpayer with the rejection code accompanied by an explanation. c) Elizabeth is required to notify the taxpayer in writing within 72 hours. d) Elizabeth is required to file the tax return on paper within 36 hours.

7. Which logo may an enrolled practitioner use in their advertising? a) The official IRS logo. b) The IRS e-file logo. c) The official seal of the U.S. Treasury. d) The IRS eagle symbol.

8. Sylvia is an enrolled agent who e-files an individual return for her client, Emiliano. However, Emiliano's e-filed return is rejected by the IRS. They cannot resolve the rejection issue, and the return must be filed on paper. In order to timely file Emiliano's tax return, what is the deadline for filing a paper return? a) The due date of the return, or up to 14 days after the date the IRS rejects the e-filed return. b) The due date of the return, or up to 5 days after the date the IRS rejects the e-filed return. c) Forty-eight hours after the date the IRS rejects the e-filed return. d) Ten days after the first e-file rejection.

9. Which of the following tax preparers would be subject to the mandate that requires preparers to e-file their clients' returns? a) Oslo, a bookkeeper who prepares a tax return for himself and his family (free of charge). b) Amy, a payroll professional who prepares 200 payroll tax returns for various businesses. c) Scott, who files sixteen individual tax returns and fifty payroll tax returns for compensation. d) Brandon, a professional fiduciary, who files 25 estate and trust tax returns and signs them in his role as a fiduciary of those estates and trusts.

10. Electronic filing identification numbers (EFINs) are issued: a) On a firm basis. b) On a preparer basis. c) On a client basis. d) Only to foreign firms.

11. Uther recently opened a new tax practice and is advertising for his business. Which of the following presentations will violate the IRS' e-file advertising standards? a) Uther offers to e-file a client's tax return for a flat fee. b) Uther offers to prepare a client's tax return using only a pay stub. c) Uther offers to e-file a client's tax return for no additional charge. d) Uther offers to e-file a client's tax return as quickly as possible.

12. What should a tax preparer do if an e-filed return is rejected and cannot be corrected and accepted by the IRS through e-file? a) The preparer should prepare a paper return, attach Form 8948, and have the taxpayer mail it. b) The preparer should prepare a paper return and email a scanned copy to the IRS. c) The preparer should file a complaint with the IRS. d) The preparer should advise the taxpayer not to file a return for that year.

Study Unit 12: Question Answers

1. The answer is C. For in-person transactions, where an electronic signature is used, Lucas must inspect a valid government-issued picture ID, compare the picture to the applicant, and record the name, Social Security number, address, and date of birth. For remote transactions, the preparer must verify that the name, Social Security number, address, date of birth, and other personal information on record are consistent with the information provided through record checks with applicable agencies or institutions, or through credit bureaus or similar databases.

2. The answer is D. The "perfection period" refers to the time after an e-filed return is rejected during which the preparer can either correct the return and re-transmit it electronically, or paper-file the return (if necessary).

3. The answer is C. Under the IRS system of rating e-file infractions, Level One is the least serious, Level Two is moderately serious, and Level Three is the most serious. There is no Level Four infraction.

4. The answer is D. To become an authorized e-file provider, an individual must first register with the IRS by creating an IRS e-Services account online. The individual will need to provide personal information, including a Social Security number and an address where confirmation of the account will be mailed.

5. The answer is B. An individual case of hardship documented by the preparer may be grounds for a waiver. E-file waivers due to hardship will also be granted, but only on a rare case-by-case basis. The preparer must submit Form 8944, Preparer e-file Hardship Waiver Request, to request a waiver. An individual preparer's dislike of using a computer or the fact that he does not have appropriate software are not considered legitimate reasons to grant a hardship waiver. The IRS will grant e-file waivers in cases when technology makes it impossible to file electronically. Waivers are reviewed and approved in cases where the preparer demonstrates that complying would be an undue hardship.

6. The answer is B. Elizabeth must attempt to notify her client, Bobby, within 24 hours and provide him with the rejection code accompanied by an explanation. After receiving a rejection, a tax professional is not required to file a tax return on paper (that choice would be up to the client). The preparer and the client should attempt to correct the e-file. However, if the return continues to be rejected, the taxpayer may be forced to file on paper.

7. The answer is B. A practitioner may use the IRS e-file logo. A tax preparer may not use the IRS logo or insignia or imply a relationship with the IRS. A practitioner may not combine the e-file logo with the IRS eagle symbol, the word "federal," or with other words or symbols that suggest a special relationship between the IRS and the practitioner. Advertising materials must not carry the IRS or other U.S. Treasury Department seals.

8. The answer is D. In order to timely file his tax return, Emiliano must file a paper return by the later of:

- The due date of the return, or
- Ten calendar days after the date the IRS gives notification that it rejected the e-filed return.

This is not an extension of time to file. Rather, it is an additional period the IRS allows when an electronically filed individual return cannot be successfully transmitted and must instead be filed on paper. To receive this relief, the paper return should include an explanation of why it is being filed on paper and a copy of the IRS rejection notification.

9. The answer is C. Scott would be subject to the e-file mandate, because he filed more than 11 individual tax returns, (although payroll tax returns are not subject to an e-file mandate). Any paid preparer who files 11 or more individual or trust returns in aggregate in a calendar year is required to e-file. There are limited exceptions, such as for returns that cannot be e-filed (returns that require paper attachments, certain nonresident returns, amended returns, etc.). Answers "A" is incorrect because the e-file mandate does not apply to tax returns that are not prepared for compensation. Answer "B" is incorrect because the e-file mandate does not apply to payroll tax returns. Answer "D" is incorrect because although the e-file mandate does apply to trust returns (Form 1041) it does not apply to fiduciaries, that file returns in their fiduciary capacity. These people are not considered tax return preparers and are therefore not covered by the e-file requirement.

10. The answer is A. Electronic filing identification numbers (EFINs) are issued on a firm basis. A single EFIN can cover all tax return preparers in a firm with the same physical location. Providers need an EFIN to file tax returns electronically.

11. The answer is B. Uther cannot offer to prepare a client's tax return using only a pay stub. Authorized IRS e-file Providers are prohibited from submitting electronic returns to the IRS prior to the receipt of all

Forms W-2, W-2G, and 1099-R from the taxpayer.^{76 12}. The answer is A. The preparer should prepare a paper return, attach Form 8948, and have the taxpayer mail it. If an e-filed return is rejected and cannot be corrected and accepted by the IRS through efile, a paper return must be filed. The tax preparer is required to attach Form 8948, "Preparer Explanation for Not Filing Electronically," to the paper return. Paper returns must be signed with original signatures.

Study Unit

Identity Theft and Safeguarding Taxpayer Data

Study Unit 13: Identity Theft and Safeguarding Taxpayer Data

More Reading

- Publication 5709, How to Create a Written Information Security Plan for Data Safety
- Publication 5199, Tax Preparer Guide to Identity Theft
- Publication 4524, Security Awareness for Taxpayers
- Publication 5027, Identity Theft Information for Taxpayers Protecting Taxpayer Information The number of data thefts occurring at tax professionals' workplaces has been increasing. It is crucial for all employees, including both professional and administrative staff, to be well-informed about potential security threats and how to protect against them. Data security is a necessity for every tax professional, whether a partner in a large firm or a sole practitioner. Safeguarding taxpayer information is not only ethical but also required by law.

Note: Federal law now requires all tax preparers to create and implement a written information security plan (WISP), which is a data security plan to protect their clients' data. Failure to do so may result in an investigation. Furthermore, any negligence resulting in unauthorized access to private client information may result in penalties for the preparer. Publication 5708 includes a detailed sample plan that preparers can use as a template.

Protecting taxpayer information is now a top priority for the IRS. The rise in fraudulent refunds has become a major concern, with identity theft being one of the biggest challenges facing the agency. Identity theft occurs when someone illegally uses another person's personal information, such as their name, Social Security number, or credit card number, to commit fraud or other crimes.

Innocent taxpayers often fall victim to this type of tax fraud, resulting in delayed refunds and confusion when they try to file their own taxes, only to find that someone else has already filed using their SSN. In these cases, the IRS may send a letter notifying the taxpayer of a suspicious return filed under someone else's SSN. Taxpayers may also receive a Letter 4883C asking them to verify their identity within 30 days.

Stolen Identity Refund Fraud (SIRF) is a growing crime where thieves use stolen personal information to file fake refund claims. Businesses and individuals can both be targeted by this type of fraud.⁷⁷ Example: Alan is the sole shareholder of a C corporation in the State of California. In 2025, he receives a notice from the IRS about a large refund for an amended return that had been filed for his corporation. Alan never filed or signed an amended return. He later discovers that his former bookkeeper, who had worked for him in the prior year, had filed the return and directed the refund to her home address, intending to illegally cash the check using stolen documents that she took from the business. Alan immediately contacts the IRS to report the fraud. ⁷⁷ Stolen Identity Refund Fraud, or SIRF, has affected millions of taxpayers and results in more than \$2 billion in losses annually to the U.S. Treasury.

Taxpayers who believe someone may have used their SSN fraudulently to file taxes should notify the IRS immediately. The IRS also recommends the following steps:

- Complete IRS Form 14039, Identity Theft Affidavit, if the taxpayer's e-file return is rejected because of a duplicate filing under the client's SSN. The Form 14039-B, Business Identity Theft Affidavit, is used for businesses. Form 14039 can be paper filed or filed electronically with the IRS (electronic filing is preferred by the IRS).⁷⁸

- Request an IP PIN for the taxpayer or any other family member affected by ID theft.

Taxpayers should continue to pay their taxes and file their tax returns, even if they must do so by paper.

If the taxpayer had previously contacted the IRS and did not receive a resolution, they may contact the Taxpayer Advocate Service for specialized assistance.⁷⁹ Example: Harrison, a software engineer from Texas, discovered he was a victim of identity theft when his tax return was rejected due to a duplicate filing. He immediately notified the IRS and completed an Identity Theft Affidavit, Form 14039. Despite the identity theft issue, Harrison still filed his tax return, albeit on paper. His refund will be delayed as his return goes through special processing. Several weeks later, Harrison received a letter from the IRS stating that they had received his Form 14039 and were investigating the matter. Because of the ID theft, it may take several additional months for the IRS to process his return, and for Harrison to receive his refund.

Identity Protection PINs

The IRS allows all taxpayers to request a six-digit identity protection PIN to prevent identity theft.

Taxpayers can apply for an IP PIN through their IRS individual online account. If the taxpayer's AGI on their last filed return is below \$84,000 for individuals, or \$168,000 for married filing joint returns, and they cannot establish an online account, they can use Form 15227, Application for an Identity Protection Personal Identification Number (IP PIN).

If the taxpayer loses their IP PIN and decides to submit a paper return, there will likely be a delay in processing, as the IRS will have to validate the taxpayer's identity. The IP PIN is only valid for a single year; a taxpayer will receive a new IP PIN each year.

Employment-Related Identity Theft

Employment-related identity theft occurs when someone other than the valid owner of an SSN uses that SSN or other personal information for the purpose of obtaining employment. People may do this if they are not authorized to work in the United States or are trying to avoid child support payments, offsets, or other reasons. This type of fraudulent activity can affect both individuals and business entities. Minor children, dependents, and other non-filers can also be victims.

The true scope of employment-related identity fraud is unknown. A recent Government Accountability Office (GAO) report⁸⁰ on employment-related identity fraud identified more than 2.9 million Social Security numbers with "risk characteristics associated with identity theft." ⁷⁸ Electronic filing of Form 14039 can now be done through the IRS website. ⁷⁹ The Taxpayer Advocate Service recently reported that individuals who are victims of tax-related identity theft are waiting an average of nearly 19 months for the IRS to process their returns and send their refunds. ⁸⁰ Employment-Related Identity Fraud: Improved Collaboration and Other Actions Would Help IRS and SSA Address Risks.

Example: Jose Chavez is 17 years old and still in high school. He just started his first after-school job in 2025. Jose is still claimed as a dependent by his parents. Jose earns \$9,997 in wages, so he must file a tax return because his income is above the filing requirement. Jose's father, Alfonso, helps his son file his first tax return, properly marking Jose as a dependent. Six months after Jose files his first return, he receives a notice from the IRS, stating that he has unreported wages totaling \$32,000. Jose examines the notice and realizes that the employer listed on his transcripts is in another state, where Jose has never lived. An identity thief has stolen Jose's SSN and used it to work. Jose is a victim of identity theft. Jose and his parents must respond to the notice and report the ID theft. Jose's parents (because Jose is a minor) should also file a Form 14039 for their son, and they should also consider requesting an IP PIN for Jose.

Warning Signs for Individual Clients

A taxpayer's SSN can be stolen through a data breach, a computer hack, or even a lost wallet. A client's SSN has been compromised when:

- **Return Rejection:** If a taxpayer's return is rejected because the IRS indicates that their SSN has already been used, or a dependent on the return has already been claimed by someone else, it is a sign that their SSN has been compromised.
- **Unexpected IRS Notices:** If a client receives IRS notices regarding a tax return after all tax issues have been resolved, refund paid, or account balances have been paid, it could indicate that someone has fraudulently used their SSN to file a tax return.
- **Inquiries About a Nonexistent Business:** Receiving a letter or other notice from the IRS inquiring about a business tax return for a business that does not exist, or that the client does not own, is another sign of potential identity theft.
- **Unrequested Refunds or Transcripts:** If clients who have not filed tax returns receive refunds, or receive tax transcripts that they did not request, it is likely that their SSN has been used fraudulently.
- **Unknown Wages:** An IRS notice indicating the client received wages from an employer unknown to them is a red flag. This means someone is using the client's SSN.
- **Changes in Benefits:** If the taxpayer's state or federal benefits were reduced or canceled because the agency received information reporting an unknown income increase or change, it could mean that someone is using the taxpayer's SSN to earn income.

In all these situations, it is crucial for the taxpayer to respond promptly. If a taxpayer hires a representative to help them with an ID theft issue, the tax practitioner must have a valid power of attorney (Form 2848) and authenticate the taxpayer's identity before any IRS employee can provide the practitioner with any taxpayer information regarding an ID theft or other fraud-related issue.

Example: Kendra hires Bruce, an enrolled agent, to file her tax return, which he files on time. A few months later, Kendra receives an IRS notice regarding her previous year's tax return. The notice includes a proposed adjustment based on a Form 1099-NEC for independent contractor compensation that was issued in her name. Kendra does not recognize the company on the IRS notice. She has never worked as an independent contractor. Kendra is a victim of identity theft. Kendra takes the IRS notice to Bruce, who obtains a signed Form 2848 for Kendra, authorizing him to contact the IRS on her behalf. Once he has the signed power of attorney, Bruce contacts the Practitioner Priority Line (PPS), a phone number just for tax practitioners at the IRS. He faxes the Form 2848 while he is on the phone with the operator, identifying himself as an enrolled practitioner. Bruce lets the operator know that Kendra, his client, is a victim of ID theft. The IRS operator immediately flags Kendra's account. Bruce will also respond to the notice and help Kendra to file an ID theft affidavit. The IRS will place an identity theft indicator on her account.

Warning Signs for Business Entities

Business identity theft (also known as corporate ID theft or commercial identity theft) happens when someone creates or uses the identifying information of a business to obtain tax benefits. Business identity thieves file fraudulent business returns to receive refundable business credits or to perpetuate individual identity theft. Business identity theft is more complex than individual identity theft. Examples of when a client's EIN has been compromised include when:

- The client's business return is accepted as an amended return, but the business has not filed an original return for that year.
- The business receives IRS notices about fictitious contractors or non-existent employees.
- A taxpayer receives IRS notices regarding a defunct, closed, or dissolved business entity.

Example: Frisco Novelties, Inc. is a small corporation based in California. The CEO, Helena, was preparing to file the company's tax return for the year when she received a notice from the IRS for the tax year that she was preparing to file. The notice referred to a large refund for refundable business credits that Frisco Novelties was not entitled to. The company's Employer Identification Number (EIN) had been compromised and used to file a fraudulent business return. Helena realized that the identity theft might have been initiated through a spoofed email. She remembered receiving an email that purported to be from the IRS, asking for financial information about her business. Helena immediately contacted the IRS and reported the identity theft. She also filed Form 14039-B, Business Identity Theft Affidavit.

A large amount of business-related identity theft is initiated online by using fake or "spoofed" email accounts. The IRS does not initiate contact with taxpayers by email to request personal or financial information. This includes any type of electronic communication, such as text messages and social media channels.

Some of the individuals committing identity theft fraud are members of high-tech global rings engaged in organized criminal enterprises for stealing identities and profiting from that information. The Federal Trade Commission (FTC), the nation's consumer protection agency, provides guidance to businesses regarding information compromise and data theft schemes.

How to Avoid Being a Victim

Be suspicious of unsolicited phone calls, visits, or email messages from individuals asking about employees or other internal information. Do not provide personal information or information about an organization, unless you are certain of a person's authority to have the information. Do not reveal personal or financial information in an email and do not respond to email solicitations for this information, including following links received in an email.

Pay attention to the URL (web address) of a website. Malicious websites may look identical to a legitimate site, but the URL may use a variation in spelling or a different domain that looks or sounds similar to the genuine website.

If you are unsure whether an email request is legitimate, attempt to verify it by contacting the company directly by phone. Do not use the contact information provided on a website connected to the request; instead, check previous statements for contact information. Install and maintain anti-virus software, firewalls, and email filters to reduce some of this traffic. Consider reporting attacks to the police and file a report with the Federal Trade Commission. If a tax professional has a data breach where client information is compromised, the data breach must be reported to the IRS.

Social Engineering Attacks

In a social engineering attack, an attacker uses social skills and human interaction to obtain information about an organization. It is one of the most common methods used by attackers to gain access to networks and steal information. An attacker may seem unassuming and respectable, possibly claiming to be a new employee, repair person, or researcher, and even offering credentials to support that identity.

If an attacker is not able to gather enough information from one source, they may contact another source within the same organization and rely on the information from the first source to add to their credibility.

Cybercriminals will sometimes pose as company executives in order to obtain sensitive personal information, such as names, birthdates, and payroll information.

Example: Cindy is the company bookkeeper for Cape Industrial Construction. The company has 150 employees. In late January, Cindy had just completed the Form W-2s for all the employees when she received an urgent email from the company's owner. The email stated: "I want you to send me the copies of all the employees' wage and tax statements for the year. You can send it as an attachment. Kindly prepare the lists and email them to me ASAP." Cindy immediately prepared the document and emailed it back to her boss. However, she did not realize that the email address had been "spoofed" or had a forged sender address. Cindy unknowingly sent sensitive employee information to a cybercriminal.

Phishing Attacks

Phishing attacks are a form of social engineering attacks. Phishing attacks use email or malicious websites to solicit personal information by posing as a trustworthy person or organization. Phishing emails target a broad group of users in hopes of catching a few victims. For example, an attacker may send an email seemingly from a reputable credit card company, bank, or other financial institution that requests account information, often suggesting that there is a problem. When users respond with the requested information, attackers can use it to gain access to the accounts.

Phishing attacks may also appear to come from other types of organizations, such as charities. Attackers often take advantage of current events and certain times of the year, such as recent natural disasters or economic concerns (i.e., IRS-themed scams), major political elections, and holidays in order to lure a response.

Most phishing emails have a "call to action" as part of their tactics, an effort to encourage the receiver into clicking a link or opening an attachment.

Example: Paul receives an email alert from his brokerage firm, attempting to warn him of an "invalid login" to his account. The email urges him to click on a link in order to re-login to his account to update his personal data and verify his identity. Paul immediately clicks on the link within the email, not realizing that the link leads to a fake or "spoofed" website. Paul enters his username and password into the fake site, and the scammer records the numbers and is able to use them.

Other phishing emails impersonate the IRS, or in some instances, a private tax software provider. In those examples, preparers are warned that they must immediately update their account information or suffer some consequence. The link may go to a website that has been disguised to look like the login pages for IRS e-Services or a tax software provider.

IRS impersonation telephone calls, as well as other types of unwanted calls (e.g., telemarketing robocalls, fake grants, tech support, sweepstakes winnings, etc.) also remain popular scams.

There is no one action to protect your clients or your business from phishing. It requires a series of defensive steps. Tax professionals should consider these basic steps:

- Use strong, unique passwords. Use a phrase instead of a single word. Use different passwords for each account.
- Never take an email from a familiar source at face value; example: an email from "IRS e-Services."

If it asks you to open a link or attachment, or includes a threat to close your account, think twice.

- Consider a verbal confirmation by phone if you receive an email from a new client sending you tax information or a client requesting last-minute changes to their refund destination.
- Use security software to help defend against malware, viruses, and known phishing sites and update the software automatically.
- Report all suspicious tax-related phishing emails to phishing@irs.gov.

The IRS will never ask for personal information through email. Do not click on any email links or open any attachments as they may contain harmful code that can infect your computer or mobile device.

Identity Theft Prevention

Identity theft is a threat that puts people at risk every day. The stolen data is often used quickly by thieves to sell or make fraudulent purchases, withdrawals, and even file false tax returns. To protect taxpayers, the IRS has implemented numerous identity theft screening filters and provides a guide on their website.

Taxpayers should be aware of potential identity theft if they receive notice from the IRS stating that any of the following has occurred:

- There was more than one tax return filed by the taxpayer.
- The taxpayer has a balance due, refund offset, or has had collection actions taken against him for a year in which he did not file a tax return.
- IRS records indicate the taxpayer received wages from an unknown employer.

The IRS will never seek financial or personal information by initiating contact with taxpayers by email. Many of these so-called "phishing" scams attempt to collect taxpayers' Social Security numbers by contacting taxpayers using these methods.

Phone scams with callers purporting to be from the IRS also have become widespread in recent years.

Clients may also be victims of identity theft not related to tax administration if they:

- Receive bills for business lines of credit or credit cards they do not have.
- Their credit report indicates new credit cards or other accounts that they did not authorize.
- See unexplained bank account withdrawals.
- Suddenly stop receiving bills or other mail.
- Find unfamiliar accounts or charges on their credit report.

Even if the taxpayer has not been a victim of tax-related identity theft but has been a victim of another type of fraud, it is still advisable for the taxpayer to fill out IRS Form 14039, Identity Theft Affidavit, as well as request an IP PIN, in order to help prevent future fraudulent activity.

Direct Deposit Account Limits

IRS procedure limits the number of refunds electronically deposited into a single financial account or prepaid debit card to a maximum of three refunds.⁸¹ Any additional refunds attempted to be deposited to the same account will be rejected. Under new electronic delivery transition rules, the IRS will delay the refund and mail the taxpayer a notice requesting updated electronic banking information within 30 days, before resorting to a paper check. The direct deposit limit is intended to prevent criminals from easily obtaining multiple tax refunds.

Example: Barbara and Antoine are married and have a joint bank account. They get their paychecks direct deposited into the account. They choose to file separate tax returns, however. Barbara and Antoine can have their individual tax refunds deposited into their joint bank account, because up to a maximum of three refunds can be electronically deposited into the same bank account (but no more than three).

These limits are also designed to protect taxpayers from unscrupulous tax preparers who obtain payment for their services by depositing part or all of their clients' refunds into their own bank accounts, an action that is prohibited under the IRC and subject to discipline under Circular 230.

Example: Wyatt runs a small tax preparation business. His client, Callie, is due a tax refund of \$2,000.

Instead of setting up the entire refund to go directly to Callie's bank account, Wyatt secretly uses Form 8888 and splits part of Callie's refund to be deposited into his own business bank account. He tells Callie that her refund is only \$1,500 and keeps the remaining \$500 as a "processing fee." This is a clear violation of Circular 230 §10.31. This is an illegal act; Wyatt is stealing by routing part of his client's refund into his own bank account. Serious civil and criminal penalties apply, including the IRC §6695(f) penalty of \$650 for directing an electronic payment into an account controlled by the preparer.

Implementing Security Controls

Tax return preparers must also be aware of the potential for their clients' information to be compromised and take appropriate measures to protect it. This involves implementing security controls and adhering to a data security plan, as required by federal law.

Example: Maria is an enrolled agent and notary. She runs a profitable tax preparation business and wants to ensure her clients' data is secure. She creates a Written Information Security Plan (WISP) using IRS Publication 5708 as a guide, identifying potential risks. She installs safeguards such as firewalls and encryption, regularly updating the plan to adapt to changing technology and threats. She regularly reviews and updates her WISP in light of new business practices, technology, and threats. Maria wants to always have a strong security plan in place to protect her clients' information and comply with federal law.

Tax practitioners must report data losses or thefts immediately to the IRS so that appropriate precautions can be made to protect clients from fraudulent returns being filed. An "information security incident" is an adverse event that can result in an unauthorized disclosure, misuse, or destruction of sensitive taxpayer information. Information security incidents are events that give cybercriminals access to sensitive information without permission.

Example: Bernard is an enrolled agent. He proudly posts his EA certificate on his website, which also contains his direct email address, and the email addresses of his staff. Bernard's secretary, Mary, received an email that she thought was from the IRS. She clicked on a spoofed link in the email from her workstation, unknowingly downloading financial malware to her computer and others on the network. Data thieves then 'hijacked' Bernard's identifying numbers, including his PTIN and his EFIN, which the cyberthieves then used to perform identity theft and file thousands of false tax returns. ⁸¹ Joint accounts

most commonly have two account holders, but it is possible to have more than two. Often times an elderly person might rely on a joint account with multiple adult children in order to help manage financial affairs.

Types of security incidents can include: theft of taxpayer information, malicious attacks, and even natural disasters such as a flood, earthquake, or fire that destroys unrecoverable information and computer systems or networks. Preparers who experience a security incident or similar data breach are required to contact the IRS to report the incident within one business day (24 hours). Security controls are the management, operational, and technical safeguards you may use to protect the confidentiality, integrity, and availability of clients' information. Examples of security controls are:

- Locking desk drawers and file cabinets.
- Locking doors to restrict access to paper and electronic files.
- Requiring passwords to restrict access to computer files.
- Only using encrypted flash drives and using other encrypted procedures in electronically transferring a client's information to a third party — including e-mails.
- Keeping a backup of electronic data for recovery purposes.
- Redacting or truncating SSNs and other personal information.
- Shredding paper containing taxpayer information before throwing it in the trash.
- Using certified mail to ensure that the correct person receives the correspondence.
- Requiring that all outside contractors maintain the same level of security protocols as the preparer.

Example: Trust Point Tax Services, a popular tax franchise, safeguards sensitive taxpayer data with various security measures. Physical documents are locked in cabinets, office doors are secured after hours, and employees are required to use strong, unique passwords. All digital files are encrypted, and client information is transferred only via encrypted email and flash drives. The firm performs daily backups to help recover from and prevent data loss, and Social Security Numbers are redacted from all printed (both on paper and in electronic form) documents, with paper documents shredded before disposal. Certified mail helps to ensure that correspondence reaches the intended recipient. Antivirus software, which is continually updated, is installed on all computers, and outside contractors follow strict security protocols. These measures protect the confidentiality, integrity, and availability of client information.

Note: Taxpayer data is defined as any information that is obtained or used in the preparation of a tax return (i.e., income statements, bookkeeping records, information s defined as any information that is obtained or used in the preparation of a tax return (i.e., income statements, bookkeeping records, information statements, tax organizers, etc.).

Safeguarding taxpayer information is a top priority for the Internal Revenue Service. The Gramm-Leach-Bliley Act "safeguards rule" requires tax preparers and others who are significantly engaged in providing financial products or services that include preparation and filing of tax returns, to ensure the security and confidentiality of their customers' records and information.

Enhanced Penalties Related to Identity Theft

IRC §7216 and §6713 provide criminal and civil penalties for tax preparers who improperly disclose taxpayer information. Enhanced penalties were added by the Taxpayer First Act for disclosures that relate to a crime of identity theft.

- §6713 Penalty: Disclosure or use of information by return preparers: for disclosure in connection with a crime related to identity theft, the penalty for each disclosure is \$1,000 (normally \$250) with an aggregate maximum per year of \$50,000 (normally \$10,000) under new §6713(b).
- §7216 Penalty: For disclosure or use of information by return preparers, the maximum fine is \$100,000 (instead of \$1,000) for violations to which §6713(b) applies.

Example: Romina is a tax preparer who operated a tax preparation business with several other preparers.

During the year, Romina electronically filed approximately 900 federal tax returns, all of them claiming fraudulent refunds, by using stolen identity documents. She directed that the IRS mail refund checks to various post office boxes that Romina had rented under her business's name. Romina's business was later raided by police, and evidence of the fraudulent refund scheme was discovered. Romina can be liable for criminal penalties, as well as enhanced penalties under §7216 and §6713 for her part in the identity theft scheme.

Study Unit 13: Study Questions

(Test yourself and then check the correct answers at the end of this chapter.)

1. Why is it important to use encrypted methods and procedures when transferring a client's information electronically? a) To speed up the transfer process b) To reduce the cost of data transfer c) To protect the confidentiality and integrity of the information d) To comply with IRS reporting requirements
2. Which of the following events would be considered an "information security incident"? a) A scenario where a client fails to provide all necessary documents for tax preparation. b) An event that results in an unauthorized disclosure, misuse, or destruction of sensitive taxpayer information. c) A taxpayer files their own tax return using online software. d) A tax professional loses their internet access.
3. What is an IP PIN? a) An alternative method of signing a tax return. b) An alternative Social Security number. c) A tax ID number for taxpayers who are ineligible for an ITIN or an SSN. d) A six-digit number that helps prevent the misuse of a taxpayer's Social Security number.
4. Donald discovers that he is the victim of identity theft. Which IRS form should he use in order to alert the IRS to possible refund fraud on his individual tax account? a) Form 14039. b) Form 8821. c) Form 2448. d) Form 2106.
5. The maximum number of refunds that may be electronically deposited into a single financial account is: a) One. b) Two. c) Three. d) Five.
6. For how long is an IP PIN valid? a) One year. b) Two years. c) Five years. d) Indefinitely.
7. What should tax practitioners do in the event of a data breach? a) They should ignore it as it is not their responsibility. b) They should report the data breach immediately to the IRS. c) They should try to inform their clients about the incident. d) They should try to immediately recover the data themselves.
8. Which of the following security measures are professional tax preparers required by law to implement? a) Implement a written information security plan. b) They should share client data with other tax professionals for cross-verification. c) They should store all sensitive information in a physical file. d) They should avoid collecting any sensitive information from clients.
9. What is an indication that a business's EIN might have been compromised? a) The business receives a tax refund from business credits. b) The business receives a notice from its bank about an increase in its credit score. c) The business receives a notice from a credit card company offering a new line of credit. d)

The business receives IRS notices regarding a defunct, closed, or dissolved business entity.

10. Which type of plan is mandatory for every professional tax preparer to implement? a) Social engineering plan b) Written information security plan c) Risk management plan d) Technical safeguards plan
11. What should a business do if it receives IRS notices about fictitious contractors or non-existent employees? a) Ignore the notices as they might be a mistake. b) Contact the IRS immediately to report a potential business identity theft. c) Fire all current employees and hire new ones. d) Change their EIN and continue operations as usual.

Study Unit 13: Question Answers

1. The answer is C. Encryption is used to protect the confidentiality and integrity of the client's information.

Using encrypted methods and procedures when transferring a client's information electronically is crucial for protecting the confidentiality and integrity of the information. Encryption ensures that the data is secure and cannot be easily accessed or tampered with by unauthorized individuals during the transfer process.

2. The answer is B. An "information security incident" is an adverse event that results in an unauthorized disclosure, misuse, or destruction of sensitive taxpayer information. This can give cybercriminals access to sensitive information without permission.

3. The answer is D. An IP PIN is a six-digit number assigned to eligible taxpayers that helps prevent the misuse of their Social Security number. All taxpayers are now eligible for an IP PIN, which can be requested on the IRS website.

4. The answer is A. Donald should fill out Form 14039 (electronically or on paper), which is an identity theft affidavit. Even if the taxpayer has not been a victim of tax-related identity theft but has been a victim of another type of fraud, it is still advisable for the taxpayer to electronically file or fill out IRS Form 14039, Identity Theft Affidavit, in order to report the potential for future fraudulent activity.

5. The answer is C. To combat identity theft, IRS procedures limit the number of refunds that may be electronically deposited into a single financial account or prepaid debit card to three. Any additional refund(s) will be converted to a paper refund check and mailed to the taxpayer.

6. The answer is A. An IP PIN is only valid for a single year. A taxpayer will receive a new IP PIN every year.

7. The answer is B. Tax practitioners must report data breaches, data losses or data thefts immediately to the IRS so that appropriate precautions can be made to protect clients from fraudulent returns being filed.

8. The answer is A. Tax preparers must implement a written information security plan, as required by federal law, to protect their clients' information from being compromised.

9. The answer is D. If a business receives IRS notices regarding a defunct, closed, or dissolved business entity, it could be an indication that the business's EIN has been compromised and used for fraudulent purposes.

10. The answer is B. Federal law requires all professional tax preparers to create and implement a written information security plan (WISP), which is a type of data security plan to protect their clients' data.

11. The answer is B. If a business receives IRS notices about fictitious contractors or non-existent employees, it should file a business identity theft affidavit, Form 14039-B, Business Identity Theft Affidavit.

This form is specifically designed for businesses, trusts, estates, and tax-exempt organizations that suspect they are victims of identity theft related to their business name or Employer Identification Number (EIN).